This confidential offering memorandum (the "Confidential Offering Memorandum") constitutes a private offering of these securities only in those jurisdictions and to those persons where and to whom they may be lawfully sold and therein only by those entities permitted to sell such securities. This Confidential Offering Memorandum is not, and under no circumstances is it to be construed as a prospectus, advertisement or public offering of the securities referred to herein. No securities commission or similar regulatory authority in Canada or elsewhere has reviewed or in any way passed upon this Confidential Offering Memorandum or the merits of these securities, and any representation to the contrary is an offence. This is a risky investment. See "Item 8 - Risk Factors". Persons who will be acquiring securities pursuant to this Confidential Offering Memorandum will not have the benefit of the review of the material by the securities commissions or similar authorities in Canada. The securities offered hereunder will be issued under exemptions from the prospectus requirements of the applicable securities laws of each of the provinces and territories of Canada and the rules, regulations and policies thereunder and will be subject to certain resale restrictions. See "Item 10 – Resale Restrictions" and "Item 11 – Purchasers' Rights".

The securities have not been and will not be registered under the United States Securities Act of 1933, as amended, and, subject to certain exemptions, will not be offered or sold within the United States or to U.S. persons. The Partnership is not a trust company and, accordingly, is not registered under the trust company legislation of any jurisdiction. Units are not "deposits" within the meaning of the Canada Deposit Insurance Corporation Act (Canada) and are not insured under provisions of that Act or any other legislation.

CONFIDENTIAL OFFERING MEMORANDUM

Continuous Offering November 6, 2020

hazelview
INVESTMENTS

FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS
(the "Partnership")

Price per Unit is equal to the Net Asset Value per Unit unless the General Partner determines otherwise

The Partnership is a globally diversified real estate investment partnership. The Partnership is offering an unlimited number of Class A Units, Class D Units, Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units (together with other classes of units of the Partnership, the "**Units**") of the Partnership on a continuous basis pursuant to this Confidential Offering Memorandum (the "**Offering**").

Depending on the jurisdiction in which a Person is resident, each Person purchasing Units pursuant to this Offering (the "**Investor**") must be an "**accredited investor**", invest subject to the "**minimum amount investment**" exemption or the "**offering memorandum**" exemption or have another available exemption defined in National Instrument 45-106 – *Prospectus and Registration Exemptions* ("**NI 45-106**") in order to subscribe for Units. See "Item 5 – Securities Offered".

The distribution of the Units is being made on a private placement basis only and is exempt from the requirement that the Partnership prepare and file a prospectus with the relevant Canadian securities regulatory authorities. Accordingly,

any resale of the Units must be made in accordance with applicable Canadian securities laws which may require resales to be made in accordance with prospectus and dealer registration requirements or exemptions from the prospectus and dealer registration requirements. Subscribers of Units are advised to seek legal advice prior to any resale of the Units. See "Item 10 – Resale Restrictions" and "Item 11 – Purchasers' Rights".

Investing in the Units involves significant risks. There is currently no secondary market through which the Units may be sold and there can be no assurance that any such market will develop. A return on an investment in Units of the Partnership is not comparable to the return on an investment in a fixed-income security. The recovery of an initial investment is at risk, and the anticipated return on such an investment is based on many performance assumptions. Although the Partnership intends to make regular distributions of its available cash to Unitholders, such distributions may be reduced or suspended. The actual amount distributed will depend on numerous factors, including the Partnership's financial performance, debt covenants and obligations, interest rates, the occupancy rates of the Partnership's properties, redemption requests, working capital requirements and future capital requirements. In addition, the market value of the Units may decline if the Partnership is unable to meet its cash distribution targets in the future, and that decline may be material. It is important for an investor to consider the particular risk factors that may affect the industry in which it is investing and therefore the stability of the distributions that it receives. There can be no assurance that income tax laws will not be changed in a manner which adversely affects the Partnership or the Unitholders. See "Item 8 - Risk Factors".

Form 45-106F2
Offering Memorandum for Non-Qualifying Issuers

Capitalized terms used in this Confidential Offering Memorandum have defined meanings. Please refer to "Glossary of Terms" for a list and the meaning of defined terms used herein.

Date: November 6, 2020

The Issuer

Name:	Four Quadrant Global Real Estate Partners (formerly, Timbercreek Four Quadrant Global Real Estate Partners)
Head Office:	1133 Yonge St, 4th Floor Toronto, ON M4T 2Y7 Phone: 1-888-949-8439 Email: subscriptions@hazelview.com Fax: 416-848-9494
Currently listed or quoted?	No. "**These securities do not trade on any exchange or market**".
Reporting issuer?	No.
SEDAR filer?	No.

The Offering

Securities offered:	Class A Units, Class D Units, Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units of the Partnership
Price per security:	Class Net Asset Value per Unit on the last business day prior to the applicable closing date, unless the General Partner determines otherwise.
Minimum/Maximum Offering:	**There is no minimum or maximum. You may be the only purchaser. Funds available under the offering may not be sufficient to accomplish our proposed objectives.**
Minimum subscription amount:	$5,000 for Class A Units, Class D Units, Class F Units and Class UF Units of the Partnership. $5,000,000 for Class I Units, Class J Units and Class UJ Units of the Partnership.
Payment terms:	Payment in full by wire transfer of the aggregate subscription amount payable to the Partnership with the delivery of a duly executed and completed subscription agreement. See "Item 5.2 - Subscription Procedure".
Proposed closing date(s):	Closings will occur on the first business day of any month or such other time as the Manager may determine from time to time. See "Item 5.2 – Subscription Procedure".
Income tax consequences:	There are important tax consequences to these securities. See "Item 6 – Certain Canadian Federal Income Tax Considerations" and "Item 8 - Risk Factors – Tax-Related Risks".
Selling agent?	There is no selling agent for the Offering and no commission will be paid to dealers in respect of the sale of Units in the Offering. The Partnership pays to the Manager, who pays each registered dealer whose clients hold Class A Units or Class D Units a Trailer Fee. See "Item 7 – Compensation Paid to Sellers and Finders" and "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses – Trailer Fees". The Partnership pays fees and expenses to the Manager. See "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses".
Resale restrictions:	You will be restricted from selling your securities for an indefinite period. See "Item 10 – Resale Restrictions".
Purchaser's rights:	You have 2 business days to cancel your agreement to purchase these securities. If there is a misrepresentation in this offering memorandum, you have the right to sue either for damages or to cancel the agreement. See "Item 11 – Purchasers' Rights".

No securities regulatory authority or regulator has assessed the merits of these securities or reviewed this offering memorandum. Any representation to the contrary is an offence. This is a risky investment. See "Item 10 – Resale Restrictions"

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FORWARD LOOKING STATEMENTS

This Confidential Offering Memorandum contains forward looking statements. Often, but not always, forward looking statements can be identified by the use of words such as “plans”, “proposes”, “expects”, “estimates”, “intends”, “anticipates” or “believes”, or variations (including negative and grammatical variations) of such words and phrases or state that certain actions, events or results “may”, “could”, “would”, “might” or “will” be taken, occur or be achieved. Forward looking statements involve known and unknown risks, uncertainties and other factors which may cause the Partnership’s actual results, performance or developments to be materially different from any future results, performance or developments expressed or implied by the forward looking statements. Examples of such forward-looking statements include, but are not limited to: the timing and targeted level of distributions to Partners, the Manager’s targeted asset level returns, the nature of the Partnership and its affairs following the Offering, the volatility of the Portfolio, the Manager being expected to be a competitive advantage of the Partnership, the targeted hedging of currencies that form part of the Portfolio, the target allocations of the Partnership’s assets, the targeted investment opportunities where the investment’s yield is greater than the Manager’s assessment of risk of the investment and the ability of the Partnership to invest alongside strategic partners going forward.

Actual results, performance and developments are likely to differ, and may differ materially, from those expressed or implied by the forward-looking statements contained in this Confidential Offering Memorandum. Such forward-looking statements are based on a number of assumptions which may prove to be incorrect, including, but not limited to: the completion of the Offering, the ability of the Partnership to receive sufficient income from assets held in the Portfolio to fund its targeted distributions, the ability of the Manager to effectively perform its obligations owed to the Partnership, continued growth in the securitization of real estate globally, the potential for the Partnership to provide financing in certain markets for particular assets types, the availability of distressed acquisition opportunities, the availability of pricing inefficiencies in the market, the accuracy of the Manager’s analysis and expectations regarding economic developments and the real estate markets in the relevant jurisdictions as well as the circumstances of each investment in an asset class, the growth of the size of the Partnership’s assets, the targeted use of the net proceeds of the Offering by the Partnership, the market value of the Portfolio assets not experiencing unexpected fluctuations, interest rates not experiencing unexpected fluctuations, financial markets not experiencing unexpected volatility or illiquidity, the opportunity to invest alongside strategic partners, anticipated costs and expenses, competition and changes in general economic and political conditions.

While the Partnership anticipates that subsequent events and developments may cause its views to change, the Partnership specifically disclaims any obligation to update these forward looking statements, except as required by applicable law. These forward looking statements should not be relied upon as representing the Partnership’s views as of any date subsequent to the date of this Confidential Offering Memorandum. Although the Partnership has attempted to identify important factors that could cause actual results, performance or developments to differ materially from those described in forward looking statements, there may be other factors that cause results, performance or developments not to be as anticipated, estimated or intended. There can be no assurance that forward looking statements will prove to be accurate, as actual results, performance or developments could differ materially from those anticipated in such statements. Accordingly, readers should not place undue reliance on forward looking statements. The factors identified above are not intended to represent a complete list of the factors that could affect the Partnership. Additional factors are noted under “Item 8 – Risk Factors”.

OFFERING MEMORANDUM SUMMARY

The following is a summary of the principal features of the Offering and should be read together with the more detailed information contained elsewhere in this Confidential Offering Memorandum. Capitalized terms used in this Confidential Offering Memorandum have defined meanings. Please refer to "Glossary of Terms" for a list and the meaning of defined terms used herein.

STRUCTURE OF THE PARTNERSHIP

The Partnership:

The Partnership is a limited partnership formed under the laws of the Province of Ontario and governed by an amended and restated limited partnership agreement (the "**Limited Partnership Agreement**") dated November 6, 2020 (as amended from time to time) between Four Quadrant GP Inc. (formerly, Timbercreek Four Quadrant GP Inc.) as general partner of the Partnership (the "**General Partner**"), the limited partners identified therein, and each party who, from time to time, becomes a limited partner as a result of holding Units (as defined below) (each, a "**Unitholder**"). References herein to the "**Manager**" of the Partnership are to Timbercreek Investment Management Inc.). See "Item 2.1.1 - The Partnership".

Manager:

The Manager provides fund management and portfolio management services to the Partnership pursuant to a fund management and investment advisory agreement. The Manager employs a value oriented investment philosophy, and specializes in providing conservatively managed, risk averse alternative asset class investment opportunities to investors. For over 13 years, the Manager and its affiliates have been focused on identifying opportunities to invest in cash-flow generating real estate at prices that are below the Manager's assessment of the long-term value of the underlying assets.

The operating platform of the Manager, coupled with its expertise as a real estate investor and asset manager, is expected to be a significant competitive advantage of the Partnership.

The Manager and its affiliates currently manage a number of investment vehicles that employ strategies that are focused on private equity, private debt, and public equity or public debt.

See "Item 2.1.3 - Manager of the Partnership".

OUR BUSINESS

Partnership Investment Objectives:

The Partnership has been formed for the purpose of constructing, on a discretionary basis, a globally diversified, actively managed portfolio of real estate investments in accordance with the investment objectives of the Partnership, which are to:

(i) maximize total returns for Unitholders, consisting of income and capital appreciation; and

(ii) provide Unitholders with regular distributions;

by selecting, purchasing and actively managing diversified real estate related assets and investments, including but not limited to, direct interests in real estate, mortgages and other real estate related debts and investments (the "**Portfolio**").

Partnership Investment: Strategy:

The investment objectives of the Partnership are to maximize total returns for Unitholders, consisting of income and capital appreciation, and to provide Unitholders

with regular distributions. The Partnership seeks to accomplish its investment objectives by:

(i) investing across the capital structure of equity and debt instruments in order to combine the inflation-hedged benefits of real estate equity with the stability of consistent, yield-generating real estate debt;

(ii) investing in both public and private vehicles to optimize liquidity while minimizing volatility in the underlying investments; and

(iii) adhering to a value-based investment philosophy that mandates investing at prices that are below the Manager's assessment of the long-term value of the underlying assets.

The Partnership invests in equity and debt backed by real estate across all property types which may from time to time include residential, office, industrial, retail, health-care, hotels, and self-storage. The investments are located and/or listed in the industrialized countries of the world such as the United States, Canada, New Zealand, Australia, Singapore, Japan, Hong Kong, Western Europe and the United Kingdom. In conjunction with the focus on global investment opportunities, the Partnership may invest directly or indirectly through other investment entities managed by the Manager to the extent that the Manager can achieve structural or tax efficiencies for the Partnership, provided that any such investment structure will not allow for the duplication of management or incentive fees payable to the Manager.

The Manager believes that its ability to invest throughout the capital stack – common equity, preferred equity, mezzanine debt and debt – and through both privately or publicly held vehicles, allows the Partnership to best capitalize on market opportunities and pricing inefficiencies. This strategy is also intended to reduce volatility and provide liquidity. See "Item 2.2.2 – Partnership Investment Strategies - Investment Strategy".

Foreign Currency Hedging: The Partnership is exposed to a number of foreign currencies. The Manager takes currency exposure into account in managing the Portfolio, and will look to hedge certain currency exposures when the cost benefit analysis is attractive for the fund. The cost/benefit analysis includes looking at the historical trading range of the currency, macro risks, sensitivity of currency to the specific investment or exposure and the cost of purchasing a hedge. The Partnership is not required to engage in any such hedging activities.

The Partnership is not exposed to any material currency exposure in respect of Class UF Units and Class UJ Units. Although the subscription price of the Class UF Units and the Class UJ Units will be paid in U.S. dollars, such payments will be converted into Canadian dollar on the same day to satisfy the subscription price. Both distribution and redemption proceeds will be calculated in Canadian dollars and paid in U.S. dollars based on the then current Exchange Rate, and therefore, there is no currency exposure to the Partnership.

Leverage: The Partnership may utilize various forms of leverage including a loan facility with a Canadian or U.S. chartered bank or a prime brokerage facility and margin purchases that allow the Partnership to borrow funds from time to time that the Manager determines appropriate. In connection with such borrowing, the Partnership may grant security over the assets of the Partnership. The aggregate amount of borrowing by the Partnership may not exceed 40% of the aggregate value of the Total Assets of the Partnership at the time of borrowing, excluding mortgage debts on properties acquired by the Partnership. In the event that such borrowing exceeds 40% of Total Assets, the

Manager will take reasonable measures to reduce such borrowings in order that it is below 40% of the Total Assets of the Partnership.

The Partnership has entered into an amended and restated credit agreement dated November 16, 2018, as amended by amending agreement no. 1 dated December 18, 2018 and by amending agreement no. 2 dated March 31, 2020 (collectively, "**TD Credit Agreement**") between the Partnership and The Toronto-Dominion Bank ("**TD**"). Under the terms of the TD Credit Agreement, the Partnership is permitted to borrow up to $100 million on a revolving basis (the "**TD Credit Facility**"). The aggregate amount of borrowing by the Partnership under the TD Credit Agreement may not exceed 50% of the aggregate value of the Total Assets of the Partnership determined in accordance with the valuation principles set forth in the Limited Partnership Agreement. The term of the TD Credit Facility will mature on December 31, 2020, except if it is extended by TD in its discretion at the request of the Partnership for further periods of twelve months, subject to the terms of the TD Credit Agreement. The TD Credit Facility is secured by a general security agreement over the all of the Partnership's present and after-acquired assets and a general security agreement over all of the present and after-acquired assets of T4Q Securities Trust.

LIMITED PARTNERSHIP AGREEMENT

Distributions:

The Partnership generally intends to make monthly cash distributions to Partners (as defined under "**Glossary of Terms**") of record on the last Business Day (as defined under "**Glossary of Terms**") of each calendar month (each, a "**Distribution Record Date**"). The Partnership intends to pay distributions on or before the fifth Business Day following the Distribution Record Date (each, a "**Distribution Payment Date**").

Termination:

The Partnership does not have a fixed termination date. The General Partner may, at its discretion, terminate the Partnership without the approval of the Unitholders, by giving not less than 120 day's written notice to the Unitholders. See "Item 2.7.1 – Limited Partnership Agreement – Termination of the Partnership".

Quarterly Redemptions:

Limited Partners will have the right to redeem Units of the Partnership on the last Business Day in March, June, September and December of each year (each, a "**Quarterly Redemption Date**") at a redemption price per Unit equal to the Class NAV per Unit as determined pursuant to the Limited Partnership Agreement on the respective Quarterly Redemption Date. Units must be surrendered for the quarterly redemption together with a redemption notice submitted by the Limited Partner to the Partnership's registrar and transfer agent (or by electronic notice if settling through the Fundserv system) at least 30 days prior to the applicable Quarterly Redemption Date. Payment of redemption proceeds will be made within 60 days following the applicable Quarterly Redemption Date. Payment of the redemption proceeds may be made using the Fundserv network, if applicable.

The Partnership may impose limits on the maximum number of Units to be redeemed on each Quarterly Redemption Date and may suspend redemptions in certain circumstances.

See "Item 2.7.1 – Quarterly Redemptions - Limitation and Suspension of Redemptions".

Reclassification of Units:

Holders of any Class of Voting Units have the right (a "**Reclassification Right**"), at their option from time to time but subject to applicable law and the terms and provisions of the Limited Partnership Agreement, to reclassify all or any part of the outstanding Voting Units into such number of another Class of Voting Units determined by multiplying the number of Voting Units being reclassified by a number determined by

dividing (i) the Class NAV per Unit of the Unit being reclassified by (ii) the Class NAV per Unit of the Unit held following such reclassification.

For details of such Reclassification Rights and how they can be exercised, please see "Item 2.7.1 – Limited Partnership Agreement - Reclassification of Units".

The Limited Partnership Agreement also provides certain other Classes of Units not offered by this Offering Memorandum with Reclassification Rights. For details on such Reclassification Rights please see the Limited Partnership Agreement.

DIRECTORS, MANAGEMENT, PROMOTERS AND PRINCIPAL HOLDERS

Organization and Management of the Partnership:

Management of the Partnership	Name and Municipality of Residence	Services Provided to the Partnership
Manager	Hazelview Securities Inc. Toronto, Ontario	Manages the overall business and operations of the Partnership.
General Partner	Four Quadrant GP Inc. Toronto, Ontario	General Partner of the Partnership.
Custodian	CIBC Mellon Trust Company Toronto, Ontario	Provides custody services to the Partnership.
Valuation Agent	SGGG Fund Services Inc. Toronto, Ontario	Provides valuation services to the Partnership.
Administrator	SGGG Fund Services Inc. Toronto, Ontario	Provides administration services to the Partnership
Registrar and Transfer Agent	Four Quadrant GP Inc. Toronto, Ontario	Maintains the Unit register and register of transfers of Units.

SECURITIES OFFERED

Representations of Investors: Each Investor of Units will represent to the Partnership and any dealer who sells the Units to such Investor that such Investor is an "accredited investor" as defined in NI 45-106, or the Subscriber will subscribe under the "minimum amount investment" exemption or the "offering memorandum" exemption as defined in NI 45-106 (applicable only in Ontario and Québec to "eligible investors" and in British Columbia). See "Item 10 - Resale Restrictions" and "Item 11 - Purchasers' Rights".

Unit Attributes: Each Unit represents an equal, undivided beneficial interest in the net assets of the Partnership allocable to that Class.

Subscription Procedure: The Partnership is offering an unlimited number of Class A Units, an unlimited number of Class D Units, an unlimited number of Class F Units, an unlimited number of Class I Units, an unlimited number of Class J Units, an unlimited number of Class UF Units

and an unlimited number of Class UJ Units on a continuous basis pursuant to this Offering.

Class A Units and Class D Units are available to all eligible Investors. Class F Units are generally only available to eligible Investors who have fee-based accounts with qualified representatives or who are investing directly with the Partnership. Class UF Units are only available to eligible Investors who have fee-based accounts with qualified representatives or who are investing directly with the Partnership and are investing in U.S. dollars. There are no servicing fees paid on Class F Units or Class UF Units. Class J Units are available to certain Investors who meet the applicable minimum investment amount for Class J Units. Class UJ Units are available to certain Investors who meet the applicable minimum investment account for Class UJ Units and are investing in U.S. dollars. The Class I Units are available to certain institutional Investors which are entities exempt from tax under the Tax Act and who meet the applicable minimum investments amount for Class I Units.

The Manager has made arrangements to offer the Class A Units, Class D Units, Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units through the investment fund order system, Fundserv under the following code:

Class A Units: TBR 400

Class D Units: TBR 503

Class F Units: TBR 007

Class I Units: TBR 505

Class J Units: TBR 506

Class UF Units: TBR 507

Class UJ Units: TBR508

Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units may also be purchased directly through the Manager.

Units may be purchased as at the first business day of any month or such other time as the Manager may determine from time to time (each, a "**Closing Date**") at a purchase price per Unit equal to the applicable Class NAV per Unit on the last business day prior to the Closing Date, unless the General Partner determines otherwise. In order to subscribe for Units, a duly completed and executed Subscription Agreement, including all schedules thereto, must have been delivered to the Manager not less than five Business Days prior to any Closing Date. Settlement of the subscription price for Units purchased through Fundserv Inc. will transact through Fundserv seven Business Days after monthly closings. For purchases made directly with the Manager, the required payment must be received by the Manager no later than 5:00 p.m. (Toronto time) on the Closing Date. See "Item 5.2 - Subscription Procedure".

Subscriptions for Units will be received subject to rejection or allotment in whole or in part by the Manager and the Manager reserves the right to close the subscription books at any time without notice. A subscription for Units hereunder is subject to acceptance of a Subscription Agreement by the Partnership and compliance with applicable securities laws.

Maximum / Maximum Offering:	There is no minimum or maximum amount of Units to be offered.
Minimum Purchase:	The minimum amount of Class A Units, Class D Units, Class F Units and Class UF Units that may be subscribed for by any one subscriber is $5,000. The minimum subscription amount for Class I Units, Class J Units and Class UJ Units is $5,000,000 unless the General Partner determines otherwise (such minimum purchase of Class J Units and/or Class UJ Units to be satisfied either on a per Investor basis, or through the aggregation of certain subscriptions of Investors that have been effected by an advisor or dealer for the $5,000,000 subscription threshold). See "Item 5.3 – Minimum Subscription Amount".
Distribution Reinvestment Plan:	The Partnership has adopted a Distribution Reinvestment Plan of the Partnership (the "**DRIP**") which is administered by the General Partner, a copy of which can be obtained from the General Partner. Each Unit offered hereunder will be accompanied by the right to participate in the DRIP in accordance with the terms and conditions thereof. Unless an Investor indicates its intention not to elect to participate in the DRIP in the Subscription Agreement submitted to the General Partner in connection with a subscription for Units, each Investor who is an Eligible Holder will, upon purchase of Units, be deemed to have elected to exercise their right to participate in the DRIP, and therefore to have all distributions paid on all Units held by such Eligible Holder automatically reinvested in the Units of the Class of Units on which the distribution was paid. The General Partner will apply all cash distributions arising from or in connection with the Units owned by Eligible Holders who have elected, or been deemed to have elected, to participate in the DRIP, to purchase further Units of the same Class at a subscription price for each Unit equal to the Class Net Asset Value per Unit (unless the General Partner determines otherwise) determined on the last day of the month immediately prior to the date of the relevant Distribution Record Date. For details of the DRIP and how an Investor can elect to participate or will be deemed to have elected to participate therein, please see the Distribution Reinvestment Plan.
	CERTAIN CANADIAN FEDERAL INCOME TAX CONSIDERATIONS
Summary of Income Tax Considerations:	There are important Canadian tax considerations relating to the Units. While the offering memorandum contains a general description of certain of the tax consequences, it is provided for information purposes only and does not purport to be a complete analysis or discussion of all potential tax considerations that may be relevant to the acquisition of Units. In particular, this Confidential Offering Memorandum does not contain a discussion of provincial, territorial, local or other tax considerations related to the acquisition of Units. Prospective purchasers should seek independent professional advice based upon their own particular circumstances. See "Item 6 - Certain Canadian Federal Income Tax Considerations" and "Item 8 - Risk Factors – Tax-Related Risks" **Each Investor should satisfy himself, herself or itself as to the federal, provincial, territorial and other tax consequences of an investment in Units by obtaining advice from his, her or its tax advisor.**

RISK FACTORS

Summary of Risk Factors:

An investment in Units is subject to certain risk factors, including:

(i) there can be no assurance that the Partnership will be able to achieve its objective;

(ii) the Class NAV per Unit and the funds available for distribution will vary according to, among other things, the Class of Units held, the value of the assets in the Portfolio and the distributions paid thereon;

(iii) there is no market for the Units which may impact the liquidity thereof;

(iv) the financial performance of the Portfolio;

(v) the market and economic conditions affecting the equity investments;

(vi) reliance on the Manager and its key management personnel;

(vii) the manner and timing of distributions to the Partners will be in the sole discretion of the General Partner;

(viii) sensitivity to interest rates;

(ix) risks associated with the lack of information available regarding private issuers;

(x) risks relating to investments in real estate;

(xi) risks relating to changes in real estate value;

(xii) mortgage defaults and leverage risks;

(xiii) risks associated with foreign market exposure;

(xiv) risks relating to the use of leverage by the Partnership;

(xv) risks relating to the use of derivative instruments;

(xvi) risks associated with short selling;

(xvii) risks associated with securities lending;

(xviii) risks associated with foreign currency exposure and the hedging of foreign currencies;

(xix) risks regarding redemptions;

(xx) potential conflicts of interest;

(xxi) fair allocation of investment opportunities among accounts managed by the Manager;

(xxii) risks associated with offering more than one Class of Units;

(xxiii) changes in legislation;

(xxiv) risks relating to taxation of the Partnership and of Unitholders, including risks relating to the Partnership's tax status and exposure to foreign taxes and U.S. withholding tax risks;

(xxv) risks relating to limited liability of Unitholders;

(xxvi) the fact that Units are neither fixed income nor equity securities, and Unitholders will not have certain rights associated with investments in such securities;

(xxvii) credit risk associated with investments in bonds, debentures and other debt securities;

(xxviii) general risk of investing in debt instruments;

(xxix) risks related to global financial developments;

(xxx) the possibility that the Partnership will be unable to acquire or dispose of illiquid securities; and

(xxxi) global health risks.

See "Item 8 - Risk Factors".

Tax Related Risks:

There can be no assurance that income tax laws and the administrative policies and assessing practices of the Canada Revenue Agency respecting the treatment of partnerships and SIFTs will not be changed in a manner which adversely affects the Partnership or the Unitholders. See "Item 8 - Risk Factors – Tax Related Risks". Investors should consult their own tax advisors with respect to the tax consequences of investing in the Units.

RESALE RESTRICTIONS

Restricted Period:

Unless permitted under securities legislation, you cannot trade the securities before the date that is 4 months and a day after the date the Partnership becomes a reporting issuer in any province or territory of Canada. See "Item 10 - Resale Restrictions"

The Units are not listed on an exchange. There is currently no secondary market through which the Units may be sold, there can be no assurance that any such market will develop and the Partnership has no current plans to develop such a market. Accordingly, the sole method of liquidation of an investment in Units is by way of a redemption of the Units. The Limited Partnership Agreement imposes limits on the maximum number of Units to be redeemed and may suspend redemptions in certain circumstances. See "Item 2.7.1 –Limited Partnership Agreement - Quarterly Redemptions".

Subscribers of Units may subsequently trade their Units provided that such trades are made pursuant to an exemption from registration and prospectus requirements contained in applicable securities legislation. See "Item 10 - Resale Restrictions" and "Item 11 - Purchasers' Rights".

PURCHASER'S RIGHTS

Rights of Action in the Event of a Misrepresentation:

Securities legislation provides purchasers of Units pursuant to this Confidential Offering Memorandum with a remedy for damages or rescission, or both, in addition to any other rights they may have at law, where this Confidential Offering Memorandum and any amendment to it contain an untrue statement of a material fact or an omission to state a material fact that is required to be stated or that is necessary to make any statement not false or misleading in light of the circumstances in which it was made. These remedies, or notice with respect to these remedies, must be exercised or delivered, as the case may be, by the purchaser within the time limits prescribed by applicable securities legislation. See "Item 11 – Purchasers' Rights".

SUMMARY OF FEES AND EXPENSES

The following table contains a summary of the fees and expenses payable by the Partnership. The fees and expenses payable by the Partnership will reduce the value of your investment in the Partnership. For further particulars, see "Item 2.7.1 – Limited Partnership Agreement - Fees and Expenses".

Fees and Expenses Payable by the Partnership

Type of Fee	**Amount and Description**
Expenses of Issue:	The Partnership will pay the expenses incurred in connection with the Offering of the Units by the Partnership.
Commission:	No commission will be paid to dealers in respect of this Offering.
Management Fee on Units Offered:	The Manager receives a management fee (the "**Management Fee**") of (i) 1.50% per annum of the Class NAV of the Class A Units, Class D Units, Class F Units and the Class UF Units, and (ii) 1.25% per annum of the Class NAV of Class I Units, Class J Units and the Class UJ Units. In addition, the Manager will receive a Management Fee of (i) 1.50% per annum of the adjusted Class NAV of the Class A NV Units and Class F NV Units adjusted for Trust Expenses (as defined below), and (ii) 1.25% per annum of the adjusted Class NAV of the Class I NV Units and Class J NV Units adjusted for Trust Expenses. The Management Fee for any Class of Non-Voting Units will be calculated based on the adjusted Class NAV of such Non-Voting Units, from which will be deducted the aggregate amount of applicable fees and expenses of the Commercial Trust (or the Trust, whichever is applicable), excluding any applicable trailer fees or related expenses, as is notified to the Partnership by the holder of the applicable Class of Non-Voting Units (the "**Trust Expenses**"). The Management Fee paid by the Partnership to the Manager will be calculated and payable monthly in arrears, plus applicable taxes. See "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses - Management Fees on the Units Offered". To encourage large investments in the Partnership and to be able to offer fees which are competitive for investments of that size, and in certain other circumstances, the Manager may from time to time reduce the Management Fee that it otherwise would be entitled to receive with respect to such an Investor's investment in the Partnership. Details about the Management Fee rebate policy are available upon request to the Manager.
Performance Fee on Units Offered:	In respect of each annual period (a "**Determination Year**") ending December 31 (the "**Performance Valuation Date**"), the Manager will be entitled to receive a performance fee (the "**Performance Fee**"), on a per Unit basis, equal to 20% of the amount by which the Total Return (as defined below) of a Unit of that year exceeds the amount resulting from multiplying the Hurdle Rate (as defined below) by the High Water Mark of that Unit (as defined below). "**Hurdle Rate**" for all Classes of Units except Founders Class Units is at 8% per annum and for Founders Class Units, it is 10% per annum.

	The "**High Water Mark**" for a Unit is the higher of the following (after appropriate adjustment for distributions made, and any current or deferred tax liabilities for the relevant annual period): (i) the initial issue price of that Unit; (ii) the Class Net Asset Value per Unit on the Performance Valuation Date of the annual period prior to the Determination Year; and (iii) the Class Net Asset Value per Unit on the Performance Valuation Date of the last annual period in respect of which a Performance Fee was paid in respect of such Unit. If a Unit has not been outstanding for a full year at the time of calculation, the calculation shall be pro-rated proportional to the number of days for which that Unit has been outstanding. Any Performance Fee payable will be payable by the Partnership to the Manager within 30 days of December 31 of each year, and shall be subject to Harmonized Sales Tax and the aggregate amount of Performance Fee payable on all Units within a Class will be deducted as an expense of the Partnership and such aggregate amount of Performance Fee will be allocated to that Class of Units in the calculation of the Class Net Asset Value of that Class of Units. In calculating the Performance Fee for any Class of Non-Voting Units, any Trust Expenses (as defined above) will be deducted from the Total Return for the applicable class of Non-Voting Units. In calculating the High Water Mark for any class of Non-Voting Units, any Trust Expenses will be deducted from the Class Net Asset Value per Unit referred to in (ii) or (iii), as applicable, above. "**Total Return**" means the return generated on a Class of Units, including, but not limited to, income from distributions declared and taxes (current and deferred) allocated to a Partner, as well as the appreciation or depreciation in the Class Net Asset Value per Unit, over the calendar period, calculated on December 31st of each year after any deduction of any management fee or trailer fee payable by the Partnership to the Manager pursuant to the Management Agreement. If a Unit has not been outstanding for a full year at the time of calculation, the calculation of the Total Return of such Unit shall be annualized based on the number of days for which that Unit has been outstanding. See "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses – Performance Fee on the Units Offered".
Trailer Fee:	The Partnership pays to the Manager, who in turn pays to each registered dealer whose clients hold Class A Units a servicing fee (the "**Trailer Fee**") equal to 0.50% of the Class NAV per Unit in respect of the Units held by the registered dealer's clients (calculated and paid at the end of each calendar quarter), plus applicable taxes. The Partnership also pays to the Manager, who in turn pays to each registered dealer whose clients hold Class D Units a Trailer Fee equal to 1.00% of the Class NAV per Unit in respect of the Units held by the registered

	dealer's clients (calculated and paid at the end of each calendar quarter), plus applicable taxes. This Trailer Fee is reflected in the calculation of the Class NAV per Unit in respect of the Class A Units and the Class D Units. There are no trailer fees paid in respect of the Class F Units, the Class I Units, the Class J Units, the Class UF Units, the Class UJ Units, the Class A NV Units, the Class F NV Units the Class I NV Units or the Class J NV Units. See "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses – Trailer Fee".
Ongoing Expenses of the Partnership:	The Partnership pays for all ordinary expenses it incurs in connection with the Partnership's operation and management. In addition to the fees and expenses referenced elsewhere in this Confidential Offering Memorandum, these expenses include, without limitation: (a) any taxes payable by the Partnership; (b) costs and fees payable to any valuator, technical consultant, accountant or auditor or other third party service provider; (c) ongoing regulatory filing fees; (d) any expenses incurred in connection with investments; (e) any expenses incurred in connection with negotiating and settling co-investment, co-ownership, syndication or joint venture agreements on behalf of the Partnership; (f) any expenses incurred in connection with any legal proceedings in which the Manager participates on behalf of the Partnership or any other acts of the Manager or any other agent of the Partnership in connection with the maintenance or protection of the property of the Partnership, including without limitation costs associated with the enforcement of investments made in mortgage debt; (g) any fees payable to, and incurred by, the General Partner; (h) any additional fees payable to the Manager for performance of extraordinary services on behalf of the Partnership; and (i) consulting fees and expenses associated with the preparation of tax filings. The Partnership is also responsible for all taxes, commissions, brokerage commissions and other costs of real estate transactions, debt service and costs relating to any credit facilities and any extraordinary expenses which it may incur or which may be incurred on its behalf from time to time, as applicable. Such ordinary expenses are estimated to be approximately $2,726,000 per annum. See "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses - Ongoing Expenses".

ITEM 1 - USE OF AVAILABLE FUNDS

Capitalized terms used in this Confidential Offering Memorandum have defined meanings. Please refer to the "Glossary of Terms" at the end of this Confidential Offering Memorandum for a list and the meaning of defined terms used herein.

1.1 Funds

The net proceeds of the Offering and the total funds that are anticipated to be available to the Partnership immediately following the Closing are as follows:

		Assuming min. Offering[(1)]	**Assuming max. Offering[(2)]**
A.	Amount to be raised by this offering	$0	$200,000,000
B.	Selling commissions and fees[(3)]	$0	$0
C.	Estimated offering costs (e.g., legal, accounting, audit.) [(4)]	$150,000	$150,000
D.	Available funds: D = A - (B+C)	$(150,000)	$199,850,000
E.	Additional sources of funding required	nil	nil
F.	Working capital deficiency	nil	nil
G.	Total: G = (D+E) – F	$(150,000)	$199,850,000

Notes:

(1) There is no minimum amount of funds to be raised pursuant to the Offering.

(2) Although there is no maximum amount to be raised pursuant to this Offering, this number assumes an offering of $200,000,000 by the Partnership.

(3) No commission will be paid to dealers in respect of this Offering.

(4) The expenses of the Offering, including the costs of printing and preparing this Confidential Offering Memorandum, legal expenses, audit expenses, translations expenses, marketing expenses and certain other expenses incurred in connection with the Offering, and will be paid from the gross proceeds of the Offering.

1.2 Use of Available Funds

Description of intended use of available funds listed in order of priority	**Assuming min. Offering[(1)]**	**Assuming max. Offering[(2)]**
The Partnership will invest proceeds of the offering in accordance with the Investment Objectives (see 2.21 Investment Objectives)	$0	$199,850,000
Total: Equal to G in the Funds table above	$(150,000)	199,850,000

Notes:

(1) There is no minimum amount of funds to be raised pursuant to the Offering.

(2) Although there is no maximum amount to be raised pursuant to this Offering, this number assumes an offering of $200,000,000 by the Partnership.

1.3 Reallocation

The Partnership intends to utilize the available funds (net proceeds) as stated above, and the Partnership will reallocate funds only for sound business reasons as determined at the sole discretion of the General Partner.

ITEM 2 - BUSINESS OF THE PARTNERSHIP

2.1 Structure of the Partnership

2.1.1 The Partnership

Four Quadrant Global Real Estate Partners (formerly, Timbercreek Four Quadrant Global Real Estate Partners) (the "**Partnership**") is a limited partnership formed on September 22, 2011 under the *Limited Partnerships Act* (Ontario) in the Province of Ontario and governed by an amended and restated limited partnership agreement (the "**Limited Partnership Agreement**") dated November 6, 2020 (as amended from time to time) between Four Quadrant GP Inc. (formerly, Timbercreek Four Quadrant GP Inc.) as general partner of the Partnership (the "**General Partner**"), the limited partners identified therein, and each party who, from time to time, becomes a limited partner as a result of holding Units (each, a "**Unitholder**" or a "Limited Partner").

The Partnership may from time to time hold one or more investments made by it indirectly through various subsidiary entities (including, but not limited to, corporations, partnerships and/or limited partnerships) as determined appropriate by the General Partner. The General Partner may determine it appropriate to hold investments in this manner from time to time for various purposes, including those related to taxation matters.

2.1.2 General Partner

Four Quadrant GP Inc. (formerly, Timbercreek Four Quadrant GP Inc.) is the general partner of the Partnership. The General Partner was incorporated on September 21, 2011 under the laws of the Province of Ontario. Its head office is located at 1133 Yonge St, 4th Floor, Toronto, ON M4T 2Y7. The General Partner is responsible for certain aspects of the day-to-day administration of the Partnership as described in the Limited Partnership Agreement, including keeping the record of the Limited Partners and administering the DRIP.

The General Partner has exclusive authority to manage the operations and affairs of the Partnership, to make all decisions regarding the business of the Partnership, to bind the Partnership and to admit Unitholders into the Partnership in accordance with the Limited Partnership Agreement.

2.1.3 Manager of the Partnership

Hazelview Securities Inc. (formerly, Timbercreek Investment Management Inc.) is the manager (the "**Manager**") of the Partnership. The Manager was incorporated under the laws of the Province of Ontario on June 16, 2008. The head office, registered office and principal business address of the Manager is located at 1133 Yonge St, 4th Floor, Toronto, ON M4T 2Y7.

The Manager employs a value-oriented investment philosophy, and specializes in providing conservatively managed, risk-averse alternative asset class investment opportunities to investors. The Manager's broad platform provides exposure to a high volume of deal flow, and extensive contacts throughout the real estate industry, providing the Manager with a deep understanding of the marketplace and access to more information than single-focused market participants typically have. For over 20 years, the Manager, its affiliates, predecessors and related key principals have been focused on identifying opportunities to invest in cash-flow generating real estate at prices that are below the Manager's assessment of the long-term value of the underlying assets. These inefficiencies can be a result of sub-optimal structuring, sub-optimal capitalization or a misunderstood, fragment or out-of-favour asset class.

The current operating platform of the Manager coupled with its expertise as a real estate investor and asset manager is a major competitive advantage of the Partnership in seeking to achieve its objective to invest in direct real estate investment opportunities.

2.1.4 The Custodian

The Partnership has appointed CIBC Mellon Trust Company as custodian of the Partnership's assets pursuant to the Custodial Agreement between the Partnership and the Custodian. The Custodian is, among other things, in the business of providing professional custodial services. The head office of the Custodian is located in Toronto, Ontario. The Custodian may employ sub-custodians as considered appropriate in the circumstances.

2.1.5 Valuation Agent

SGGG Fund Services Inc. is the valuation agent for the Partnership and is responsible for providing administration services to the Partnership, including fund valuation and financial reporting services. SGGG Fund Services Inc. is responsible for providing valuation services to the Partnership and calculates the NAV and Class NAV per Unit pursuant to the terms of a separate fund administration agreement. See "Item 2.7.1 – Limited Partnership Agreement - Calculation of Net Asset Value".

2.1.6 Administrator

SGGG Fund Services Inc. is the administrator for the Partnership (the "**Administrator**") and is responsible for providing administration services to the Partnership, including record keeping, register management, Unit transaction and similar services as may be provided to the Partnership by the Administrator or by such other party as may be retained from time to time by the Partnership.

2.1.7 Transfer Agent and Registrar

The General Partner is acting as the transfer agent and registrar for the Partnership and will maintain the register of the Units at its head office.

2.2 Our Business

2.2.1 Partnership Objectives

The Partnership was formed for the purpose of constructing, on a discretionary basis, a globally diversified, actively managed portfolio of real estate investments in accordance with the investment objectives of the Partnership, which are to:

(a) maximize total returns for Unitholders, consisting of income and capital appreciation; and

(b) provide Unitholders with regular distributions;

by selecting, purchasing and actively managing diversified real estate related assets and investments, including but not limited to direct interests in real estate, mortgages and other real estate related debts and investments (the "**Portfolio**").

2.2.2 Partnership Investment Strategies

The Partnership Investment Overview

The Partnership seeks to accomplish its investment objectives by being mindful of preserving capital and:

(a) investing across the capital structure of equity and debt instruments in order to combine the inflation-hedged benefits of real estate equity with the stability of consistent, yield-generating real estate debt;

(b) investing in both public and private vehicles to optimize liquidity while minimizing volatility in the underlying investments; and

(c) adhering to a value-based investment philosophy that mandates investing at prices that do not reflect the long-term value of the underlying assets.

The Partnership invests in equity and debt backed by real estate across all property types which may from time to time include residential, office, industrial, retail, health-care, hotels, and self-storage. The investments are located and/or listed in the industrialized countries of the world such as the United States, Canada, New Zealand, Australia, Singapore, Japan, Hong Kong, Western Europe and the United Kingdom. In conjunction with the focus on global investment opportunities, the Partnership may invest directly or indirectly through other investment entities managed by the Manager to the extent that the Manager can achieve structural or tax efficiencies for the Partnership, provided that any such investment structure will not allow for the duplication of management or incentive fees payable to the Manager.

The Partnership has a strategy of investing in private equity, private debt, public equity and public debt in order to seek to achieve a good balance between optimizing liquidity and minimizing volatility as well as achieving growth and generating yield in its portfolio of investments. The current target allocations of the Partnership are shown below:

	GROWTH	YIELD
STABLE	**Private equity** • 20% to 50% allocation to private investments in operating companies or through joint-venture opportunities and direct ownership	**Private Debt** • 20% to 40% allocation to private, senior and subordinate debt secured by real estate
LIQUID	**Public Equity** • 10% to 30% allocation to common equity of publicly traded real estate investment trusts ("**REITs**") and other publicly listed real estate companies	**Public Debt** • 10% to 30% allocation to publicly traded debt instruments including preferred shares, convertible debentures, corporate bonds, mortgage investment corporations and mortgage REITs

Investment Strategy

The Manager believes that its ability to invest throughout the capital stack – common equity, preferred equity, mezzanine debt, and debt – and through both privately or publicly held vehicles, allows the Partnership to best capitalize on market opportunities and pricing inefficiencies. This strategy is also intended to reduce volatility and provide liquidity.

Private Equity:

The Partnership invests in real estate directly or in privately-held companies that predominantly own real estate. The Manager targets core, value-add, and opportunistic real estate opportunities and real estate companies through various strategies classified as follows:

Asset Repositioning - Investments in assets where significant renovations are required to improve the competitiveness of the asset which is expected to lead to one or more of: higher rents, lower operating costs, lower cap rate and ultimately higher value.

Lease-Up - Investments in assets with in-place or upcoming vacancy where value can be added by repositioning and releasing the asset.

Development - Investments in ground up developments with established and reputable, sponsors in liquid markets with attractive fundamentals.

Distressed - Investments in assets experiencing problems as a result of an over-levered capital structure or mismanagement at the property level.

Growth equity - Investment in an asset or company that provides the existing owner with the capital needed for acquisitions, development and/renovations.

When analyzing private equity investments for the Partnership, the Manager focuses on investments where it believes value can be created based on improvements to net operating income and which is not dependent on improvements in market valuations to drive the value of the investment.

Private Debt:

The Partnership invests in debt collateralized by real estate directly or issued by companies that primarily own real estate. Similar to the strategy of public debt investments as described below, the Manager targets opportunities where the investment's yield is greater than the Manager's assessment of risk of the investment. The Manager believes that it can earn attractive risk-adjusted returns by issuing unconventional loans in areas where conventional providers of financing - banks, insurance companies or pension funds – are not actively lending. Unconventional loans are typically characterized as loans having terms of between three months and five years, principal balances of less than fifteen million dollars, interest only structures and the flexibility to repay the loan at any time. The Manager believes there are many niche markets where one can earn attractive risk-adjusted returns by issuing and investing in private debt as a result of the reduced appetite of banks to make loans and the disappearance of other sources of capital as a result of the global financial crisis. The Manager also believes that these mortgage investments are attractive due to the fact that the shorter duration of the loans helps to protect the Partnership in a rising interest rate environment.

Public Equity:

The Partnership invests in the common equity of publicly traded issuers backed by real estate, including REITs and other publicly listed real estate companies.

The Manager believes that public securities contain numerous beneficial characteristics that enhance the Partnership. The Partnership from time to time invests in REITs and other issuers of real estate securities listed in the developed countries of the world such as United States, Canada, Australia, Japan, New Zealand, Singapore, Hong Kong, Western Europe, and the United Kingdom. The economies' of each of these countries and their underlying real estate markets are driven by different factors, resulting in the performance of the real estate securities in one market to having a low correlation to the performance of the real estate securities in another market.

Many REITs and other issuers of real estate securities located in developed markets besides Canada own "trophy" assets in highly desirable submarkets that rarely trade in the private market. By investing in REITs and other issuers of real estate securities, the Partnership has the ability to gain economic exposure to these underlying assets.

The Manager selects these investments using a total rate of return framework, which includes buying investments classified as follows:

Core Investments - Investments in issuers that own high-quality assets in supply constrained markets and where the bulk of the investment's return is expected to come through growth in the company's underlying income stream as well as capital appreciation.

Income Investments - Investments in issuers that own secondary real estate but having secure cash flow streams and where the bulk of the investment's return is expected to be generated through current income.

Opportunistic- Investments in issuers trading at discounted valuations as a result of issuer specific issues or market turmoil and where catalysts exist that could change the security's pricing paradigm.

Public Debt:

The Partnership also invests in the preferred stock, unsecured debt, and convertible debentures issued by publicly traded issuers whose assets primarily consist of real estate, including REITs and other publicly listed real estate companies, as well as the common equity and preferred equity of mortgage REITs. These securities are typically structured to yield a stable and consistent coupon. Additionally, the security is usually collateralized directly or indirectly by real estate and the borrower is bound by a set of covenants. The Manager targets opportunities where the security's yield is greater than the Manager's assessment of risk of the investment. These pricing inefficiencies occur in the market because the primary buyer of the securities has a different cost of capital than others in the financial system, an existing group of investors in a security may exit the marketplace, the type and/or structure of the security is new and not properly understood by market participants, or the structure and/or size of the investment prevents other market participants from investing in the security.

As such, the Partnership targets those securities that it believes to be inefficiently priced relative to the inherent credit risk and interest rate risks. The Manager is also selective in its entry into these securities depending on the interest rate environment in any given market. The Manager believes that when securities are inefficiently priced the Partnership could be in a position to capitalize on outsized returns.

2.2.3 Active Management

With the belief that attractive investment returns are achieved by being an active manager, since 1999 the Manager and its affiliates and predecessors have focused on building a full-service asset management platform focused on identifying real estate investment opportunities that fit a value-oriented investment philosophy, and that benefits from an active management style. The Manager actively manages the Portfolio pursuant to the investment guidelines and policies established from time to time by the Manager that are consistent with the investment objectives, strategy and restrictions of the Partnership. See "Item 2.2.1 – Partnership Objectives" and "Item 2.2.2 – Partnership Investment Strategies".

Active management includes, but is not limited to:

- searching for premiere real estate in prime locations in the world's top international cities;
- dissecting income streams of companies to avoid those exposed to large amounts of development, funds management, non-real estate investments and other activities that reduce the stability of the income stream;
- searching for attractively priced alternatives to invest in across the capital structure;
- monitoring the cyclical and secular trends in local markets to determine where to allocate capital in order to maximize total return; and
- selling assets that have attained their fair market value and reinvesting proceeds into other areas.

2.2.4 Risk Management

The Partnership manages risk and minimizes volatility by:

- building a diversified Portfolio comprised of private equity in real estate operating companies and real estate assets, private secured loans to real estate investors and real estate companies, and public equity and debt securities including common shares, trust units, preferred shares and convertible debentures in REITs, other publicly listed real estate companies and mortgage investment corporations in major markets around the world;
- investing in securities across the capital structure of equity and debt instruments including corporate debt, preferred shares, mortgages, common equity/trust units and convertible debentures that have low correlations relative to one another;
- employing a global investment and analytical team with people on the ground in Australia (which includes coverage of countries in the Pacific Rim), Europe and North America to closely monitor local market conditions and identify investment opportunities in each region; and
- actively managing the Portfolio, including continuously reviewing the global investment strategy and actively searching for opportunities across the capital structure.

The Manager believes that this approach reduces the overall volatility of the Partnership. The price of debt and equity react differently to economic events and interest rates, different asset classes have different lease lengths and demand elasticity, and individual markets are primarily influenced by local supply and demand dynamics. These factors assist the Manager in constructing a portfolio with investments having low correlations to each other, thereby assisting to reduce the volatility of the Partnership.

In respect of allocation of assets to publicly traded securities (debt and equity), the Manager has set the Partnership's targeted range at 20-60% of total assets, and expects that, on average, the allocation will be approximately 35%. Although public securities typically exhibit greater volatility than private investments, they also possess a greater liquidity. This characteristic should allow the Manager to satisfy any redemption requests and reduce the risk of being forced to quickly sell an illiquid asset at an unfavorable price, which, in the opinion of the Manager, improves the performance of the Partnership over the long-term.

2.2.5 Use of Derivatives

The Partnership may invest in or use derivative instruments, other than commodity derivatives, for hedging purposes consistent with its investment objectives and investment strategy and subject to its investment restrictions. For example, the Partnership may use derivatives, including foreign exchange hedges, with the intention of offsetting or reducing risks associated with an investment or group of investments. No assurance can be given that the Partnership will be hedged from any particular risk from time to time.

2.2.6 Foreign Currency Hedging

The Partnership is exposed to a number of foreign currencies. The Manager takes currency exposure into account in managing the Portfolio and will look to hedge certain currency exposures when the cost benefit analysis is attractive for the fund. The cost/benefit analysis includes looking at the historical trading range of the currency, macro risks, sensitivity of currency to the specific investment or exposure and the cost of purchasing a hedge. The Partnership is not required to engage in any such hedging activities.

2.2.7 Leverage

The Partnership may utilize various forms of leverage including a loan facility with a Canadian chartered bank or a prime brokerage facility and margin purchases that allow the Partnership to borrow funds from time to time that the Manager determines appropriate. In connection with such borrowing, the Partnership may grant security over the assets of the Partnership. The aggregate amount of borrowing by the Partnership may not exceed 40% of the Total Assets at the time of borrowing. In the event that the borrowing exceeds 40% of Total Assets, the Manager takes reasonable measures to reduce the total borrowings such that it is below 40% of the Total Assets of the Partnership, provided that the foregoing 40% threshold does not apply to mortgage debts on properties acquired by the Partnership.

On November 16, 2018, the Partnership entered into the TD Credit Agreement (as amended on December 18, 2018 and on March 31, 2020) under which the Partnership is permitted to borrow up to $100 million on a revolving basis. A summary of the provisions of the TD Credit Agreement is contained under the heading "Item 2.7.3 – TD Credit Agreement", which is qualified in its entirety by reference to the actual text of the TD Credit Agreement. A copy of the TD Credit Agreement may be inspected during business hours at the principal office of the Partnership during the course of distribution of the Units offered hereby.

2.2.8 Securities Lending

In order to generate additional returns, the Partnership may lend Portfolio securities to securities borrowers acceptable to the Partnership pursuant to the terms of a securities lending agreement between the Partnership and any such borrower under which: (i) the borrower will pay to the Partnership a negotiated securities lending fee and will make compensation payments to the Partnership equal to any distributions received by the borrower on the securities borrowed; (ii) the securities loans must qualify as "securities lending arrangements" for the purposes of the Tax Act; and (iii) the Partnership will receive collateral security. If a securities lending agent is appointed for the Partnership, such agent will be responsible for the ongoing administration of the securities loans, including the obligation to mark-to-market the collateral on a daily basis.

2.2.9 Short Selling

The Partnership may from time to time engage in short selling of securities included in the Portfolio, as permitted by securities laws, and may do so as a complement to the Partnership's investment strategy in circumstances where the Manager expects that the securities of an issuer will decrease in market value. In addition, the Partnership may also engage in pairs trading of two historically correlated securities. For example, when the correlation between the two securities temporarily weakens (i.e., one stock moves up while the other moves down), the Partnership may

engage in a pairs trade where it would sell short the outperforming stock and take a long position in the underperforming one, on the expectation that the "spread" between the two would eventually converge.

2.3 Development of the Business

The Partnership was formed on September 22, 2011. The Partnership was formed for the purpose of constructing a globally diversified, actively managed portfolio of real estate investments that have, among other things, demonstrated an ability to generate sustainable cash flow.

From inception through March 31, 2020, the Partnership has raised and deployed over $1.2 billion in capital pursuant to this strategy and has generated a since inception return, net of all fees and expenses, of 8.64%.

2.4 Long Term Objectives

The long term objectives of the Partnership are to achieve income generation from the Portfolio. In order to achieve its objectives, the Partnership must successfully raise capital through the Offering and the sale of Non-Voting Units to the Commercial Trust and, indirectly, to the Trust.

The Partnership was formed on September 22, 2011 for the purpose of constructing a globally diversified, actively managed portfolio of real estate investments in order to maximize total returns for Unitholders and provide Unitholders with a regular distribution. The Partnership strives to achieve this by investing in real estate equity and debt both publicly and privately in accordance with the target allocations described above. . See "Item 2.2.2 – Partnership Investment Strategies – The Partnership Investment Overview".

In the two most recently completed financial years, the Partnership has maintained allocations within each of the quadrants as follows:

	Private Equity	Private Debt	Public Equity	Public Debt	Cash
December 31, 2018	38.3%	30.7%	18.8%	9.9%	2.3%
December 31, 2019	29.9%	26.1%	19.6%	12.6%	11.8%

In each of the two most recently completed financial years, the Partnership has achieved the following net return:

2019: 11.33% (inclusive of a 5% yield)

2018: 8.51% (inclusive of a 5% yield)

2.5 Short Term Objectives

The primary objectives of the Partnership for the ensuing 12 months are to (i) continue to acquire capital through the Offering; and (ii) invest the proceeds of the Offering in the Portfolio.

What we must do and how we will do it	Target completion date or, if not known, number of months to complete	Our cost to complete
Acquire capital through the Offering and invest into the Portfolio	12 months	nil

2.6 Insufficient Funds

The Manager anticipates that the funds available as a result of the Offering will be sufficient to accomplish all of the Partnership's proposed objectives.

2.7 Material Contracts

2.7.1 Limited Partnership Agreement

The rights and obligations of Limited Partners (including the Commercial Trust) are governed by the Limited Partnership Agreement. A copy of the Limited Partnership Agreement may be inspected during business hours at the principal office of the Partnership during the course of distribution of the Units offered hereby.

The following is a summary only of certain provisions in the Limited Partnership Agreement which, together with other summaries of additional terms of the Limited Partnership Agreement appearing elsewhere in this Confidential Offering Memorandum, are qualified in their entirety by reference to the actual text of the Limited Partnership Agreement, a review of which is recommended to Investors.

Description of the Units

Each Unitholder is entitled to one vote for each Voting Unit held. Subject to the provisions of the Limited Partnership Agreement, each Unit shall entitle the holder thereof to participate pro rata with respect to all distributions of the same Class, and, upon liquidation of the Partnership to participate pro rata with the Unitholders of the same Class in the Class Net Asset Value of the Partnership remaining after the satisfaction of outstanding debts, liabilities and liquidation or termination expenses of the Partnership. Distributions are allocated among each Class of Units in such manner and at such times as the General Partner considers appropriate and equitable. Eligible Holders have the right to participate in the DRIP of the Partnership. See "Item 5.1.2 - Distribution Reinvestment Plan". Unitholders have the right to redeem the Units as set out in this Confidential Offering Memorandum. See "Item 2.7.1 – Limited Partnership Agreement – Quarterly Redemptions". Holders of any Class of Voting Units have the right to elect to reclassify such Units into other Classes of Voting Units. See "Item 2.7.1 – Limited Partnership Agreement - Reclassification of Units". Unitholders have no voting rights in respect of securities held by the Partnership. The distinguishing characteristic of each Class of Units relates to the different fee structure applicable to such Class. See "Item 2.7.1 - Limited Partnership Agreement – Calculation of Net Asset Value - Class Net Asset Value per Unit" and "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses". Units may not be transferred except in conformity with applicable securities laws relating to resale of securities and only if the prior written consent of the General Partner has been obtained and the transfer is in accordance with the provisions of the Limited Partnership Agreement.

Issuance of Units

The General Partner may, at any time without the approval of the Unitholders, raise capital for the Partnership by issuing and selling Units, on a private placement basis (including, without limitation, through the DRIP) or by way of public offering (including an initial public offering) and may determine the terms and conditions of any such issuance and sale and may do all things in that regard including, without limitation, preparing and filing a preliminary prospectus, a prospectus or offering memorandum, and such other documents as may be necessary or advisable, paying the expenses of the offering and sale of Units and entering into agreements with any person providing for a commission or fee in respect of such sale, either to underwriters, agents or purchasers, all in a manner that is not inconsistent with the provisions of any prospectus, offering memorandum or relevant offering documents and provided that the General Partner has complied with applicable securities laws and has acted in good faith and in the best interest of the Partnership in accordance with the Limited Partnership Agreement. See "Item 8 - Risk Factors – Dilution".

Quarterly Redemptions

Limited Partners will have the right to redeem Units on the last business day in March, June, September and December of each year (each, a "**Quarterly Redemption Date**") at a redemption price per Unit equal to Class Net Asset Value per Unit as determined pursuant to the Limited Partnership Agreement on a Quarterly Redemption Date.

Exercise of Redemption Privileges

Units must be surrendered for the quarterly redemption together with a redemption notice submitted by the Limited Partner to the General Partner or by electronic notice if settling through the Fundserv system at least 30 days prior to the applicable Quarterly Redemption Date. Payment of redemption proceeds are made within 60 days following the applicable Quarterly Redemption Date. Payment of the redemption proceeds may be made using the

Fundserv network. Redemption proceed payable in respect of Class UF Units and Class UJ Units will be calculated in Canadian dollar but paid in U.S. dollars. See "Item 5.2 – Subscription Procedure".

Limitation and Suspension of Redemptions

The Partnership shall not accept for redemption on any Quarterly Redemption Date, Units representing more than 5% of the average number of Units of each Class outstanding for the 90-day period immediately preceding the applicable Quarterly Redemption Date; provided, however, that any Special Redemption Units to be redeemed pursuant to the Limited Partnership Agreement shall not be included for purposes of determining whether the foregoing limits are exceeded. In the event that the number of Units of each Class tendered for redemption in respect of a Quarterly Redemption Date exceeds the limits set forth above, the Partnership shall redeem such Units tendered for redemption and not withdrawn or revoked, on a *pro rata* basis.

Notwithstanding the foregoing limitations on redemption, the General Partner may, in its sole discretion, waive the above limitations in respect of all Units tendered for redemption in respect of any one or more Quarterly Redemption Dates.

In addition, for any period not exceeding 120 days during which the General Partner determines that conditions exist which render impractical the sale of assets comprising the Portfolio or which impair the ability of the General Partner to determine the value of the assets of the Partnership, the Partnership may suspend redemptions of its Units. The suspension may apply to all requests for redemption received prior to the suspension but as to which payment has not been made, as well as to all requests received while the suspension is in effect. All Limited Partners making such requests shall be advised by the General Partner of the suspension and that the redemption will be effected at a price determined on the next Quarterly Redemption Date, as applicable, following the termination of the suspension or such other date as the General Partner may determine upon the conditions giving rise to such suspension having ceased to exist or no longer being applicable. All such Limited Partners shall have and shall be advised that they have the right to withdraw their requests for redemption. The suspension shall terminate in any event on the first day on which the condition giving rise to the suspension has ceased to exist provided that no other condition under which a suspension is authorized then exists. To the extent not inconsistent with the rules and regulations promulgated by any governmental body having jurisdiction over the Partnership, any declaration of suspension made by the General Partner shall be conclusive.

Special Redemption Rights

Holders of any Class of Voting Units will have the right, at their option and at any time but subject to applicable law and the terms and conditions of the Limited Partnership Agreement, to submit a written request to the General Partner (a "**Special Redemption Request**") requesting that all or any part of the then outstanding Voting Units registered in the name of such Unitholder (the "**Special Redemption Units**") be redeemed by the Partnership (a "**Special Redemption**") in consideration for Trust Units. Upon receipt of a Special Redemption Request, if the General Partner in its sole discretion determines that such Special Redemption Request may be processed and fulfilled in compliance with and pursuant to all applicable laws and provisions under the Limited Partnership Agreement and the Declaration of Trust, as consideration for the Special Redemption Units, the Partnership shall deliver to such Unitholder the number of corresponding class of units of the Trust (the "**Consideration Units**") as determined by multiplying the number of Special Redemption Units by the number determined by dividing (i) the Class Net Asset Value per Unit of the Special Redemption Units being redeemed by (ii) the Class Net Asset Value per Trust Unit of the Trust Units to be delivered to the holder upon completion of such Special Redemption, in each case as of the last Business Day of the month in which a Special Redemption Request was received by the General Partner.

On the first business day following the month in which a Special Redemption Request is received by the General Partner, in accordance with and subject to the terms of the Trust Subscription Agreement: (i) the Trust shall subscribe for the number and class of units of the Commercial Trust as is equal to the number and class of Consideration Units, and shall satisfy the subscription price for such units of the Commercial Trust through the issuance and delivery to the Commercial Trust of the Consideration Units; (ii) the Commercial Trust shall subscribe for the number and corresponding class of Non-Voting Units that is equal to the number and Class of Special Redemption Units, and shall satisfy the purchase price for such Non-Voting Units through the transfer to the Partnership of the Consideration Units which the Commercial Trust acquired pursuant to (i) above; and the Partnership shall redeem the Special Redemption Units and shall satisfy the redemption price for such Special Redemption Units through the transfer to the holder of the Consideration Units which the Partnership received pursuant to (ii) above.

As a condition to the completion of a Special Redemption, a Unitholder submitting a Special Redemption Request shall execute and deliver such additional documents or instruments as may, in the opinion of the General Partner, be reasonably required in order to ensure that the issuance of the Consideration Units to the Unitholder complies with applicable Canadian securities laws and the terms and conditions of the Limited Partnership Agreement, including but not limited to any forms or documents required by the Trust to confirm that the holder to whom the Consideration Units will be transferred upon a Special Redemption is an "accredited investor", if applicable, as defined under applicable Canadian securities laws.

Reclassification of Units

Holders of any Class of Voting Units have the right (a "**Reclassification Right**"), at their option and from time to time but subject to applicable law and the terms and provisions of the Limited Partnership Agreement, to reclassify all or any part of the then outstanding Voting Units registered in the name of such holder into such number of another Class of Voting Units determined by multiplying the number of Voting Units being reclassified by the percentage determined by dividing (i) the Class Net Asset Value per Unit of the Voting Unit being reclassified by (ii) the Class Net Asset Value per Unit of the Voting Unit held following such reclassification.

The Limited Partnership Agreement also provides certain other Classes of Units not offered by this Offering Memorandum with Reclassification Rights. For details on such Reclassification Rights, please see the Limited Partnership Agreement.

Holders who are entitled to exercise their Reclassification Right may do so by providing the General Partner with a notice (the "**Reclassification Request**") in writing or through the mechanisms of Fundserv specifying (i) that such Unitholder would like to exercise its Reclassification Right; (ii) the number of Voting Units such holder desires to reclassify; and, if applicable, (iii) the Class or Classes of Voting Units such holder desires to hold following such reclassification (the "**Requested Class**"). Subject to the holder meeting the investment eligibility criteria for the Requested Class(es) as in place at the date of the Reclassification Request and having complied with the terms of the Limited Partnership Agreement, as determined by the General Partner in its sole discretion, such reclassification shall be deemed to have occurred on open of business on the first Business Day of the month following receipt of the Reclassification Request by the General Partner and as soon as practical thereafter the General Partner will deliver or cause to be delivered to such holder a statement of account showing the number of and Classes of Units held by such holder following the reclassification.

The Partnership is not required to reclassify any Unit if, in the reasonable opinion of counsel of the Partnership, it cannot complete the reclassification in compliance with applicable laws or may become subject to any tax as a result of such reclassification or the delivery of any Units upon such reclassification. The holder of any Voting Unit exercising a Reclassification Right will be responsible for any taxes to which the Partnership becomes subject as a result of such reclassification or the delivery of any Voting Units upon such reclassification.

The General Partner will have the right, at its option and in its sole discretion, but subject to applicable law and the terms and conditions of the Limited Partnership Agreement, to reclassify all or any part of the then outstanding Voting Units registered in the name of any Unitholder if (i) such Unitholder at any time ceases to satisfy the investment eligibility criteria for a Class of Voting Units that was in place at the time the Unitholder first acquired Voting Units of such Class, or (ii) if such Unitholder at any time becomes qualified under the investment eligibility criteria for a Class of Voting Units with more favourable terms that the original class subscribed for by such Unitholder. If the General Partner exercises its right to reclassify such Voting Units, such Voting Units will be reclassified into such number of Voting Units of a different Class as determined by multiplying the number of Voting Units being reclassified by the percentage determined by dividing (i) the Class Net Asset Value per Unit of the Voting Unit being reclassified by (ii) the Class Net Asset Value per Unit of the Voting Unit held following such reclassification. If the General Partner is entitled to exercise its right to reclassify Voting Unit it will provide the Unitholder with a notice (a "**Mandatory Reclassification Notice**"), either in writing or through the mechanisms of Fundserv specifying (i) that the General Partner is exercising its right to require such reclassification; (ii) the number of Voting Units being reclassified; and (iii) the Class of Voting Units such holder will hold following such reclassification. Such reclassification shall be deemed to have occurred on the open of the first business day of the month following delivery of the Mandatory Reclassification Notice by the General Partner and, as soon as practicable thereafter, the General Partner will deliver or cause to be delivered to such Unitholder a statement of account showing the number of and Classes of Voting Units held by such Unitholder following the reclassification.

In addition, the General Partner may reclassify all or any part of the Non-Voting Units held by the Commercial Trust (or the Trust, whichever is applicable) into a different Class of Non-Voting Units, upon request of the Commercial Trust (or the Trust, whichever is applicable) or as the General Partner otherwise determines is necessary or desirable in order to ensure that the number and Classes of Non-Voting Units held by the Commercial Trust (or the Trust, whichever is applicable) conform to the corresponding number and classes of units of the Trust that are outstanding from time to time.

Amendments to Units

Unless otherwise permitted under the Limited Partnership Agreement, amendments to the terms of the Units must be approved by the applicable Unitholders of the Partnership in accordance with applicable laws and as set forth under "Item 2.7.1 – Limited Partnership Agreement - Matters Requiring Unitholder Approval".

Meetings of Unitholders

A meeting of the Unitholders may be called at any time by the General Partner and shall be called by the General Partner upon written request of the Unitholders holding in the aggregate not less than 30% of the Voting Units then outstanding, which request must specify the purpose or purposes for which such meeting is to be called. Notice of any meeting of the Unitholders will be given by the General Partner to each Unitholder. The notice will be delivered pursuant to the Limited Partnership Agreement at least 15 business days and not more than 40 business days prior to the meeting and will specify the time and place of the meeting and, in reasonable detail, the nature of all business to be transacted.

Matters Requiring Unitholder Approval

Unless otherwise required by the Limited Partnership Agreement or by law, every question submitted to a meeting of the Unitholders will require the approval by resolution passed by more than 50% of the votes cast by holders of Voting Units voting as a single Class thereon. Each Voting Unit will have one vote. If required by applicable law or if the General Partner determines that any matter would affect Unitholders holding one or more particular Class of Voting Units of the Partnership in a manner materially different from the Unitholders as a whole of the Partnership, the General Partner shall convene separate meetings of Unitholders of that Class. The meetings may be held concurrently and the Unitholders entitled to vote at such meeting shall be entitled to vote separately as a Class with respect to those matters.

In addition to the foregoing, unless otherwise required by law, the following acts require the approval of holders of Voting Units at a meeting called and held for such purpose. Each Voting Unit will have one vote at such a meeting. Items (a) through (i) require approval by an Extraordinary Resolution:

(a) waive any default on the part of the General Partner on such terms as they may determine and release the General Partner from any claims in respect thereof;

(b) dissolve the Partnership;

(c) amend the investment objectives of the Partnership in any material respect;

(d) approve an amendment to the Management Agreement increasing the fees payable to the Manager thereunder;

(e) approve any amendment to the Limited Partnership Agreement (except as described below), including without limitation, to change the nature of the business permitted to be carried on by the Partnership or the investment restrictions;

(f) remove and replace the General Partner;

(g) approve a reorganization in respect of or pertaining to the Partnership, the assets of the Partnership, the interests in the Partnership or the Units as proposed by the General Partner in connection with an initial public offering and all other transactions related thereto or to give effect to such reorganization or to facilitate the successful completion of the initial public offering and any

amendments to the Limited Partnership Agreement relating to the foregoing, provided that, in each case, there is no material adverse on any of the Unitholders;

(h) approve the sale, lease, transfer or other disposition of all or substantially all of the assets of the Partnership; and

(i) amend or repeal any Extraordinary Resolution.

At a meeting of Unitholders, a quorum (except for the purpose of passing an Extraordinary Resolution to remove the General Partner) constitutes 10% of the outstanding Voting Units, represented by the General Partner and two or more Limited Partners entitled to vote and who are present in person or by proxy at such meeting. If no quorum is present at such meeting within 30 minutes of the time called for such meeting, if called on the requisition of a Unitholder, the meeting will be terminated and otherwise will be adjourned to be held on the day that is no less than 10 or more than 21 days after the original meeting, at a time and place determined by the General Partner. At the reconvening of any adjourned meeting the Unitholders entitled to vote and then present in person or represented by proxy will form the necessary quorum.

Consent on Fundamental Matters

Holders of Non-Voting Units shall not be entitled to receive notice of any meeting of the Partners and shall not be entitled to vote on any matter considered at any such meeting.

However, the Limited Partnership Agreement provides that if the number of Non-Voting Units exceeds 50% of the total number of Units outstanding from time to time, the following powers will only be exercisable if the written consent of the Commercial Trust (or the Trust, whichever is applicable) has been obtained (the "**Fundamental Matter Consent**"), in addition to any other approvals required under the Limited Partnership Agreement including, without limitation, the approval by Extraordinary Resolution of the holders of Voting Units:

(a) waive any default on the part of the General Partner on such terms as they may determine and release the General Partner from any claims in respect thereof;

(b) dissolve the Partnership, except as otherwise provided in the Limited Partnership Agreement;

(c) approve an amendment to the Management Agreement increasing the fees payable to the Manager thereunder;

(d) approve any amendment to the Limited Partnership Agreement (except as described below), including without limitation, to change the nature of the business permitted to be carried on by the Partnership or the investment restrictions; and

(e) remove and replace the General Partner.

Amendments to the Limited Partnership Agreement

The Limited Partnership Agreement may only be amended in writing and with the consent of the Unitholders given by Extraordinary Resolution and, where applicable, with the consent of the Commercial Trust (or the Trust, whichever is applicable) pursuant to the Fundamental Matter Consent. Notwithstanding the foregoing, the following amendments may only be made with the unanimous consent of the Partners:

(a) any amendment of the provisions relating to the amendment of the Limited Partnership Agreement (including the provisions set out under "Amendments to the Limited Partnership Agreement" below); and

(b) any amendment that gives any person the right to dissolve the Partnership, other than the General Partner's right to dissolve the Partnership with the approval of the Unitholders by an Extraordinary Resolution.

The General Partner may, without the approval of or notice to the Unitholders, amend the Limited Partnership Agreement for the following purposes:

(a) for the purpose of adding to the Limited Partnership Agreement any further covenants, restrictions, deletions or provisions which, in the opinion of counsel to the Partnership, are necessary for the protection of the Unitholders;

(b) to cure an ambiguity or to correct or supplement any provision contained therein, which in the opinion of counsel to the Partnership, may be defective or inconsistent with any other provision contained therein, provided that such cure, correction or supplemental provision does not and will not, in the opinion of such counsel, adversely affect the interest of the Unitholders;

(c) to make such other provisions in regard to matters or questions arising under the Limited Partnership Agreement which, in the opinion of the General Partner, does not and will not adversely affect the interests of the Unitholders;

(d) to insert or amend existing provisions as may be required by the lenders to the Partnership provided such amendments do not change the proportionate interest of any Unitholders in the Partnership and provided such amendments do not impose a direct obligation on any Unitholders to contribute further capital to the Partnership or to give further security or assume further liabilities;

(e) for the purpose of giving effect to an Ordinary Resolution, an Extraordinary Resolution or the unanimous consent of the Partners;

(f) to bring the Limited Partnership Agreement into conformity with (i) applicable laws, rules and policies of Canadian securities regulators or (ii) current practice within the securities or investment fund industries, provided that any amendment contemplated by (ii) does not adversely affect the pecuniary value of the interests of the Unitholders;

(g) create additional Classes of Units;

(h) to change the registered office of the Partnership;

(i) to change the name of the Partnership; or

(j) to redesignate any class of Units to a different class, provided that there is no right to change the rights of such redesignated class.

The General Partner will give the Unitholders details of any such amendment to the Limited Partnership Agreement within 30 days after the effective date of the amendment.

Distributions

The manner and timing of such distributions are in the sole discretion of the General Partner. Any amount withheld by the General Partner and paid over to a taxing authority is treated as actually distributed to the Partner in respect of whom such withholding and payment was made.

The net Income and net Loss of the Partnership for each financial year is allocated among the Partners as follows:

(a) the General Partner is entitled to 0.01% of the net Income of the Partnership; and

(b) the balance of the net Income or 100% of any net Loss of the Partnership is allocated among the Limited Partners of each Class of record at the end of the financial year in proportion to the amount of all distributions, if any, received by such Limited Partners during such financial year, or if no distributions are received by any Limited Partners during such financial year, in proportion to the equity attributable to each Class as determined by the General Partner acting in good faith and then within a Class, in proportion to the number of Units of each such Class held by each of them.

The Partnership will make such filings in respect of such allocations as are required by the Tax Act.

Unless determined otherwise by the General Partner in its sole discretion, after payment and reservation of all amounts necessary for payment of all expenses and commitments or anticipated commitments of the Partnership (including all amounts owing by the Partnership under the Management Agreement or any credit facilities or other loans or borrowings of the Partnership) and reservation of such amounts as in the opinion of the General Partner are necessary having regard to the then current and anticipated resources of the Partnership and its commitments and anticipated commitments, distributions of cash, assets or property of the Partnership (whether resulting from revenue or income earned by the Partnership or from the proceeds of sale of all or any part of the assets of the Partnership) will be made, at the sole discretion of the General Partner, to the Partners as follows:

(a) General Partner – the General Partner receives, in its capacity as general partner, 0.01% of such distributions; and

(b) Limited Partners – the balance of such distributions are made to the Limited Partners of each Class of Units of record on the record date established by the General Partner for the distribution (including, if applicable, the General Partner in its capacity as a Limited Partner) in proportion to the equity attributable to each Class as determined by the General Partner acting in good faith and then within a Class, in proportion to the number of Units of each such Class held by each of them.

The General Partner is not required to make all or any part of a distribution to a Unitholder who the General Partner reasonably believes is a Non-Resident without having first received a legal opinion satisfactory to the General Partner that a distribution to the Unitholder does not adversely affect the Partnership or any of the Partners other than that Unitholder. A distribution so withheld is accumulated and held by the Partnership until arrangements satisfactory to the General Partner have been made by the Unitholder. The General Partner is entitled to apply any part of the distribution (liquidating any part of the distribution if the General Partner deems it appropriate to do so) and any income arising from the investment thereof toward the payment of any amount on account of any tax exigible or required to be remitted by the Partnership in connection with the distribution or the Units in respect of which the distribution was made.

No Partner has any right to withdraw any amount or receive any distribution from the Partnership except as expressly provided for in the Limited Partnership Agreement and as permitted by law.

No Partner has the right to receive interest on any balance in any capital account or current account maintained by the General Partner on the books of the Partnership for such Partner.

There can be no assurance given as to the amount of targeted distributions in the future. There is no assurance that the Partnership will meet its investment objectives. See "Item 8 - Risk Factors – No Assurance of Achieving Investment Objectives". Any distribution payable in respect of the Class UF Units or Class UJ Units will be calculated in Canadian dollars but paid in U.S. dollars. See "Item 5.2 – Subscription Procedure".

Reporting to Unitholders

The Partnership will make available to Unitholders, within 60 days after the end of each semi-annual reporting period and within 90 days after the year-end reporting period, financial statements consisting of a balance sheet, income statement and statement of Limited Partners' capital of the Partnership prepared in accordance with IFRS, and will cause the annual financial statements to be audited by the auditor of the Partnership. The Partnership shall make available to each Unitholder annually, within the time periods prescribed by law, information necessary to enable such Unitholder to complete an income tax return under the Tax Act with respect to the amounts payable by the Partnership.

Termination of the Partnership

The Partnership does not have a fixed termination date but may be terminated at any time upon the occurrence of the earliest of the following: (i) without the approval of the Unitholders upon not less than 120 days' written notice by the General Partner to the Unitholders, provided that such date of termination may be extended upon not less than 30 days prior written notice in circumstances where the General Partner reasonably deems it necessary to allow the orderly conversion of the Partnership's assets to cash; (ii) if the General Partners, or Unitholders holding at least 33 1/3% of the Voting Units, make a demand in writing for dissolution and the Unitholders consent thereto by means of

an Extraordinary Resolution, on the date specified in such Extraordinary Resolution; (iii) on the date which is 180 days following the date of the dissolution, liquidation, bankruptcy, insolvency or winding-up of the General Partner (other than any such dissolution, liquidation or winding-up of the General Partner or the Manager that is not in relation to a bankruptcy insolvency or winding-up of the General Partner) or the nomination of a trustee, sequestrator or liquidator, or the date of any event permitting a trustee or a sequestrator or liquidator to administer the affairs of the General Partner, provided that the trustee, sequestrator or liquidator performs his, her or its functions for 60 consecutive days, unless a new General Partner is admitted to the Partnership prior to the expiration of such 180 day period; or (d) on December 31 of the year during which all of the property of the Partnership is sold or otherwise realized and has been settled and distributed in accordance with the Limited Partnership Agreement.

Calculation of Net Asset Value

For Partnership pricing purposes, the NAV is calculated at the close of business on the last Business Day of each month (each, a "**Valuation Date**") by the Valuation Agent. The NAV of the Partnership is the value of the Total Assets of the Partnership less the consolidated liabilities of the Partnership. The NAV per Unit will be published on each Valuation Date.

Reporting of the Net Asset Value

The most recently calculated Partnership NAV, Class NAV per Unit or Class NAV is available to the Unitholders upon request. The Partnership NAV is calculated in Canadian dollars and reported in Canadian dollars (except for Class UF Units and Class UJ Units). The Class Net Asset Value calculated in respect of Class UF Units and Class UJ Units will be calculated in Canadian dollars but will be reported U.S. dollars based on the then current Exchange Rate. See "Item 5.2 – Subscription Procedure".

Valuation Principles of the Partnership

The current version of the Valuation Principles of the Partnership were adopted by the Manager and the General Partner with effect from May 24, 2019.

In calculating the NAV or Net Asset Value, the Total Assets on such Valuation Date will be determined by reference to the valuation principles set out below and NAV or Net Asset Value will be used to determine Net Asset Value per Unit for the purpose of establishing an issue price and redemption price for the Units on a Valuation Date. These valuation principles are adopted by referencing generally accepted methodologies that the General Partner and the Manager believe to represent the fair market value ("**Fair Market Value**") of the Total Assets at any particular time of determination, which may differ from carrying values based on IFRS. Net Asset Value per Unit is not published in the Partnership's financial statements and these measures are different and distinct from the amount reported as unitholder's equity in the Partnership's financial statements.

Valuation Principles:

(i) the value of any cash on hand or on deposit, bills and demand notes and accounts receivable, prepaid expenses, distributions, dividends or other amounts received (or declared to holders of record of securities owned by the Partnership on a date before the Valuation Date as of which the Total Assets are being determined, and to be received) and interest accrued and not yet received, will be deemed to be the face amount thereof provided that if the Valuation Agent has determined that any such deposit, bill, demand note, accounts receivable, prepaid expense, distribution, dividend or other amount received (or declared to holders of record of securities owned by the Partnership on a date before the Valuation Date as of which the Total Assets are being determined, and to be received) or interest accrued and not yet received is not otherwise worth the face amount thereof, the value thereof will be deemed to be such value as the Valuation Agent determines to be the Fair Market Value thereof;

(ii) the value of any security, index future or index option which is listed or traded upon a stock exchange (or if more than one, on the principal stock exchange for the security, as determined by the Valuation Agent) will be determined by taking the latest available sale price of the Valuation Date, or lacking any sales on the Valuation Date, the latest available offer price on the Valuation Date (unless in the opinion of the Valuation Agent such value does not reflect the value thereof

and in which case the latest available sale price may be used), as at the Valuation Date, all as reported by any means in common use;

(iii) the value of any security which is traded over-the-counter will be priced at the last bid price quoted by a major dealer (which may be the counterparty) in such securities or as the Valuation Agent determines to be the Fair Market Value;

(iv) the value of any purchased or written clearing corporation options, options on futures or over-the-counter options and listed warrants will be the most recent sale price, market close price or broker quote, as applicable, thereof;

(v) the value of any security or other asset for which a market quotation is not readily available (including but not limited to development projects/investments will be valued at its Fair Market Value on the Valuation Date on which the Total Assets are being determined by the Valuation Agent or the General Partner (generally the Valuation Agent will value such asset based on the latest valuation or similar reasonable evidence acceptable to the Manager and the General Partner showing a clear indication of an increase or decrease in value from the initial acquisition cost, taking into consideration the following adjustment factors ("Adjustment Factors") as deemed appropriate by the General Partner and the Manager if any:

(A) the premium or discount that a portfolio of assets may attract (as compared to aggregation of individual values of each single asset within that portfolio), if any;

(B) portfolio inter-period timing adjustments, if any, and

(C) discretionary adjustments as the General Partner and the Manager in good faith deem appropriate, if any;

(vi) any market price reported in a currency other than Canadian dollars will be converted into Canadian funds by applying the rate of exchange , in effect on the transaction date, obtained from the best available sources to the Valuation Agent, including, but not limited to, the Valuation Agent or any of its affiliates;

(vii) listed securities subject to a hold period will be valued as described above with an appropriate discount as determined by the Valuation Agent or the General Partner;

(viii) capitalization of certain expenses, whose benefits accrue over a period of time and should be allocated between existing, remaining and incoming Unitholders, or where the value of such expense is not as yet reflected, in whole or in part in the investment portfolio valuation due to timing lags, if any;

(ix) the costs associated with the establishment, structuring and periodic offering of securities of the Partnership are attributable to each class of Units on a pro-rata basis, amortized monthly over a period of five years. Selling expenses incurred on a periodic offering of securities are attributable to that particular class of Units and not included within these costs;

(x) direct investments in private real estate companies and other assets for which no published market exists will be valued at the most recent appraisal or valuation (or if no such appraisal or valuation, at cost as adjusted by the Adjustment Factors, if any), unless a different Fair Market Value is determined to be appropriate by the Valuation Agent or the General Partner.

If an investment cannot be valued under the above guidelines, or if the Valuation Agent or Manager determines that the above guidelines are at any time inappropriate under the circumstances, then notwithstanding such guidelines, the Valuation Agent will make such valuation as it considers fair and reasonable in consultation with the Manager and the General Partner and, if there is an appropriate industry practice, in a manner consistent with such industry practice for valuing such investment.

The Manager and the General Partner, will review and, if required from time to time, consider the appropriateness of the valuation guidelines adopted by the Partnership. As such, at the discretion of the Manager and the General Partner, the valuation guidelines may be modified, acting reasonably, in good faith and in the best interests of Limited Partners. Any material such modification of the valuation guidelines will be disclosed by press release or other timely disclosure document issued by the Partnership.

Class Net Asset Value per Unit

The Class Net Asset Value of a Class of Units of the Partnership on a Valuation Date is determined in accordance with the following calculation:

(a) the Class Net Asset Value last calculated for that Class; plus

(b) the increase in the assets attributable to that Class as a result of the reclassification into, or the issue of, Units of that Class since the last calculation; minus

(c) the decrease in the assets attributable to that Class as a result of the redemption or reclassification of Units of that Class since the last calculation; plus or minus

(d) the Proportionate Share (attributable to that Class) of the Change in Non Portfolio Assets since the last calculation; plus or minus

(e) the Proportionate Share (attributable to that Class) of the Net Portfolio Transactions since the last calculation; plus or minus

(f) the Proportionate Share of market appreciation or depreciation of the Portfolio assets attributable to that Class since the last calculation; minus

(g) any amounts to be paid by way of distributions to holders of Units of that Class since the last calculation; minus

(h) any Class Expenses attributable to that Class since the last calculation; minus

(i) the portion of the Common Expenses attributed to a Class of the Partnership.

The "**Class Net Asset Value per Unit**" or "**Class NAV per Unit**" means, in respect of the Units of any particular Class of Units of the Partnership on any particular Business Day, the portion of the Net Asset Value of the Partnership attributed to each of the Units of such Class of the Partnership.

Management of the Partnership

The General Partner has exclusive authority to manage the operations and affairs of the Partnership, to make all decisions regarding the business of the Partnership, to bind the Partnership and to admit Unitholders into the Partnership in accordance with the Limited Partnership Agreement.

The General Partner has unlimited liability for the undertakings, liabilities and obligations of the Partnership. The General Partner is not liable to the Unitholders for any mistakes or errors in judgment or for any act or omission believed by it in good faith to be within the scope of authority conferred by the Limited Partnership Agreement, other than certain exceptions as described in the Limited Partnership Agreement. The General Partner will indemnify the Partnership for any costs, damages, liabilities or losses incurred by the Partnership as a result of an act of gross negligence or wilful misconduct by the General Partner, its agents or employees or of any act or omission not believed by it in good faith to be within the scope of authority conferred by the Limited Partnership Agreement.

Investment Restrictions

The Partnership is subject to the following investment restrictions as stipulated in the Limited Partnership Agreement that, among other things, limit the investments that may be made by the Partnership:

(a) the Partnership may not undertake any activity or derive income from any source other than the investing of its funds in accordance with its investment objectives and investment strategies described above, in daily interest savings accounts of banks or trust companies and in High-Quality Money Market Instruments pending an investment directly or indirectly in real property by the Partnership;

(b) the Partnership may not hold a direct investment in a general partnership or make or retain an investment in any partnership in circumstances in which any interest in that partnership is a "tax shelter investment" for the purpose of the Tax Act;

(c) the Partnership may not make an investment which, within the knowledge of the General Partner after reasonable enquiry, is contrary to a law which restricts the investments in which the Partnership, the General Partner or the Manager may participate; and

(d) the Partnership may not borrow money in excess of 40% of the Total Assets, excluding mortgage debts on properties acquired by the Partnership.

Approval of the holders of Voting Units is required to change the investment objectives or investment restrictions of the Partnership. Since the Commercial Trust will invest only in the Non-Voting Units of the Partnership, the Commercial Trust will not be entitled to vote on matters submitted to a meeting of the Limited Partners, except in limited circumstances. See "Item 2.7.1 – Limited Partnership Agreement – Matters Requiring Unitholder Approval" and "Item 2.7.1 – Limited Partnership Agreement – Consent on Fundamental Matters".

Representations of the Unitholders

Pursuant to the Limited Partnership Agreement, each Unitholder represents and warrants that it has not financed, and will not finance, its acquisition of the Units with indebtedness for which recourse is or is deemed to be limited within the meaning of the Tax Act, where limited recourse indebtedness includes:

(a) indebtedness in respect of which bona fide written arrangements were not made, at the time the indebtedness was incurred, for repayment of all principal and interest within a reasonable period not exceeding 10 years;

(b) indebtedness on which interest is not payable, at least annually, at a rate equal to or greater than the lesser of the rate prescribed under the Tax Act at the time the indebtedness arose and the prescribed rate that is applicable from time to time during the term of the indebtedness;

(c) indebtedness in respect of which such interest is not paid by the debtor within 60 days of the end of the debtor's tax year; and

(d) any indebtedness of a Unitholder, if the Unitholder is a limited partnership.

If the Unitholder is not an individual, it may be obliged to provide the General Partner with a declaration that it is not a "financial institution" as that term is defined in subsection 142.2(1) of the Tax Act.

Status of the Partnership

Each Unitholder is not permitted to change its status as represented in the Limited Partnership Agreement or transfer or purport to transfer its Units to any other person if such change, transfer or purported transfer would have the effect of altering the status of the Partnership in relation to the Tax Act or any similar statute affecting such status, as reasonably determined by the General Partner from time to time. In addition, the General Partner may require those Unitholders who are Non-Residents to sell their Units to Residents if without such sale, the status of the Partnership

in relation to the Tax Act or similar statute affecting such status would be adversely affected resulting in material adverse tax consequences to the Partnership or its Unitholders. In the event that a Unitholder fails to comply with such a requirement, the General Partner has the right to sell such Unitholder's Units or to purchase the same on behalf of the Partnership at fair value as determined by an independent third party selected by the General Partner, whose determination is final and binding and not subject to review or appeal.

Fees and Expenses

Management Fees on the Units Offered

The Manager receives a management fee (the "**Management Fee**") of (i) 1.50% per annum of the Class NAV of the Class A Units, Class D Units, Class F Units and Class UF Units, and (ii) 1.25% per annum of the Class NAV of the Class I Units, Class J Units and Class UJ Units.

In addition, the Manager will receive a Management Fee of (i) 1.50% per annum of the adjusted Class NAV of the Class A NV Units and Class F NV Units adjusted for Trust Expenses (as defined below), and (ii) 1.25% per annum of the adjusted Class NAV of the Class I NV Units and Class J NV Units adjusted for Trust Expenses.

The Management Fee for any Class of Non-Voting Units will be calculated based on the adjusted Class NAV of such Non-Voting Units, from which will be deducted the aggregate amount of applicable fees and expenses of the Commercial Trust (or the Trust, whichever is applicable), excluding any applicable trailer fees or related expenses, as is notified to the Partnership by the holder of the applicable Class of Non-Voting Units (the "**Trust Expenses**").

The Management Fee paid by the Partnership to the Manager will be calculated and payable monthly in arrears, plus applicable taxes.

To encourage large investments in the Partnership and to be able to offer fees which are competitive for investments of that size, and in certain other circumstances, the Manager may from time to time reduce the Management Fee that it otherwise would be entitled to receive with respect to such an Investor's investment in the Partnership. Details about the Management Fee rebate policy are available upon request to the Manager.

Performance Fee on the Units Offered

In respect of each annual period (a "**Determination Year**") ending December 31 (the "**Performance Valuation Date**"), the Manager will be entitled to receive a performance fee (the "**Performance Fee**"), on a per Unit basis, equal to 20% of the amount by which the Total Return (as defined below) of a Unit of that year exceeds the amount resulting from multiplying the Hurdle Rate (as defined below) by the High Water Mark of that Unit (as defined below).

"**Hurdle Rate**" for all classes of Units except Founders Class Units is at 8% per annum and for Founders Class Units, it is 10% per annum.

The "**High Water Mark**" for a Unit is the higher of the following (after appropriate adjustment for distributions made, and any current or deferred tax liabilities for the relevant annual period):

(i) the initial issue price of that Unit;

(ii) the Class Net Asset Value per Unit on the Performance Valuation Date of the annual period prior to the Determination Year; and

(iii) the Class Net Asset Value per Unit on the Performance Valuation Date of the last annual period in respect of which a Performance Fee was paid in respect of such Unit.

If a Unit has not been outstanding for a full year at the time of calculation, the calculation shall be pro-rated proportional to the number of days for which that Unit has been outstanding.

Any Performance Fee payable will be payable by the Partnership to the Manager within 30 days of December 31 of each year, and shall be subject to Harmonized Sales Tax and the aggregate amount of Performance Fee payable on all Units within a class will be deducted as an expense of the Partnership and such aggregate amount of Performance Fee will be allocated to that Class of Units in the calculation of the Class Net Asset Value of that Class of Units.

In calculating the Performance Fee for any Class of Non-Voting Units, any Trust Expenses (as defined above) will be deducted from the Total Return for the applicable Class of Non-Voting Units. In calculating the High Water Mark for any Class of Non-Voting Units, any Trust Expenses will be deducted from the Class Net Asset Value per Unit referred to in (ii) or (iii), as applicable, above.

"**Total Return**" means the return generated on a Class of Units, including, but not limited to, income from distributions declared and taxes (current and deferred) allocated to a Partner, as well as the appreciation or depreciation in the Class Net Asset Value per Unit, over the calendar period, calculated on December 31st of each year after any deduction of any management fee or trailer fee payable by the Partnership to the Manager pursuant to the Management Agreement.

If a Unit has not been outstanding for a full year at the time of calculation, the calculation of the Total Return of such Unit shall be annualized based on the number of days for which that Unit has been outstanding.

Trailer Fee

The Partnership pays to the Manager, who in turn pays to each registered dealer whose clients hold Class A Units, a servicing fee (the "**Trailer Fee**") equal to 0.50% of the Class NAV per Unit in respect of the Units held by the registered dealer's clients (calculated and paid at the end of each calendar quarter), plus applicable taxes. The Partnership also pays to the Manager, who in turn pays to each registered dealer whose clients hold Class D Units a Trailer Fee equal to 1.00% of the Class NAV per Unit in respect of the Units held by the registered dealer's clients (calculated and paid at the end of each calendar quarter), plus applicable taxes.

This Trailer Fee is reflected in the calculation of the Class NAV per Unit in respect of the Class A Units and the Class D Units. There are no trailer fees paid in respect of the Class F Units, the Class I Units, the Class J Units, the Class UF Units or the Class UJ Units.

Ongoing Expenses

The Partnership pays for all ordinary expenses it incurs in connection with the Partnership's operation and management. In addition to the fees and expenses referenced elsewhere in this Confidential Offering Memorandum, these expenses include, without limitation: (a) any taxes payable by the Partnership; (b) costs and fees payable to any valuator, technical consultant, accountant or auditor or other third party service provider; (c) ongoing regulatory filing fees; (d) any expenses incurred in connection with investments; (e) any expenses incurred in connection with negotiating and settling co-investment, co-ownership, syndication or joint venture agreements on behalf of the Partnership; (f) any expenses incurred in connection with any legal proceedings in which the Manager participates on behalf of the Partnership or any other acts of the Manager or any other agent of the Partnership in connection with the maintenance or protection of the property of the Partnership, including without limitation costs associated with the enforcement of investments made in mortgage debt; (g) any fees payable to, and incurred by the General Partner; (h) any additional fees payable to the Manager for performance of extraordinary services on behalf of the Partnership; and (i) consulting fees and expenses associated with the preparation of tax filings. The Partnership is also responsible for all taxes, commissions, brokerage commissions and other costs of real estate transactions, debt service and costs relating to any credit facilities and any extraordinary expenses which it may incur or which may be incurred on its behalf from time to time, as applicable.

Such ordinary expenses are estimated to be approximately $2,726,000 per annum.

2.7.2 The Management Agreement

The rights and obligations of the Partnership and the Manager are governed by an amended and restated fund management and investment advisory agreement made as of December 11, 2012 between the Partnership and the Manager (the "**Management Agreement**"). A copy of the Management Agreement may be inspected during business hours at the principal office of the Partnership during the course of distribution of the Units offered hereby.

The following is a summary only of certain provisions in the Management Agreement which, together with other summaries of additional terms of the Management Agreement appearing elsewhere in this Confidential Offering Memorandum, are qualified in their entirety by reference to the actual text of the Management Agreement, a review of which is recommended to Investors.

Duties and Services Provided by the Manager

Pursuant to the terms of the Management Agreement, the Manager has been appointed as the sole and exclusive manager of the affairs of the Partnership. In such capacity, the Manager is responsible for the management, investment advisory and day-to-day administration services of the Partnership and, as applicable, any entity which the Partnership may control from time to time. The services to be provided by the Manager under the terms of the Management Agreement include, without limitation: (i) managing, or appointing one or more duly registered investment advisors to manage, the investments of the Partnership, (ii) co-ordinating the preparation of financial statements, (iii) maintaining proper books, accounts and records of the Partnership and its Portfolio, (iv) borrowing cash and/or securities for and on behalf of the Partnership, (v) doing all such other acts or things and entering into all such documents on behalf of the Partnership to seek to achieve the investment objectives of the Partnership. In carrying out its obligations under the Management Agreement, the Manager is required to exercise its powers and discharge its duties diligently, honestly and in good faith and in the best interests of the Partnership, including exercising the standard of care, diligence and skill that a reasonably prudent person would exercise in similar circumstances (the "**standard of care**").

The Manager will continue as manager until the termination of the Partnership unless (i) the Manager resigns by written notice to the Partnership, (ii) the Manager is removed by written notice given by the Partnership following the occurrence of certain specified events of default (as described below), or (iii) the Manager is removed by written notice given by the Partnership following an Extraordinary Resolution of the Unitholders directing the Partnership to remove the Manager as manager of the Partnership. The following comprise an event of default under the Management Agreement: (i) the bankruptcy or insolvency of the Manager, or if the Manager either voluntarily or under an order of a court of competent jurisdiction makes a general assignment for the benefit of its creditors or otherwise acknowledges its insolvency; (ii) the Manager's wilful misconduct, bad faith, negligence or breach of its standard of care owed under the Management Agreement, which if capable of being cured, is not cured within 30 days following written notice to the Manager from the Partnership specifying in reasonable detail the nature of such default; or (iii) the Manager no longer holds the licenses, registrations or other authorizations necessary to carry out its obligations thereunder and is unable to obtain them within a reasonable period after their loss. There is no termination of the Manager for breach of its obligations under the Management Agreement unless such breach constitutes wilful misconduct, bad faith, negligence or a breach of the standard of care owed by the Manager.

The Management Agreement contains indemnification provisions whereby the Partnership indemnifies the Manager against any loss (other than loss of profits), expense, damage or injury suffered in the scope of its authority under the Management Agreement, provided the same does not result from wilful misconduct, bad faith, negligence or breach of its standard of care owed under the Management Agreement or a breach of fiduciary duty. In addition, under the Management Agreement, the Manager indemnifies the Partnership against any loss, expense, damage or injury suffered as a result of the Manager's wilful misconduct, bad faith, negligence or breach of its standard of care owed under the Management Agreement.

For its services, the Manager is paid the Management Fee described under "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses – Management Fees on Units Offered". Pursuant to the terms of the Management Agreement, the Manager bears all costs and expenses incurred by the Manager in connection with all salaries, employee expenses, office rent and equipment, and other expenses customarily considered to be overhead expenses.

Conflicts of Interest

The Partnership is subject to a number of actual and potential conflicts of interest involving the Manager and its affiliates because the Manager provides discretionary investment management services to other investors and the Manager and its affiliates may also invest for their own accounts. Accordingly, the services that are to be provided by the Manager pursuant to the Management Agreement are not exclusive to the Partnership and the Management Agreement does not restrict the Manager or its affiliates from establishing funds (including separate accounts and other funds and pooled investment vehicles), from entering into other advisory relationships or from engaging in other business activities, even though such activities may be in competition with the Partnership and/or involve substantial time and resources of the Manager. In fact, the Manager currently provides investment advisory services to a number of different clients having significantly more assets than the Partnership is expected to have in the reasonably foreseeable future and this will preclude the Manager from devoting all of its time and effort to the activities of the Partnership.

For example, the Manager may manage or advise with respect to accounts or funds (including separate accounts and other funds and pooled investment vehicles) that have investment objectives similar to those of the Partnership and may engage in transactions in the same types of securities and instruments as the Partnership. Such transactions will, except as discussed below, be executed independently of transactions of the Partnership and thus at prices or rates that may be more or less favourable than those obtained by the Partnership.

In addition, in certain circumstances, it may be in the best interests of the Partnership to purchase or sell securities of, or securities or real estate owned by, entities affiliated with the Manager or its affiliates, officers or directors. In certain circumstances, such purchase or sale may be made other than through market facilities, but any such purchase will only be made at a purchase price which approximates the prevailing market price.

The Partnership relies upon the Manager to manage the activities of the Partnership and to provide managerial skill. The directors and officers of the Manager may have a conflict of interest in allocating their time between the respective businesses and interests of the Manager and the Partnership, and other businesses or projects in which they may become involved. See "Item 8 – Risk Factors – Potential Conflict of Interests".

It is the general policy of the Manager that all of its managed accounts that have investment objectives and restrictions that are compatible with a particular investment opportunity should, when practicable, participate pro rata in that investment opportunity based upon, among other things, the relative amount of assets under management in each such account and the relative importance of the investment opportunity to the fulfillment of each such account's investment objective. Accordingly, the Manager will generally present to the Partnership any investment opportunity available to the Manager that is consistent with the investment objectives and restrictions of the Partnership based upon, and subject to, (i) the amount of assets under management on behalf of the Partnership relative to the amount of assets under management on behalf of all other accounts of the Manager that have investment objectives and restrictions that are compatible with the investment opportunity, and (ii) the importance of the investment opportunity to the fulfillment of the investment objective of the Partnership relative to the importance of the investment opportunity to the fulfillment of the investment objectives of such other accounts of the Manager. An assessment of the relative importance of an investment opportunity to the fulfillment of a client account's investment objectives is dependent upon a number of factors that include the availability of the resources that are required to make the investment, alternative investment opportunities, the composition of the client account's portfolio at the time, the geographic and industry sector exposure associated with the investment opportunity and the liquidity of the account.

As a result of this fair allocation policy, the Partnership may, from time to time, be presented with but yet be precluded from participating in an investment opportunity available to the Manager that would otherwise be compatible with the Partnership's investment objectives and restrictions based upon the Manager's assessment of the relative importance of the investment opportunity to each of its managed accounts, including the Partnership.

2.7.3 TD Credit Agreement

The Partnership has entered into an amended and restated credit agreement dated November 16, 2018, as amended by amending agreement no. 1 dated December 18, 2018 and by amending agreement no. 2 dated March 31, 2020 (collectively, "**TD Credit Agreement**") between the Partnership and The Toronto-Dominion Bank ("**TD**"). A copy of the TD Credit Agreement may be inspected during business hours at the principal office of the Partnership during the course of distribution of the Units offered hereby. The following is a summary only of certain provisions in the TD Credit Agreement which, together with other summaries of additional terms of the Management Agreement appearing elsewhere in this Confidential Offering Memorandum, are qualified in their entirety by reference to the actual text of the TD Credit Agreement, a review of which is recommended to Investors.

Under the terms of the TD Credit Agreement, the Partnership is permitted to borrow up to $100 million on a revolving basis (the "**TD Credit Facility**"). The aggregate amount of borrowing by the Partnership under the TD Credit Agreement may not exceed 50% of the aggregate value of the Total Assets of the Partnership determined in accordance with the valuation principles set forth in the Limited Partnership Agreement. The term of the TD Credit Facility will mature on December 31, 2020, except if it is extended by TD in its discretion at the request of the Partnership for further periods of twelve months, subject to the terms of the TD Credit Agreement. The TD Credit Facility is secured by a general security agreement over the all of the Partnership's present and after-acquired assets and a general security agreement over all of the present and after-acquired assets of T4Q Securities Trust.

2.7.4 Custodial Agreement

A summary of the provisions of the Custodial Agreement is contained under the heading "Item 2.1.4 – The Custodian", which is qualified in its entirety by reference to the actual text of the Custodial Agreement. A copy of the Custodial Agreement may be inspected during business hours at the principal office of the Partnership during the course of distribution of the Units offered hereby.

ITEM 3 – DIRECTORS, MANAGEMENT, PROMOTERS AND PRINCIPAL HOLDERS

3.1 Compensation and Securities Held

No compensation is paid to any person by the Partnership or the General Partner. As described above, the business of the Partnership is managed by the Manager. The directors and senior officers of the General Partner primarily involved in the business of the Partnership are employees of a shareholder ("related party") of the General Partner and as such, receive compensation from a related party of the General Partner. The following table sets out the approximate portion of the compensation that each of the directors and senior officers of the General Partner primarily involved in the business of the Partnership receive from the related party of the Manager in respect of work and services provided by such person in relation to the business of the Partnership.

Name and municipality of principal residence	Positions held and the date of obtaining that position	Compensation paid by the Partnership or related party in the most recently completed financial year and the compensation anticipated to be paid in the current financial year	Number, type and percentage of Units of the Partnership held after completion of min. Offering[(1)]	Number, type and percentage of Units of the Partnership held after completion of max. Offering[(2)]
Corrado Russo Toronto, Ontario, Canada	Portfolio Manager of the Partnership and Vice President of the General Partner Since September 2011	2019 - $200,000[(3)] 2020 (expected) - $200,000	58,655.17 Class J Units 0.13% 4,500.00 Founder Units 0.01%	58,655.17 Class J Units 0.09% 4,500.00 Founder Units 0.01%
R. Blair Tamblyn[(4)] Toronto, Ontario, Canada	Former President and Secretary of the General Partner September 2011	2019 - $175,000[(5)] 2020 (expected) - $Nil[(5)]	Nil[(6)]	Nil[(6)]
Ugo Bizzarri Toronto, Ontario, Canada	President of the General Partner Since March 2020	2019 - $200,000[(7)] 2020 (expected) - $200,000	29,383.40 Class J Units 0.07% 18,000.00 Founder Units 0.04%	29,383.40 Class J Units 0.07% 18,000.00 Founder Units 0.04%
Gigi Wong North York, Ontario, Canada	Treasurer of the General Partner Since June 2016	2019 - $60,000[(8)] 2020 (expected) - $60,000	Nil	Nil

Notes:

(1) There is no minimum amount of funds to be raised pursuant to the Offering.

(2) Although there is no maximum amount to be raised pursuant to this Offering, this number assumes an offering of $200,000,000 by the Partnership.

(3) Represents the approximate portion of the compensation paid by a related party of the General Partner to Mr. Russo

attributable to his time spent on the activities of the General Partner and the Partnership.

(4) Mr. Tamblyn resigned as President and Secretary of the General Partner effective March 2020.

(5) Represents the approximate portion of the compensation paid by a related party of the General Partner to Mr. Tamblyn attributable to his time spent on the activities of the General Partner and the Partnership. Mr. Tamblyn is not expected to receive any compensation for the current financial year due to his resignation as President of the General Partner.

(6) While Mr. Tamblyn does not hold Units of the Partnership, he does hold 24,945.95 Class J units of the Trust (representing approximately 0.04% of the outstanding units of the Trust).

(7) Represents the approximate portion of the compensation paid by a related party of the General Partner to Mr. Bizzarri attributable to his time spent on the activities of the General Partner and the Partnership.

(8) Represents the approximate portion of the compensation paid by a related party of the General Partner to Ms. Wong attributable to her time spent on the activities of the General Partner and the Partnership.

3.2 Management Experience

Set forth below is a description of the principal occupation and business experience of each of the directors and officers of the General Partner.

Name	Principal occupation and related experience
Corrado Russo	Senior Managing Director, Investments & Global Head of Securities of Hazelview Investments Inc. (formerly, Timbercreek Equities Corporation) Corrado Russo joined Timbercreek in July 2011. Mr. Russo is responsible for managing the public real estate investment platform including the Timbercreek Global Real Estate Income Fund and the the Partnership. Mr. Russo has over 20 years of experience in the investment management field, having held positions in portfolio management, equity research and direct real estate investments. Prior to joining Timbercreek, Mr. Russo was an Executive Director and Portfolio Manager of global real estate securities at Forum Securities, a Portfolio Manager of global real estate securities for Citi Property Investors and an Assistant Portfolio Manager of direct real estate for Ontario Teacher's Pension Plan Board. Mr. Russo holds a Masters of Business Administration from the Schulich School of Business, has a Bachelor's degree in Administrative Studies from York University and holds the Chartered Financial Analyst designation.
Ugo Bizzarri	Director, Chief Executive Officer of Hazelview Investment Inc. (formerly Timbercreek Equities Corp.) and Director, Chief Executive Officer of Hazelview Securities Inc. (formerly Timbercreek Investment Management Inc.) Ugo Bizzarri co-founded Timbercreek Asset Management Inc. in 1999. In his role as Chief Executive Officer, Mr. Bizzarri leads a team of over 600 individuals located across 19 offices in Canada, the United States, Europe and Hong Kong who collective contribute towards the management of over $8.5 billion in real estate investments. Mr. Bizzarri has over 25 years of experience in the valuation, acquisition and disposition of investment-grade cash-flowing real estate. Prior to founding Timbercreek, Mr. Bizzarri was in portfolio management at OTPPB where he played a leadership role in the strategic planning, corporate transactions/restructuring and property acquisitions for the real estate group. Mr. Bizzarri is a Director of Timbercreek Financial and Cymbria. Mr. Bizzarri is a graduate of the Ivey School of Business and holds the Chartered Financial Analyst designation.

Name	Principal occupation and related experience
Gigi Wong	Chief Financial Officer of Hazelview Investments Inc. (formerly, Timbercreek Equities Corporation) Gigi Wong joined Hazelview (formerly, Timbercreek Equities Corporation) in June 2016. Ms. Wong is the Chief Financial Officer of Timbercreek Financial Corp. In her current role as CFO, Ms. Wong is responsible for overseeing financial and taxation reporting, treasury, corporate financings and the financial reporting and risk analytics platform. Ms. Wong has over 20 years of experience in finance and capital markets. Most recently, Ms. Wong was Director of Capital Markets Operations at Ontario Teachers' Pension Plan. Prior to joining OTPP, Ms. Wong was CFO, Chief Compliance Officer & Secretary at CQI Capital Management LP (formerly GMP Investment Management) and prior to that, Director, Investment Finance at GMP Securities LP. Ms. Wong began her career at PwC Canada and developed her asset and risk management experience while executing on mandates at TD Bank, The Healthcare of Ontario Pension Plan and Bank of Montreal. Ms. Wong holds a Bachelor of Arts from Western University where she majored in Financial and Economic studies. Ms. Wong is a Chartered Professional Accountant and holds the Chartered Financial Analyst designation.

3.3 Penalties, Sanctions and Bankruptcy

There are no penalties or sanctions that have been in effect during the last 10 years, or any cease trade orders that have been in effect for a period of more than 30 consecutive days during the past 10 years against (i) a director, executive officer or control person of the Partnership or the General Partner, or (ii) an issuer of which a person referred to in (i) above was a director, executive officer or control person at the time.

There have not been any declarations of bankruptcy, voluntary assignments in bankruptcy, proposals under any bankruptcy or insolvency legislation, proceedings, arrangements or compromises with creditors or appointments of receivers, receiver managers or trustees to hold assets, that have been in effect during the last 10 years with regard to any (i) director, executive officer or control person of the Partnership or the General Partner, or (ii) issuer of which a person referred to in (i) above was a director, executive officer or control person at that time.

3.4 Loans

None of the directors or officers of the General Partner, or any of the promoters or principal securityholders of the Partnership are indebted to the Partnership or its affiliates.

ITEM 4 – CAPITAL STRUCTURE

4.1 Unit Capital

The following table sets out the details of the outstanding Units of the Partnership as at October 15, 2020.

Description of Security	Number Authorized to be Issued	Price per Security[(1)]	Number Outstanding as at October 15, 2020	Number Outstanding after min Offering[(2)]	Number Outstanding after max. Offering[(3)]
Class A Units	Unlimited	$13.0527	1,279,198.44	1,279,198.44	2,566,073.47[(4)]
Class D Units	Unlimited	$10.5845	155,058.98	155,058.98	1,729,688.55[(4)]
Class F Units	Unlimited	$11.1102	10,491,570.64	10,491,570.64	11,991,693.60[(4)]
Class I Units	Unlimited	$10.9974	275,856.23	275,856.23	1,791,365.96[(4)]

Description of Security	Number Authorized to be Issued	Price per Security[1]	Number Outstanding as at October 15, 2020	Number Outstanding after min Offering[2]	Number Outstanding after max. Offering[3]
Class J Units	Unlimited	$10.0685	28,363,166.97	28,363,166.97	30,018,494.60[4]
Class A NV Units	Unlimited	$10.4169	3,388,491.16	3,388,491.16	4,988,455.32[4]
Class F NV Units	Unlimited	$10.5600	16,318,083.21	16,318,083.21	17,896,366.00[4]
Class J NV Units	Unlimited	$10.6095	42,333,200.97	42,333,200.97	43,904,120.00[4]
Class UF Units	Unlimited	$12.5017	430,139.63	430,139.63	1,763,291.65[4]
Class UJ Units	Unlimited	$12.5754	614,149.75	614,149.75	1,939,488.64[4]

Notes:

(1) The price per security is based on the Class NAV per Unit for the applicable Class of Units as at October 15, 2020. See "Item See "Item 2.7.1 - Limited Partnership Agreement – Calculation of Net Asset Value - Class Net Asset Value per Unit".

(2) There is no minimum amount of funds to be raised pursuant to the Offering.

(3) Although there is no maximum amount to be raised pursuant to this Offering, this number assumes an offering of $200,000,000 by the Partnership.

(4) Assumes that the Offering funds to be raised pursuant to the Offering are distributed evenly between each of the Classes of Units being offered pursuant to the Offering and that the price per security remains the Class NAV per Unit for the applicable Class of Units as at October 15, 2020.

The General Partner may, without the approval of or notice to the Unitholders, create additional Classes of Units at any time by amending the Limited Partnership Agreement and in doing so, the General Partner may, where applicable, fix before issuance the initial consideration per Unit and the designation of and the provisions attaching to the Units of each such Class.

4.2 Long Term Debt Securities

As of the date hereof, the Partnership has the following long term debt outstanding:

Description of Long Term Debt	Interest rate	Repayment terms	Amount Outstanding as at October 15, 2020	Principal and Interest Payments due within 12 months
TD Credit Facility (secured)[1]	0.08% to 2.45%[2] 0.65%[3]	Matures on December 31, 2020	CAD$19,533,000.00 [4] USD $20,000,000.00 [4] CAD $2,899,999.08 [5] USD$1,099,650.00[5]	CAD$20,030,408.49 [6] USD$20,167,875.73 [7]

Notes:

(1) See "Item 2.7.3 – TD Credit Agreement".

(2) Represents the interest rate payable in respect of the Canadian Prime Loans and USD Prime Loans (each as defined in the TD Credit Facility) advanced under the facility.

(3) Represents the interest rate payable in respect of the Lines of Credit (as defined in the TD Credit Facility) issued under the facility.

(4) Represents the amount outstanding under Prime Loans.

(5) Represents the amounts outstanding under the issued Lines of Credit.

(6) Represents the principal and interest payments due in respect of the outstanding Prime Loans, assuming that no further amounts are advanced to the Partnership under the TD Credit Facility and that the principal amount outstanding and the interest rate as at October 15, 2020 remain unchanged for the 12 month period following October 15, 2020.

(7) Represents the costs and interest payments due in respect of the outstanding Lines of Credit, assuming that no further amounts are advanced to the Partnership under the TD Credit Facility and that the beneficiaries do not call on the

outstanding Lines of Credit and the interest rate as at October 15, 2020 remain unchanged for the 12 month period following October 15, 2020.

4.3 Prior Sales

The following table sets forth a description of the Units issued within the past 12 months.

Date of Issuance (m/d/y)	Type of Security Issued	Number of Securities Issued	Price per Security	Total Funds Received
10/01/20	Class F Units	1,437,991.08	$11.8870	$17,093,400.00
10/01/19	Class A Units	106,150.91	$14.0272	$1,489,000.00
10/01/19	Class J Units	488,314.89	$11.8163	$5,770,075.23
10/01/19	Class UF	8,660.94	$10.0451	$87,000.00
10/01/19	Class UJ	4,975.67	$10.0489	$50,000.00
10/01/19	Class A NV Units	103,325.85	$11.1552	$1,152,620.55
10/01/19	Class F NV Units	1,645,418.73	$11.2904	$18,577,435.61
10/01/19	Class J NV Units	1,945,572.32	$11.3384	$22,059,677.15
11/01/19	Class F Units	660,389.49	$11.9363	$7,882,607.00
11/01/19	Class A Units	147,943.49	$14.0797	$2,083,000.00
11/01/19	Class J Units	723,877.79	$11.8654	$8,589,099.51
11/01/19	Class UF	20,503.55	$10.1202	$207,500.00
11/01/19	Class UJ	296,053.61	$10.1333	$3,000,000.00
11/01/19	Class A NV Units	99,925.67	$11.2010	$1,119,267.43
11/01/19	Class F NV Units	1,569,381.03	$11.3454	$17,805,255.55
11/01/19	Class J NV Units	1,670,282.67	$11.3823	$19,011,658.46
12/01/19	Class F Units	1,012,148.97	$11.9723	$12,117,751.12
12/01/19	Class A Units	81,822.88	$14.1164	$1,155,044.54
12/01/19	Class J Units	487,400.92	11.9017	$5,800,899.57
12/01/19	Class UF Units	17,898.56	$10.0888	$180,575.00
12/01/19	Class UJ Units	25,215.32	$10.1129	$255,000.00
12/01/19	Class A NV Units	356,572.13	$11.2344	$4,005,873.90
12/01/19	Class F NV Units	2,263,327.17	$11.3857	$25,769,564.12
12/01/19	Class J NV Units	1,524,395.27	$11.4149	$17,400,819.59
01/01/20	Class F Units	500,404.85	$11.9774	$5,993,549.00
01/01/20	Class A Units	81,806.98	$14.1186	$1,155,000.00
01/01/20	Class J Units	1,210,824.86	$11.9087	$14,419,350.00
01/01/20	Class A NV Units	565,364.47	$11.2402	$6,354,809.76
01/01/20	Class F NV Units	2,029,784.44	$11.3933	$23,125,943.04
01/01/20	Class J NV Units	1,201,818.44	$11.4220	$13,727,170.20
01/01/20	Class UF Units	3,503.93	$10.2442	$35,895.00

Date of Issuance (m/d/y)	Type of Security Issued	Number of Securities Issued	Price per Security	Total Funds Received
01/01/20	Class UJ Units	3,895.48	$10.2683	$40,000.00
02/01/20	Class F Units	754,489.52	$12.0520	$9,093,107.71
02/01/20	Class A Units	5,632.73	$14.2027	$80,000.00
02/01/20	Class J Units	1,208,031.69	$11.9848	$14,478,018.22
02/01/20	Class A NV Units	88,872.52	$11.3090	$1,005,059.38
02/01/20	Class F NV Units	1,822,400.30	$11.4632	$20,890,539.11
02/01/20	Class J NV Units	2,625,081.13	$11.4943	$30,173,470.09
02/01/20	Class UF Units	76,224.01	$10.1674	$775,000.00
02/01/20	Class UJ Units	9,810.08	$10.1936	$100,000.00
03/01/20	Class F Units	826,116.16	$11.7998	$9,748,005.43
03/01/20	Class A Units	25,540.30	$13.8996	$355,000.00
03/01/20	Class J Units	913,989.63	$11.7371	$10,727,587.71
03/01/20	Class A NV Units	152,925.26	$11.0714	$1,693,096.69
03/01/20	Class F NV Units	1,475,639.05	$11.2221	$16,559,769.01
03/01/20	Class J NV Units	1,572,844.99	$11.2557	$17,703,471.40
03/01/20	Class UF Units	191,361.45	$9.8735	$1,889,407.28
04/01/20	Class F Units	145,558.69	$10.6759	$1,553,970.00
04/01/20	Class A Units	7,955.01	$12.5707	$100,000.00
04/01/20	Class J Units	107,506.72	$10.6214	$1,141,871.86
04/01/20	Class A NV Units	42,018.42	$10.0158	$420,848.11
04/01/20	Class F NV Units	329,735.75	$10.1524	$3,347,609.23
04/01/20	Class J NV Units	367,173.02	$10.1854	$3,739,804.05
04/01/20	Class UF Units	11,500.33	$8.6954	$100,000.00
04/01/20	Class UJ Units	99,557.00	$8.7358	$869,710.05
05/01/20	Class F Units	113,995.80	$10.9087	$1,243,546.00
05/01/20	Class J Units	445,700.02	$10.8554	$4,838,251.97
05/01/20	Class F NV Units	293,510.83	$10.3729	$3,044,558.45
05/01/20	Class J NV Units	474,643.54	$10.4093	$4,940,706.98
05/01/20	Class UJ Units	11,010.40	$8.9915	$99,000.00
06/01/20	Class F Units	44,367.19	$10.9022	$483,700.00
06/01/20	Class A Units	3,897.78	$12.8278	$50,000.00
06/01/20	Class J Units	113,942.17	$10.8519	$1,236,489.00
06/01/20	Class A NV Units	14,204.11	$10.2259	$145,249.79
06/01/20	Class F NV Units	115,515.21	$10.3658	$1,197,407.54
06/01/20	Class J NV Units	419,747.21	$10.4047	$4,367,343.85

Date of Issuance (m/d/y)	Type of Security Issued	Number of Securities Issued	Price per Security	Total Funds Received
06/01/20	Class UF Units	555.22	$9.0055	$5,000.00
07/01/20	Class F Units	96,693.77	$11.0942	$1,072,740.00
07/01/20	Class A Units	1,915.77	$13.0496	$25,000.00
07/01/20	Class J Units	265,945.17	$11.0449	$2,937,337.78
07/01/20	Class A NV Units	25,203.02	$10.4053	$262,244.94
07/01/20	Class F NV Units	222,532.71	$10.5473	$2,347,119.20
07/01/20	Class J NV Units	542,596.87	$10.5886	$5,745,341.22
08/01/20	Class F Units	53,114.90	$11.0835	$588,699.00
08/01/20	Class J Units	116,680.35	$11.0367	$1,287,766.00
08/01/20	Class A NV Units	28,573.42	$10.3940	$296,992.10
08/01/20	Class F NV Units	163,768.10	$10.5363	$1,725,509.84
08/01/20	Class J NV Units	508,261.34	$10.5803	$5,377,557.49
09/01/20	Class F Units	235,325.62	$11.0662	$2,604,160.43
09/01/20	Class J Units	86,345.29	$11.0222	$951,715.00
09/01/20	Class A NV Units	12,046.45	$10.3765	$125,000.00
09/01/20	Class F NV Units	210,467.18	$10.5190	$2,213,904.30
09/01/20	Class J NV Units	484,196.73	$10.5659	$5,115,974.23
09/01/20	Class UF Units	421.95	$9.4799	$4,000.00
10/01/20	Class F Units	127,810.48	$11.1102	$1,420,000.00
10/01/20	Class J Units	288,443.61	$11.0685	$3,192,638.06

ITEM 5 - SECURITIES OFFERED

5.1 Terms of Securities

5.1.1 Unit Attributes

Voting

Each Unitholder is entitled to one vote for each Voting Unit held. Unitholders have no voting rights in respect of securities held by the Partnership.

Class Net Asset Value

The distinguishing characteristic of each Class of Units relates to the different fee structure applicable to such Class. See “Item 2.7.1 - Limited Partnership Agreement – Calculation of Net Asset Value” and “Item 2.7.1 – Limited Partnership Agreement - Fees and Expenses”.

Distributions

Subject to the provisions of the Limited Partnership Agreement, each Unit shall entitle the holder thereof to participate pro rata with respect to all distributions of the same Class, and, upon liquidation of the Partnership to

participate pro rata with the Unitholders of the same Class in the Class Net Asset Value of the Partnership remaining after the satisfaction of outstanding debts, liabilities and liquidation or termination expenses of the Partnership. Distributions are allocated among each Class of Units in such manner and at such times as the General Partner considers appropriate and equitable.

The Partnership generally intends to payout the majority of reoccurring income as a portion of realized gains in order to make a monthly cash distribution to Partners of record on the last Business Day of each calendar month (each, a "**Distribution Record Date**"). The Partnership intends to pay distributions on or before the fifth Business Day of the month following each Distribution Record Date (each, a "**Distribution Payment Date**"). Investors who purchase Units pursuant to this Offering on a Closing Date will only be entitled to a distribution in respect of such Units for Distribution Record Dates occurring after the closing of the issuance of such Units.

Redemption and Reclassification

Subject to the provisions of the Limited Partnership Agreement, Unitholders have the right to redeem the Units as set out in this Confidential Offering Memorandum. See "Item 2.7.1 - Limited Partnership Agreement – Quarterly Redemptions". Subject to the provisions of the Limited Partnership Agreement, Holders of any Class of Voting Units have the right to elect to reclassify such Units into other Classes of Voting Units as set out in this Confidential Offering Memorandum. See "Item 2.7.1 - Limited Partnership Agreement - Reclassification of Units".

5.1.2 Distribution Reinvestment Plan

The Partnership has adopted a DRIP entitling holders of Units who are (i) Residents; and (ii) an "accredited investor" as defined in NI 45-106 ("**Eligible Holders**"), to elect to automatically reinvest all of the cash distributions paid on Units held by them in additional Units of the same Class in accordance with the terms and conditions set out therein. The DRIP is administered by the General Partner. The following is a summary of the terms of the DRIP only, and is qualified in its entirety by reference to the full text of the DRIP, a copy of which can be obtained from the General Partner.

Participation in the DRIP

Participation in the DRIP is restricted to Eligible Holders. Each Unit offered hereby is offered by the Partnership as a basket together with the right for Eligible Holders to elect to participate in the DRIP. In order to participate in the DRIP, Eligible Holders must enroll in the DRIP (or be deemed to have enrolled in the DRIP) and exercise their right to participate in the DRIP (or be deemed to have exercised their right to participate in the DRIP). Each Unit offered hereby will, upon purchase by an Eligible Holder, automatically be enrolled in the DRIP and each Eligible Holder will, upon purchase of Units, be deemed to have elected to exercise their right to participate in the DRIP, and therefore to have all distributions paid on all Units held by such Eligible Holder automatically reinvested in Units of the Class of Units on which the distribution was paid, unless the Eligible Holder indicates its intention not to elect to participate in the DRIP in the Subscription Agreement submitted to the Manager in connection with a subscription for Units.

Participation in the DRIP allows Eligible Holders to acquire further Units of the Class already owned by such Eligible Holders by directing the General Partner to apply all cash distributions arising from or in connection with the Units held or acquired by such Eligible Holder to purchase further Units of the same Class at a subscription price for each Unit equal to the Class NAV per Unit unless the General Partner determines otherwise (the "**Distribution Purchase Price**") on the last day of the month immediately prior to the date of the relevant Distribution Record Date

The General Partner will apply all cash distributions arising from or in connection with all Units held by Eligible Holders who have elected or been deemed to have elected to participate in the DRIP to purchase further Units of the same Class at the relevant Distribution Purchase Price each time the Partnership makes a cash distribution until the Eligible Holder provides the General Partner with written notice of termination in accordance with the terms of the DRIP. If an Eligible Holder elects in the Subscription Agreement not to participate in the DRIP such Eligible Holder can at any time elect to participate in the DRIP by sending a copy of the DRIP Exercise Form, a copy of which is attached to the DRIP, to the General Partner in accordance with the instructions contained therein.

Once an Eligible Holder has elected, or been deemed to have elected, to participate in the DRIP, all future cash distributions paid on Units held by such Eligible Holder will automatically be reinvested in additional Units of

the same Class in accordance with the terms and conditions of the DRIP until the Eligible Holder terminates their participation in the DRIP or until the DRIP is suspended or terminated.

Termination of Participation in the DRIP

Eligible Holders who are Registered Unitholders and who have elected, or been deemed to have elected, to participate in the DRIP ("**Plan Participants**") may voluntarily terminate their participation in the DRIP as of a particular Distribution Record Date by delivering written notice of their intention to terminate their participation in the DRIP to the General Partner at least five Business Days prior to the relevant Distribution Record Date. If such notice or termination request is received by the General Partner after the foregoing deadline, the termination shall be processed promptly following the next Distribution Record Date. Beginning on the first Distribution Payment Date after such termination is effective, distributions to such Plan Participant will be made in cash. Plan Participants that are Non-Registered Unitholders should contact the intermediary who holds their Units to receive instructions as to how to terminate their participation in the DRIP.

The General Partner reserves the right to refuse participation in the DRIP to, or terminate the participation of, any person, in the Partnership's sole opinion, (a) who is participating in the DRIP primarily with a view to arbitrage trading, (b) who is participating in the DRIP as part of a scheme to avoid applicable legal requirements or engage in unlawful behavior, (c) who has been artificially accumulating the Partnership's securities, for the purpose of taking undue advantage of the DRIP to the Partnership's detriment, or (d) whose participation in the DRIP is a detriment to the Partnership or the Unitholders.

The General Partner may deny the right to participate in the DRIP to any person or terminate the participation of any Plan Participant if the General Partner deems it advisable under any laws or regulations. The General Partner also reserves the right, in its sole discretion, to pay any distribution paid on a Plan Participant's Units to the Plan Participant in cash.

Participation in the DRIP will not be affected by a Plan Participant's death or incompetence. Participation will remain effective until it is terminated in accordance with the provisions of the DRIP.

Administration of DRIP

On each Distribution Payment Date, the General Partner shall, on behalf of each Plan Participant, use the distribution paid on such Plan Participant's Units to purchase from the Partnership additional Units of the same Class on which the distributions were paid at a subscription price for each such Unit equal to the distribution Purchase Price. The Partnership will issue to each Plan Participant on the Distribution Payment Date, for each Class of Unit held by such Plan Participant, such number of Units of that Class equal to the distribution paid on the Units of such Class held by such Plan Participant divided by the Distribution Purchase Price. Fractional Units, calculated to four decimal places, may be issued for any amount that cannot be reinvested in whole Units.

Units issued by the General Partner under the DRIP will be issued in the name of the Registered Unitholder or in case of Non-Registered Unitholder, the Intermediary, of the Units upon which the distribution was declared and will be represented by a book entry in a book-based, system maintained by or on behalf of the General Partner. Certificates evidencing ownership of the Units will not be issued to Unitholders, unless requested.

As soon as reasonably practicable after each Distribution Payment Date, a statement of account will be sent to each Plan Participant (or, in the case of beneficial holders, the nominee holding the registered interest in the Plan Participant's Units) by or on behalf of the General Partner setting out the amount of the relevant distribution reinvested, the applicable Distribution Purchase Price and the number of Units purchased under the DRIP by such Plan Participant on the Distribution Payment Date, computed to four decimal places.

Administrative Costs

All administrative costs of the DRIP, including any fees and other expenses incurred by the General Partner in carrying out its duties hereunder, will be borne by the Partnership.

Use of Proceeds

Proceeds received by the Partnership upon the purchase of Units under the DRIP will be invested in accordance with the investment objectives described in the Limited Partnership Agreement.

Responsibilities of the Partnership and the General Partner

Neither the Partnership nor the General Partner are or will be liable for any act done by either of them in good faith or for any good faith omission to act in connection with the operation of the DRIP. In particular, neither the Partnership nor the General Partner will have any liability with respect to: (i) the Distribution Purchase Price or the timing of the Distribution Record Date or the Distribution Payment Date; or (ii) any action or responsibilities of any Intermediaries in relation to the DRIP. Plan Participants should recognize that neither the Partnership nor the General Partner can assure a gain or protect against a loss as a result of Plan Participant's participation in the DRIP.

Rules and Regulations

The General Partner may from time to time adopt rules and regulations to facilitate the administration of the DRIP. The Partnership reserves the right to regulate and interpret the DRIP as it deems necessary or desirable to ensure the efficient and equitable operation of the DRIP.

Certain Limitations

A Limited Partner may not transfer the right to participate in the DRIP to another person.

Subject to applicable law and regulatory policy, the General Partner reserves the right to determine, from time to time, a minimum number of Units that an Eligible Holder must hold in order to be eligible to participate in, or continue to participate in, the Plan, if any. Without limitation, the General Partner further reserves the right to refuse participation in the DRIP to, or terminate the participation of, any person, in the General Partner's sole opinion, (a) who is participating in the DRIP primarily with a view to arbitrage trading, (b) who is participating in the DRIP as part of a scheme to avoid applicable legal requirements or engage in unlawful behavior, (c) who has been artificially accumulating the Partnership's securities, for the purpose of taking undue advantage of the DRIP to the Partnership's detriment, or (d) whose participation in the DRIP is a detriment to the Partnership or the Unitholders.

The General Partner may also deny the right to participate in the DRIP to any person or terminate the participation of any Plan Participant if the Partnership deems it advisable under any laws or regulations.

Under the Limited Partnership Agreement, the Partnership is authorized to issue a limited number of certain Classes of Units. The Partnership is not required to issue Units of any Class pursuant to the DRIP if the issuance of such Units would cause the number of outstanding Units of such Class to exceed the Units authorized under the Limited Partnership Agreement, and, in such event, any distributions declared on any such Class of Units will be paid to the Plan Participant in cash.

Amendments, Suspension or Termination of the DRIP

The General Partner may amend, modify or suspend the DRIP at any time in its sole discretion, provided that the General Partner complies with requirements imposed by applicable regulatory authorities from time to time and gives notice of that amendment, modification or suspension to Plan Participants, except that no notice will be given to Plan Participants regarding any amendments to the DRIP intended to cure, correct or rectify any ambiguities, defective or inconsistent provisions, errors, mistakes or omissions. The DRIP will terminate automatically upon the dissolution of the Partnership.

The Partnership is not required to issue any Units hereunder if such issuance would be illegal.

5.2 Subscription Procedure

Investors may purchase Class A Units, Class D Units, Class F Units and Class UF Units through qualified representatives who will process orders by electronic means through Fundserv Inc. Investors may also purchase Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units directly through the Manager at its principal office or such other address as specified by the Manager by courier, email or telecommunication facilities. A closing

under this Offering shall occur on the first business day of any month or such other time as the Manager may determine from time to time (each a "**Closing Date**").

Purchases of Class A Units, Class D Units, Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units may be effected through the settlement network operated by Fundserv Inc. using the following codes:

Class A Units: TBR 400

Class D Units: TBR 503

Class F Units: TBR 007

Class I Units: TBR 505

Class J Units: TBR 506

Class UF Units: TBR 507

Class UJ Units: TBR 508

Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units may be purchased directly through the Manager. Investors who wish to purchase Units will be required to enter into a Subscription Agreement with the Partnership in the form prescribed by the Partnership from time to time (the "**Subscription Agreement**"). The Subscription Agreement contains, among other things, representations and warranties required to be made by the Investor in respect of the purchase. Units will only be sold to individuals, corporations and trusts that are permitted to purchase them under applicable securities laws and who certify in the Subscription Agreement that such purchaser, or any ultimate purchaser for which such purchaser is acting as agent is an "accredited investor", as that term is defined in NI 45-106, or is purchasing pursuant to the minimum amount investment exemption or the offering memorandum exemption set out in NI 45-106 (applicable only in Ontario and Québec to "eligible investors" and in British Columbia) and other conditions for such exemptions are satisfied.

Investors should carefully review the terms of the Subscription Agreement for more detailed information concerning the rights and obligations applicable to Investors, the Manager and the Partnership. Execution and delivery of a Subscription Agreement will bind you to the terms thereof, whether executed by you or by an agent on your behalf.

To acquire Units of the Partnership, an Investor must:

(a) complete and sign the form of Subscription Agreement relevant to the Class being purchased specifying the investment amount and class of Units being subscribed for (the Partnership reserves the right to use different forms of Subscription Agreements for different Investors) and whether, if such Investor is an Eligible Holder, such Eligible Holder elects not to participate in the DRIP together with all applicable forms and certificates as contemplated under the Subscription Agreement (including but not limited to those set out in Schedule A to the Subscription Agreement);

(b) deliver or make arrangement to make available, no later than 5:00pm (Toronto time) at least two Business Day prior to the Closing Date, payment of the subscription price for the Units subscribed for, either directly or through his or her qualified representative, to the Manager by wire transfer or such other method as directed by the Manager as set out in the Subscription Agreement; and

(c) deliver to the Manager those documents outlined in (a) to (b) above (as applicable) and any other forms, declarations and documents as may be required by the Manager or the Investor's qualified representative to complete the subscription.

Units may be purchased as at any Closing Date at a purchase price per Unit equal to the applicable Class NAV per Unit (unless the General Partner determines otherwise), if the Manager receives or arrangement have been made to make available through the facilities of Fundserv or directly the required payment no later than 5:00 p.m. (Toronto time) at least two business day prior to the Closing Date. The subscription price per Unit will be an amount equal to the Class NAV per Unit on the last Business Day prior to the Closing Date (unless the General Partner determines otherwise). The subscription price for the Class A Units, Class D Units, Class F Units, Class I Units, Class J Units will be payable in Canadian dollars. The subscription price for the Class UF Units and Class UJ Units will be determined in Canadian dollars but will be payable in U.S. dollars based on the closing exchange rate published by the Bank of Canada (the "**Exchange Rate**") on the last Business Day prior to the Closing Date. On or after the Closing

Date, the aggregate subscription price received from Investors who invest in Class UF Units or Class UJ Units will be converted into Canadian dollars based on the Exchange Rate on the last Business Day prior to the Closing Date and such proceeds will be invested by the Partnership. Any distribution payable in respect of the Class UF Units or Class UJ Units will be calculated in Canadian dollars and will be paid in U.S. dollars based on the Exchange Rate on the date on which the distribution is paid to holders of Class UF Units or the Class UJ Units, as applicable. In addition, the Class Net Asset Value for the Class UF Units and the Class UJ Units will, on a monthly basis, be calculated in Canadian dollars and will be reported in U.S. dollars based on the Exchange Rate on the applicable Valuation Date on which the Class Net Asset Value is calculated (the "**US Dollar Net Asset Value**"). Any redemption price payable in respect of Class UF Units or Class UJ Units will be paid in U.S. dollars based on the applicable US Dollar Class Net Asset Value.

Subscriptions for Units will be received subject to rejection or allotment in whole or in part by the Manager and the Manager reserves the right to close the subscription books at any time without notice. A subscription for Units hereunder is subject to acceptance of a Subscription Agreement by the Partnership and compliance with applicable securities laws.

Proceeds will be held until at least midnight on the second Business Day after the Investor signs and delivers the Subscription Agreement and wire transfers the proceeds for the Units. Thereafter, the proceeds received from Investors who purchase Units under this Offering will be held in trust and only released against the issuance of the Units subscribed for. In the event the Offering is terminated prior to closing, the proceeds under this Offering received from each Investor shall be returned to such Investor without interest or deduction.

Settlement of the subscription price for Units purchased through Fundserv Inc. will transact through Fundserv Inc. five Business Days after monthly closings.

Units purchased pursuant to this Offering will be issued by the Administrator on behalf of the Partnership only after the settlement of the subscription price has been completed.

Units issued by the Administrator will be represented by a book entry in a book-based system maintained by the Administrator on behalf of the General Partner. Certificates evidencing ownership of the Units will not be issued to Unitholders unless specifically requested.

5.3 Minimum Subscription Amount

The minimum amount of Class A Units, Class D Units, Class F Units and Class UF Units that may be subscribed for by any one Investor is $5,000.

The minimum subscription amount for Class J Units and Class UJ Units is $5,000,000 unless the General Partner determines otherwise (such minimum subscription amount for Class J Units and Class UJ Units to be satisfied either on a per Investor basis or through the aggregation of certain subscriptions of Investors that have been effected by an advisor or dealer).

An Investor will become eligible to hold Class J Units or Class UJ Units (as applicable) once the aggregate value of all Class F Units or Class UF Units (as applicable) held by all investor accounts of an investment advisor (an "**Advisor Group**") is at least $5,000,000.

If, from time to time, the Partnership recognizes and determines that the $5,000,000 threshold has been met by the investor accounts that qualify to be part of a particular Advisor Group, the Partnership will exercise the mandatory reclassification right to reclassify all of the Class F Units or the Class UF Units (as applicable) held by the Investors in such Advisor Group into Class J Units or the Class UJ Units (as applicable) on the first day of the month immediately following the month in which such recognition and determination was made by the Partnership (the "**participation date**"). If, at any time, an investment advisors believes that an Advisor Group has met the $5,000,000 threshold but the Partnership has not automatically reclassified the Class F Units or the Class UF Units (as applicable) held by the Investors in such Advisor Group, the investment advisor may by written notice advise the Partnership of such fact and disclose the investor accounts that the investment advisor believes qualify to be part of the Advisor Group. If such Advisor Group meets the $5,000,000, the Partnership will reclassify all of the Class F Units or the Class UF Units (as applicable) held by the Investors in such Advisor Group into Class J Units or the Class UJ Units (as applicable) on the participation date.

After the participation date, the aggregate value of all Class J Units or Class UJ Units (as applicable) held by an Advisor Group must be at least $5,000,000 at all times. If, after the participation date, an Advisor Group falls below the $5,000,000 threshold the Partnership will provide written notice to the investment advisor of such Advisor

Group and the investment advisor will have a period of 90 days to remedy the default. The first business day following the date on which this threshold is met will be the new participation date in respect of the investment advisor's Advisor Group. If the Advisor Group fails to meet this threshold after such 90 days period, the Partnership will immediately reclassify all of the Class J Units or Class UJ Units (as applicable) held by the Advisor Group into Class F Units or the Class UF Units (as applicable). For further details of such Reclassification Rights see "Item 2.7.1 – Limited Partnership Agreement - Reclassification of Units".

The calculation of the total investments of an Advisor Group or any one Investor, as applicable, for the purposes of determining whether the Advisor Group or any one Investor, as applicable, maintains the $5,000,000 threshold and remains eligible to hold Class J Units or Class UJ Units (as applicable) will be made as follows:

(a) only redemptions will decrease the amount of total investments of a particular Advisor Group or Investor, as applicable, for the purposes of the calculation;

(b) market value fluctuations will not result in increases or decreases of the amount of total investments of a particular Advisor Group or Investor, as applicable, for the purposes of the calculation; and

(c) additional subscriptions will increase the amount of total investments of a particular Advisor Group or Investor, as applicable, including as a result of participation in the DRIP.

The reclassified Units will be subject to the fees and other terms and conditions applicable to Class F Units, Class J Units, Class UF Units or Class UJ Units, as applicable. See " Item 2.7.1 – Limited Partnership Agreement - Fees and Expenses".

ITEM 6 - CERTAIN CANADIAN FEDERAL INCOME TAX CONSIDERATIONS

You should consult your own professional advisors to obtain advice on the tax consequences that apply to you. All Investors are responsible for the preparation and filing of their own tax returns in respect of this investment. Costs associated with the preparation and filing of such returns may be material.

The following is, as of the date of this Confidential Offering Memorandum, a summary of the principal Canadian federal income tax considerations generally applicable under the Tax Act to a Unitholder of acquiring, holding and disposing of Units acquired pursuant to this Confidential Offering Memorandum and who, for purposes of the Tax Act and at all relevant times, is Resident, holds the Units as capital property and deals at arm's length and is not affiliated with the Partnership. Generally, Units will be considered to be capital property to a Unitholder provided the Unitholder does not hold the Units in the course of carrying on a business and has not acquired the Units in one or more transactions considered to be an adventure or concern in the nature of trade.

This summary is not applicable to a Unitholder (i) that is a "financial institution" (as defined in the Tax Act) for purposes of the mark-to-market rules; (ii) that is a "specified financial institution" (as defined in the Tax Act); (iii) an interest in which is a "tax shelter investment" (as defined in the Tax Act); (iv) who has elected to report its Canadian tax results in a currency other than Canadian dollars; (v) that has, directly or indirectly, a "significant interest" as defined in subsection 34.2(1) of the Tax Act in the Partnership; (vi) that is exempt from tax under the Tax Act; or (vii) to whom any affiliate of the Partnership is a "foreign affiliate" for the purposes of the Tax Act. In addition, this summary does not address the deductibility of interest by a Unitholder who has borrowed money to acquire Units. Such Investors should consult their own tax advisors, including with respect to the deduction of interest on money borrowed to acquire Units.

This summary assumes that at all material times no interest in any member of the Partnership will be a "tax shelter investment", as defined in the Tax Act, that Units will not be acquired with financing for which recourse is, or is deemed to be, limited for purposes of the Tax Act and that no more than 50% of the Units will be held by "financial institutions" as defined in the Tax Act. If an interest in a Unitholder becomes a tax shelter investment, a Unitholder finances an acquisition of Units with limited-recourse financing or if more than 50% of the Units are held by "financial institutions", there may be adverse tax consequences to the Unitholders and to the Partnership. The foregoing assumptions are reasonable in light of restrictions in the Limited Partnership Agreement and based upon the Manager's diligence of such matters in relation to the Unitholders at the time Units are subscribed for.

This summary also assumes that at all times each member of the Partnership will be a Resident and that the Partnership will not be a "SIFT partnership" as defined in the Tax Act. If the Units (or any liability of the Partnership

or any other "investment" (as defined in the Tax Act) therein) were listed or traded on a stock exchange or other public market and the Partnership holds "non-portfolio property" then the Partnership would be a SIFT partnership and the Canadian federal income tax considerations described below would be materially different. A stock exchange or other public market includes a trading system or other organized facility on which securities that are qualified for public distribution are listed or traded, but does not include a facility that is operated solely to carry out the issuance of a security or its redemption, acquisition or cancellation by the issuer. It is not expected that the Units (or any liability of the Partnership or any other "investment" (as defined in the Tax Act) therein) will be listed or traded on a stock exchange or other public market. Accordingly, the Partnership should not be a SIFT partnership.

This summary also assumes that the Partnership is not a "tax shelter" or a "tax shelter investment", each term as defined in the Tax Act. However, no assurance can be given in this regard.

This summary is based upon the facts set out in this Confidential Offering Memorandum, the provisions of the Tax Act in force as of the date hereof, all specific proposals to amend the Tax Act that have been publicly announced and published in writing prior to the date hereof by or on behalf of the Minister (the "**Tax Proposals**") and our understanding of the current administrative policies and assessing practices of the Canada Revenue Agency ("**CRA**") published in writing by it and publicly available prior to the date hereof. This summary is not exhaustive of all possible Canadian federal income tax considerations and, except for the Tax Proposals, does not take into account or anticipate any changes in the law, whether by legislative, governmental or judicial action, nor does it take into account other federal tax considerations or any provincial, territorial or foreign tax considerations, which may differ significantly from those discussed herein. There can be no assurance that the Tax Proposals will be enacted as proposed or at all.

This summary is of a general nature only and is not intended to be legal or tax advice to any particular purchaser of Units. Consequently, prospective purchasers should seek independent professional advice regarding the income tax consequences of investing in the Units, having regard to their own particular circumstances.

Computation of Income

The Partnership is not itself generally liable for income tax. However, the Partnership must compute its income or loss for each fiscal period as though it were a separate person resident in Canada and file an annual information return. The fiscal period of the Partnership ends on December 31 each year. Subject to the detailed comments below, each Unitholder is required to include (or entitled to deduct) in computing his, her or its income (or loss), his, her or its share of the income (or loss) of the Partnership allocated to him, her or it pursuant to the Limited Partnership Agreement for the fiscal period of the Partnership ending in the Unitholder's taxation year, regardless of whether such income has been distributed and whether foreign or other withholding taxes have been withheld therefrom.

The income of the Partnership as determined for purposes of the Tax Act may differ from its income as determined for accounting purposes and may not be matched by cash distributions. In addition, for purposes of the Tax Act, all income (or losses) of the Partnership must be calculated in Canadian currency. Where the Partnership holds investments denominated in U.S. dollars or other foreign currencies, gains and losses may be realized by the Partnership as a consequence of fluctuations in the relative values of the Canadian and foreign currencies.

In computing its income or loss the Partnership is entitled to deduct expenses incurred by it in the fiscal period in which they are incurred to the extent such expenses are reasonable in amount and their deduction is permitted by the Tax Act.

Generally, expenses incurred by the Partnership in the course of issuing the Units are deductible over a five-year period (subject to pro-ration for short fiscal periods of the Partnership). In general, a Unitholder's share of any income or loss of the Partnership from any source or from sources in a particular place (including interest and dividend income of the Partnership) will be treated as if it were the income or loss from that source or from sources in that particular place and any provisions of the Tax Act applicable to that type of income or loss will apply to the Unitholder.

Losses from a business or property allocated by the Partnership to a Unitholder are deductible only to the extent of the Unitholder's "at-risk amount" within the meaning of the Tax Act. Such losses (a "**limited partnership loss**") from the Partnership that are not deductible by a Unitholder because they exceed the Unitholder's at-risk amount at the particular time generally may be carried forward indefinitely and may be deducted against income only to the extent the Unitholder has an at-risk amount in a subsequent year. Where the Unitholder is itself a partnership, the

limited partnership loss is generally denied. Where the Partnership holds a particular investment through a subsidiary limited partnership the availability of a limited partnership loss may be restricted or denied.

In general, a Unitholder's at-risk amount, subject to the detailed provisions of the Tax Act, is the adjusted cost base of his Units at the relevant time (plus, where that time is the end of the Partnership's fiscal period, income allocated to the Unitholder for that fiscal period), less any amounts owing by the Unitholder (or by a person or partnership that does not deal at arm's length with the Unitholder) to the Partnership (or to a person or partnership that does not deal at arm's length with the Partnership) and less any amount or benefit provided to the Unitholder (or to a person or partnership that does not deal at arm's length with the Unitholder) for the purpose of protecting the Unitholder against any loss the Unitholder may sustain as a consequence of being a member of the Partnership or holding or disposing of a Unit.

Subject to the comments above, a Unitholder may apply his share of losses allocated to him by the Partnership to reduce net income for the relevant taxation year and, to the extent such losses exceed net income for the year, they may generally be applied in the three previous taxation years or the twenty subsequent taxation years.

Foreign taxes paid by the Partnership and taxes withheld at source (other than for the account of a particular Unitholder) are allocated pursuant to the Limited Partnership Agreement. Each Unitholder's share of the "business-income tax" and "non-business-income tax", each as defined in the Tax Act, paid in a foreign country for a year is creditable against its Canadian federal income tax liability to the extent permitted by the detailed rules contained in the Tax Act. Although the foreign tax credit provisions are designed to avoid double taxation, the maximum credit is limited. Because of this, and because of timing differences in recognition of expenses and income and other factors, there is a risk of double taxation. The Tax Act contains anti-avoidance provisions which address certain foreign tax credit generator transactions (the "**Foreign Tax Credit Generator Rules**") which can limit a Unitholder's foreign tax credits in certain circumstances. No assurance can be given that the Foreign Tax Credit Generator Rules will not apply to any Unitholder. Unitholders should consult their own tax advisors regarding the potential application of these rules.

The Tax Act contains rules relating to investments in non-resident entities that could, in certain circumstances, cause income to be imputed to the Partnership. These rules would apply if it is reasonable to conclude, having regard to all the circumstances, that one of the main reasons for the Partnership acquiring or holding an investment in a non-resident entity is to derive a benefit from "portfolio investments" as defined in the Tax Act in such a manner that taxes under the Tax Act on income, profits and gains for any year are significantly less than they would have been if such income, profits and gains had been earned directly. No assurance can be given that such rules in the Tax Act will not apply to the Partnership. If these rules apply to the Partnership, income will be imputed to the Partnership and allocated to the Unitholder in accordance with the rules in the Tax Act. These rules are complex and Unitholders should consult their own tax advisors regarding the potential application of these rules.

Disposition of Units

A disposition or deemed disposition by a Unitholder of Units should generally result in a capital gain (or capital loss) to the Unitholder to the extent the proceeds of disposition of such Units, net of reasonable disposition costs, exceed (or are exceeded by) the adjusted cost base of the Units. The treatment of capital gains and losses is described below under the heading "Item 6 – Certain Canadian Federal Income Tax Considerations - Capital Gain (Loss)".

Determination of Adjusted Cost Base of Units

In general, the adjusted cost base of a Unitholder's Units of a particular class at a particular time is equal to the subscription price of such Units, plus income of the Partnership for purposes of the Tax Act that has been allocated to the Unitholder for completed fiscal periods in respect of such Units, minus losses of the Partnership for purposes of the Tax Act allocated to the Unitholder for completed fiscal periods in respect of such Units and minus distributions received by the Unitholder from the Partnership before the particular time in respect of such Units. Losses which are not deductible because a Unitholder does not have a sufficient at-risk amount will not reduce the adjusted cost base of Units. Pursuant to the adjusted cost base averaging provisions of the Tax Act, the cost of all Units of a particular class held by the Unitholder as capital property at that time generally must be averaged to determine the adjusted cost base under the Tax Act of each such Unit held by the Unitholder. If a Unitholder disposes of all of his, her or its Units, income or loss of the Partnership for purposes of the Tax Act allocated to the Unitholder for the year of disposition is added to or subtracted from the Unitholder's adjusted cost base of the Unitholder's Units as if that year was a completed fiscal year.

The foregoing discussion of the calculation of the adjusted cost base of a Unit assumes that each class of partnership interests in the Partnership is treated as separate property for purposes of the Tax Act. However, the CRA's position is to treat all of the different types of interests in a partnership that a partner may hold as one capital property, including for purposes of determining the adjusted cost base of all such partnership interests. As a result, on a disposition of a particular class of Unit, a partner's total adjusted cost base is required to be allocated in a reasonable manner to the particular type of Unit being disposed of. CRA acknowledges that there is no particular method for determining a reasonable allocation of the adjusted cost base of a partnership interest to the part of the partnership interest that is disposed of. Furthermore, more than one method may be reasonable. If the CRA's position applies, on a disposition by a Unitholder of a particular class of Units of the Partnership, the Unitholder should generally be able to allocate his or her adjusted cost base in a manner that treats the different classes of Units of the Partnership as separate property. Accordingly, the General Partner intends to provide Unitholders with partnership information returns using such allocation.

If, at the end of any fiscal period of the Partnership, a Unitholder's adjusted cost base of Units is a negative amount, such negative amount is deemed to be a capital gain of the Unitholder from a disposition of the Units and the adjusted cost base of the Unitholder's Units will be nil at the beginning of the next fiscal period of the Partnership.

A Unitholder that is an individual and certain types of trusts may be liable for alternative minimum tax as a result of realizing a capital gain. A Unitholder that is a "Canadian-controlled private corporation" (within the meaning of the Tax Act) is liable to pay an additional refundable tax on certain investment income, including taxable capital gains and income from property other than certain dividends.

Special Redemptions

The redemption of Voting Units in consideration for Trust Units pursuant to a Special Redemption is a disposition of the Voting Units for proceeds of disposition equal to the fair market value of the Voting Units being redeemed. Such amount will be the cost to the Unitholder of Trust Units acquired on the Special Redemption. See "Item 6 – Certain Canadian Federal Income Tax Considerations - Disposition of Units" above.

Reclassification of Units

The reclassification of a Unit (the "**original Unit**") of a particular class into a Unit of another class of the Partnership may be considered to be a disposition of the original Unit by the Unitholder.

The CRA's position is that the conversion of an interest in a partnership into another interest in the partnership may result in a disposition of the partnership interest by the holder if the conversion results in a significant change in the rights and obligations of the holder in respect of the converted interest. While the determination of whether a significant change in the rights has occurred is a question of fact that will depend upon the facts and circumstances that exist at the time of a reclassification, the economic rights of the different classes of Units of the Partnership are expected to be substantially similar so that a disposition is not expected to occur upon a reclassification of the Units.

Distribution Reinvestment Plan

As described above, distributions (including those used to repurchase additional Units under the DRIP) from the Partnership reduce the adjusted cost base of the Unitholder's Units by the amount of such distributions. Upon the purchase of new Units on the reinvestment of the distributions under the DRIP, the amount so reinvested will become the cost of such new Units to the Unitholder, subject to the discussion above (see "Item 6 – Certain Canadian Federal Income Tax Considerations - Determination of Adjusted Cost Base of Units").

Capital Gain (Loss)

One–half of any capital gain realized by a Unitholder from a disposition or deemed disposition of Units in a taxation year must be included in computing the holder's income for that year as a taxable capital gain. One–half of a capital loss realized in a taxation year from a disposition or deemed disposition of Units must be deducted as an allowable capital loss against taxable capital gains realized in that year, and to the extent such allowable capital losses exceed taxable capital gains in the year, may be applied against net taxable capital gains realized in any of the three taxation years preceding that year or any subsequent taxation year, subject to certain restrictions contained in the Tax Act.

If a Unitholder disposes of Units to a person who is a non-resident of Canada, a person exempt from tax under section 149 of the Tax Act, or to certain partnerships or trusts, additional rules may apply to increase the amount

included in a Unitholder's income. Unitholders should consult their own tax advisors concerning the potential application of such rules in their particular circumstances.

Filing Requirements

Each Unitholder is generally required to file an income tax return and must report the Unitholder's share of the income or loss of the Partnership in such return. While the Partnership provides the Unitholders with information required for income tax purposes pertaining to their investment in Units, the Partnership does not prepare or file income tax returns on behalf of any Unitholder. Each person who is a member of the Partnership in a year is also required to file an information return in respect of the activities of the Partnership. However, a return made by any partner is deemed to have been made by each member of the Partnership. Pursuant to the terms of the Limited Partnership Agreement, the General Partner is required to file the necessary information returns under the Tax Act.

Deferred Plans

Units are not a "qualified investment" for a trust governed by a registered retirement savings plan, a registered retirement income fund, a registered education savings plan, a deferred profit sharing plan, a registered disability plan or a tax-free savings account (each a "**Registered Plan**") for purposes of the Tax Act.

Tax Shelter Rules

The Tax Act contains "tax shelter" rules that require the promoter of a "tax shelter" to apply to the CRA for an identification number for the tax shelter. A tax shelter may include a partnership interest where it can reasonably be considered, having regard to statements or representations made in connection with the partnership interest, that within the period ending upon the latest taxation year ending within four years after the day on which the interest is acquired, the losses and other amounts in respect of the partnership interest represented to be deductible in computing income will equal or exceed the cost (net of any prescribed benefits) of the partnership interest to the partner. It is our view that Units should not constitute a tax shelter, and consequently no application to the CRA has been made for a tax shelter identification number for the Partnership.

ITEM 7 - COMPENSATION PAID TO SELLERS AND FINDERS

There is no compensation, commission or finder's fee payable in respect of the Units sold pursuant to this Offering. However, the Partnership does pay to the Manager, who pays each registered dealer whose clients hold Class A Units or Class D Units a Trailer Fee. See "Item 2.7.1 – Limited Partnership Agreement – Fees and Expenses – Trailer Fees".

ITEM 8 - RISK FACTORS

There are certain risks inherent in an investment in the Units of the Partnership, including the following risk factors, which investors should carefully consider before investing. Some of the following factors are interrelated and, consequently, investors should treat such risk factors as a whole. The following information is a summary only of certain risk factors and is qualified in its entirety by reference to, and must be read in conjunction with, the detailed information appearing elsewhere in this Confidential Offering Memorandum. These risks and uncertainties are not the only ones that could affect the Partnership and additional risks and uncertainties not currently known to the Partnership or the Manager, or that they currently deem immaterial, may also impair the returns, NAV, financial condition and results of operations of the Partnership. If any such risks actually occur, the returns, NAV, financial condition and results of operations of the Partnership could be materially adversely affected and the financial performance of the Partnership and the ability of the Partnership to make cash distributions, achieve its investment objectives and/or satisfy requests for redemptions of Units could be materially adversely affected.

No Assurance of Achieving Investment Objectives

There is no assurance that the Partnership will be able to achieve its investment objectives or be able to pay distributions at targeted levels. The funds available for distribution to Unitholders will vary according to, among other things, the interest, dividends and distributions received in respect of its Portfolio investments and the market value of the securities comprising the Portfolio. There is no assurance that the Partnership will earn any return.

An investment in the Partnership is appropriate only for investors who have the capacity to absorb a loss of some or all of their investment and who can withstand the effect of distributions not being paid in any period or at all.

Fluctuations in NAV

The NAV applicable to Units and the funds available for distributions will vary according to, among other things, the value of the assets held within the Portfolio and the amount of distributions, interest and dividends received from investments held by the Partnership in the Portfolio. Fluctuations in the market value of the Portfolio assets may occur for a number of reasons beyond the control of the Manager.

Illiquidity of Units

There is not now, and there is not likely to develop, any market for the resale of the Units. The Units have not been qualified for sale by prospectus under the securities laws of any of the relevant offering jurisdictions. Accordingly, Units may not be transferred unless appropriate prospectus exemptions from applicable securities laws are available and the transferee is an eligible investor.

Under certain conditions, redemptions may be restricted or temporarily suspended by the Manager at any time. Unitholders requesting redemptions may therefore potentially experience delays in receiving redemption payments. An investment in Units is hence suitable only for sophisticated investors who do not need liquidity with respect to this investment.

Performance of the Portfolio

The Class NAV per Unit varies as the fair value of the assets in the Portfolio varies. The Partnership has no control over the factors that affect the fair value of the assets in the Portfolio, including factors that affect the private real estate and equity markets generally, such as general economic and political conditions and fluctuations in interest rates, and factors unique to each issuer included in the Portfolio, such as changes in management, changes in strategic direction, achievement of strategic goals, mergers, acquisitions and divestitures, changes in distribution policies and other events that may affect the value of its securities. Some global economies are experiencing significantly diminished growth and some may suffer or are suffering a recession. No assurance can be given that diminished availability of credit and significant equity devaluations will not adversely affect the markets into which the Partnership invests in the near to medium term.

Equity Risk

The value of an equity security changes with the fortunes of the company that issued such equity securities. General market conditions and the health of the economy as a whole can also affect equity prices. Equity related securities that provide indirect exposure to the equity securities of an issuer, such as convertible debentures, can also be affected by equity risk. Present economic conditions may adversely affect companies and the pricing of their securities. Further continued volatility or illiquidity could impair materially the profitability of these issuers.

Reliance on the Manager

Unitholders are dependent on the ability of the Manager to effectively manage the Partnership in a manner consistent with the investment objectives, strategy and restrictions of the Partnership. Performance of the investments in the Portfolio is dependent on the Manager, who is principally responsible for providing administration and portfolio advisory services to the Partnership. In addition, although the key management personnel and the directors of the Manager have extensive experience, there is no certainty that such individuals will continue to act in such capacity in the future.

Distributions

The manner and timing of distributions by the Partnership to the Partners is in the sole discretion of the General Partner. Any amount withheld by the General Partner and paid over to a taxing authority is treated as actually distributed to the Partner in respect of whom such withholding and payment was made.

Sensitivity to Interest Rates

The value of the Units may be affected by the level of interest rates prevailing from time to time. In addition, any decrease in the NAV resulting from an increase in interest rates may also negatively affect the value of the Units. Unitholders are therefore exposed to the risk that the Class NAV per Unit or the market price of the Units may be negatively affected by interest rate fluctuations.

Limited Information Regarding Private Issuers

The Partnership's Portfolio may consist of securities issued by privately held issuers. There is generally little or no publicly available information about such issuers and the Partnership must rely on the diligence of the Manager

to obtain the information necessary for the Partnership's decision to invest in them. There can be no assurance that the diligence efforts of the Manager will uncover all material information about the privately held business necessary for the Partnership to make a fully informed investment decision.

Risks Relating to Real Estate

The Partnership is invested primarily in the securities of issuers active in the real estate sector. The assets, earnings and securities values of the issuers involved in the real estate sector are influenced by a number of different factors including economic cycles, inflation, the cost of capital available to real estate issuers, the level of short and long-term interest rates, the timing of increases in supply, consumer confidence, investor confidence in competing asset classes, demographic trends, the policies of various levels of governments and the economic well-being of industries such as retail and tourism.

Real estate issuers generally are subject to certain risks related to their direct ownership of real estate. Real property investments are affected by general economic conditions, local real estate markets, supply and demand for leased premises, competition for other available premises and various other factors. The value of real property and any improvements thereto may also depend on the credit and financial stability of the tenants and upon the vacancy rates of the underlying property portfolio.

There are certain types of risks relating to the ownership of real estate, generally of a catastrophic nature, such as wars, terrorism or environmental contamination, which may be either uninsurable or not insurable on an economically viable basis. In addition, environmental laws may render a real estate issuer liable for the costs of removal of certain hazardous substances and the remediation of certain hazardous locations.

Real estate ownership may also require certain significant expenditures, including property taxes, maintenance costs, mortgage payments, insurance costs and related charges regardless of whether property is producing income.

Changes in Real Estate Value

The Partnership invests in equity and debt backed by real estate, the value of which can fluctuate. The value of real estate is affected by general economic conditions, local real estate markets, the attractiveness of the property to tenants where applicable, competition from other available properties, fluctuations in occupancy rates, operating expenses and other factors. The value of income-producing real property may also depend on the credit worthiness and financial stability of the borrowers and/or the tenants. In respect of the Partnership's debt investments, changes in market conditions may decrease the value of the secured property and reduce the cash flow from such properties, thereby impacting on the ability of the borrowers to service the debt and/or repay the loan based on the property income. In particular, recent disruptions to the credit and financial markets in Europe and worldwide and local economic disruptions in areas where the borrowers may be located may adversely affect the value of real estate on which the loans are secured and the ability of the borrowers to repay the loans and thereby negatively impact on the Partnership's investments and the value of the Portfolio.

Mortgage Defaults and Leverage Risks

Issuers whose securities are included in the Portfolio and which invest in mortgages are subject to the risk that the borrowers under such mortgages may default. If any such borrowers default under any such mortgage, the issuer would have the right to exercise its mortgage enforcement remedies. Exercising mortgage enforcement remedies is a process that requires a significant amount of time to complete, which could adversely impact the cash flows of the issuer during the period of enforcement. In addition, as a result of potential declines in real estate values, there is no assurance that the issuer would be able to recover all or substantially all of the outstanding principal and interest owed to it by exercising its mortgage enforcement remedies. Should any such issuer be unable to recover all or substantially all of the principal and interest owed to it in respect of any such mortgage, the returns, financial condition and results of operations of the issuer would be adversely impacted and the NAV may be negatively impacted.

In addition, the issuers whose securities are included in the Portfolio may from time to time incur mortgage debt over their properties, and may also employ leverage for various purposes, resulting in the issuers being exposed to leverage risk. Leverage risk refers to the risk that leverage created from borrowing may impair an issuer's liquidity, cause it to liquidate positions at an unfavorable time, reduce distributions paid by the issuer and increase the volatility of the values of securities issued by the issuer. To the extent that an issuer uses significant leverage, it may incur substantial losses if its borrowing costs increase or it may be adversely affected if credit is not available due to global economic conditions or other factors. During periods of adverse market conditions, the use of leverage may cause an issuer to lose more money than would have been the case if a mortgage or leverage was not utilized. If an issuer

defaults under a mortgage and/or other credit or borrowing facility, the assets of the issuer pledged as security to the lender may be subject to foreclosure or realization by the lender. Accordingly, the value of the issuer's securities may decrease or possibly become worthless, and the returns, financial condition and results of operations of the issuer could be adversely impacted or impaired, thereby negatively impacting the NAV.

Foreign Market Exposure

The Partnership's investments, at any particular time, include securities of issuers established in jurisdictions outside Canada and the United States. Although most of such issuers are subject to uniform accounting, auditing and financial reporting standards comparable to those applicable to Canadian and U.S. companies, some issuers may not be subject to such standards and, as a result, there may be less publicly available information about such issuers than a Canadian or U.S. company. Volume and liquidity in some foreign markets may be less than in Canada and the United States and, at times, volatility of price may be greater than in Canada or the United States. As a result, the price of such securities may be affected by conditions in the market of the jurisdiction in which the issuer is located or its securities are traded. Investments in foreign markets carry the potential exposure to the risk of political upheaval, acts of terrorism and war, all of which could have an adverse impact on the value of such securities.

Use of Leverage by the Partnership

The use of leverage by the Partnership may result in capital losses or a decrease in distributions to Unitholders. If the value of the Portfolio decreases such that the amount borrowed by the Partnership exceeds 40% of the aggregate value of the assets of the Partnership, the Partnership may be required to take measures in order to comply with such restriction. The interest expense and banking and other fees incurred in respect of any loan facility or prime brokerage facility entered into by the Partnership will decrease the value of the assets of the Partnership, thereby reducing the amounts available to pay distributions on the Units. In addition, the Partnership may not be able to renew any borrowings on acceptable terms or at all. There can be no assurance that the borrowing strategy employed by the Partnership will assist the Partnership in achieving its objectives.

Use of Derivative Instruments

The Partnership may utilize derivatives for hedging purposes. The use of derivative instruments involves risks different from and possibly greater than, the risks associated with investing directly in securities and other traditional investments. Risks associated with the use of derivatives include: (i) hedging to reduce risk does not guarantee that there will not be a loss or that there will be a gain; (ii) there is no guarantee that a market will exist when the Partnership wants to complete the derivative contract, which could prevent the Partnership from reducing a loss or making a profit; (iii) securities exchanges may impose trading limits on options and futures contracts, and these limits may prevent the Partnership from completing the derivative contract; (iv) the Partnership could experience a loss if the counterparty (which includes a clearing corporation, in the case of exchange-traded instruments, or other third party in the case of over-the-counter instruments) to the derivative contract is unable to fulfill its obligations; and (v) if the Partnership has an open position in an option, a futures contract or a forward contract with a dealer who goes bankrupt, the Partnership could experience a loss and, for an open futures or forward contract, a loss of margin deposits with that dealer. In circumstances where there is an interest rate hedge employed, total return on the Portfolio may be higher with the hedge than without it when interest rates rise significantly, but total return may be lower than it otherwise would be in a stable to falling interest rate environment.

Use of Short Selling

Selling securities short may result in the loss of an amount greater than the amount invested since there is theoretically no limit to the price to which securities that have been sold short may rise before the short position is closed out. In addition, the supply of securities which can be borrowed in order to maintain short positions fluctuates from time to time. There is no assurance that the lender of securities or financial instruments will not require the security to be repaid before the Manager wishes to do so, thereby requiring the Partnership to borrow the security elsewhere or purchase the security in the market at an unattractive price. In addition, the borrowing of securities entails the payment of a borrowing fee. There is no assurance that any borrowing fee will not increase during the borrowing period, adding to the expense of a short sale strategy. In addition, there is no assurance that a security sold short can be repurchased due to supply and demand constraints in the marketplace.

In situations where the Partnership engages in short selling in connection with pairs trading, while market risk would be hedged out, the Partnership would still be exposed to stock specific risk, specifically that the stock the Partnership is short outperforms the stock that the Partnership is long which could offset some or all of the benefit in the yield differential.

Securities Lending

The Partnership may engage in securities lending. Although it does receive collateral for the loans and such collateral is marked-to-market, the Partnership is exposed to the risk of loss should the borrower default on its obligation to return the borrowed securities and the collateral be insufficient to reconstitute the loaned securities.

Currency Exposure

As the Portfolio is from time to time invested in securities denominated in US dollars and other foreign currencies, the NAV of the Partnership, when measured in Canadian dollars, will, to the extent this has not been hedged against, be affected by changes in the value of the US dollar and other foreign currencies relative to the Canadian dollar. The Partnership is not expected to be fully hedged and distributions received on the Portfolio will not be hedged and accordingly no assurance can be given that the Partnership will not be adversely impacted by changes in foreign exchange rates or other factors. The use of hedges, if used, involves special risks, including the possible default by the other party to the transaction, illiquidity and, to the extent the Manager's assessment of certain market movements is incorrect, the risk that the use of hedges could result in losses greater than if the hedging had not been undertaken. Hedging arrangements may have the effect of limiting or reducing the total returns to the Partnership if the Manager's expectations concerning future events or market conditions prove to be incorrect. In addition, the costs associated with a hedging program may outweigh the benefits of the arrangements in such circumstances.

Exchange Rate Risk

Holders of Class UF Units or Class UJ Units are exposed to any currency fluctuations and may be affected by changes in the value of the US dollar relative to the Canadian dollar. Although the subscription price of the Class UF Units and the Class UJ Units will be paid in U.S. dollars, such payments will be converted into Canadian dollar on the same day to satisfy the subscription price. Both distribution and redemption proceeds will be calculated in Canadian dollars and paid in U.S. dollars based on the then current exchange rate, and therefore, given the value of the US dollar relative to the Canadian dollar there may be currency exposure to the holders of Class UF Units and Class UJ Units which may be material.

Redemptions

If holders of a substantial number of Units exercise their redemption rights, the number of Units outstanding and the NAV of the Partnership could be significantly reduced. A significant number of redemptions would increase the management expense ratio of the Partnership. Many investment funds with a quarterly redemption feature have experienced significant redemptions and as a result, some have ceased to be economically feasible and have been terminated or merged with other funds. The General Partner may terminate the Partnership upon notice to Unitholders if, in the opinion of the Manager and/or the General Partner, the NAV of the Partnership is reduced as a result of redemptions or otherwise so that it is no longer economically feasible to continue the Partnership.

Potential Conflicts of Interest

The Manager, its related parties, affiliates , associates directors and officers may engage in the promotion, management or investment management of other accounts, funds or trusts, some of which may invest primarily in the securities held by the Partnership.

Although officers, directors and professional staff of the Manager devote as much time to the Partnership as is deemed appropriate to perform its duties, the staff of the Manager may have conflicts in allocating their time and services among the Partnership and the other funds managed by the Manager.

Fair Allocation of Investment Opportunities

It is the general policy of the Manager that all of its managed accounts that have investment objectives and restrictions that are compatible with a particular investment opportunity should, when practicable, participate pro rata in that investment opportunity based upon, among other things, the relative amount of assets under management in each such account and the relative importance of the investment opportunity to the fulfillment of each such account's investment objective. Accordingly, the Manager generally presents to the Partnership any investment opportunity available to the Manager that is consistent with the investment objectives and restrictions of the Partnership based upon, and subject to, (i) the amount of assets under management on behalf of the Partnership relative to the amount of assets under management on behalf of all other accounts of the Manager that have investment objectives and restrictions that are compatible with the investment opportunity, and (ii) the importance of the investment opportunity to the fulfillment of the investment objective of the Partnership relative to the importance of the investment opportunity

to the fulfillment of the investment objectives of such other accounts of the Manager. An assessment of the relative importance of an investment opportunity to the fulfillment of a client account's investment objectives is dependent upon a number of factors that include the availability of the resources that are required to make the investment, alternative investment opportunities, the composition of the client account's portfolio at the time, the geographic and industry sector exposure associated with the investment opportunity and the liquidity of the account.

As a result of this fair allocation policy, the Partnership may, from time to time, be presented with but yet be precluded from participating in an investment opportunity available to the Manager that would otherwise be compatible with the Partnership's investment objectives and restrictions based upon the Manager's assessment of the relative importance of the investment opportunity to each of its managed accounts, including the Partnership.

Class Risk

The Partnership offers more than one class of Units. Each Class of Units may have its own schedule of fees and expenses that are tracked separately. If there are not sufficient assets attributable to a Class to pay that Class' expenses, the assets attributable to other Classes of Units are used to make up the difference. This reduces the returns realized by holders of Units of those other Classes. This is because the Partnership as a whole is legally responsible for the financial obligations of all of its Classes of Units.

Changes in Legislation

There can be no assurance that income tax, securities and other laws will not be changed in a manner which adversely affects the distributions received by the Partnership or by the Unitholders.

U.S. Withholding Tax Risks and Tax Information Reporting

Pursuant to the Canada-United States Enhanced Tax Information Exchange Agreement entered into between Canada and the United States on February 5, 2014 (the "IGA") and related Canadian legislation in the Tax Act, the Partnership (or dealers through which Unitholders hold their Units) is required to report certain financial information (e.g. account balances) with respect to Unitholders who are U.S. residents and U.S. citizens (including U.S. citizens who are residents and/or citizens of Canada), and certain other "U.S. Persons", as defined under the IGA (excluding "Registered Plans"), to the CRA. The CRA is expected to provide the information to the U.S. Internal Revenue Service.

The Partnership will endeavor to comply with the requirements imposed under the IGA and its implementing provisions under the Tax Act. However, if it cannot satisfy the applicable requirements under the IGA or its implementing provision of the Tax Act and is unable to comply with the requirements under the U.S. Foreign Account Tax Compliance Act of 2009 ("FATCA"), the Partnership may be subject to certain U.S. withholding taxes.

Canada has also implemented the OECD Multilateral Competent Authority Agreement and Common Reporting Standard ("CRS") which provides for the automatic exchange of certain tax information between the tax authorities of participating jurisdictions. Affected investors are required to provide certain information including their tax identification numbers for the purpose of such information exchange.

Tax-Related Risks

The SIFT Measures will apply to a partnership that is a SIFT partnership. It is not expected that the Partnership will be a SIFT partnership for the purposes of these rules because neither the Units nor any liability of the Partnership or any other "investment" (as defined in the Tax Act) therein will be listed or traded on a stock exchange or other public market as defined in the Tax Act. If the SIFT Measures were to apply to the Partnership, the tax consequences to the Partnership and the Unitholders would be materially and in some respects adversely different from those described in this Confidential Offering Memorandum including generally reducing the cash available for distribution to Unitholders.

There can be no assurance that Canadian federal income tax laws and the administrative policies and assessing practices of the CRA (as hereinafter defined) respecting the treatment of partnerships and SIFTs will not be changed in a manner which adversely affects Unitholders.

In determining its income for tax purposes, the Partnership generally treats gains or losses on the disposition of securities in the Portfolio as capital gains and losses. In addition, in accordance with the CRA's published administrative practice, derivatives used to hedge capital items will be treated and reported for purposes of the Tax Act on capital account and its income and capital gains will be reported to Unitholders on this basis. CRA's practice

is not to grant advance income tax rulings on the characterization of items as capital gains or income and no advance income tax ruling has been requested or obtained. If these dispositions or transactions of the Partnership are determined not to be on capital account, the net income of the Partnership for tax purposes and the taxable component of distributions to Unitholders could increase.

Certain issuers of securities included in the Portfolio may be or may become SIFT trusts or SIFT partnerships. In such event, the after-tax returns realized by Unitholders may be reduced to the extent that the Partnership receives distributions of income or capital gains from such SIFT trusts or allocations of income or capital gains from such SIFT partnerships. In addition, as a result of the SIFT Measures, it is possible that SIFT trusts or SIFT partnerships may seek to restructure their affairs and organizational structures in a manner that could have an impact upon the returns to the Partnership.

The Partnership invests in global real estate securities that will be comprised in part of securities of issuers established in jurisdictions outside of Canada or that otherwise hold interests in real property located in jurisdictions outside of Canada. Many foreign countries preserve their right under domestic tax laws and applicable tax conventions ("**Tax Treaties**") with respect to taxes on income and on capital to require the reporting of and/or to impose tax on income or gains derived from securities that, generally, derive their value directly or indirectly principally from real or immovable property situated in such countries, even where such income or gains are realized by or attributable to persons who are not resident in such countries. While the Partnership makes its investments in such a manner as to mitigate the amount of foreign taxes incurred under foreign tax laws, subject to any applicable Tax Treaties, investments in global real estate securities will generally subject the Partnership and/or its Unitholders to foreign taxes on income and/or gains derived therefrom (and may result in potential requirements on the Partnership and/or its Unitholders to file tax or information returns in certain countries in which the Partnership invests). Any foreign taxes incurred will generally reduce the Partnership's cash available for distribution to Unitholders. Foreign taxes incurred may generally be partly or wholly creditable or deductible by Unitholders in Canada, or partly or wholly deductible to the Partnership against its taxable income, depending on the circumstances. The availability of foreign tax credits in respect of foreign source income allocated to a Unitholder by the Partnership, and the availability of foreign tax deductions to a Unitholder, are subject to the detailed rules of the Tax Act and a Unitholder's particular circumstances, including other foreign source income or losses received and foreign taxes paid by the Unitholder.

Liability of Unitholders

Unitholders may lose their limited liability in certain circumstances. The principles of law in the various jurisdictions of Canada recognizing the limited liability of the limited partners of limited partnerships subsisting under the laws of one province or territory but carrying on business in another province or territory have not been authoritatively established. If limited liability is lost, there is a risk that Unitholders may be liable beyond their contribution and share of undistributed net income of the Partnership in the event of judgment on a claim in an amount exceeding the sum of the net assets of the General Partner and the net assets of the Partnership.

In addition, Unitholders remain liable to return to the Partnership such part of any amount distributed to them as may be necessary to restore the capital of the Partnership to the amount existing before such distribution if, as a result of any such distribution, the capital of the Partnership is reduced and the Partnership is unable to pay its debts as they become due.

Nature of the Units

Unitholders do not have the statutory rights normally associated with ownership of shares of a CBCA corporation including, for example, the right to bring "oppression" or "derivative" actions. Unlike shareholders of a CBCA corporation, the Partnership is not be required to hold annual Unitholder meetings and Unitholders do not have a comparable right of a shareholder to make a proposal at a general meeting of the Partnership. The matters in respect of which Unitholder approval is required under the Limited Partnership Agreement are generally less extensive than the rights conferred on the shareholders of a CBCA corporation. Unitholders do not have recourse to a dissent right under which shareholders of a CBCA corporation are entitled to receive the fair value of their shares where certain fundamental changes affecting the corporation are undertaken (such as an amalgamation, the sale of all or substantially all of its property, or a going private transaction). Unitholders similarly do not have recourse to the statutory oppression remedy that is available to shareholders of a CBCA corporation which would apply where the corporation undertakes actions that are oppressive, unfairly prejudicial or disregard the interests of security holders and certain other parties. Shareholders of a CBCA corporation may apply to a court to order the liquidation and dissolution of the corporation in certain circumstances whereas Unitholders may rely only on the general provisions of the Limited Partnership Agreement which permit the dissolution of the Partnership with the approval of an Extraordinary Resolution of the

holders of Voting Units. The CBCA also permits shareholders to bring or intervene in derivative actions in the name of the corporation or any of its subsidiaries, with the leave of a court. The Limited Partnership Agreement does not include comparable rights.

Credit Risk

The investments of the Portfolio in bonds and debentures exposes the Partnership to the credit risk of the underlying issuer including risk of default on interest and principal and the risk that the credit ratings of such issuers may be downgraded in certain circumstances. Certain of the bonds and debentures may be regarded as predominantly speculative with respect to the issuers continuing ability to meet principal and interest payments. They may be more susceptible to real or perceived adverse economic and competitive industry conditions than higher rated securities. The markets on which lower rated bonds and debentures are traded may be less liquid than the markets for investment-grade rated securities. During periods of thin trading in these markets, the spread between bid and ask prices is likely to increase significantly and the Partnership may have difficulty selling such securities. Global financial markets have experienced a significant re-pricing recently that has contributed to a reduction in liquidity and the availability of credit, enhancing the likelihood of default by some issuers due to diminishing profitability or an inability to refinance existing debt. In addition, real or anticipated changes in the credit ratings on bonds and debentures held in the Portfolio may affect the market value of such bonds and debentures.

General Risk of Investing in Debt Instruments

The value of debt instruments is affected by the risk of default in the payment of interest and principal and price changes due to such factors as general economic conditions and the issuer's creditworthiness. Debt instruments may not pay interest or their issuers may default on their obligations to pay interest and/or principal amounts. Certain of the debt instruments that may be included in the Portfolio from time to time may be unsecured, which increases the risk of loss in the case of default or insolvency of the issuer.

Global Financial Developments

Global financial markets have experienced a sharp increase in volatility in recent years. This has been, in part, the result of the revaluation of assets on the balance sheets of financial institutions and related securities. This has contributed to a reduction in liquidity among financial institutions and has reduced the availability of credit to those institutions and to the issuers who borrow from them. While central banks as well as global governments are attempting to restore much needed liquidity to the global economies, no assurance can be given that the combined impact of the significant revaluations and constraints on the availability of credit will not continue to materially and adversely affect economies around the world. Some of these economies have experienced significantly diminished growth and some are experiencing or have experienced a recession. These market conditions and further volatility or illiquidity in financial markets may also adversely affect the prospects of the Partnership and the value of the Portfolio. A substantial drop in the markets in which the Partnership invests could be expected to have a negative effect on the Partnership.

Liquidity of the Securities in the Portfolio

Some of the securities in which the Partnership intends to invest may be thinly traded and some may have no market at all including, but not limited to, the Partnership's private investments and real estate investments. It is possible that the Partnership may not be able to sell portions of such positions without facing substantially adverse prices. If the Partnership is required to transact in such securities or other assets before the end of their intended investment horizon, the performance of the Partnership could suffer.

Global Health Risks

Global health risks, including pandemics, may have a material impact on the global economy. Historically, widespread outbreaks of communicable diseases have affected investment sentiment and caused sporadic volatility in global markets. Such effects will be unevenly distributed across sectors, businesses, and national economies. Any slow-down in business activity may negatively impact liquidity. In addition, solvency concerns can be exacerbated if the situation results in working capital lines being blocked, financial covenants being breached, events of default occurring and/or the triggering of termination payments or other contingent liabilities for non-performance. Such negative changes in the global financial markets, or the national or regional economies in which any of the Partnership's investments do business, may therefore in turn have a material adverse effect on the business of the Partnership or the business of any of its investments.

Risk Rankings

The Manager has determined that if the Partnership was subject to a public risk ranking requirements, it would rank the Partnership's investment risk as Low to Medium. The Manager has identified the investment risk level of the Partnership as an additional guide to help prospective investors decide whether an investment in the Partnership is right for the investor. While the Partnership is not a public investment fund and is not subject to the requirements National Instrument 81-102 - *Investment Funds*, the Manager's determination of the investment risk rating for the Partnership was partially guided by the Investment Risk Classification Methodology in Appendix F of National Instrument 81-102 - *Investment Funds* which is applicable to public mutual funds. The instrument employs historical volatility of a fund as measured by the standard deviation of its performance as a measurement of risk. The use of standard deviation as a measurement tool allows for a reliable and consistent quantitative comparison of a fund's relative volatility and related risk. Standard deviation is widely used to measure volatility of return. A fund's risk is measured using a rolling 10 year standard deviation of monthly returns. The standard deviation represents, generally, the level of volatility in returns that a fund has historically experienced over the measurement period.

For funds which have a historical performance of less than 10 years, an appropriate reference index is used to estimate the expected volatility and therefore risk level of the fund for the remaining period. The Partnership's reference index is a 20% weighting in the FTSE EPRA/NAREIT Developed Total Return Index, a 10% weighting in the Wells Fargo Hybrid & Preferred Securities REIT Index and a 70% weighting in the Canada REALpac/IPD Total Return All Property in CAD dollar terms. However, you should be aware that other types of risk, both measurable and non-measurable, may exist. Additionally, just as historical performance may not be indicative of future returns, the Partnership's and the Partnership's benchmark's historical volatility may not be indicative of its future volatility.

In accordance with the methodology described above and comparing the calculated standard deviation of the Fund and its benchmark to the standard deviation range as recommended by the Canadian Securities Administration in the chart below, the Investment Manager has rated the Fund's investment risk as Low to Medium.

In accordance with the methodology described above and comparing the calculated standard deviation of the Fund and its benchmark to the standard deviation range as recommended by the Canadian Securities Administration (CSA) in the chart below, the Investment Manager has rated the Partnership's investment risk as Low to Medium.

Standard Deviation Range	CSA Fund Facts Investment Risk Level
0 to less than 6	Low
6 to less than 11	Low to medium
11 to less than 16	Medium
16 to less than 20	Medium to high
20 or greater	High

ITEM 9 – REPORTING OBLIGATIONS

The Partnership is not a reporting issuer in any jurisdiction. It is therefore not required to disclose material changes which occur in its business and affairs, except in limited circumstances. The Partnership will file its audited annual financial statements, accompanied by a notice of use of the proceeds raised under this Offering in the form prescribed by NI 45-106F16, with applicable securities regulators within 120 days of the end of each of its financial years, and will make them reasonably available to each Investor.

Pursuant to the terms of the Limited Partnership Agreement, the Partnership will make available to Unitholders, within 60 days after the end of each semi-annual reporting period and within 90 days after the year-end reporting period, financial statements prepared in accordance with applicable law and IFRS. The Partnership shall make available to each Unitholder annually, within the time periods prescribed by law, information necessary to enable such Unitholder to complete an income tax return under the Tax Act with respect to the amounts payable by the Partnership.

ITEM 10 – RESALE RESTRICTIONS

10.1 General Statement

The Units are being offered on a private placement basis in reliance upon prospectus exemptions under applicable securities legislation in each of the provinces and territories of Canada. These securities will be subject to a number of resale restrictions, including a restriction on trading. Until the restriction on trading expires, you will not be able to trade the securities unless you comply with an exemption from the prospectus and registration requirements under securities legislation.

Generally, the Units may be resold only pursuant to an exemption from the prospectus requirements of applicable securities legislation or pursuant to an order of the appropriate securities regulatory authorities granting an exemption from prospectus requirements because the Partnership is not a reporting issuer. A purchaser engaged in a resale of Units may also have reporting and other obligations. In addition, in order to comply with the dealer registration requirements of Canadian securities legislation, any resale of Units must be made by a person or company that is not subject to the dealer registration requirements; by a person or company that is registered in an appropriate category of dealer registration; or in reliance upon a dealer registration exemption, including an exemption that is available for trades conducted solely through an appropriately registered dealer. Investors are therefore advised to seek legal advice with respect to such resale of Units. Resale of Units is also restricted under the terms of the Limited Partnership Agreement. Accordingly, each prospective investor must be prepared to bear the economic risk of the investment in Units for an indefinite period.

Each purchaser of Units will be required to deliver to the Partnership a Subscription Agreement in which such purchaser will represent to the Partnership that such purchaser (i) is an accredited investor (within the meaning of applicable Canadian securities laws), (ii) is purchasing a minimum of $150,000 of Units in cash (applicable only if such purchaser is resident in British Columbia, Ontario or Québec), or (iii) is purchasing Units pursuant to the "offering memorandum" exemption in Section 2.9 of NI 45-106 (applicable only in Ontario and Québec to "eligible investors" and in British Columbia), and is therefore a person or company to whom the Partnership may distribute Units without the benefit of a prospectus.

10.2 Restricted Period

Unless permitted under securities legislation, you cannot trade the securities before the date that is 4 months and a day after the date the Partnership becomes a reporting issuer in any province or territory of Canada.

Additionally, in Manitoba, unless permitted under securities legislation, you must not trade the securities without the prior written consent of the regulator in Manitoba unless (a) the Partnership has filed a prospectus with the regulator in Manitoba with respect to the securities you have purchased and the regulator in Manitoba has issued a receipt for that prospectus, or (b) you have held the securities for at least 12 months. The regulator in Manitoba will consent to your trade if the regulator is of the opinion that to do so is not prejudicial to the public interest.

10.3 Manitoba Resale Restrictions

For trades in Manitoba, unless permitted under securities legislation, you must not trade the securities without the prior written consent of the regulator in Manitoba unless

(a) the Partnership has filed a prospectus with the regulator in Manitoba with respect to the securities you have purchased and the regulator in Manitoba has issued a receipt for that prospectus, or

(b) you have held the securities for at least 12 months.

The regulator in Manitoba will consent to your trade if the regulator is of the opinion that to do so is not prejudicial to the public interest.

ITEM 11 – PURCHASERS' RIGHTS

If you purchase Units you will have certain rights, some of which are described below. For information about your rights, you should consult a lawyer.

These rights may not be available to you if you purchase the Units pursuant to an exemption from the prospectus requirements other than the "offering memorandum" exemption in Section 2.9 of NI 45-106. Only persons resident in the provinces of Ontario and Québec and who are "eligible investors" (as defined in NI 45-106) or resident in the province of British Columbia are permitted to rely on the offering memorandum exemption contained in Section 2.9 of NI 45-106.

11.1 Two Day Cancellation Right

You can cancel your agreement to purchase these Units. To do so, you must send a notice to us by midnight on the 2nd business day after you sign the agreement to buy the Units.

11.2 Rights of Action in the Event of a Misrepresentation

Securities legislation in certain of the Canadian provinces and territories provides purchasers of securities pursuant to an offering memorandum such as this Confidential Offering Memorandum with a remedy for damages or rescission, or both, in addition to and without derogation from any other rights they may have at law, where the Offering Memorandum and any amendment to it (and in some cases, advertising and sales literature used in connection therewith) contains a Misrepresentation. Where used herein, "**Misrepresentation**" means an untrue statement of a material fact or an omission to state a material fact that is required to be stated or that is necessary to make any statement not false or misleading in light of the circumstances in which it was made. Where used herein, "**material fact**" means, when used in relation to Units issued or proposed to be issued or, in New Brunswick issued or distributed or proposed to be issued or distributed, a fact that would reasonably be expected to have a significant effect on the market price or value of the Units. These remedies, or notice with respect to these remedies, must be exercised or delivered, as the case may be, by the purchaser within the time limits prescribed by applicable securities legislation.

The information set forth below is not intended to be a comprehensive summary of the rights of each purchaser, and may be subject to change. Each purchaser should refer to the complete text of the relevant provisions and to their legal adviser for more details. The rights of action discussed below are in addition to, and without derogation from, any other rights or remedies that are available at law to a purchaser of Units.

11.2.1 Ontario

Section 5.2 of Ontario Securities Commission Rule 45-501- *Ontario Prospectus and Registration Exemptions* provides that when an offering memorandum, such as this Confidential Offering Memorandum, is delivered to an investor to whom securities are distributed in reliance upon certain prospectus exemptions in NI 45-106, the right of action referred to in Section 130.1 of the *Securities Act* (Ontario) applies. Section 130.1 of the *Securities Act* (Ontario) provides that a purchaser resident in Ontario who purchases Units offered by this Offering Memorandum during the period of distribution has, without regard to whether the purchaser relied upon the Misrepresentation, a right of action for damages or, alternatively, while still the owner of the Units, for rescission against the Partnership provided that:

(a) if the purchaser exercises its right of rescission, it shall cease to have a right of action for damages as against the Partnership;

(b) the Partnership will not be liable if it proves that the purchaser purchased the Units with knowledge of the Misrepresentation;

(c) the Partnership will not be liable for all or any portion of damages that it proves does not represent the depreciation in value of the Units as a result of the Misrepresentation relied upon; and

(d) in no case shall the amount recoverable for the Misrepresentation exceed the price at which the Units were offered.

Section 138 of the *Securities Act* (Ontario) provides that no action shall be commenced to enforce these rights more than:

(a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or

(b) in the case of an action for damages, the earlier of:

(i) 180 days after the date that the purchaser first had knowledge of the facts giving rise to the cause of action; or

(ii) three years after the date of the transaction that gave rise to the cause of action.

This Offering Memorandum is being delivered in reliance on the exemption from the prospectus requirements (the "**accredited investor exemption**") contained under section 73.3(2) of the *Securities Act* (Ontario). The rights referred to in section 130.1 of the *Securities Act* (Ontario) do not apply if the prospective purchaser is relying on the accredited investor exemption and is:

(a) a Canadian financial institution or a Schedule III bank (each as defined in NI 45-106);

(b) the Business Development Bank of Canada incorporated under the Business Development Bank of Canada Act (Canada); or

(c) a subsidiary of any person referred to in paragraphs (a) and (b), if the person owns all of the voting securities of the subsidiary, except the voting securities required by law to be owned by directors of that subsidiary.

11.2.2 Saskatchewan

Section 138 of *The Securities Act, 1988* (Saskatchewan), as amended (the "**Saskatchewan Act**) provides that where this Confidential Offering Memorandum or any amendment to it is sent or delivered to a purchaser and it contains a misrepresentation (as defined in the Saskatchewan Act), a purchaser who purchases a Unit covered by this Confidential Offering Memorandum or any amendment to it has, without regard to whether the purchaser relied on the misrepresentation, a right of action for rescission against the Partnership on whose behalf the distribution is made or has a right of action for damages against:

(a) the Partnership on whose behalf the distribution is made;

(b) every promoter and director of the Partnership at the time the Confidential Offering Memorandum or any amendment to it was sent or delivered;

(c) every person or company whose consent has been filed respecting the offering, but only with respect to reports, opinions or statements that have been made by them;

(d) every person who or company that, in addition to the persons or companies mentioned in (a) to (c) above, signed this Confidential Offering Memorandum or the amendment thereto; and

(e) every person who or company that sells Units on behalf of the Partnership under this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum.

Such rights of rescission and damages are subject to certain limitations including the following:

(a) if the purchaser elects to exercise its right of rescission against the Partnership, it shall have no right of action for damages against that party;

(b) in an action for damages, a defendant will not be liable for all or any portion of the damages that he, she or it proves do not represent the depreciation in value of the Units resulting from the misrepresentation relied on;

(c) no person or company, other than the Partnership, will be liable for any part of the Confidential Offering Memorandum or any amendment to it not purporting to be made on the authority of an expert and not purporting to be a copy of, or an extract from, a report, opinion or statement of an

expert, unless the person or company failed to conduct a reasonable investigation sufficient to provide reasonable grounds for a belief that there had been no misrepresentation or believed that there had been a misrepresentation;

(d) in no case shall the amount recoverable exceed the price at which the Units were offered; and

(e) no person or company is liable in an action for rescission or damages if that person or company proves that the purchaser purchased the Units with knowledge of the misrepresentation.

In addition, no person or company, other than the Partnership, will be liable if the person or company proves that:

(a) this Confidential Offering Memorandum or any amendment to it was sent or delivered without the person's or company's knowledge or consent and that, on becoming aware of it being sent or delivered, that person or company immediately gave reasonable general notice that it was so sent or delivered; or

(b) with respect to any part of this Confidential Offering Memorandum or any amendment to it purporting to be made on the authority of an expert, or purporting to be a copy of, or an extract from, a report, an opinion or a statement of an expert, that person or company had no reasonable grounds to believe and did not believe that there had been a misrepresentation, the part of this Confidential Offering Memorandum or any amendment to it did not fairly represent the report, opinion or statement of the expert, or was not a fair copy of, or an extract from, the report, opinion or statement of the expert.

Not all defences upon which we or others may rely are described herein. Please refer to the full text of the Saskatchewan Act for a complete listing.

Similar rights of action for damages and rescission are provided in section 138.1 of the Saskatchewan Act in respect of a misrepresentation in any advertising and sales literature disseminated in connection with the offering of Units.

Section 138.2 of the Saskatchewan Act also provides that where an individual makes a verbal statement to a prospective purchaser that contains a misrepresentation relating to a Unit purchased and the verbal statement is made either before or contemporaneously with the purchase of the Unit, the purchaser has, without regard to whether the purchaser relied on the misrepresentation, a right of action for damages against the individual who made the verbal statement.

Section 141(1) of the Saskatchewan Act provides a purchaser with the right to void the purchase agreement and to recover all money and other consideration paid by the purchaser for the Units if the Units are sold in contravention of the Saskatchewan Act, the regulations to the Saskatchewan Act or a decision of the Financial and Consumer Affairs Authority of Saskatchewan, Securities Division.

Section 141(2) of the Saskatchewan Act also provides a right of action for rescission or damages to a purchaser of Units to whom the Confidential Offering Memorandum or any amendment to it was not sent or delivered prior to or at the same time as the purchaser enters into an agreement to purchase the Units, as required by Section 80.1 of the Saskatchewan Act.

The rights of action for damages or rescission under the Saskatchewan Act are in addition to and do not derogate from any other right which a purchaser may have at law.

Section 147 of the Saskatchewan Act provides that no action shall be commenced to enforce any of the foregoing rights more than:

(a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or

(b) in the case of any other action, other than an action for rescission, the earlier of:

(i) one year after the plaintiff first had knowledge of the facts giving rise to the cause of action; or

(ii) six years after the date of the transaction that gave rise to the cause of action.

The Saskatchewan Act also provides a purchaser who has received an amended Confidential Offering Memorandum delivered in accordance with subsection 80.1(3) of the Saskatchewan Act with a right to withdraw from the agreement to purchase the Units by delivering a notice to the Partnership, indicating the purchaser's intention not to be bound by the purchase agreement, provided such notice is delivered by the purchaser within two business days of receiving the amended Confidential Offering Memorandum.

11.2.3 Manitoba

Section 141.1 of *The Securities Act* (Manitoba) provides that if a purchaser is resident in Manitoba and if this Confidential Offering Memorandum contains a misrepresentation, each purchaser in Manitoba to whom this Confidential Offering Memorandum has been sent or delivered and who purchases Units, will be deemed to have relied upon such misrepresentation if it was a misrepresentation at the time of purchase, and such purchaser has a right of action for damages against the Partnership, and, subject to certain additional defences, against every director of the Partnership (who were directors at the date of this Confidential Offering Memorandum) and any person or company who signed this Confidential Offering Memorandum, but may elect instead to exercise a right of rescission against the Partnership, in which case such purchaser will have no right of action for damages against the Partnership or the directors of the Partnership (who were directors at the date of this Confidential Offering Memorandum) or any other person or company who signed this Confidential Offering Memorandum, provided that, among other limitations:

(a) in an action for rescission or damages, no person or company will be liable if it proves that the purchaser purchased the Units with knowledge of the misrepresentation;

(b) in an action for damages, the Partnership will not be held liable for all or any portion of the damages that it proves do not represent the depreciation in value of the Units as a result of the misrepresentation relied upon; and

(c) in no case will the amount recoverable under the right of action described above exceed the price at which the Units were offered.

In addition, no person or company other than the Partnership is liable if the person or company proves that:

(a) this Confidential Offering Memorandum was sent or delivered to the purchaser without the person's or company's knowledge or consent and that, on becoming aware of its delivery, the person or company gave reasonable notice that it was delivered without the person or company's knowledge or consent;

(b) after delivery of this Confidential Offering Memorandum and before the purchase of the Units by the purchaser, on becoming aware of any misrepresentation in this Confidential Offering Memorandum, the person or company withdrew the person's or company's consent to this Confidential Offering Memorandum and gave reasonable notice of the withdrawal and the reason for it; or

(c) with respect to any part of this Confidential Offering Memorandum purporting to be made on the authority of an expert, or to be a copy of, or an extract from, a report, an opinion or a statement of an expert, the person or company had no reasonable grounds to believe and did not believe that: (i) there had been a misrepresentation; or (ii) the relevant part of this Confidential Offering Memorandum (A) did not fairly represent the report, opinion or statement of the expert; or (B) was not a fair copy of, or an extract from, the report, opinion or statement of the expert.

In addition, no person or company other than the Partnership is liable with respect to any part of this Confidential Offering Memorandum not purporting to be made on the authority of an expert and not purporting to be a copy of, or an extract from, a report, opinion or statement of an expert, unless the person or company:

(a) failed to conduct an investigation sufficient to provide reasonable grounds for a belief that there had been no misrepresentation; or

(b) believed that there had been a misrepresentation.

In addition, no person or company is liable for a misrepresentation in forward-looking information if the person or company proves that:

(a) this Confidential Offering Memorandum contains, proximate to such information (i) reasonable cautionary language identifying the forward-looking information as such, and identifying material factors that could cause actual results to differ materially from a conclusion, forecast or projection in the forward-looking information, and (ii) a statement of the material factors or assumptions that were applied in drawing the conclusion or making the forecast or projection; and

(b) the person or company had a reasonable basis for drawing the conclusions or making the forecasts or projections set out in the forward-looking information.

Subject to *The Securities Act* (Manitoba), no action shall be commenced to enforce these rights more than:

(a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or

(b) in the case of any action, other than an action for rescission, the earlier of: (i) 180 days after the date on which the purchaser first had knowledge of the facts giving rise to the cause of action; or (ii) two years after the date of the transaction that gave rise to the cause of action.

The rights discussed above are in addition to and without derogation from any other right or remedy which purchasers may have at law and are intended to correspond to the provisions of the relevant securities legislation and are subject to the defences contained therein.

11.2.4 Newfoundland and Labrador

In accordance with section 130.1 of the *Securities Act* (Newfoundland and Labrador (the "**NL Act**"), in the event this Confidential Offering Memorandum contains a Misrepresentation, a purchaser resident in Newfoundland and Labrador who purchases Units has, without regard to whether the purchaser relied on the Misrepresentation and subject to the defences and limitations set out in the NL Act: (a) a right of action for damages against the Partnership and, every director of the Partnership at the date of this Confidential Offering Memorandum and every person or company who has signed this Confidential Offering Memorandum; and (b) a right of rescission against the Partnership. Where a right of rescission is exercised against the Partnership, a purchaser shall have no right of action for damages against any other person or company referred to in (a) above.

A person or company is not liable under section 130.1 of the NL Act: (a) if the person or company proves the purchaser had knowledge of the Misrepresentation; or (b) in an action for damages, for all or any portion of the damages that the person or company proves do not represent the depreciation in value of the security as a result of the Misrepresentation. Additionally, in an action for damages, the amount recoverable under the right of action shall not exceed the purchase price at which the security was offered.

In addition no person or company, other than the Partnership, is liable under section 130.1 of the NL Act if:

(a) the person or company proves that this Confidential Offering Memorandum was sent to the purchaser without the person's or company's knowledge or consent and that, on becoming aware of

its being sent, the person or company promptly gave reasonable notice to the Partnership that it was sent without the person's or company's knowledge or consent;

(b) the person or company proves that on becoming aware of any Misrepresentation in this Confidential Offering Memorandum, the person or company withdrew the person's or company's consent to this Confidential Offering Memorandum, and gave reasonable notice to the Partnership of the withdrawal and the reason for it;

(c) with respect to any part of this Confidential Offering Memorandum purporting to be made on the authority of an expert (or purporting to be a copy of or an extract from a report, opinion or statement of an expert), the person or company proves they had no reasonable grounds to believe and did not believe that: (i) there had been a Misrepresentation; or (ii) the relevant part of this Confidential Offering Memorandum did not fairly represent the report, opinion or statement of the expert, or was not a fair copy of, or an extract from, the report, opinion or statement of the expert; or

(d) with respect to any part of this Confidential Offering Memorandum not purporting to be made on the authority of an expert (and not purporting to be a copy of or an extract from a report, opinion or statement of an expert), unless the person or company: (i) did not conduct an investigation sufficient to provide reasonable grounds for a belief that there had been no Misrepresentation; or (ii) believed there had been a Misrepresentation.

If a Misrepresentation is contained in a record incorporated by reference in, or deemed incorporated into this Confidential Offering Memorandum, the Misrepresentation is deemed to be contained in this Confidential Offering Memorandum.

The foregoing statutory right of action for rescission or damages conferred by the NL Act is in addition to and without derogation from any other right the purchaser may have at law. The liability of all persons and companies referred to above is joint and several.

Pursuant to section 138 of the NL Act, no action shall be commenced to enforce the rights conferred by section 130.1 thereof unless commenced:

(a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or

(b) in the case of an action, other than an action for rescission, the earlier of:

(i) 180 days after the plaintiff first had knowledge of the facts giving rise to the cause of action; or

(ii) three years after the date of the transaction that gave rise to the cause of action.

11.2.5 New Brunswick

Section 2.1 of New Brunswick Securities Commission Rule 45-802 provides that the statutory rights of action in rescission or damages referred to in Section 150 of the *Securities Act* (New Brunswick) ("**Section 150**") apply to information relating to an offering memorandum, such as this Confidential Offering Memorandum, that is provided to a purchaser of securities in connection with a distribution made in reliance on various prospectus exemptions, including the "accredited investor" prospectus exemption in Section 2.3 of NI 45-106 and the "minimum amount investment" prospectus exemption in Section 2.10(2) of NI 45-106. Section 150 provides investors who purchase securities offered for sale in reliance on an exemption from the prospectus requirements of the *Securities Act* (New Brunswick) with a statutory right of action against the issuer of securities for rescission or damages in the event that an offering memorandum provided to the purchaser contains a Misrepresentation.

Where this Confidential Offering Memorandum is delivered to a prospective purchaser of Units in connection with a trade made in reliance on Section 2.3 or Section 2.10(2) of NI 45-106, and this document contains a Misrepresentation, a purchaser who purchases the Units will be deemed to have relied on the Misrepresentation and

will have, subject to certain limitations and defences, a statutory right of action against the Partnership, a selling security holder of whose behalf such trade is made, every person who was a director of the Partnership on the date of this Confidential Offering Memorandum and every person who signed this Confidential Offering Memorandum for damages or, while still the owner of Units, for rescission, in which case, if the purchaser elects to exercise the right of rescission, the purchaser will have no right of action for damages, provided that the right of action for rescission will be exercisable by the purchaser only if the purchaser commences an action against the defendant, not more than 180 days after the date of the transaction that gave rise to the cause of action, or, in the case of any action other than an action for rescission, the earlier of: (i) one year after the plaintiff first had knowledge of the facts giving rise to the cause of action, or (ii) six years after the date of the transaction that gave rise to the cause of action.

This statutory right of action is available to New Brunswick purchasers whether or not such purchaser relied on the Misrepresentation. However, there are various defences available to the Partnership. In particular, no person will be liable for a Misrepresentation if such person proves that the purchaser purchased the Units with knowledge of the Misrepresentation when the purchaser purchased the Units. Moreover, in an action for damages, the amount recoverable will not exceed the price at which the Units were offered under this Confidential Offering Memorandum and any defendant will not be liable for all or any part of the damages that the defendant proves do not represent the depreciation in value of the Units as a result of the Misrepresentation.

11.2.6 Nova Scotia

The right of action for damages or rescission described herein is conferred by section 138 of the *Securities Act* (Nova Scotia). Section 138 of the *Securities Act* (Nova Scotia) (the "Nova Scotia Act") provides, in relevant part, that in the event that this Confidential Offering Memorandum, together with any amendment thereto, or any advertising or sales literature (as defined in the Nova Scotia Act) contains a misrepresentation, as defined in the Nova Scotia Act, the purchaser will be deemed to have relied upon such misrepresentation if it was a misrepresentation at the time of purchase and has, subject to certain limitations and defences, a statutory right of action for damages against the Partnership and, subject to certain additional defences, every director of the Partnership at the date of this Confidential Offering Memorandum and every person who signed this Confidential Offering Memorandum or, alternatively, while still the owner of the Units purchased by the purchaser, may elect instead to exercise a statutory right of rescission against the Partnership, in which case the purchaser shall have no right of action for damages against the Partnership, directors of the Partnership or persons who have signed this Confidential Offering Memorandum, provided that, among other limitations:

(a) no action shall be commenced to enforce the right of action for rescission or damages by a purchaser in Nova Scotia later than 120 days after the date on which the initial payment was made for the Units;

(b) no person will be liable if it proves that the purchaser purchased the Units with knowledge of the misrepresentation;

(c) in the case of an action for damages, no person will be liable for all or any portion of the damages that it proves do not represent the depreciation in value of the Units as a result of the misrepresentation relied upon; and

(d) in no case will the amount recoverable in any action exceed the price at which the Units were offered to the purchaser.

In addition, a person or company, other than the Partnership, will not be liable if that person or company proves that:

(a) this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum was sent or delivered to the purchaser without the person's or company's knowledge or consent and that, on becoming aware of its delivery, the person or company gave reasonable general notice that it was delivered without the person's or company's knowledge or consent;

(b) after delivery of this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum and before the purchase of the Units by the purchaser, on becoming aware

of any misrepresentation in this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum the person or company withdrew the person's or company's consent to this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum, and gave reasonable general notice of the withdrawal and the reason for it; or

(c) with respect to any part of this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum purporting (i) to be made on the authority of an expert or (ii) to be a copy of, or an extract from, a report, an opinion or a statement of an expert, the person or company had no reasonable grounds to believe and did not believe that (A) there had been a misrepresentation, or (B) the relevant part of this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum did not fairly represent the report, opinion or statement of the expert, or was not a fair copy of, or an extract from, the report, opinion or statement of the expert.

Furthermore, no person or company, other than the Partnership, will be liable with respect to any part of this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum not purporting (a) to be made on the authority of an expert or (b) to be a copy of, or an extract from, a report, opinion or statement of an expert, unless the person or company (i) failed to conduct a reasonable investigation to provide reasonable grounds for a belief that there had been no misrepresentation or (ii) believed that there had been a misrepresentation.

If a misrepresentation is contained in a record incorporated by reference into, or deemed incorporated by reference into, this Confidential Offering Memorandum or amendment to this Confidential Offering Memorandum, the misrepresentation is deemed to be contained in this Confidential Offering Memorandum or an amendment to this Confidential Offering Memorandum.

11.2.7 Nunavut

The right of action for damages or rescission described herein is conferred by section 112 of the *Securities Act* (Nunavut). Under section 112 of the *Securities Act* (Nunavut), when an offering memorandum, such as this Confidential Offering Memorandum, is delivered to an investor to whom securities are distributed in reliance upon a prospectus exemption under Nunavut securities laws, a purchaser resident in Nunavut who purchases Units offered by this Confidential Offering Memorandum during the period of distribution has, without regard to whether the purchaser relied upon the misrepresentation (being an untrue statement of a material fact, an omission to state a material fact that is required to be stated by the *Securities Act* (Nunavut), or an omission to state a material fact that needs to be stated so that a statement is not false or misleading in light of the circumstances in which it is made), a right of action for damages or, alternatively, while still the owner of the Units, for rescission against the Partnership provided that:

(1) if the purchaser exercises its right of rescission, it shall cease to have a right of action for damages as against the Partnership;

(2) the Partnership will not be liable if it proves that the purchaser purchased the Units with knowledge of the misrepresentation;

(3) the Partnership will not be liable for all or any portion of damages that it proves does not represent the depreciation in value of the Units as a result of the misrepresentation relied upon; and

(4) in no case shall the amount recoverable for the misrepresentation exceed the price at which the Units were offered.

Section 121 of the *Securities Act* (Nunavut) provides that no action shall be commenced to enforce these rights more than:

(1) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or

(2) in the case of an action for damages, the earlier of:

(i) 180 days after the date that the purchaser first had knowledge of the facts giving rise to the cause of action; or

(ii) three years after the date of the transaction that gave rise to the cause of action.

11.2.8 Northwest Territories

The right of action for damages or rescission described herein is conferred by section 112 of the *Securities Act* (Northwest Territories). Under section 112 of the *Securities Act* (Northwest Territories), when an offering memorandum, such as this Confidential Offering Memorandum, is delivered to an investor to whom securities are distributed in reliance upon a prospectus exemption under Northwest Territories securities laws, a purchaser resident in Northwest Territories who purchases Units offered by this Confidential Offering Memorandum during the period of distribution has, without regard to whether the purchaser relied upon the misrepresentation (being an untrue statement of a material fact, an omission to state a material fact that is required to be stated by the *Securities Act* (Northwest Territories), or an omission to state a material fact that needs to be stated so that a statement is not false or misleading in light of the circumstances in which it is made), a right of action for damages or, alternatively, while still the owner of the Units, for rescission against the Partnership provided that:

(1) if the purchaser exercises its right of rescission, it shall cease to have a right of action for damages as against the Partnership;

(2) the Partnership will not be liable if it proves that the purchaser purchased the Units with knowledge of the misrepresentation;

(3) the Partnership will not be liable for all or any portion of damages that it proves does not represent the depreciation in value of the Units as a result of the misrepresentation relied upon; and

(4) in no case shall the amount recoverable for the misrepresentation exceed the price at which the Units were offered.

Section 121 of the *Securities Act* (Northwest Territories) provides that no action shall be commenced to enforce these rights more than:

(5) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or

(6) in the case of an action for damages, the earlier of:

(i) 180 days after the date that the purchaser first had knowledge of the facts giving rise to the cause of action; or

(ii) three years after the date of the transaction that gave rise to the cause of action.

11.2.9 British Columbia

In accordance with Section 132.1 of the *Securities Act* (British Columbia), if you are a resident of British Columbia, and if there is a Misrepresentation in this Confidential Offering Memorandum, you have a statutory right to sue:

(a) the Partnership to cancel your agreement to buy the Units, or

(b) for damages against the Partnership, every person who was a director of the General Partner at the date of this Confidential Offering Memorandum, every person whose consent to the disclosure of information in this Confidential Offering Memorandum was filed and every other person who signed this Confidential Offering Memorandum.

This statutory right to sue is available to you whether or not you relied on the Misrepresentation. However, there are various defences available to the persons or companies that you have a right to sue. In particular, they have a defence if you knew of the Misrepresentation when you purchased the securities. Additionally, if you elect to exercise a right of rescission against the Partnership, you will have no right of action against the Partnership.

If you intend to rely on the rights described in (a) or (b) above, you must do so within strict time limitations. You must commence your action to cancel the agreement within 180 days after the date that you purchased the securities. You must commence your action for damages within the earlier of 180 days after you first had knowledge of the facts giving rise to the cause of action and three years after the day you purchased the securities.

11.2.10 Rights for Purchasers in Québec, Alberta, Prince Edward Island and Yukon

Notwithstanding that the *Securities Act* (Alberta), and the *Securities Act* (Québec) do not provide, or require the Partnership to provide, to purchasers resident in these jurisdictions any rights of action in circumstances where this Confidential Offering Memorandum or an amendment hereto contains a Misrepresentation, the Partnership hereby grants to such purchasers contractual rights of action, subject to the same defences and limitations, that are equivalent to the statutory rights of action set forth above with respect to purchasers resident in Ontario.

In Prince Edward Island the *Securities Act* (PEI) and in Yukon, the *Securities Act* (Yukon) provides a statutory right of action for damages or rescission to purchasers resident in Prince Edward Island and Yukon respectively, in circumstances where this Confidential Offering Memorandum or an amendment hereto contains a misrepresentation, which rights are similar, but not identical, to the rights available to Ontario purchasers.

11.3 General

The foregoing summary is subject to the express provisions of the securities acts of British Columbia, Alberta, Saskatchewan, Manitoba, Ontario, Québec, New Brunswick, Nova Scotia, Prince Edward Island, Newfoundland and Labrador, Yukon, Nunavut and Northwest Territories, respectively, and the rules, regulations and other instruments thereunder, and reference is made to the complete text of such provisions. Such provisions may contain limitations and statutory defences on which the Partnership may rely.

The rights of action for damages or rescission discussed above are in addition to, and without derogation from, any other right or remedy which purchasers may have at law.

ITEM 12 – FINANCIAL STATEMENTS

Attached to this Confidential Offering Memorandum immediately following this Item are the following:

- audited financial statements for the Partnership for the fiscal year ended December 31, 2019;
- audited financial statements for the General Partner for the fiscal year ended December 31, 2019;
- unaudited interim financial statements for the Partnership for the period ended June 30, 2020; and
- unaudited interim financial statements for the General Partner for the period ended June 30, 2020.

Consolidated Financial Statements of

Timbercreek Four Quadrant Global Real Estate Partners

For the years ended December 31, 2019 and 2018



INDEPENDENT AUDITORS' REPORT

To the Unitholders of Timbercreek Four Quadrant Global Real Estate Partners

Opinion

We have audited the consolidated financial statements of Timbercreek Four Quadrant Global Real Estate Partners (the "Entity"), which comprise the consolidated statement of net assets as at December 31, 2019, and the consolidated statements of income and comprehensive income, changes in net assets and cash flows for the year then ended and notes to the consolidated financial statements, including a summary of significant accounting policies (hereinafter referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the consolidated financial position of the Entity as at December 31, 2019 and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS).

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the "***Auditors' Responsibilities for the Audit of the Financial Statements***" section of our auditors' report.

We are independent of the Entity in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRS), and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Entity's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Entity or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Entity's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.

  The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Entity to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group Entity to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Chartered Professional Accountants, Licensed Public Accountants



Toronto, Canada
March 16, 2020

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Consolidated Statements of Net Assets
As at December 31, 2019 and 2018
(in thousands of Canadian dollars)

	2019	2018
ASSETS		
Cash and cash equivalents	$ 115,325	$ 9,402
Dividends and interest receivable	5,046	4,142
Receivable for investments sold	–	101
Other assets and receivables	10,098	5,323
Current tax receivable	–	573
Margin deposited on swaps and forward contracts	2,900	13,800
Derivative assets (note 10)	2,423	–
Investments in associates and joint ventures (note 4)	154,130	47,338
Investment properties (note 5)	82,060	25,058
Property, plant and equipment (note 6)	75,520	–
Portfolio investments (note 8)	453,786	248,312
Mortgage and loan investments (note 9)	255,298	138,721
	1,156,586	492,770
LIABILITIES		
Accounts payable and other liabilities	3,547	1,042
Due to the Manager (note 18 (a) (i) and (ii))	6,667	2,212
Payable for investments purchased	–	54
Distributions payable	4,092	1,729
Redemptions payable (note 16(a))	12,204	8,759
Derivative liabilities (note 10)	122	4,352
Loan advance and credit facility (note 11 and 13)	22,621	35,300
Mortgages payable - investment properties (note 12)	29,716	15,769
Mortgage payable - property, plant and equipment (note 12)	53,554	–
Current tax payable	49	–
Unearned revenue	2,060	1,059
Deferred taxes	3,169	2,803
	137,801	73,079
Net assets attributable to unitholders	$ 1,018,785	$ 419,691

See accompanying notes to the consolidated financial statements.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Consolidated Statements of Income and Comprehensive Income
For the years ended December 31, 2019 and 2018
(in thousands of Canadian dollars)

	2019	2018
Investment Income		
Interest income	$ 19,258	$ 15,073
Dividend income	22,612	9,099
Rental revenue from investment properties (note 7)	4,065	987
Revenue from continuing operations	633	–
Income from investments in associates and joint ventures (note 4)	9,896	11,060
Net gain on financial instruments at fair value through profit and loss	30,948	6,774
	87,412	42,993
Expenses		
Management fees (note 18 (a) (i))	10,660	5,325
Performance fees (note 18 (a) (ii))	5,285	1,671
Administrative expenses	1,898	1,386
Investment properties operating exepnses	1,306	178
Professional fees	628	266
Expenses from continuing operations	330	–
Depreciation (note 6)	219	–
Legal fees	200	125
Trailer fees (note 18 (a) (iii))	81	47
	20,607	8,998
Income before the undernoted	66,805	33,995
Provision for mortgage and loan investments loss (note 9)	287	123
Income before interest expense and income taxes	66,518	33,872
Financing costs - investment properties (note 12)	1,086	79
Financing costs - property, plant and equipment (note 12)	187	–
Financing costs - credit facility (note 13)	437	522
Income taxes	2,350	3,703
Net income	62,458	29,568
Other comprehensive (loss) income		
Foreign operations – foreign currency translation differences (note 4)	(1,390)	1,237
Total comprehensive income	$ 61,068	$ 30,805

See accompanying notes to the consolidated financial statements.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Consolidated Statements of Changes in Net Assets
For the years ended December 31, 2019 and 2018
(in thousands of Canadian dollars)

	Net assets attributable to unitholders, beginning of the year	Issuance of units*	Redemptions*	Distributions	Reinvestments	Total comprehensive income	Net assets attributable to unitholders, end of the year
December 31, 2019	$ 419,691	$ 598,542	$ (45,896)	$ (34,236)	$ 19,616	$ 61,068	$ 1,018,785

* excludes non taxable switch-ins and switch-outs.

	Net assets attributable to unitholders, beginning of the year	Issuance of units*	Redemptions*	Distributions	Reinvestments	Total comprehensive income	Net assets attributable to unitholders, end of the year
December 31, 2018	$ 292,040	$ 132,230	$ (29,647)	$ (17,765)	$ 12,028	$ 30,805	$ 419,691

* excludes non taxable switch-ins and switch-outs.

See accompanying notes to the consolidated financial statements.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Consolidated Statements of Cash Flows
For the years ended December 31, 2019 and 2018
(in thousands of Canadian dollars)

	2019	2018
Cash provided by (used in):		
Operating Activities		
Net income	$ 62,458	$ 29,568
Deferred income taxes	366	2,037
Current tax	622	(985)
Income from investments in associates and joint ventures	(9,896)	(11,060)
Net gain on financial instruments at fair value through profit and loss	(30,948)	(6,774)
Financing costs - investment properties	1,086	79
Financing costs - property, plant and equipment	187	–
Financing costs - credit facility	437	522
Amortization of lender fees	(2,322)	(1,811)
Lender fees received	3,323	115
Foreign currency translation on investment properties	452	–
Depreciation	219	–
Provision for mortgages and loan investments loss	287	123
Change in non-cash operating items		
Dividends and interest receivable	(2,008)	(1,952)
Receivable for investments sold	101	(101)
Other assets and receivables	(4,775)	(2,017)
Accounts payable and other liabilities	2,505	846
Due to Manager	4,455	(88)
Payable for investments purchased	(54)	(490)
Cash provided by operating activities	26,495	8,012
Financing Activities		
Credit facility advances	106,612	35,300
Credit facility repayments	(113,000)	(7,000)
Financing costs paid - credit facility	(428)	(522)
Mortgage advances - investment properties	14,718	15,760
Mortgage repayments - investment properties	(134)	–
Financing costs paid - investment properties	(941)	(70)
Mortgage advances - property, plant and equipment	53,554	–
Financing costs paid - property, plant and equipment	(187)	–
Proceeds from issuance of units	598,542	132,230
Redemption of units	(42,451)	(22,244)
Distributions to unitholders, net of reinvestments	(12,257)	(6,857)
Cash provided by financing activities	604,028	146,597
Investing Activities		
Purchase of investment in associates and joint ventures (note 4)	(104,586)	(14,160)
Proceeds from investment in associates and joint ventures (note 4)	–	12,836
Purchase of portfolio investments, net	(182,458)	(91,946)
Mortgage and loan investments advanced, net	(121,019)	(41,760)
Net proceeds (payments) on maturity of forward contracts	2,796	(2,913)
Margin deposited on swaps and forward contracts, net	10,900	4,151
Net proceeds (payments) on equity swaps	845	(2,361)
Acquisition of investment properties	(57,543)	(25,058)
Capital improvements to investment properties	(683)	–
Acquisition of property, plant and equipment	(72,126)	–
Cash used in investing activities	(523,874)	(161,211)

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Consolidated Statements of Cash Flows (continued)
For the years ended December 31, 2019 and 2018
(in thousands of Canadian dollars)

	2019	2018
Increase (decrease) in cash during the year	$ 106,649	$ (6,602)
Foreign exchange gain (loss) on cash	(726)	2,960
Cash and cash equivalents, beginning of year	9,402	13,044
Cash and cash equivalents, end of year	$ 115,325	$ 9,402

1. DESCRIPTION OF THE PARTNERSHIP AND OPERATIONS

Timbercreek Four Quadrant Global Real Estate Partners (the "Partnership") is a limited partnership governed by the laws of the Province of Ontario which was formed on September 22, 2011. The purpose of the Partnership is to construct, on a discretionary basis, a globally diversified, actively managed portfolio of real estate investments with the objectives of: (i) maximizing total returns to the unitholders; and (ii) providing unitholders with monthly cash distributions.

Timbercreek Investment Management Inc. is the manager of the Partnership (the "Manager") and is responsible for the management, investment advisory and day-to-day administration services of the Partnership. The registered office of the Partnership is at 25 Price Street, Toronto, Ontario, M4W 1Z1.

Effective May 27, 2019, the Partnership amended and restated the limited partnership agreement to create units dominated in U.S. dollars, Class UF units, Class UFNV, Class UJ units and Class UJNV, as well as to provide a clarification on performance fees calculation and an update on valuation principles.

The general partner of the Partnership is Timbercreek Four Quadrant GP Inc. (the "General Partner"), a wholly owned subsidiary of the parent company of the Manager.

2. BASIS OF PRESENTATION

(a) Statement of compliance

These consolidated financial statements of the Partnership have been prepared by management in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB"). The consolidated financial statements were approved by the General Partner on March 16, 2020.

(b) Basis of measurement

These consolidated financial statements have been prepared on a historical cost basis except for investment properties, property, plant and equipment, portfolio investments and certain other financial instruments which are measured at their fair values.

The preparation of these consolidated financial statements requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Partnership's accounting policies. Areas involving a higher degree of judgment or complexity or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in note 3(h). Certain comparative figures are reclassified to conform to the current year's presentation.

(c) Functional and presentation currency

These consolidated financial statements are presented in Canadian dollars, which is the functional currency of the Partnership.

(d) Principles of consolidation

These consolidated financial statements include the accounts of the Partnership and subsidiaries of the Partnership, including its Canadian wholly owned subsidiaries and investments in multi-residential properties: Timbercreek 4Q Multi-residential Limited Partnership ("Toronto Apartment – Dundonald"), Timbercreek 4Q Co-Invest #3 – Junction LP, Calgary Hotels 2019 Holding Limited Partnership ("Calgary Hotel – East Village"), Calgary Hotels 2019 Operating Limited Partnership and T4Q Securities Trust, as well as its co-investment through Timbercreek Four Quadrant Le Sommet Limited Partnership in multi-residential property located in Montreal, Quebec ("Montreal Apartment – Sommet"). The Partnership's taxable subsidiaries for U.S. tax purposes include: Timber Star Alabama Holding LP ("Alabama"), Timber Star Alabama Crestwood LP, Timber Star Alabama Grants Mill LP, Timbercreek Four Quadrant Seattle LP, Timbercreek Four Quadrant U.S. LP, Timbercreek Four Quadrant Holdings LP, Timbercreek Four Quadrant Blue Oaks LP, Timbercreek 925 L Street LP, Timbercreek Four Quadrant Center Plaza Holding Inc. and Timbercreek RT Holdings LP. The consolidated financial statements include the accounts of all entities in which the Partnership holds a controlling interest. All intercompany transactions and balances are eliminated upon consolidation.

3. SIGNIFICANT ACCOUNTING POLICIES

(a) Investments

(i) Investments in associates and joint ventures

Associates are entities over which the Partnership exercises significant influence, but not control, over its financial and operating policies ("Associates"). Significant influence is presumed to exist when the Partnership holds between 20% and 50% of the voting power of another entity.

Joint venture is a joint arrangement whereby the joint parties ("Joint Ventures"), the Partnership included, exercise control jointly and have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control where decisions about relevant activities of the arrangement require unanimous consent of all relevant parties in accordance with the agreement.

Investments in Associates and Joint Ventures are accounted for using the equity method and are recognized initially at cost, including transaction costs. The consolidated financial statements include the Partnership's share of income and expenses and equity movements of the Associates and Joint Ventures, after adjustments to align the accounting policies with those of the Partnership, from the date that significant influence commences or joint venture forms until the date that significant influence ceases or joint venture ends. When the Partnership's share of losses exceeds its interest in the equity accounted investee, the carrying amount of that interest is reduced to nil and the obligation of further losses is discontinued, except to the extent that the Partnership has an obligation or has made payments on behalf of the Associates or Joint Ventures. Income and expenses resulting from transactions with Associates and Joint Ventures are recognized in the consolidated financial statements based on the interests of unrelated investors in the Associates and Joint Ventures.

The following is a list of the Partnership's equity-accounted Associates and Joint Ventures with the percentage of voting securities owned, over which significant influence or joint control is exercised directly or indirectly, by the Partnership:

Investment in Associates:

Legal Entity	Place of primary business	Nature of underlying operations	Voting securities held (%)
HH (MB) LP	Canada	Development	50
492 Eglinton Avenue East LP	Canada	Development	80
Goldstream Holdings LP	Canada	Development	67
Bloor Dufferin Development LP	Canada	Development	30
Yale & John LP	United States	Development	85
North Timber Sheridan LP	United States	Investment Property	61
North Timber Kendall LP	United States	Investment Property	60
Kaslo Plaza LP	Canada	Development	67

Joint Ventures:

Legal Entity	Place of primary business	Nature of underlying operations	Voting securities held (%)
CD Yorkville 1 LP	Canada	Development	20
Rockport (MPE) LP	Canada	Development	40
HTC Sterling Road Holdings LP	Canada	Development	90
Timbertrin (Dundas/Bloor) LP	Canada	Development	90
Timbertrin (Queen/Bathurst) LP	Canada	Investment Property	90
Chapel Street Limited Partnership	Canada	Development	95

The Partnership does not control, and therefore, does not consolidate the results of these Associates and Joint Ventures. An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

(ii) Investment properties

The Partnership accounts for real estate classified as investment property using the fair value method. A property is determined to be an investment property when it is principally held to earn rental income, capital appreciation or both. The investment property is initially measured at cost, including transaction costs associated with acquiring the property. Subsequent to initial recognition, the investment property is carried at fair value. Gains or losses arising from changes in fair value are recognized in profit or loss during the year in which they arise. The fair value of the investment property is determined by an external appraiser on at least an annual basis.

The fair value of the investment property reflects, among other things, rental income from current leases and assumptions about rental income from future leases in light of current market conditions. It also reflects any cash outflows (excluding those relating to future capital expenditures) that could be expected in respect of the property. The Partnership may also use alternative valuation methods such as discounted cash flow projections or income capitalization methods where appropriate.

Subsequent capital expenditures are charged to the investment property only when it is probable that future economic benefits of the expenditure will flow to the Partnership and the cost can be measured reliably.

Gains or losses from the disposal of the investment property are determined as the difference between the net disposal proceeds and the carrying amount and are recognized in the consolidated statements of income and comprehensive income in the year of disposal.

(iii) Portfolio investments

The Partnership's portfolio investments include common and preferred equity of publicly-traded companies and unquoted private equity investments. When available, the Partnership measures the fair value of the portfolio investments using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. The fair values of portfolio investments are determined with reference to their quoted closing market price at the measurement date. Changes in the fair value are recognized in the consolidated statements of income and comprehensive income in the year incurred. For unquoted private investments, the Partnership establishes fair value using an appropriate valuation technique. Valuation techniques may include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same and discounted cash flow analyses.

Transaction costs directly attributable to the acquisition of these instruments are recognized in the consolidated statements of income and comprehensive income in the year incurred.

(iv) Mortgage and loan investments

The mortgage and loan investments are classified as investments measured at amortized cost. Such investments are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition, the investment loans are measured at amortized cost using the effective interest method, less any allowance for expected credit losses. The mortgage and loan investments are assessed at each reporting date to determine whether there is objective evidence of impairment. In determining expected credit losses, the Partnership will consider loss events including, but not limited to: (i) payment default by a borrower which is not cured during a reasonable period; (ii) whether security of the mortgage is significantly negatively impacted by some events; and (iii) financial difficulty experienced by a borrower. The estimation of future cash flows includes assumptions about local real estate market conditions, market interest rates, availability and terms of financing, underlying value of the security and various other factors. These assumptions are limited by the availability of reliable comparable market data, economic uncertainty and the uncertainty of future events. Accordingly, by their nature, estimates of expected credit losses are subjective and may not necessarily be comparable to the actual outcome. Should the underlying assumptions change, the estimated future cash flows could vary. Refer to note 3(f) for impairment of financial assets.

(v) Property, plant and equipment ("PP&E")

(a) Recognition and measurement
Items of property, plant and equipment are measured at cost, which includes capitalized acquisition cost, less accumulated depreciation and any accumulated impairment losses. If significant parts of an item of PP&E have different useful lives, then they are accounted for as separate items of PP&E.

(b) Subsequent expenditure
Subsequent expenditure is capitalized only if it is probable that the future economic benefits associated with the expenditure exists.

(c) Depreciation
Depreciation is calculated to write off the cost of items of PP&E less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognized in profit or loss. Land is not depreciated.

The estimated useful lives of PP&E for current and comparative periods are as follows:

Asset	Basis	Rate
Buildings	Straight-line	40 years
Leaseholds	Straight-line	Lesser of lease term and 40 years
Building finishes	Straight-line	10-15 years
Electrical and mechanical	Straight-line	30 years
Furniture, fixtures and equipment	Straight-line	7 years

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

(d) Revaluation

The Partnership uses the revaluation method of accounting for certain classes of PP&E as well as certain assets which are under development for future use as PP&E measured using the revaluation method is initially measured at cost and subsequently carried at its revalued amount, being the fair value at the date of the revaluation less any subsequent accumulated depreciation and any accumulated impairment losses. Revaluations are performed at each reporting date, unless there is an indication that assets are impaired. Where the carrying amount of an asset increases as a result of a revaluation, the increase is recognized in other comprehensive income and accumulated in equity in revaluation surplus, unless the increase reverses a previously recognized impairment recorded through net income, in which case that portion of the increase is recognized in net income.

Where the carrying amount of an asset decreases, the decrease is recognized in other comprehensive income to the extent of any balance existing in revaluation surplus in respect of the asset, with the remainder of the decrease recognized in net income.

(vi) Investment income

Interest income

Interest income and lender fees received from borrowers are recognized in the consolidated statements of income and comprehensive income using the effective interest method. Forfeited lender fees are recognized at the time a borrower has not fulfilled the terms and conditions of a lending commitment and payment has been received.

Dividend income

Dividend income is recognized in the consolidated statements of income and comprehensive income on the date that the right to receive payment is established.

Net gain on financial instruments at fair value through profit and loss ("FVTPL")

Net gain on financial instruments at FVTPL includes all realized and unrealized fair value changes and foreign exchange differences but excludes interest and dividend income.

Net realized gain from financial instruments at FVTPL is calculated using the average cost method.

(b) Partnership units

The Partnership is authorized to issue multiple classes of redeemable limited partner units, which are redeemable at the holder's option and are subject to different fee structures. The Partnership classifies financial instruments issued as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instruments. The redeemable units are classified as financial liabilities given the ability of unitholders to put back the units to the Partnership on a quarterly basis for cash equal to the proportionate share of the Partnership's net redemption value attributable to the unit class, subject to certain restrictions.

For financial statement reporting purposes, the Partnership's obligation for net assets attributable to unitholders is presented at the residual interest in the Partnership. This amount differs from the net asset value used for unitholder reporting and pricing purposes, which are calculated in accordance with the limited partnership agreement ("LPA").

(c) Cash and cash equivalents

The Partnership considers highly liquid investments with an original maturity of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

(d) Distributions to unitholders

Distributions payable to unitholders are recognized in the consolidated statements of changes in net assets when they are authorized and no longer at the discretion of the Partnership.

(e) Income taxes

The Partnership currently incurs withholding taxes imposed by certain countries on investment income and capital gains. Such income or gains are recorded gross of withholding taxes in the consolidated statements of income and comprehensive income.

The Partnership is organized as a partnership for Canadian tax purposes, and therefore, the taxable income for Canadian tax purposes is subject to tax by the unitholder. The Partnership has subsidiaries that are subject to U.S. corporate income taxes. Taxes paid by these subsidiaries are allocated to the unitholders and may be available as a credit against the Canadian taxes otherwise payable. Accordingly, the Partnership provides for current and deferred income tax with respect to its taxable subsidiaries.

Income taxes expense is comprised of current and deferred taxes. Current tax and deferred tax are recognized in profit or loss, except to the extent that it relates to a business combination or items recognized directly in equity or in other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates and laws enacted or substantively enacted at the reporting date and any adjustment to tax payable with respect to previous years.

Deferred tax is recognized with respect to temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognized for:

(i) temporary differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future;

(ii) temporary differences in the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits; and

(iii) taxable temporary differences arising from the initial recognition of goodwill.

Deferred tax is measured at tax rates that are expected to be applied to temporary differences when they reverse, based on laws that have been enacted or substantively enacted by the reporting date. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously. In determining the amount of current and deferred tax, the Partnership takes into account the impact of uncertain tax provisions and whether additional taxes and interest may be due.

The Partnership believes that its accruals for tax liabilities are adequate for all open tax years based on its assessment of many factors, including interpretations of tax laws and prior experience. This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Partnership to change its judgment regarding the adequacy of existing tax liabilities; such changes to tax liabilities will impact tax expense in the year that such a determination is made.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable (which the Partnership has defined as more likely than not) that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

(f) Financial assets and financial liabilities

(i) Classification

Financial assets are classified as measured at one of the following: (i) FVTPL; (ii) fair value through other comprehensive income (FVOCI) or; (iii) amortized cost. The classification of financial instruments is outlined in note 21. The Partnership has no financial assets measured at FVOCI.

All financial assets and financial liabilities are measured at fair value on initial recognition plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

Financial instruments measured at fair value through profit or loss

Financial assets and financial liabilities at FVTPL are financial instruments that are managed, and their performance is evaluated on a fair value basis in accordance with the Partnership's documented investment strategy. Financial instruments at FVTPL are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets. The Partnership is primarily focused on fair value information and uses that information to assess the assets' performance and to make decisions. Financial assets and liabilities at FVTPL are measured at fair value with net gains and losses, including any interest or dividend income, recognized in profit or loss. These include the portfolio investments and derivative financial assets and liabilities held by the Partnership, as presented in the consolidated statements of net assets.

Measured at amortized cost

Financial assets classified as measured at amortized cost are non-derivative financial assets with fixed or determinable payments. Financial assets are measured at amortized costs using the effective interest method. The amortized cost is reduced by expected credit losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. This category includes cash and cash equivalents, dividends and interest receivable, other assets and receivables, margin deposits in swaps and forward contracts, mortgage and loan investments and receivable for investments sold, with exception of the participating debt, which is classified at fair value through profit or loss.

Other financial liabilities

Financial liabilities not classified as measured at FVTPL are classified as measured at amortized cost. Financial liabilities are measured at amortized cost using effective interest method with interest expense and foreign exchange gains and losses are recognize din profit or loss. Any gain or loss on derecognition is also recognized in profit or loss. These include the loan advance and credit facility, accounts payable and accrued liabilities, due to Manager, distributions payable, redemptions payable, mortgage payable and payable for investments purchased.

(ii) Allowance for expected credit loss ("ACL")

The Partnership recognizes ACL on financial assets measured at amortized cost, unfunded loan commitments and financial guarantee contracts (note 9).

Impairment of financial assets

The Partnership recognizes loss allowances for expected credit loss ("ECL") on financial assets measured at amortized cost, unfunded loan commitments and financial guarantee contracts. The ECL model requires the recognition of credit losses based on 12 months of expected losses for performing loans (Stage 1) and the recognition of lifetime expected losses on performing loans that have experienced a significant increase in credit risk since origination (Stage 2). The allowance for assets in Stage 2 will be higher than for those in Stage 1 as a result of the longer time horizon associated with this stage. Stage 3 requires lifetime losses for all credit impaired assets.

The determination of a significant increase in credit risk takes into account different factors and will vary by nature of investment. The Partnership assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due interest payment or maturity date, and borrower specific criteria determined by the Manager. As is typical in shorter duration, structured financing, the Manager does not solely believe there has been a significant deterioration in credit risk as it is not uncommon for mortgage and other investments to go into overhold position for a period greater than 30 days. The Manager actively monitors these mortgage and other investments and applies judgement in determining whether there has been significant increase in credit risk. The Partnership considers a financial asset to be in default when the borrower is more than 90 days past due and when there is objective evidence that there has been a deterioration of credit quality to the extent the Partnership no longer has reasonable assurance as to the timely collection of the full amount of principal and interest or/and when the Partnership has commenced enforcement remedies available to it under its contractual agreements.

In cases where a borrower experiences financial difficulty, the Partnership may grant certain concessionary modifications to the terms and conditions of a loan. Modifications may include payment deferrals, extension of amortization periods, debt consolidation, forbearance and other modifications intended to minimize the economic loss and to avoid foreclosure or repossession of collateral. The Partnership determines the appropriate remediation strategy based on the individual borrower. If the Partnership determines that a modification results in expiry of cash flows, the original asset is derecognized while a new asset is recognized based on the new contractual terms.

Significant increase in credit risk is assessed relative to the risk of default on the date of modification. If the Partnership determines that a modification does not result in derecognition, significant increase in credit risk is assessed based on the risk of default at initial recognition of the original asset. Expected cash flows arising from the modified contractual terms are considered when calculating the ECL for the modified asset. For loans that were modified while having a lifetime ECL, the loans can revert to having 12-month ECL after a period of performance and improvement in the borrower's financial condition. Loss allowances for financial assets measured at amortized cost are deducted from gross carrying amount of the asset.

(g) Impairment of non-financial assets

The carrying amounts of PP&E are assessed at each reporting date to determine if any events have occurred that would indicate the PP&E may be impaired. If any such indication exists, then the asset's recoverable amount is estimated and an impairment loss is recognized immediately in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount of an asset or cash generating unit ("CGU") is the higher of (a) fair value less costs to sell, and (b) value in use. The determination of recoverable amounts can be significantly impacted by estimates related to current market valuations, current and future economic conditions in the geographical markets of each CGU, and management's strategic plans within each of its markets. Estimates and assumptions used in the determination of the recoverable amounts were based upon information that was known at the time, along with the future outlook.

Impairment losses recognized in prior years are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

(h) Critical judgments and estimates

In the preparation of these consolidated financial statements, the Manager has made judgments, estimates and assumptions that affect the application of the Partnership’s accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

In making estimates and judgements, management relies on external information and observable conditions where possible, supplemented by internal analysis as required. There are no known trends, commitments, events or uncertainties that management believes will materially affect the methodology or assumptions utilized in making those estimates and judgements in these consolidated financial statements. The significant estimates and judgements used in determining the recorded amount for assets and liabilities in the consolidated financial statements include the following:

(i) Measurement of fair values

The Partnership measures financial instruments (such as derivatives and portfolio investments) and non-financial instruments (such as investment properties) at fair value on each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Partnership.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interests. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Partnership uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; or
- Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Partnership determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Partnership has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above. The information about the assumptions made in measuring fair value is included in the following notes:

Note 5 – Investment Properties; and

Note 21 – Fair Value Measurement

(ii) Accounting for subsidiaries

Significant judgment is required in assessing whether the Partnership should consolidate underlying structured entities in accordance with *IFRS 10 - Consolidated Financial Statements.*

(i) Translation of foreign currencies

Transactions in foreign currencies are translated into Canadian dollars at the exchange rate on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into Canadian dollars at the exchange rate on that date. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated into Canadian dollars at the exchange rate on the date that the fair value is determined. Foreign currency differences arising on retranslation are recognized in the consolidated statements of income and comprehensive income as a component, except for those arising on financial instruments at FVTPL, which are recognized as a component of gain (loss) on financial instruments at FVTPL.

(j) Foreign operations

The assets and liabilities of foreign operations are translated into Canadian dollars at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Canadian dollars at the exchange rates at the dates of the transactions. Foreign currency differences are recognized in other comprehensive income and accumulated in the translation reserve.

When a foreign operation is disposed of in its entirety or partially such that control, significant influence or joint control is lost, the cumulative amount in the foreign operations - foreign currency translation differences related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal.

(k) Derivatives

The Partnership may use derivatives (such as written options, forward contracts, swaps or customized derivatives) to hedge against losses caused by changes in securities prices, interest rates or exchange rates. The Partnership may also use derivatives for non-hedging purposes in order to invest indirectly in securities or financial markets, to gain exposure to other currencies, to seek to generate additional income, and/or for any other purpose considered appropriate by the Manager. Fair value of derivatives contracts is included in the consolidated statements of net assets as derivative assets or derivative liabilities and the change in fair value is included in net gain on financial instruments at FVTPL in the consolidated statements of income and comprehensive income.

(l) Margin deposited on equity swaps and forward contracts

These amounts relate to cash collateral held by the counterparties on the foreign exchange forward contracts and equity swap contracts.

(m) Changes in accounting policies

(i) Accounting for acquisitions

Policy before January 1, 2019

Management assesses whether the acquisition of a property should be accounted for as an asset purchase or business combination. This assessment impacts the treatment of transactions costs, the allocation of transaction costs, the allocation of acquisition costs and whether or not goodwill is recognized. The acquisition is determined to be a business combination, if an integrated set of processes were acquired as part of the transaction.

Policy after January 1, 2019

The Partnership has early adopted amendment to *IFRS 3 - Definition of a Business* (the “Amendment”), issued in October 2018 with a date of initial application of January 1, 2019. The Amendment was applied prospectively,

The Amendment includes an optional 'concentration test', to assess whether substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or a group of similar identifiable assets. If the test is met, the transaction can be treated as an asset acquisition. If an entity does not elect to use the optional concentration test or the concentration test is not met, then it assesses whether the set of assets and activities meets the amended definition of a business, such that it consists of an input and a substantive process

that together significantly contribute to the ability to create outputs. This assessment is focused on whether the set of assets and activities includes a substantive process.

The Partnership chose to apply the concentration test to assess whether substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or a group of similar identifiable assets, on a transaction-by-transaction basis. If the test is met, the transaction is treated as an asset acquisition.

The effect of adopting the Amendment is that a certain acquisition during fiscal 2019 was treated as an asset acquisition, whereas under the previous IFRS 3 that acquisition would be treated as business combination.

(ii) Future accounting policy changes

Amendments to References to the Conceptual Framework in IFRS Standards

On March 29, 2018 the IASB issued a revised version of its Conceptual Framework for Financial Reporting (the Framework), that underpins IFRS Standards. The IASB also issued Amendments to References to the Conceptual Framework in IFRS Standards to update references in IFRS Standards to previous versions of the Conceptual Framework. Both documents are effective from January 1, 2020 with earlier application permitted.

The Partnership will adopt the amendments in its financial statements for the annual period beginning on January 1, 2020. The Partnership does not expect the amendments to have a material impact on the financial statements.

Definition of Material (Amendments to *IAS 1 - Presentation of Financial Statements* and *IAS 8 - Accounting Policies, Changes in Accounting Estimates and Errors*)

On October 31, 2018, the IASB refined its definition of material and removed the definition of material omissions or misstatements from IAS 8. The amendments are effective for annual periods beginning on or after January 1, 2020. Early adoption is permitted.

The definition of material has been aligned across IFRS Standards and the Framework. The amendments provide a definition and explanatory paragraphs in one place.

Pursuant to the amendments, information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

The Partnership will adopt the amendments to IAS 1 and IAS 8 in its financial statements for the annual period beginning on January 1, 2020. The Partnership does not expect the amendments to have a material impact on the financial statements.

4. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

INVESTMENT IN ASSOCIATES

	December 31, 2019	December 31, 2018
HH (MB) LP	$ 800	$ 800
Eagle Crescent Developments LP	-	6,300
492 Eglinton Avenue East LP	3,465	3,465
Goldstream Holdings LP	10,649	4,550
North Timber Sheridan LP	4,884	5,543
North Timber Kendall LP	6,474	6,087
Bloor Dufferin Development LP	3,630	3,239
Yale & John LP	21,148	13,686
Kaslo Plaza LP	33,350	-
Total	$ 84,400	$ 43,670

	Victoria Apartment Hoylake	HH (MB) LP	Eagle Crescent Developments LP	492 Eglington Avenue East LP	Goldstream Holdings LP
Balance, January 1, 2018	$ 7,000	$ 800	$ 3,300	$ 4,903	$ 4,000
Contributions	-	-	-	902	550
Share of net income and fair value gain (loss)	21	-	6,475	-	-
Net foreign exchange gain	-	-	-	-	-
Dispositions	(7,021)	-	(3,475)	-	-
Distributions	-	-	-	(2,340)	-
Balance, December 31, 2018	-	800	6,300	3,465	4,550
Contributions	-	-	-	-	-
Share of net income and fair value gain (loss)	-	-	-	-	6,099
Net foreign exchange gain	-	-	-	-	-
Dispositions	-	-	(6,300)	-	-
Balance, December 31, 2019	$ -	$ 800	$ -	$ 3,465	$ 10,649

	North Timber Sheridan LP	North Timber Kendall LP	Bloor Dufferin Develop-ment LP	Yale & John LP	Kaslo Plaza LP	Total
Balance, January 1, 2018	$ 3,905	$ 5,048	$ 2,547	$ -	$ -	$ 31,503
Contributions	593	-	692	9,969	-	12,706
Share of net income and fair value gain (loss)	655	591	-	3,318	-	11,060
Net foreign exchange gain	390	448	-	399	-	1,237
Dispositions	-	-	-	-	-	(10,496)
Distributions	-	-	-	-	-	(2,340)
Balance, December 31, 2018	5,543	6,087	3,239	13,686	-	43,670
Contributions	-	-	391	4,782	33,350	38,523
Share of net income and fair value gain (loss)	(396)	705	-	3,489	-	9,897
Net foreign exchange gain (loss)	(263)	(318)	-	(809)	-	(1,390)
Dispositions	-	-	-	-	-	(6,300)
Balance, December 31, 2019	$ 4,884	$ 6,474	$ 3,630	$ 21,148	$ 33,350	$ 84,400

JOINT VENTURES

	December 31, 2019	December 31, 2018
CD Yorkville 1 LP	$ 2,225	$ 2,225
Rockport (MPE) LP	2,234	1,443
HTC Sterling Road Holdings LP	10,717	-
Chapel Street Limited Partnership	35,188	-
Timbertrin (Dundas/Bloor) LP	14,727	-
Timbertrin (Queen/Bathurst) LP	4,639	-
Total	$ 69,730	$ 3,668

	CD Yorkville 1 LP	Rockport (MPE) LP	HTC Sterling Road Holdings LP	Chapel Street Limited Partnership	Timbertrin (Dundas/ Bloor) LP	Timbertrin (Queen/ Bathurst) LP	Total
Balance, January 1, 2018	$ 2,214	$ -	$ -	$ -	$ -	$ -	$ 2,214
Contributions	11	1,443	-	-	-	-	1,454
Balance, December 31, 2018	2,225	1,443	-	-	-	-	3,668
Contributions	-	791	10,717	35,188	14,786	4,581	66,063
Share of net income and fair value gain (loss)	-	-	-		(59)	58	(1)
Balance, December 31, 2019	$ 2,225	$ 2,234	$ 10,717	$ 35,188	$ 14,727	$ 4,639	$ 69,730

5. INVESTMENT PROPERTIES

	December 31, 2019	December 31, 2018
Balance, beginning of the year	$ 25,058	$ -
Acquisition	57,543	25,058
Additions - capital expenditures	683	-
Adjustment for foreign currency translation *	(1,224)	-
Balance, end of the year	$ 82,060	$ 25,058

* Foreign currency translation on USD-denominated investment properties

The following table shows the valuation technique used in measuring fair value of the investment properties.

Valuation technique	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Direct Capitalization Method. The valuation method is based on stabilized net operating income ('NOI') divided by an overall capitalization rate.	Stabilized NOI is based on the location, type and quality of the property and supported current market rents for similar properties, adjusted for estimated vacancy rates (post capital expenditure, if any) and expected operating costs. Capitalization rate is based on location, size and quality of the property and taking into account market data at the valuation date.	The estimated fair value would increase (decrease) if overall capitalization rates were lower (higher)

The key valuation assumptions are set out in the following table:

	2019	2018
Capitalization rates:		
Range	3.5% to 9.1%	9.1%
Weighted average	5.3%	9.1%

The fair value of the Partnership's investment properties is sensitive to changes in the key valuation assumptions. The estimated fair value would increase by $6,805 if overall capitalization rates were lower by 0.50% and decrease by $5,636 if the overall capitalization rates were higher by 0.50%, with all other variables being held constant. In practice, actual results may differ from the sensitivity analysis and the differences could be material.

(a) Acquisitions

The acquisitions of the investment properties have been accounted for as an asset purchase and recognized initially at purchase price plus transaction costs, with results of operations included in these consolidated financial statements from the date of acquisition.

i) On October 2, 2018, the Partnership completed an acquisition of investment properties in Jefferson County, Alabama for total consideration of $25,058. The Partnership financed the acquisition through securing a new mortgage of $15,769, and the remaining was funded in cash. The aggregate fair value of the investment properties is pledged as security for the mortgage payable (note 12).

ii) On May 15, 2019, the Partnership and a third-party co-investor completed an acquisition of investment property located in Montreal, Quebec for a total consideration of $84,254. The Partnership holds 25% of the ownership interest and its portion of consideration was $21,063. The co-ownership financed the acquisition through securing a new mortgage of $49,478 and remaining was funded in cash. The Partnership's ownership of the mortgage is 30% of the total balance, which is $14,843 ($14,492, net of capitalized financing costs). The Partnership subsequently received the second advance on the mortgage $233 ($226, net of capitalized financing costs). The aggregate fair value of the investment properties is pledged as security for the mortgage payable (note 12). The co-ownership is subject to joint control based on the Partnership's decision making authority with regards to the operating, financing and investing activities of the investment property. This co-ownership has been classified as a joint operation and, accordingly, the Partnership recognizes its share of the assets, liabilities, revenue and expenses generated from the assets in proportion to its rights.

iii) On August 29, 2019, the Partnership completed an acquisition of investment property located in Toronto, Ontario for a total consideration of $36,498. The Partnership financed the acquisition through a credit facility of $22,750 ($22,612, net of capitalized financing costs), and the remaining was funded in cash. The aggregate fair value of the investment property is pledged as security for the credit facility (note 13).

6. PP&E

		December 31, 2019
Balance, beginning of the year	$	-
Acquisitions		75,739
Depreciation		(219)
Revaluation		-
Balance, end of the year	$	75,520

7. RENTAL REVENUE

The Partnership leases residential and commercial properties under operating leases generally with a term of not more than one year, and in many cases, tenants lease rental space on a month-to-month basis. The majority operating leases mature in 2020, and aggregate minimum lease payments in 2020 is expected to be $3,804. Rental revenue from operating leases was $4,065 during the year ended December 31, 2019 (December 31, 2018 - $987).

8. PORTFOLIO INVESTMENTS

	Number of shares/units		Fair value	
Common equities	**December 31, 2019**	**December 31, 2018**	**December 31, 2019**	**December 31, 2018**
Alstria Office REIT-AG	426,100	231,600	$ 10,395	$ 4,420
American Campus Communities	-	28,600	-	1,616
Arima Real Estate SOCIMI SA	354,692	-	5,837	-
AvalonBay Communities Inc.	-	17,100	-	4,063
Brixmor Property Group Inc.	-	164,400	-	3,297
CapitaLand Retail China Trust	-	1,738,504	-	2,368
Centuria Industrial REIT	2,515,403	-	7,654	-
Chartwell Retirement Residences	559,297	208,179	7,774	2,846
CHC Student Housing Corp.	38,562	38,562	1	40
China Tower Corp Ltd.	33,255,000	-	9,531	-
Colony Capital Inc.	-	383,185	-	2,448
Columbia Property Trust Inc.	-	70,791	-	1,870
Crown Castle International Corp.	34,617	-	6,389	-
CubeSmart	132,380	-	5,411	-
Equinix Inc.	4,900	6,700	3,714	3,225
Essex Property Trust Inc.	14,750	-	5,762	-
European Residential Real Estate Investment Trust	1,308,000	-	6,082	-
Federal Realty Investment Trust	34,700	-	5,800	-
First Capital Realty Inc.	-	184,500	-	3,478
Fortune REIT	-	2,467,000	-	3,866
Granite Point Mortgage Trust Inc.	878,713	45,429	20,972	1,118
HCP Inc.	-	42,578	-	1,623
Healthcare Trust of America Inc.	149,898	74,800	5,894	2,585
Healthpeak Properties Inc.	137,086	-	6,136	-
Hilton Worldwide Holdings Inc.	-	27,400	-	2,686
Hudson Pacific Properties Inc.	149,300	80,200	7,299	3,182
Invesco Office J-Reit Inc.	46,034	30,717	12,366	5,868
Invitation Homes Inc.	118,817	94,862	4,624	2,600
Irish Residential Properties REIT Plc	4,178,435	2,269,768	9,676	4,793
iShares US Real Estate ETF	3,500	-	423	-
Japan Hotel REIT Investment Corp.	5,690	-	5,521	-
Keppel DC REIT	4,787,447	1,725,500	9,613	2,333
Klepierre	208,800	68,700	10,294	2,897
MFA Financial Inc.	1,591,629	516,510	15,810	4,710
Mirvac Group	2,539,728	1,987,114	7,358	4,280
Nippon Prologis REIT Inc.	1,734	-	5,727	-
			$ 196,063	$ 72,212

	Number of shares/units		Fair value	
Common equities	**December 31, 2019**	**December 31, 2018**	**December 31, 2019**	**December 31, 2018**
Nomura Real Estate Holdings Inc.	-	104,600	$ -	$ 2,625
Pioneer Property Group ASA	292,714	268,381	4,373	4,364
QTS Realty Trust Inc.	52,944	37,700	3,731	1,907
Rexford Industrial Realty Inc.	91,898	-	5,450	-
Shurgard Self Storage Europe Sarl	239,943	125,616	11,882	4,765
Starwood Property Trust Inc.	772,044	139,863	24,921	3,763
Sun Communities Inc.	24,200	-	4,717	-
Swire Properties Ltd.	2,176,880	1,049,900	9,377	5,033
Tokyu Fudosan Holdings Corp.	-	355,370	-	2,399
TPG RE Finance Trust Inc.	839,034	30,248	22,083	755
VEREIT Inc.	489,791	227,500	5,876	2,221
VICI Properties Inc.	212,900	80,466	7,063	2,063
Total common equities			$ 295,534	$ 102,107

	Number of shares/units		Fair value	
Preferred shares	**December 31, 2019**	**December 31, 2018**	**December 31, 2019**	**December 31, 2018**
American Homes 4 Rent Series E	-	35,200	$ -	$ 1,064
American Homes 4 Rent Series H	137,371	-	4,748	-
Cedar Realty Trust Inc. Series C	-	52,300	-	1,355
Colony Capital Inc. Series E	110,819	-	3,640	-
Colony Capital Inc. Series H	47,025	48,578	1,461	1,223
Colony NorthStar Inc. Series E	-	27,119	-	857
Digital Realty Trust Inc. Series J	96,180	-	3,218	-
Monmouth Real Estate Investment Series C	153,559	34,259	4,969	1,064
Pebblebrook Hotel Trust Series D	-	19,300	-	611
Pebblebrook Hotel Trust Series E	-	4,761	-	156
Pebblebrook Hotel Trust Series F	106,586	-	3,557	-
Pennsylvania Real Estate Trust Series C	-	9,434	-	207
PS Business Parks Inc. Series X	155,726	-	5,277	-
Public Storage. Series E	104,539	-	3,459	-
QTS Realty Trust Inc. Series A	126,449	92,570	4,466	7,769
Rexford Industrial Realty Inc. Series B	-	475	-	14
SITE Centers Corp. Series J	-	17,655	-	547
Spirit Realty Capital Inc. Series A	67,264	-	2,275	-
Sunstone Hotel Investors Inc. Series E	-	30,034	-	1,035
Total preferred shares			$ 37,070	$ 15,902

	Number of shares/units		Fair Value	
Fixed income	**December 31, 2019**	**December 31, 2018**	**December 31, 2019**	**December 31, 2018**
ERWE Immobilien AG 7.50% 10DEC23	5,000,000	-	$ 7,391	$ -
Total Fixed			$ 7,391	$ -

	Fair Value	
Private investments	**December 31, 2019**	**December 31, 2018**
Adventus Capital Partners Ltd.	$ -	$ 289
Boston Office – Center Plaza	7,983	8,446
Chicago Office - Adventus	7,501	7,503
Chicago Office Convertible Debt - Adventus	6,011	6,319
Edmonton Industrial	2,510	7,526
GreenOak – Asia II	556	248
GreenOak – Europe II	2,499	1,895
GreenOak – Europe III	663	-
GreenOak – US II	982	1,005
GreenOak – US III	714	310
GTA Mixed Use-Wynn	32,271	26,818
Irish Debt Junior Debentures	7,737	7,236
New York City Apartment - Rivertower	4,152	4,114
Oak Brook Office - York	1,707	2,349
Sacramento Office – L Street	15,403	15,678
Sacramento Shopping Center - Blue Oaks	7,254	8,128
Saskatchewan Apartment – New Summit	1,244	1,004
Tokyo Office - Aoyama	-	8,588
Toronto Mixed Use - Urban Redevelopment	14,604	21,792
Toronto Residential - Roehampton	-	1,055
Total private investments	$ 113,791	$ 130,303
Total portfolio investments	**$ 453,786**	**$ 248,312**

9. MORTGAGE AND LOAN INVESTMENTS

	December 31, 2019	December 31, 2018
Canada		
Barrie Apartment Loan – Johnson	$ 4,183	$ -
Calgary Apartment Loan - Sunridge	2,000	-
Calgary Hotel Loan - Widewaters	-	1,239
Calgary Hotel Preferred - Widewaters	-	1,539
Calgary Multifamily Loan - Windsor	5,017	-
Cambridge Apartment Loan- Lena Court	2,277	-
Canada Apartment Credit Facility - DDAP	3,617	3,617
Edmonton Residential Loan - Belgravia	1,583	-
GTA Diversified Credit Facility	-	5,250
Kitchener Apartment Loan - Elm Ridge	2,280	-
Kitchener Multifamily Loan - 86 Cedar	1,855	1,752
Mississauga Industrial Mortgage – Royal Windsor	2,250	2,250
Montreal Healthcare Loan – Rosemont	22,300	-
Ontario Residential Portfolio Loan – TDG	2,500	-
Oshawa Apartment Mortgage – Bond	3,000	2,928
Ottawa Apartment Mortgage – Rideau	-	18,700
Quebec City Apartment – Rue Claire-Bonenfant	2,220	-
Quebec City Apartment Loan - Les Facades	-	2,000
Quebec City Apartment Loan - Les Facades II	5,755	-
Quebec City Retail Mortgage - Charlevoix	5,975	-
Saskatoon Residential Mortgage – The Meadows	6,500	-
Saskatoon Retail Mortgage – The Meadows	19,807	6,994
St. Catharines Apartment Loan - Westdale	-	6,900
Toronto Apartment Loan – Craigton	-	4,991
Toronto Apartment Loan – Lawrence West	-	9,632
Toronto Apartment Portfolio - Monarch	-	1,825
Toronto Apartment Portfolio Preferred - SL	-	8,453
Toronto Industrial Mortgage - Bramsteele	1,153	-
Toronto Industrial Mortgage - Yonge	3,675	-
Toronto Mixed Use Mortgage - MM	965	4,316
Toronto Residential Loan – Roehampton	1,218	-
Toronto Residential Mortgage – Gerrard	2,000	2,000
US Apartment Loan - Sunbelt Portfolio	10,918	10,918
Vancouver Apartment - Renfrew	6,168	6,900
Vancouver Apartment Loan - Lonsdale	3,312	2,344
Vancouver Mixed Use Portfolio - BP	9,300	-
Vancouver Office Loan – HS	15,000	-
Vancouver Residential Loan - Kensington	-	4,000
Vancouver Retail Loan – Kensington	1,325	-
Victoria Mixed Use Loan – Blanshard	2,159	1,824
Victoria Mixed Use Mortgage – Times	2,464	1,984
Waterloo Apartment Loan - Goldbeck	2,870	-
Western Canada Retail Portfolio Loan - AP	2,500	-
Winnipeg Apartment Mortgage	557	-
Total Canada	$ 158,702	$ 112,356

	December 31, 2019	December 31, 2018
United States of America		
Atlanta Multifamily Mortgage AV	$ 47,348	$ -
Eatontown Retail Loan - MM	1,948	2,048
Las Vegas Shopping Centre - Warm Springs	15,338	-
Los Angeles Loan - Vlca	15,596	-
Nashville Apartment Loan – Grand Oak	4,139	5,068
Phoenix Apartment Loan - Spectra	6,492	6,826
Phoenix Industrial Mortgage - Driver	2,919	-
Seattle Mixed Use Mortgage - Lake Union	-	6,826
Tampa Apartment Loan - IMT	-	5,720
Total United States of America	93,780	26,488

	December 31, 2019	December 31, 2018
Europe		
Dublin Residential Mortgage - Rivermeade	$ 1,223	$ -
Ireland Diversified Mortgage - MR	2,003	-
Total Europe	$ 3,226	$ -
Allowance for mortgage and loan investments	(410)	(123)
Total mortgage and loan investments	**255,298**	**138,721**

The mortgage and loan investments are secured predominantly by real estate and bear interest at a weighted average rate of 8.4% (December 31, 2018 – 10.5%). The mortgage and loan investments mature between 2020 and 2023 (December 31, 2018 - 2019 and 2021). All mortgage and loan investments are conventional uninsured mortgages and contain a prepayment option, whereby the borrower may repay the principal at any time.

ACL

The ACL recorded, if any, in the consolidated statements of income and comprehensive income is maintained at a level that the Manager considers adequate to absorb credit-related losses on our mortgage and other investments.

As at December 31, 2019, $257,616, nil and nil of gross carrying amounts of mortgage and loan investments and ACL of $410, nil and nil were in Stage 1, 2 and 3, respectively (December 31, 2018 - $139,341, nil and $2,102 of gross carrying amounts of mortgage and loan investments and ACL of $120, nil and $3 were in Stage 1, 2 and 3, respectively) During the year ended December 31, 2019, a loan with $1,970 of gross carrying amounts of mortgage and loan investments transferred from Stage 3 to Stage 1 with ACL of $3 (December 31, 2018, there was a loan with $2,102 of gross carrying amounts transferred from Stage 1 to Stage 3 with ACL of $3). As at December 31, 2019, unfunded commitments (note 22 (b)) and financial guarantee contracts were all in Stage 1 with minimal ACL (December 31, 2018 - Stage 1 with minimal ACL).

The following table presents the gross carrying amounts of mortgage and other loan investments as at December 31, 2019, subject to IFRS 9 - Financial Instrument impairment requirements by internal risk ratings used by the Partnership for credit risk management purposes.

Low risk: Mortgage and loan investments that is below the credit risk profile standard of the Partnership with a below average probability of default. Yields on these investments are expected to trend lower than the Partnership's average portfolio.

Medium risk: Mortgage and loan investments within the Partnership's risk appetite and credit standards with an average probability of default. These investments typically carry attractive risk-return yield premiums and would represent a significant percentage of the overall portfolio.

High risk: Mortgage and loan investments within the Partnership's risk appetite and credit standards that have an additional element of credit risk that could result in an above average probability of default. These mortgage and loan investments carry a yield premium in return for their incremental credit risk. These mortgage and loan investments are expected to represent a small percentage of the overall portfolio.

Default: Mortgage and loan investments that are 90 days past due and when there is objective evidence that there has been a deterioration of credit quality to the extent the Partnership no longer has reasonable assurance as to the timely collection of the full amount of principal and interest or/and when the Partnership has commenced enforcement remedies available to it under its contractual agreements.

Canada

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ 15,506	$ -	$ -	$ 15,506
Medium risk	140,093	-	-	140,093
High risk	4,519	-	-	4,519
Default	-	-	-	-
Net	160,118	-	-	160,118
ACL	365	-	-	365
Mortgage and loan investments, net of ACL	$ 159,753	$ -	$ -	$ 159,753

United States of America

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ 18,638	$ -	$ -	$ 18,638
Medium risk	73,613	-	-	73,613
High risk	1,970	-	-	1,970
Default	-	-	-	-
Net	94,221	-	-	94,221
ACL	35	-	-	35
Mortgage and loan investments, net of ACL	$ 94,186	$ -	$ -	$ 94,186

Europe

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ -	$ -	$ -	$ -
Medium risk	3,277	-	-	3,277
High risk	-	-	-	-
Default	-	-	-	-
Net	3,277	-	-	3,277
ACL	10	-	-	10
Mortgage and loan investments, net of ACL	$ 3,267	$ -	$ -	$ 3,267

The following table presented the gross carrying amounts of mortgage and other loan investments as at December 31, 2018.

Canada

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ 2,965	$ -	$ -	$ 2,965
Medium risk	108,261	-	-	108,261
High risk	8,561	-	-	8,561
Default	-	-	-	-
Net	119,787	-	-	119,787
ACL	110	-	-	110
Mortgage and loan investments, net of ACL	$ 119,677	$ -	$ -	$ 119,677

United States of America

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ -	$ -	$ -	$ -
Medium risk	12,683	-	-	12,683
High risk	6,871	-	-	6,871
Default	-	-	2,102	2,102
Net	19,554	-	2,102	21,656
ACL	10	-	3	13
Mortgage and loan investments, net of ACL	$ 19,544	$ -	$ 2,099	$ 21,643

10. DERIVATIVES

Foreign exchange forward contracts

Settlement date	Currency	Counterparty	Forward rates	Contract price	Fair value	Unrealized gain
April 16, 2020	EUR	CIBC World Markets	1.4655	$ (7,388)	$ (7,328)	$ 60
March 23, 2020	JPY	CIBC World Markets	0.0120	(628)	(624)	4
March 20, 2020	EUR	CIBC World Markets	1.4631	(7,706)	(7,678)	28
March 20, 2020	EUR	CIBC World Markets	1.4631	(2,008)	(2,000)	8
March 20, 2020	EUR	CIBC World Markets	1.4631	(1,227)	(1,222)	5
March 20, 2020	USD	CIBC World Markets	1.2981	(1,658)	(1,636)	22
March 20, 2020	USD	CIBC World Markets	1.2981	(233,811)	(231,515)	2,296
Total unrealized gain on foreign exchange forward contracts						$ 2,423

Settlement date	Currency	Counterparty	Forward rates	Contract price	Fair value	Unrealized loss
March 23, 2020	JPY	CIBC World Markets	0.0120	$ 96	$ 96	$ -
March 20, 2020	NOK	CIBC World Markets	0.1479	(4,390)	(4,434)	(44)
January 06, 2020	CAD	CIBC World Markets	0.7702	(1,669)	(1,710)	(41)
Total unrealized loss on foreign exchange forward contracts						$ (85)

Options

Settlement date	Currency	Strike price	Shares	Notional amount	Fair value
January 17, 2020	USD	$ 85	(3,500)	$ (39)	$ (37)

The Partnership can extend these contracts beyond maturity, thereby maintaining the underlying economic exposure of the position.

11. LOAN ADVANCE

During the year ended December 31, 2019, the Partnership received a nil (December 31, 2018 - $6,300) in loan advance from private investments. The unsecured nominal interest bearing loan received in 2018 was repaid in 2019.

12. MORTGAGES PAYABLE

As at December 31, 2019, the Partnership had a total mortgage payable of $83,270, net of financing costs. All mortgages are secured by the investment properties and PP&E. Mortgages payable are recorded at amortized cost. Mortgage balances and terms on each investment property and PP&E as of December 31, 2019 are as follows:

Year ended December 31, 2019	Alabama[1]	Montreal Apartment - Sommet	Calgary Hotel East Village	Total
Contractual mortgage payable	$ 15,193 (11,700 USD)	$ 14,942	$ 54,000	$ 84,135
Mortgage payable balance, net of capitalized financing costs	$ 15,109	$ 14,607	$ 53,554	$ 83,270
Mortgage interest	$ 729	$ 221	$ 187	$ 1,137
Amortization of capitalized financing costs	$ 112	$ 24	$ -	$ 136
Interest rate	LIBOR plus a margin of 2.25%	Canada Mortgage Bond Yield plus applicable margin, as determined by the lender at the time of borrowing, which is then current rate that the lender would otherwise charge to other similar borrowers.	The greater of the 5 year Canada Bond Rate plus a margin of 2.25% or 3.50%	
Maturity date	October 1, 2020	September 1, 2029	November 7, 2024	
Effective interest rate	4.69%	2.75%	3.56%	

Year ended December 31, 2018	Alabama[1]
Contractual mortgage payable	$ 15,973 (11,700 USD)
Mortgage payable balance, net of capitalized financing costs	$ 15,769
Mortgage interest	$ 70
Amortization of capitalized financing costs	$ 9
Interest rate	LIBOR plus a margin of 2.25%
Maturity date	October 1, 2020
Effective interest rate	4.51%

[1]Includes foreign currency translation on USD-denominated mortgage.

The mortgages principal repayments for the next five years are as follows:

	Regular principal repayments*	Balance due on maturity	Total
2020	$ 362	$ -	$ 362
2021	452	-	452
2022	1,684	-	1,684
2023	1,745	-	1,745
2024	1,686	49,864	51,550
Thereafter	1,914	11,235	13,149
	$ 7,843	$ 61,099	$ 68,942

*There is no regular principal repayment on Alabama mortgage.

13. CREDIT FACILITY

(a) In 2017, the Partnership originally entered into a credit facility agreement (the "Credit Agreement A") with a credit limit of $20,000, which was further increased to $50,000 in 2018. The Credit Agreement A is secured by a general security agreement over the Partnership's assets and its subsidiaries.

The rates of interest and fees are either the prime rate of interest per annum or US base rate loan at greater of: 1) rate of interest announced by the lender 2) federal rate published by Federal Reserve Bank of New York and 3) LIBOR plus 1.00% per annum, and LIBOR loans at LIBOR plus 0.65%, depending on loan types.

As at December 31, 2019 the Partnership had nil balance outstanding in credit facility (December 31, 2018 - $29,000). Interest on the credit facility is recorded in financing cost – credit facility using the effective interest rate method. For the year ended December 31, 2019, the Partnership incurred interest on the credit facility of $77 and financing costs of $156 (December 31, 2018 - $467 and $55, respectively).

(b) On August 29, 2019, Timbercreek 4Q Multi-residential Limited Partnership, one of the Partnership's wholly owned subsidiaries ("T4Q MR LP") entered into a non-revolving credit facility agreement (the "Credit Agreement B") with a credit limit of the lesser of i) $100,000 and ii) the borrowing base subject to certain provision under the Credit Agreement B. The Credit Agreement B is secured by a first charge in respect to the properties pledged. Advances are made by way of prime rate loan or banker's acceptance, where rates of interest are determined at the time of borrowing, depending on loan types. As at December 31, 2019, $22,750 was maximum available and full amount was advanced under prime rate loan with spread of 0.70%. Subsequently, T4Q MR LP entered into an interest rate swap contract where T4Q MR LP is required to pay fixed rate of 1.60% and receive floating rate based on 1-month banker's acceptance. Net realized and unrealized gain or loss is recorded as financing cost on the credit facility.

Interest on the credit facility is recorded in financing cost – credit facility using the effective interest rate method. For the year ended December 31, 2019, the Partnership incurred interest on the credit facility of $195 and amortized financing costs of $9.

14. CASH FLOWS ARISING FROM FINANCING ACTIVITIES

Year ended December 31, 2019	Loan advance	Credit facility	Mortgage - investment properties	Mortgage - PP&E
Balance, beginning of year	$ 6,300	$ 29,000	$ 15,760	$ -
Advances	-	106,750	15,076	54,000
Repayments	(6,300)	(113,000)	(134)	-
Capitalized financing cost	-	(138)	(358)	(446)
Total financing cash flow activities	-	22,612	30,344	53,554
Amortization of financing costs	-	9	145	-
Adjustment for foreign currency translation *	-	-	(773)	-
Balance, end of year	$ -	$ 22,621	$ 29,716	$ 53,554

* Foreign currency translation on USD-denominated mortgage

Year ended December 31, 2018	Loan advance	Credit facility	Mortgage - investment properties
Balance, beginning of year	$ 7,000	$ -	$ -
Advances	6,300	29,000	15,760
Repayments	(7,000)	-	-
Total financing cash flow activities	6,300	29,000	15,760
Balance, end of year	$ 6,300	$ 29,000	$ 15,760

15. SOFT DOLLARS

Commissions are costs incurred to acquire, issue or dispose of financial assets or liabilities. They include fees and commissions paid to agents, advisers, brokers and dealers. Commissions may be paid to brokerage firms which provide (or pay for) certain services, other than order execution, which may include investment research, analysis and reports, and databases or software in support of these services. These services form an integral part of the investment decision making process. Where applicable and ascertainable, the value of third-party services that were paid for by brokers for the year ended December 31, 2019 was $312 in soft dollars (December 31, 2018 - $206).

16. REDEEMABLE UNITS

The Partnership is authorized to issue 2,600,000 Founder Class units, 737,100 Class B units, 1,383,933 Class M units and an unlimited number of Class A, Class AVN, Class C, Class D, Class F, Class FNV, Class UF, Class UFNV, Class I, Class INV, Class J, Class JNV, Class UJ, and Class UJNV units at the net asset value per unit of the applicable class (collectively the "units"), (as defined in the LPA) or such amount as the General Partner may determine from time to time. These units carry equal voting rights, that entitle the unitholder to participate pro-rata in distributions and the Partnership's class net assets attributable to unitholders, except for Class ANV, Class FNV, Class INV, Class JNV, Class UFNV and Class UJNV. The various classes of units are subject to different management fees and performance fees. The units are redeemable at the option of the unitholders, subject to certain restrictions as defined below. Effective May 27, 2019, the Partnership amended and restated the LPA to create new units denominated in U.S. dollars, Class UF, Class UJ, Class UFNV and Class UJNV.

During the year ended December 31, 2019, the Partnership issued units for consideration of $728,477 including switch-ins and switch-outs (December 31, 2018 - $158,301) from the issuance of Class A units, Class ANV units, Class B units, Class F units, Class FNV units, Class UF units, Class UFNV units, Class J units, Class JNV units, Class UJ units and Class UJNV units.

The change in the number of units for the year ended December 31, 2019 is as follows:

	Redeemable units, beginning of year	Redeemable units issued	Redemption of redeemable units	Reinvestment of units	Redeemable units, end of year
December 31, 2019					
Class A	663,175	671,064	(27,127)	19,424	1,326,536
Class ANV	890,777	1,659,592	(85,098)	54,541	2,519,812
Class B	319,800	41,000	(47,900)	–	312,900
Class D	161,096	–	(4,232)	2,023	158,887
Class F	5,275,741	6,973,969	(1,773,374)	183,683	10,660,019
Class FND	2,382,850	–	(222,979)	–	2,159,871
Class FNV	7,415,326	19,471,274	(9,528,592)	379,736	17,737,744
Class I	250,195	–	–	13,220	263,415
Class J	9,194,515	11,503,659	(469,386)	536,631	20,765,419
Class JNV	10,646,965	22,698,855	(3,096,260)	521,239	30,770,799
Class UF	–	306,261	(252,284)	2,305	56,282
Class UFNV	–	91,267	–	179	91,446
Class UJ	–	612,180	–	3,894	616,074
Class UJNV	–	33,285	–	62	33,347

The change in the number of units for the year ended December 31, 2018 is as follows:

	Redeemable units, beginning of year	Redeemable units issued	Redemption of redeemable units	Reinvestment of units	Redeemable units, end of year
December 31, 2018					
Class A	660,542	65,742	(79,207)	16,098	663,175
Class ANV	410,909	520,643	(73,591)	32,816	890,777
Class B	329,600	–	(9,800)	–	319,800
Class D	173,429	–	(15,253)	2,920	161,096
Class F	3,943,534	2,012,621	(816,343)	135,929	5,275,741
Class FND	2,427,176	–	(44,326)	–	2,382,850
Class FNV	2,799,707	5,894,470	(1,465,985)	187,134	7,415,326
Class I	730,423	64,521	(580,406)	35,657	250,195
Class J	7,844,651	1,735,110	(787,279)	402,033	9,194,515
Class JNV	6,983,286	4,651,802	(1,298,310)	310,187	10,646,965

As at December 31, 2019, the General Partner holds 802 (December 31, 2018 – 802) units of Class FND in the Partnership.

(a) Redemptions

The limited partners have the right to redeem units on the last business day in March, June, September and December of each year at a redemption price per unit equal to the class net asset value per unit. The units must be surrendered for the quarterly redemption together with a redemption notice submitted by the limited partner to the General Partner at least 30 days prior to the applicable quarterly redemption date. Payment of redemption proceeds will be made within 60 days following the quarterly redemption date. The Partnership shall not accept redemptions on any quarterly redemption date, representing more than 5% of the average number of units of each class outstanding for the 90-day period immediately preceding that applicable quarterly redemption date. In the event that the number of units of each class tendered for redemption in respect to a quarterly redemption date exceeds the limits set forth above, the Partnership shall redeem such units tendered for redemption on a pro-rata basis.

As at December 31, 2019, Timbercreek Asset Management Inc., the parent company of the Manager, fully redeemed from Class FND units. As at December 31, 2019, redemptions payable was $12,204 (December 31, 2018 - $8,759).

(b) Distributions

For the years ended December 31, 2019 and 2018, the Partnership declared distributions as follows:

	Year ended December 31, 2019	Year ended December 31, 2018
Class A	$ 602	$ 444
Class ANV	801	360
Class B	185	186
Class D	89	88
Class F	4,216	2,635
Class FND	1,802	1,752
Class FNV	6,992	2,690
Class I	145	276
Class J	8,915	4,723
Class JNV	10,349	4,611
Class UF	36	-
Class UFNV	10	-
Class UJ	86	-
Class UJNV	8	-
Total	$ 34,236	$ 17,765

17. INCOME TAXES

The Partnership is not subject to income taxes on income earned and gains realized by the Partnership as those amounts will be included in the taxable income of its unitholders. The Partnership has subsidiaries which are subject to U.S. corporate income taxes.

The current income tax expense of the subsidiary should be available as a tax credit to the unitholders provided certain conditions are met. The overall effective tax rate of 2.92% (2018 – 7.10%) differs from the statutory tax rate of 29.00% (2018 – 26.30%), as majority of the Partnership's income is not subject to income tax.

The tax expense of $2,350 (2018 – $3,703) is comprised of $367 (2018 – $2,070) of deferred tax expense, $81 (2018 – $295) of current tax, and $1,902 (2018 – $1,338) of withholding tax.

Deferred tax expense of $367 (2018 – $2,070) is recognized on taxable temporary difference with respect to certain investments held by the Partnership's U.S. subsidiaries. Certain deferred tax assets on tax losses have not been recognized as it is not probable that the future taxable profit will be available against which the Partnership can use the benefits therefrom.

As at December 31, 2019, the Partnership had non-capital loss carry forward of $6,865 (2018 - $8,105).

18. RELATED PARTY TRANSACTIONS AND BALANCES

Except as disclosed elsewhere in these consolidated financial statements, related party transactions and transactions with the Manger include the following transactions and balances.

(a) As per the amended and restated fund management and investment advisory agreement with the Manager, the Partnership shall pay the following fees:

(i) Management fee

The Partnership pays a monthly management fee equal to 1/12 of the annual management fee percentage applicable to each class of units as defined below, plus applicable taxes, paid monthly in arrears based on the Net Asset Value ("Class NAV") of such units at the last valuation date in each month.

The management fee payable is 1.00% of Class NAV per annum for the Founder Class, Class B and Class M units; 1.25% of Class NAV per annum for Class I, Class INV, Class J , Class UJ, Class UJNV and Class JNV units; and 1.50% of Class NAV per annum for Class A, Class ANV, Class C, Class D, Class F, Class UF, Class UFNV and Class FNV units. For the year ended December 31, 2019, the Partnership incurred management fees of $10,660 (December 31, 2018 – $5,325). As at December 31, 2019, $1,313 (December 31, 2018 – $537) was payable to the Manager.

(ii) Performance fee

The Manager is entitled to a performance fee in respect of a unit if the total return of that class of units on a per unit basis for the 12 months ended on the performance valuation date of that year exceeds the amount resulting from multiplying the hurdle rate (the "Hurdle Rate") applicable to the class, as specified below, to the high water mark (the "High Water Mark") of that unit. If the unit has not been issued for a full year at the time of calculation, such calculation shall be pro-rated proportional to the number of days for which that unit has been outstanding.

The amount of performance fees payable on a unit for a determination year, if the test mentioned above is satisfied, is equal to 20% of the amount by which:

(1) the total return of the class of units to which that unit belongs, determined on a per-unit basis, during the year on the performance valuation date exceeds;

(2) the amount that results from multiplying the Hurdle Rate of the class of units to which that unit belongs by the High Water Mark of that unit.

The High Water Mark for a unit is the higher of the following:

(1) the initial issue price of that unit;

(2) the Class NAV per unit (after deducting the performance fee payable by that class of units for the year prior to the determination year and any current or deferred tax liabilities) on the performance valuation date of the year before the determination year; and

(3) the Class NAV per unit on the performance valuation date of the last annual period in respect of which a performance fee was paid in respect of such unit.

The Hurdle Rate is 10% for Founder Class units and 8% for all other classes of units.

The performance fee is payable to the Manager within 30 days of December 31 of each calendar year. As at December 31, 2019, $5,354 (December 31, 2018 – $1,671) in performance fee was payable relating to the Manager, including applicable taxes. For the year ended December 31, 2019, performance fee expense to the Partnership was $5,285, and the difference in the performance fee payable is attributable to applicable tax of the Partnership.

(iii)Trailer fees

The Partnership will pay each registered dealer of the Class A units and Class D units, a trailer fee equal to 0.50% and 1.00%, respectively, of the Class NAV per unit per annum, calculated and paid at the end of each calendar quarter.

During the year ended December 31, 2019, the Partnership incurred trailer fees of $81 (December 31, 2018 – $47). As at December 31, 2019, $26 of trailer fees (December 31, 2018 – $15) is included in accounts payable and other liabilities.

(b) As at December 31, 2019, the Partnership, Timbercreek Financial Corp. (“TF”), Timbercreek Ireland Private Debt Designated Activity Company (“DAC”) and Timbercreek Real Estate Finance U.S. Holding LP, managed by the Manager or its related parties including the parent company of the Manager, Timbercreek Asset Management Inc. (“TAMI”), have co-invested in 35 (December 31, 2018 – 21) mortgage and loan investments. The Partnership’s share in these mortgage investments and loans is $178,092 (December 31, 2018 – $81,636).

As at December 31, 2019, TF has provided mortgage financing of $18,402 (December 31, 2018 – $17,272) to HH (MB) LP, an entity in which the Partnership acquired a 50% ownership interest concurrently with the mortgage financing. The General Partner of HH (MB) LP is an unrelated party and is responsible for managing the project.

As at December 31, 2019, the Partnership invested in junior unsecured debentures of DAC totaling $7,737 (December 31, 2018 – $7,236). DAC is managed by a wholly owned subsidiary of TAMI.

As at December 31, 2019, the Partnership invested in Toronto Mixed Use- Urban Redevelopment and GTA Mixed Use - Wynn totaling $14,604 and $32,271, respectively (December 31, 2018 – $21,792 and $26,818, respectively). Toronto Mixed Use- Urban Redevelopment and GTA Mixed Use - Wynn are managed by the parent company of the Manager and the Manager, respectively.

As at December 31, 2019, the Partnership and TF invested in one indirect real estate developments: CD Yorkville 1 LP (December 31, 2018 – two). The Partnership’s share of ownership, as at December 31, 2019 was $2,225 (December 31, 2018 – $2,225). During fiscal 2019, the previous co-owned indirect real estate investment was restructured into a loan.

As at December 31, 2019, the Partnership and TC Core LP (“TCCLP”), a related party by virtue of common management, co-invested in Edmonton Industrial, Rockport (MPE) LP and Bloor Dufferin Development LP. The Partnership’s share of ownership, as at December 31, 2019 was $2,510, $2,234 and $3,630, respectively (December 31, 2018 – $7,526, $1,442 and $3,239 respectively).

(c) As part of the Saskatchewan Apartment – New Summit acquisition, the Partnership, TF and a third-party co-owner acquired one of the investment properties from TCCLP, a related party by virtue of common management, which had temporarily held the property to facilitate the transaction. The Partnership's share of the ownership, as at December 31, 2019 was $1,244 (December 31, 2018 - $1,004).

(d) As part of a Montreal Apartment – Sommet co-ownership, the Partnership and a third-party co-owner have entered into property management agreement with TAMI. TAMI provides property management, leasing and development services to the property and is entitled to receive property management and redevelopment fees (the "Property Management Fees") at the disclosed rate in the agreement. During the year ended December 31, 2019, $35 Property Management fees were charged by TAMI to the Partnership (December 31, 2018 – nil). As at December 31, 2019, there was $5 Property Management Fees payable to TAMI (December 31, 2018 – nil).

(e) Upon acquisition of Toronto apartment – Dundonald, Timbercreek 4Q Multi-residential Limited Partnership has entered into property management agreement with Timbercreek Property Services Inc.("TPSI"), a subsidiary of TAMI. TPSI provides property management, advisory and administrative services to the property and is entitled to receive Property Management Fees at the disclosed rate in the agreement. During the year ended December 31, 2019, $25 Property Management Fees were charged by TPSI to the Partnership (December 31, 2018 – nil). As at December 31, 2019, there was $7 Property Management Fees payable to TPSI (December 31, 2018 – nil).

(f) Upon acquisition of Ottawa apartment - Rideau, Chapel Street Limited Partnership ("CSLP") has entered into development and construction management agreement ("DMA") with TAMI and a third-party manager. Under the terms of DMA, TAMI earns a development fee (the "Development Fees") at the disclosed rate in the DMA. During the year ended December 31, 2019, $239 Development Fees were charged by TAMI (December 31, 2018 – nil) to the CSLP, where the Partnership's ownership in CSLP is 95% as at December 31, 2019 (December 31, 2018 – nil). As at December 31, 2019, there was no outstanding payable to TAMI (December 31, 2018 – nil).

19. CAPITAL RISK MANAGEMENT

The Manager manages the capital of the Partnership, which consists of the net assets of the Partnership, in accordance with the investment objectives set out in the LPA. The Partnership is not subject to externally imposed capital requirements.

20. RISK MANAGEMENT

In the normal course of business, the Partnership is exposed to a variety of financial risks, including credit risk, liquidity risk and market risk (including interest rate risk, market price risk and currency risk). The value of investments within the Partnership's portfolio can fluctuate as a result of changes in general economic conditions and company news related to specific securities within the Partnership. The level of risk depends on the Partnership's investment objectives and the nature of its investments. The Manager seeks to minimize the potential adverse effects of risk on the Partnership's performance by retaining professional, experienced portfolio advisors and analysts who monitor the Partnership's positions and market events as well as diversifying investments within the parameters of the investment objectives. To assist in managing risk, the Manager uses internal guidelines that identify the target exposures for each type of investment asset class while adhering to the investment restrictions of the Partnership.

(a) Credit risk

Credit risk is the risk that the counterparty to a financial instrument will fail to discharge an obligation or commitment to the Partnership. The maximum exposure to credit risk is represented by total assets of the Partnership.

For publicly-traded securities, the Partnership minimizes concentration risk by trading with a large number of credit-worthy brokers and counterparties recognized on the various stock exchanges. The risk of default is considered minimal as all transactions are settled and paid for upon delivery using approved brokers.

Credit risk may arise on private direct mortgage and loan investments, including interest receivable of $2,090 (December 31, 2018 – $2,803), where the borrower may be unable to honour its loan commitments that could result in a loss to the Partnership. The Partnership mitigates this risk by: (i) adhering to the investment restrictions and investment objectives of the Partnership; (ii) ensuring a comprehensive due diligence process is conducted on each loan prior to funding, which generally includes, but is not limited to, engaging professional independent consultants, lawyers and appraisers, and performing credit checks on prospective borrowers; and (iii) actively monitoring the investment and initiating recovery procedures where required.

Exposure to credit risk relating to forward contracts and equity swaps is concentrated to two counterparties, both of which have a S&P Global credit rating of ‘A’ or higher. The Partnership also provides collateral to these counterparties. The notional and fair value of the forward contracts and equity swaps are disclosed in note 10. Exposure to credit risk relating to the cash balance is concentrated to two custodian banks, both of which have a S&P Global credit rating of ‘A’ or higher.

The Partnership is exposed to credit risk on total preferred share securities of $37,070 (December 31, 2018 – $15,902) which is disclosed in note 8. The preferred share securities held by the Partnership are unrated. Given the nature of the real estate industry, many issuers traditionally obtain debt financing through mortgages secured by real property and, in certain circumstances, will issue publicly-listed debentures. Issuers which do not have public debt securities are typically not rated by the rating agencies. As such, to minimize the risk associated with a fixed return, preferred share investment, the Manager conducts a thorough analysis of the issuer to determine their creditworthiness. Specifically, the Manager will conduct an analysis of each issuer analyzing the loan-to-value ratios, debt service coverage ratio and the quality of the issuer’s real estate holdings.

(b) Liquidity risk

Liquidity risk is defined as the risk that the Partnership may not be able to settle or meet its obligations associated with its financial liabilities. The Partnership’s exposure to liquidity risk is concentrated in the periodic cash redemptions of units. The Partnership has illiquid private investments, including direct real estate investments and debt investments, and it is possible that it may not be able to sell such positions without facing adverse pricing. To minimize this risk, the Manager has a targeted allocation of 20% to 50% of the Partnership’s total assets in private direct real estate and/or illiquid assets. Further, the Partnership has access to $50,000 (December 31, 2018 - $50,000) credit facility to enhance liquidity. In addition, the Partnership’s portfolio investments include listed securities which are considered to be readily realizable as they are actively traded on major stock exchanges, should short-term liquidity be required.

The following are the contractual maturities of financial liabilities as at December 31, 2019 and December 31, 2018 including expected interest payments but excluding commitments where applicable:

December 31, 2019	Carrying value	Contractual cash flows	Within a year	2-5 years	Greater than 5 years
Accounts payable and other liabilities	$ 3,547	$ 3,547	$ 3,547	$ –	$ –
Due to Manager	6,667	6,667	6,667	–	–
Distributions payable	4,092	4,092	4,092	–	–
Redemptions payable	12,204	12,204	12,204	–	–
Derivative liabilities	122	122	122	–	–
Loan advance and credit facility	22,621	24,447	364	24,083	–
Mortgages payable - investment properties	29,716	34,636	16,138	1,641	16,857
Mortgage payable - PP&E	53,554	63,327	1,922	61,405	–
	$ 132,523	$ 149,042	$ 45,056	$ 87,129	$ 16,857

December 31, 2018	Carrying value	Contractual cash flows	Within a year	2-5 years
Accounts payable and other liabilities	$ 1,042	$ 1,042	$ 1,042	$ –
Due to Manager	2,212	2,212	2,212	–
Distributions payable	1,729	1,729	1,729	–
Redemptions payable	8,759	8,759	8,759	–
Derivative liabilities	4,352	4,352	4,352	–
Loan advance and credit facility	35,300	35,300	35,300	–
Mortgages payable - investment properties	15,769	15,769	–	15,769
Payable for investments purchased	54	54	54	
	$ 69,217	$ 69,217	$ 53,448	$ 15,769

Units are redeemable on demand at the holder's option, but holders of these instruments typically retain them for the medium to long term. During the year ended December 31, 2019, unitholders redeemed 27,127 Class A units, 85,098 Class ANV units, 47,900 Class B units, 4,232 Class D units, 1,773,374 Class F units, 9,528,592 Class FNV units, 469,386 Class J units, 3,096,260 Class JNV units, 252,284 Class UF units and 222,979 Class Founder units for total proceeds of $ 45,896 (December 31, 2018 – 79,207 Class A units, 73,591 Class ANV units, 9,800 Class B units, 15,253 Class D units, 816,343 Class F units, 1,465,985 Class FNV units, 580,406 Class I units, 787,279 Class J units, 1,298,310 Class JNV units and 44,326 Class Founder units for total proceeds of $29,647). Further, for quarterly redemptions, the Partnership has the ability to not accept redemption of more than 5% of the average number of units of each class outstanding for the 90-day period immediately preceding the applicable quarterly redemption date.

(c) Currency risk

Currency risk is the risk that the value of financial instruments will fluctuate due to changes in foreign exchange rates. Currency risk arises from financial instruments (including cash and cash equivalents) that are denominated in a currency other than the Canadian dollar, which represents the functional currency of the Partnership. At the reporting date, the carrying value of the Partnership's net assets held in individual foreign currencies expressed in Canadian dollars as a percentage of its net assets were as follows:

December 31, 2019	Net assets	Notional forward contracts	Net foreign currency exposure	% of Net foreign currency exposure
U.S. Dollar	$ 403,368	$ (231,834)	$ 171,534	16.8 %
Japanese Yen	24,278	(529)	23,750	2.3
Hong Kong Dollar	18,908	-	18,908	1.9
Australian Dollar	15,011	-	15,011	1.5
Euro	69,639	(18,229)	51,410	5.0
Singapore Dollar	9,614	-	9,614	0.9
Norwegian Krone	4,373	(4,434)	(61)	(0.0)

December 31, 2018	Net assets	Notional forward contracts	Net foreign currency exposure	% of Net foreign currency exposure
U.S. Dollar	$ 185,862	$ (106,325)	$ 79,537	19.0 %
Japanese Yen	19,674	(6,806)	12,868	3.1
Hong Kong Dollar	9,001	-	9,001	2.1
Australian Dollar	4,280	-	4,280	1.0
Euro	26,006	(7,209)	18,797	4.5
Singapore Dollar	4,702	-	4,702	1.1
Norwegian Krone	4,364	(4,189)	175	0.0

The table below sets out the increase (or decrease) of the Partnership's net assets attributable to unitholders of a reasonably possible weakening of the Canadian dollar against each currency by 5% at end of the year. The analysis assumes that all other variables, in particular interest rates, remain constant.

	December 31, 2019	% of net assets	December 31, 2018	% of Net assets
U.S. Dollar	$ 8,577	0.8 %	$ 3,977	0.9 %
Australian Dollar	751	0.1	214	0.1
Euro	2,571	0.3	940	0.2
Hong Kong Dollar	945	0.1	450	0.1
Singapore Dollar	481	0.0	235	0.1
Japanese Yen	1,187	0.1	643	0.2
Norwegian Krone	(3)	0.0	9	0.0

A strengthening of the Canadian dollar against the above currencies would have resulted in an equal but opposite effect to the amounts shown above.

(d) Price risk

The Partnership is exposed to equity price risk for its investments in public securities. This arises from investments held by the Partnership for which prices in the future are uncertain. The Partnership's policy is to manage price risk through diversification and the selection of securities within specified limits as set by our investment objectives. The Partnership intends to make investments in public equities in the range of 10% to 30% of total net assets attributable to unitholders. The Partnership's policy requires that the overall market position is monitored on a daily basis by the Manager. The Partnership had no concentration in individual public equity positions exceeding 5.0% (December 31, 2018 – 5.0%) of the net assets attributable to unitholders. Based on the Partnership's investments in public securities as at December 31, 2019, if the prices of public securities had been 5% higher or lower, with all other variables held constant, the net assets attributable to unitholders would have been increased or decreased by $16,630 (December 31, 2018 – $5,900).

(e) Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or fair values of financial instruments.

Interest rate risk arises when the Partnership invests in interest-bearing financial instruments. The Partnership is exposed to the risk that the value of such financial instruments will fluctuate due to changes in the prevailing levels of market interest rates. The Partnership's private debt investments held through the Partnership bear interest at fixed rates, excluding 30 mortgage investments amounting to $152,232 (December 31, 2018 - 17 mortgages, $72,984) that bears interest at a variable rate, with certain mortgages having a "floor rate". If there was a decrease or increase of 0.50% in interest rates, with all other variable constant, the impact from variable rate debt investment would be a decrease or increase in net income of $83 or $761, respectively (December 31, 2018 - decrease or increase of $173 or $365). The Partnership also held mortgages with variable rate through its investments, amounting to $84,135 (December 31, 2018 - $15,973), excluding the capitalized financing costs. If there was a decrease or increase of 0.50% in interest rates, with all other variable constant, the impact from variable rate mortgages would be a decrease or increase in net income of $183 or $421, respectively (December 31, 2018 – decrease or increase of $80 or $80). There is minimal sensitivity to interest rate fluctuations on any cash and cash equivalents invested at short-term market interest rates.

21. FAIR VALUE MEASUREMENT

The following table shows the carrying amounts and fair values of assets and liabilities.

December 31, 2019	Measured at amortized cost	FVTPL	Fair Value
Assets not measured at fair value			
Cash and cash equivalents	$ 115,325	$ -	$ 115,325
Dividends and interest receivable	5,046	-	5,046
Other assets and receivables	10,098	-	10,098
Margin deposited on swaps and forward contracts	2,900	-	2,900
Mortgage and loan investments	255,298	-	255,298
Assets measured at fair value			
Derivative assets	-	2,423	2,423
Investment properties	-	82,060	82,060
Portfolio investments	-	453,786	453,786
Liabilities not measured at fair value			
Accounts payable and other liabilities	3,547	-	3,547
Due to the Manager	6,667	-	6,667
Distributions payable	4,092	-	4,092
Redemptions payable	12,204	-	12,204
Loan advance and credit facility	22,621	-	22,621
Mortgage payable - investment properties	29,716	-	29,716
Mortgage payable - property, plant and equipment	53,554	-	53,554
Liabilities measured at fair value			
Derivative liabilities	-	122	122

December 31, 2018	Measured at amortized cost	FVTPL	Fair Value
Assets not measured at fair value			
Cash and cash equivalents	$ 9,402	$ -	$ 9,402
Dividends and interest receivable	4,142	-	4,142
Other assets and receivables	5,323	-	5,323
Margin deposited on swaps and forward contracts	13,800	-	13,800
Receivable for investments sold	101	-	101
Mortgage and loan investments	138,721	-	138,721
Assets measured at fair value			
Portfolio investments	-	248,312	248,312
Liabilities not measured at fair value			
Accounts payable and other liabilities	1,042	-	1,042
Due to the Manager	2,212	-	2,207
Distributions payable	1,729	-	2,207
Redemptions payable	8,759	-	8,759
Loan advance and credit facility	35,300	-	35,300
Mortgage payable	15,769	-	15,769
Payable for investments purchased	54	-	54
Liabilities measured at fair value			
Derivative liabilities	-	4,352	4,352

There were no transfers between Level 1, Level 2 and Level 3 during the years ended December 31, 2019 and 2018.

The following table shows a reconciliation of the fair value of assets and liabilities recorded in Level 3 for the years ended December 31, 2019 and 2018:

	Private portfolio investments	Investment Properties	Total
Beginning balance, January 1, 2019	$ 130,303	$ 25,058	$ 155,361
Realized gains included in net income	6,755	-	6,755
Change in unrealized depreciation included in net income*	(5,914)	(1,224)	(7,138)
Net purchases/(dispositions)	(17,353)	58,226	40,873
Ending balance, December 31, 2019	$ 113,791	$ 82,060	$ 195,851

* Includes foreign currency translation on USD-denominated investment properties

	Private portfolio investments	Investment Properties	Total
Beginning balance, January 1, 2018	$ 55,720	$ -	$ 55,720
Realized losses included in net income	(19)	-	(19)
Change in unrealized appreciation included in net income	20,387	-	20,387
Net purchases	52,715	25,058	77,773
Transfers in	1,500	-	1,500
Ending balance, December 31, 2018	$ 130,303	$ 25,058	$ 155,361

Investments classified within Level 3 are valued at each reporting date by the Manager's valuation committee supplemented with independent appraisals where available. The Manager considers the appropriateness of the valuation model inputs, as well as the valuation results using various valuation methods and techniques generally recognized as standard within the industry.

The valuation techniques and the inputs used for the Partnership's financial instruments are as follows:

(a) Mortgage and loan investments

There is no quoted price in an active market for the mortgage and loan investments. The Manager makes its determination of fair value based on its assessment of the current lending market for mortgage and loan investments of the same or similar terms. Typically, the fair value of these mortgage and loan investments approximate their carrying values, given the amounts consist of short-term loans that are repayable at the option of the borrower without yield maintenance or penalties. As a result, the fair value of mortgage and loan investments is based on level 3 inputs.

(b) Other financial assets and liabilities

The fair values of cash and cash equivalents, dividends and interest receivable, other assets and receivables, margin deposited on swaps and forward contracts, accounts payable and other liabilities, due to the Manager, payable for investments purchased, loan advance and credit facility, distributions payable and redemptions payable approximate their carrying amounts due to their short-term maturities.

(c) Derivatives

Derivatives contracts are measured at fair value using a market comparison technique. Valuations of derivative instruments use normal exchange reporting sources for exchange-traded derivatives, similar contracts traded in an active market and the quotes from actual transactions in similar instruments. As a result, the fair value of the derivative contracts is based on level 2 inputs.

(d) Portfolio investments

As at December 31, 2019, portfolio investments include common equity of publicly-traded companies of $295,534 (December 31, 2018 - $102,107) (level 1), preferred shares of publicly-traded companies of $37,070 (December 31, 2018 - $15,902) (level 1), fixed income security of $7,391 (December 31, 2018 – nil) (level 2) and unquoted private investments of $113,791 (December 31, 2018 - $130,303) (level 3).

22. COMMITMENTS AND CONTIGENCIES

(a) Distributions

Under the terms of the LPA, cash surpluses are to be distributed to the partners as follows:

(i) First, the General Partner will be entitled to 0.01% of distributions; and

(ii) Second, the balance of the distribution will be allocated amongst the unitholders based upon their proportional ownership interest within each given class of units.

Losses are to be allocated to the limited partners in proportion to their ownership interests.

(b) Unfunded commitments

As at December 31, 2019, the Partnership has unadvanced commitments under the mortgage and loan investments amounting to $18,048 (December 31, 2018 – $14,892). As at December 31, 2019, the Partnership has unadvanced commitments under the private equity investments amounting to $135,988 (December 31, 2018 – $20,657).

(c) Guarantees

As at December 31, 2019, the Partnership provided $73,028 (December 31, 2018 - $123,910) in financial guarantees for certain investments in Associates and Joint Ventures. The guarantees are in relation to mortgages that the investing entities have obtained and are secured by underlying properties.

(d) Letters of credit

As at December 31, 2019, the Partnership provided $2,805 (December 31, 2018 – nil) in letters of credit for certain investments in joint Ventures. The letters of credit issued are from Credit Agreement A.

23. OFFSETTING FINANCIAL INSTRUMENTS

The Partnership has not offset any financial assets and financial liabilities in the consolidated statements of net assets. The disclosures set out in the tables below include financial assets and financial liabilities that are subject to enforceable master netting arrangements in the form of ISDA agreements with the counterparties to its derivatives contracts. Under the terms of certain agreements, offsetting of derivatives contracts is permitted for same day settlements when contracts with the same counterparty mature simultaneously and in other cases only in the event of bankruptcy or default by either party to the agreement.

					Related amounts not offset in the consolidated statements of net assets		
Financial assets and liabilities	**Gross assets / liabilities**	**Gross assets / liabilities offset**	**Net amount presented**		**Financial instruments**	**Cash collateral pledged**	**Net amount**
December 31, 2019							
Derivative assets - forward contracts	$ 2,423	$ -	$ 2,423	$	(85)	$ -	$ 2,338
Total	$ 2,423	$ -	$ 2,423	$	(85)	$ -	$ 2,338
Derivative liabilities - forward contracts	$ 85	$ -	$ 85	$	(85)	$ -	$ -
Total	$ 85	$ -	$ 85	$	(85)	$ -	$ -
December 31, 2018							
Derivative assets - forward contracts	$ -	$ -	$ -	$	-	$ -	$ -
Derivative assets - equity swaps	-	-	-		-	-	-
Total	$ -	$ -	$ -	$	-	$ -	$ -
Derivative liabilities - forward contracts	$ 3,686	$ -	$ 3,686	$	-	$ -	$ 3,686
Derivative liabilities - equity swaps	666	-	666		-	-	666
Total	$ 4,352	$ -	$ 4,352	$	-	$ -	$ 4,352

Timbercreek Four Quadrant GP Inc.

For the year ended December 31, 2019

Timbercreek

INDEPENDENT AUDITOR'S REPORT

To the Shareholder of Timbercreek Four Quadrant GP Inc.

Opinion

We have audited the financial statements of Timbercreek Four Quadrant GP Inc. (the "Entity"), which comprise the statement of financial position as at December 31, 2019, and the statement of income and comprehensive income, changes in shareholder's equity and cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies (hereinafter referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Entity as at December 31, 2019, and its financial performance for the year then ended in accordance with International Financial Reporting Standards.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the "***Auditors' Responsibilities for the Audit of the Financial Statements***" section of our auditors' report.

We are independent of the Entity in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada and we have fulfilled our other responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Entity's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Entity or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Entity's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.

  The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Entity's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Entity to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represents the underlying transactions and events in a manner that achieves fair presentation.

- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Chartered Professional Accounts, Licensed Public Accountants



Toronto, Canada

March 27, 2020

STATEMENTS OF FINANCIAL POSITION

As at December 31, 2019 with comparative figures for December 31, 2018

		2019		2018
ASSETS				
Portfolio investments (note 4)	$	6,434	$	3,734
Due from related party (note 5)		7,173		3,766
Total assets	$	13,607	$	7,500
LIABILITIES				
Current income taxes payable (note 3(e))		$3,606	$	972
Deferred taxes liabilities (note 3 (e))		777		996
Total liabilities	$	4,383	$	1,968
SHAREHOLDER'S EQUITY				
Common shares	$	100	$	100
Retained earnings		9,124		5,432
Total shareholder's equity		9,224		5,532
Total liabilities and shareholder's equity	$	13,607	$	7,500

See accompanying notes to the financial statements

STATEMENTS OF INCOME AND COMPREHENSIVE INCOME

Year ended December 31, 2019 with comparative figures for 2018

	2019	2018
Investment income		
Dividend income	$ 3,424	$ 1,777
Net change in fair value of investments (note 4)	2,683	1,304
Total investment income	6,107	3,081
Expense		
Current income taxes expense (note 3 (e))	2,634	358
Deferred taxes (recovery) expense (note 3 (e))	(219)	527
Total income taxes expense	2,415	885
Total net income and comprehensive income	$ 3,692	$ 2,196

See accompanying notes to the financial statements

STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY

Year ended December 31, 2019 with comparative figures for 2018

2019	Common shares	Retained earnings	Total Shareholder's equity
Balance, December 31, 2018	$ 100	$ 5,432	$ 5,532
Net income and comprehensive income	-	3,692	3,692
Balance, December 31, 2019	$ 100	$ 9,124	$ 9,224

2018	Common shares	Retained earnings	Total Shareholder's equity
Balance, December 31, 2017	$ 100	$ 3,236	$ 3,336
Net income and comprehensive income	-	2,196	2,196
Balance, December 31, 2018	$ 100	$ 5,432	$ 5,532

See accompanying notes to the financial statements

STATEMENTS OF CASH FLOWS

Year ended December 31, 2019 with comparative figures for 2018

	2019	2018
Cash flows from operating activities		
Net income and comprehensive income	$ 3,692	$ 2,196
Adjustments for:		
Net change in fair value of investments	(2,683)	(1,304)
Change in non-cash operating items:		
Increase in due from related party	(3,408)	(1,733)
Increase in current income taxes payable	2,634	358
Decrease (increase) in deferred taxes	(219)	527
	16	44
Cash flows from investing activities		
Purchase of investments	(16)	(44)
	(16)	(44)
Net change in cash	-	-
Cash at the beginning of the year	-	-
Cash at the end of the year	$ -	$ -

See accompanying notes to the financial statements

Notes to Financial Statements

Year ended December 31, 2019 with comparative figures for 2018

1. THE COMPANY

Timbercreek Four Quadrant GP Inc. (the "Company") was incorporated on September 21, 2011 under the laws of the Province of Ontario. The purpose of the Company is to act as a general partner for Timbercreek Four Quadrant Global Real Estate Partners, Timbercreek Four Quadrant US LP and Timbercreek Four Quadrant Holdings LP.

The address and principal place of business of the Company is 25 Price Street, Toronto, Ontario, M4W 1Z1.

2. BASIS OF PRESENTATION

(a) Statement of compliance

These financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB"). The financial statements were approved by the Board of Directors of the Company on March 27, 2020.

(b) Basis of measurement

These financial statements have been prepared on a historical cost basis, except for financial assets and financial liabilities at fair value through profit or loss, which are presented at fair value.

(c) Functional and presentation currency

The Company's financial statements are presented in Canadian dollars, which is the functional currency of the Company.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

(a) Financial assets and financial liabilities

Financial assets and financial liabilities Financial assets are classified as measured at one of the following: (i) fair value through profit and loss ("FVTPL"), (ii) fair value through other comprehensive income ("FVOCI") or (iii) amortized cost. Financial liabilities are classified as measured at one of the following: (i) FVTPL or (ii) amortized cost.

The Company records its portfolio investment at FVTPL. The Company's investments are FVTPL at inception. The changes in the investment fair values and related transaction costs are recorded in the Company's Statement of Income and Comprehensive Income.

Financial assets and financial liabilities that are classified as measured at FVTPL are financial instruments that are managed, and their performance is evaluated on a fair value basis in accordance with the Company's documented investment strategy. Financial instruments at FVTPL are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets. The Company is primarily focused on fair value information and uses that information to assess the assets' performance and to make decisions.

All other financial assets and financial liabilities are initially measured at fair value plus transaction costs that are directly attributable to their acquisition or issuance.

Financial assets and liabilities classified as measured at amortized cost are subsequently measured at amortized cost using the effective interest method. This category includes due from (to) related party. Financial assets classified and subsequently measured at FVTPL includes investment in the Company.

Notes to Financial Statements
Year ended December 31, 2019 with comparative figures for 2018

(b) Fair value measurement

Financial instruments measured at fair value are classified into one of three fair value hierarchy levels, based on the lowest level input that is significant to the fair value measurement in its entirety. The inputs or methodologies used for valuing securities are not necessarily an indication of the risk associated with investing in those securities.

The three fair value hierarchy levels are as follows:

Level 1 – quoted prices (unadjusted) in active markets for identical assets or liabilities;

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and

Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The Company measures portfolio investments at fair value at each reporting date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Company has access to at that date.

When available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as "active" if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The fair value of financial assets and liabilities traded in active markets (such as publicly traded derivatives and securities) is based on quoted market prices at the close of trading on the reporting date. The Company uses the last traded market price for financial assets and financial liabilities where the last traded price falls within that day's bid-ask spread. In circumstances where the last traded price is not within the bid-ask spread, the Manager determines the point within the bid-ask spread that is most representative of fair value based on the specific facts and circumstances.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Investment fund units are valued at their respective net asset value on each valuation date as these values are the most readily and regularly available.

(c) Portfolio investments

The Company's portfolio investments include its investment in limited partnership units. The fair values of portfolio investments are determined with reference to their calculated values at the most readily available measurement date. Changes in the fair value are recognized in the statements of income and comprehensive income in the year incurred.

Transaction costs directly attributable to the acquisition of these instruments are recognized in the consolidated statements of income and comprehensive income in the year incurred.

Notes to Financial Statements
Year ended December 31, 2019 with comparative figures for 2018

(d) Investment transactions and income recognition

Investment transactions are accounted for on a trade-date basis; that is, on the day that a buy or sell order is executed.

Distributions from investment funds are recorded when declared.

Realized gains and losses from investment transactions are calculated as proceeds of disposition less their average cost. The cost of investments represents the amount paid for each security and is determined on an average-cost basis, excluding transaction costs.

(e) Income taxes

Income tax expense is comprised of current and deferred tax. Income tax expense is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or other comprehensive income.

Current tax is calculated based on the expected tax payable on taxable income for the year using enacted corporate income tax rates at the reporting date and includes any adjustment to tax payable in respect of previous years. Deferred tax is calculated based on the expected corporate income tax payable in future periods resulting from tax timing differences calculated using future substantively enacted corporate income tax rates applicable in the expected period of reversal.

(g) Critical accounting judgements and estimates

In the preparation of these financial statements, the management has made judgments, estimates and assumptions that affect the application of the Company's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

In making estimates and judgments, the Manager relies on external information and observable conditions where possible, supplemented by internal analysis as required. There are no known trends, commitments, events or uncertainties that the management believes will materially affect the methodology or assumptions utilized in making those estimates and judgments in these financial statements.

4. PORTFOLIO INVESTMENT

Summary of investment holdings as at December 31, 2019 and 2018:

Portfolio investments	2019	2018
Investment in Timbercreek Four Quadrant Global Real Estate Partners	$ 4,844	$ 2,100
Investment in Timbercreek Four Quadrant US LP	1,491	1,487
Investment in Timbercreek Four Quadrant Holdings LP	99	147
Total portfolio investments	**$ 6,434**	**$ 3,734**

Summary of Net change in fair value of investments for the year ended December 31, 2019 and 2018:

Net change in fair value of investments	2019	2018
Investment in Timbercreek Four Quadrant Global Real Estate Partners	$ 2,743	$ 1,181
Investment in Timbercreek Four Quadrant US LP	(12)	107
Investment in Timbercreek Four Quadrant Holdings LP	(48)	16
Total net change in fair value	**$ 2,683**	**$ 1,304**

Notes to Financial Statements

Year ended December 31, 2019 with comparative figures for 2018

5. DUE FROM (TO) RELATED PARTY

Summary of due from (to) related party as at December 31, 2019 and 2018:

Net due from related party as at December 31	2019	2018
Due from Timbercreek Four Quadrant Global Real Estate Partners	$ 7,173	$ 3,766
Net due from related party	**$ 7,173**	**$ 3,766**

6. COMMON SHARES

The Company is authorized to issue unlimited number of common shares. As at December 31, 2019, the Company had 100 common shares issued and outstanding.

7. CAPITAL AND FINANCIAL RISK MANAGEMENT

(a) Capital management

The Company's capital is comprised of share capital and retained earnings.

The Company does not have any externally imposed capital requirements.

(b) Financial risk management

The Company's activities expose it to a variety of financial risks that arise as a result of its operating and financing.

Credit risk

Credit risk is the risk that the counterparty to a financial instrument will fail to discharge an obligation or commitment to the Company. The maximum exposure to credit risk is represented by the total assets of the Company. The Company has minimal credit risk.

Liquidity risk

Liquidity risk is defined as the risk that the Company may not be able to settle or meet its obligation associated with financial liabilities. The Company has minimal liquidity risk.

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. Currency risk arises from financial instruments (including cash and cash equivalents) that are denominated in a currency other than Canadian dollars, which represents the functional currency of the Company.

The Company is exposed to currency risk through its investment in the foreign partnership. At December 31, 2019, the Company has $1,590 in portfolio investments denominated in foreign currency. As at December 31, 2019, if the Canadian dollar had strengthened or weakened by 5% in relation to all foreign currencies, with all variables held constant, the net income of the Company would have decreased or increased, respectively, by $80 (December 31, 2018 - $82). In practice, actual results may differ from this sensitivity analysis and the difference could be material.

Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or fair values of financial instruments.

The Company does not have any interest-bearing financial instruments and the Company's due from related party has no exposure to interest rate risk due to their short-term nature.

Notes to Financial Statements

Year ended December 31, 2019 with comparative figures for 2018

Price risk

Market price risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk). All investments present a risk of capital loss. The Company is exposed to minimal market price risk through its investment in the portfolio investments.

8. FAIR VALUE

The Company's portfolio investment is classified as Level 2 since its fair value is determined by the underlying fair value of the units. Management has concluded that the most appropriate estimate of fair value of the units is their value, without adjustment, at the reporting date. During the year ended December 31, 2019 and 2018, no financial instruments were transferred between any levels, and there were no Level 3 financial instruments.

The financial instruments not measured at FVTPL are short-term financial assets whose carrying amounts approximate fair value including due from (to) related party.

9. COMPARATIVE FIGURES

Certain comparative figures in these financial statements have been revised to comply with the current year's presentation.

Interim Consolidated Financial Statements of

Timbercreek Four Quadrant Global Real Estate Partners

For the six months ended June 30, 2020 and 2019
(Unaudited)

Timbercreek

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

NOTICE TO UNITHOLDERS

The Auditors of the Partnership have not reviewed these interim consolidated financial statements.

Timbercreek Four Quadrant GP Inc., the General Partner of the Partnership, appoints an independent auditor to audit the Partnership's annual financial statements. Applicable securities laws require that if an auditor has not reviewed the Partnership's interim consolidated financial statements, this must be disclosed in an accompanying notice.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Interim Consolidated Statement of Net Assets (Unaudited)
As at June 30, 2020 and December 31, 2019
(in thousands of Canadian dollars)

	June 30, 2020	December 31, 2019
ASSETS		
Cash and cash equivalents	$ 133,538	$ 115,325
Dividends and interest receivable	7,652	5,046
Receivable for investments sold	9,895	–
Other assets and receivables	8,923	10,098
Current tax receivable	87	–
Margin deposited on swaps and forward contracts	3,500	2,900
Derivative assets (note 10)	169	2,423
Investments in associates and joint ventures (note 4)	242,860	154,130
Investment properties (note 5)	97,458	82,060
Property, plant and equipment (note 6)	74,213	75,520
Portfolio investments (note 8)	540,839	453,786
Mortgage and loan investments (note 9)	216,357	255,298
	1,335,491	1,156,586
LIABILITIES		
Accounts payable and other liabilities	3,176	3,547
Due to the Manager (note 16 (a) (i) and (ii))	1,827	6,667
Distributions payable	5,370	4,092
Redemptions payable (note 15 (a))	59,529	12,204
Derivative liabilities (note 10)	2,787	122
Credit facilities (note 12)	72,063	22,621
Mortgages payable - investment properties (note 11)	34,713	29,716
Mortgage payable - property, plant and equipment (note 11)	53,358	53,554
Current tax payable	–	49
Unearned revenue	1,943	2,060
Deferred taxes	3,242	3,169
	238,008	137,801
Net assets attributable to unitholders	$ 1,097,483	$ 1,018,785

See accompanying notes to the interim consolidated financial statements.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Interim Consolidated Statement of (Loss) Income and Comprehensive (Loss) Income (Unaudited)
For the six months ended June 30, 2020 and 2019
(in thousands of Canadian dollars)

	2020	2019
Investment (loss) income		
Interest income	$ 12,550	$ 9,150
Dividend income	11,683	5,969
Rental revenue from investment properties (note 7)	3,616	1,254
Revenue from continuing operations	1,716	–
Fair value adjustment of investment properties (note 5)	(2,626)	–
(Loss) income from investments in associates and joint ventures (note 4)	(304)	7,509
Net (loss) gain on financial instruments at fair value through profit and loss	(75,684)	24,164
	(49,049)	48,046
Expenses		
Management fees (note 16 (a) (i))	8,477	4,092
Administrative expenses	2,103	603
Investment properties operating expenses	1,552	422
Expenses from continuing operations	2,038	–
Depreciation (note 6)	1,308	–
Performance fees (note 16 (a) (ii))	340	4,108
Professional fees	320	220
Legal fees	133	95
Trailer fees (note 16 (a) (iii))	56	34
	16,327	9,574
(Loss) income before the undernoted	(65,376)	38,472
Provision for mortgage and loan investments loss (note 9)	80	–
(Loss) income before financing costs and income taxes	(65,456)	38,472
Financing costs - investment properties (note 11)	648	396
Financing costs - property, plant and equipment (note 11)	1,027	–
Financing costs - credit facilities (note 12)	1,578	80
Income taxes	1,710	782
Net (loss) income	(70,419)	37,214
Other comprehensive income (loss)		
Foreign operations – foreign currency translation differences (note 4)	2,946	(1,041)
Total comprehensive (loss) income	$ (67,473)	$ 36,173

See accompanying notes to the interim consolidated financial statements.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Interim Consolidated Statement of Changes in Net Assets (Unaudited)
For the six months ended June 30, 2020 and 2019
(in thousands of Canadian dollars)

	Net assets attributable to unitholders, beginning of the period	Issuance of units*	Redemptions*	Distributions	Reinvestments	Total comprehensive loss	Net assets attributable to unitholders, end of the period
June 30, 2020	$ 1,018,785	$ 239,746	$ (80,846)	$ (30,802)	$ 18,073	$ (67,473)	$ 1,097,483

* excludes non taxable switch-ins and switch-outs.

	Net assets attributable to unitholders, beginning of the period	Issuance of units*	Redemptions*	Distributions	Reinvestments	Total comprehensive income	Net assets attributable to unitholders, end of the period
June 30, 2019	$ 419,691	$ 245,209	$ (24,607)	$ (13,370)	$ 7,435	$ 36,173	$ 670,531

* excludes non taxable switch-ins and switch-outs.

See accompanying notes to the interim consolidated financial statements.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Interim Consolidated Statement of Cash Flows (Unaudited)
For the six months ended June 30, 2020 and 2019
(in thousands of Canadian dollars)

	2020	2019
Cash provided by (used in):		
Operating Activities		
Net (loss) income	$ (70,419)	$ 37,214
Deferred income taxes	73	91
Current tax	(136)	355
(Loss) income from investments in associates and joint ventures	304	(7,509)
Distributions from investments in associates and joint ventures	16,546	–
Net gain on financial instruments at fair value through profit and loss	75,684	(24,164)
Fair value adjustment of investment properties	2,626	–
Financing costs - investment properties	648	396
Financing costs - property, plant and equipment	1,027	–
Financing costs - credit facilities	1,578	80
Adjustment on capitalized financing cost - investment properties	(19)	–
Adjustment on capitalized financing cost - property, plant and equipment	(281)	782
Amortization of lender fees	(1,193)	(1,171)
Lender fees received	1,076	100
Foreign currency translation on investment properties	(459)	378
Depreciation	1,308	–
Change in non-cash operating items		
Dividends and interest receivable	(2,971)	(718)
Receivable for investments sold	(9,895)	101
Other assets and receivables	1,102	(7,371)
Accounts payable and other liabilities	(371)	(382)
Due to Manager	(4,840)	2,812
Payable for investments purchased	–	576
Cash provided by operating activities	11,388	1,570
Financing Activities		
Credit facilities advances	49,470	81,000
Credit facilities repayments	–	(116,300)
Financing costs paid - credit facilities	(747)	(80)
Mortgage advances - investment properties	4,415	14,492
Mortgage repayments - investment properties	(166)	–
Financing costs paid - investment properties	(569)	(337)
Financing costs paid - property, plant and equipment	(942)	–
Proceeds from issuance of units	239,746	299,572
Redemption of units	(33,521)	(74,402)
Distributions to unitholders, net of reinvestments	(11,451)	(4,932)
Cash provided by financing activities	246,235	199,013

See accompanying notes to the interim consolidated financial statements.

TIMBERCREEK FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

Interim Consolidated Statement of Cash Flows (Unaudited)
For the six months ended June 30, 2020 and 2019 (Continued)
(in thousands of Canadian dollars)

	2020	2019
Investing Activities		
Purchase of investment in associates and joint ventures	(102,634)	(36,093)
Proceeds from investment in associates and joint ventures	–	6,300
Purchase of portfolio investments, net	(152,030)	(81,465)
Mortgage and loan investments advanced, net	42,321	(19,570)
Net payments on maturity of forward contracts	(9,130)	(2,130)
Margin deposited on swaps and forward contracts, net	(600)	(800)
Net payments on equity swaps	–	640
Acquisition of investment properties	(16,233)	(20,533)
Capital improvements to investment properties	(645)	–
Capital improvements to property, plant and equipment	(1)	–
Cash used in investing activities	(238,952)	(153,651)
Increase in cash during the period	$ 18,671	$ 46,932
Foreign exchange (loss) gain on cash	(458)	265
Cash and cash equivalents, beginning of period	115,325	9,402
Cash and cash equivalents, end of period	$ 133,538	$ 56,599

See accompanying notes to the interim consolidated financial statements.

1. DESCRIPTION OF THE PARTNERSHIP AND OPERATIONS

Timbercreek Four Quadrant Global Real Estate Partners (the "Partnership") is a limited partnership governed by the laws of the Province of Ontario which was formed on September 22, 2011. The purpose of the Partnership is to construct, on a discretionary basis, a globally diversified, actively managed portfolio of real estate investments with the objectives of: (i) maximizing total returns to the unitholders; and (ii) providing unitholders with monthly cash distributions.

Timbercreek Investment Management Inc. is the manager of the Partnership (the "Manager") and is responsible for the management, investment advisory and day-to-day administration services of the Partnership. The registered office of the Partnership is at 25 Price Street, Toronto, Ontario, M4W 1Z1.

Effective May 27, 2019, the Partnership amended and restated the limited partnership agreement to create units dominated in U.S. dollars, Class UF units, Class UFNV, Class UJ units and Class UJNV, as well as to provide a clarification on performance fees calculation and an update on valuation principles.

The general partner of the Partnership is Timbercreek Four Quadrant GP Inc. (the "General Partner"), a wholly owned subsidiary of the parent company of the Manager.

2. BASIS OF PRESENTATION

(a) Statement of compliance

These interim consolidated financial statements of the Partnership have been prepared by management in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB"), including International Accounting Standards ("IAS") 34, *Interim Financial Reporting*. The interim consolidated financial statements were approved by the General Partner on August 20, 2020.

(b) Basis of measurement

These interim consolidated financial statements have been prepared on a historical cost basis except for the investment properties, property, plant and equipment, portfolio investments and certain other financial instruments which are measured at their fair values.

The preparation of these interim consolidated financial statements requires the use of certain significant accounting estimates. It also requires management to exercise judgment in the process of applying the Partnership's accounting policies. Areas involving a higher degree of judgment or complexity or areas where assumptions and estimates are significant to the interim consolidated financial statements are disclosed in note 3(h). Certain comparative figures are reclassified to conform to the current period's presentation.

(c) Functional and presentation currency

These interim consolidated financial statements are presented in Canadian dollars, which is the functional currency of the Partnership.

(d) Principles of consolidation

These interim consolidated financial statements include the accounts of the Partnership and subsidiaries of the Partnership, including its Canadian wholly owned subsidiaries and taxable subsidiaries for U.S. tax purposes, as well as the proportionate share of the accounts of its joint operations. The interim consolidated financial statements include the accounts of all entities in which the Partnership holds a controlling interest. All intercompany transactions and balances are eliminated upon consolidation.

3. SIGNIFICANT ACCOUNTING POLICIES

(a) Investments

(i) Investments in associates and joint ventures

Associates are entities over which the Partnership exercises significant influence in its investees ("Associates"). Significant influence is presumed to exist if the Partnership has the power to participate in the financial and operating policy decisions of the investee but does not have control or joint control of those policies.

Joint venture is a joint arrangement whereby the joint parties ("Joint Ventures"), the Partnership included, exercise control jointly and have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control where decisions about relevant activities of the arrangement require unanimous consent of all relevant parties in accordance with the agreement.

Investments in Associates and Joint Ventures are accounted for using the equity method and are recognized initially at cost, including transaction costs. The interim consolidated financial statements include the Partnership's share of income and expenses and equity movements of the Associates and Joint Ventures, after adjustments to align the accounting policies with those of the Partnership, from the date that significant influence commences or joint venture forms until the date that significant influence ceases or joint venture ends. When the Partnership's share of losses exceeds its interest in the equity accounted investee, the carrying amount of that interest is reduced to nil and the obligation of further losses is discontinued, except to the extent that the Partnership has an obligation or has made payments on behalf of the Associates or Joint Ventures. Income and expenses resulting from transactions with Associates and Joint Ventures are recognized in the interim consolidated financial statements based on the interests of unrelated investors in the Associates and Joint Ventures.

The following is a list of the Partnership's equity-accounted Associates and Joint Ventures with the percentage of voting securities owned, over which significant influence or joint control is exercised directly or indirectly, by the Partnership:

Investment in Associates:

Legal Entity	Place of primary business	Nature of underlying operations	Voting securities held (%)
492 Eglinton Avenue East LP	Canada	Development	80
Bloor Dufferin Development LP	Canada	Development	30
Goldstream Holdings LP	Canada	Development	67
HH (MB) LP	Canada	Development	50
Kaslo Plaza LP	Canada	Development / Investment Property	67
North Timber Kendall LP	United States	Investment Property	60
North Timber Sheridan LP	United States	Investment Property	61
Yale & John LP	United States	Development	85

Joint Ventures:

Legal Entity	Place of primary business	Nature of underlying operations	Voting securities held (%)
37 Bethridge LP	Canada	Development / Investment Property	90
CD Yorkville 1 LP	Canada	Development	20
Chapel Street LP	Canada	Development	95
HTC Sterling Road Holdings LP	Canada	Development	90
Rockport (MPE) LP	Canada	Development	40
Timber Soma MC Holdings LP	United States	Investment Property	99
Timbertrin (Dundas/Bloor) LP	Canada	Development	90
Timbertrin (Guildwood) LP	Canada	Development	99
Timbertrin (Queen/Bathurst) LP	Canada	Investment Property	90

The Partnership does not control, and therefore, does not consolidate the results of these Associates and Joint Ventures. An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

(ii) Investment properties

The Partnership accounts for real estate classified as investment property using the fair value method. A property is determined to be an investment property when it is principally held to earn rental income, capital appreciation or both. The investment property is initially measured at cost, including transaction costs associated with acquiring the property. Subsequent to initial recognition, the investment property is carried at fair value. Gains or losses arising from changes in fair value are recognized in profit or loss during the period in which they arise. The fair value of the investment property is determined by an external appraiser on at least an annual basis.

The fair value of the investment property reflects, among other things, rental income from current leases and assumptions about rental income from future leases in light of current market conditions. It also reflects any cash outflows (excluding those relating to future capital expenditures) that could be expected in respect of the property. The Partnership may also use alternative valuation methods such as discounted cash flow projections or income capitalization methods where appropriate.

Subsequent capital expenditures are charged to the investment property only when it is probable that future economic benefits of the expenditure will flow to the Partnership and the cost can be measured reliably.

Gains or losses from the disposal of the investment property are determined as the difference between the net disposal proceeds and the carrying amount and are recognized in the interim consolidated statements of (loss) income and comprehensive (loss) income in the period of disposal.

(iii) Portfolio investments

The Partnership's portfolio investments include common and preferred equity of publicly-traded companies and unquoted private equity investments. When available, the Partnership measures the fair value of the portfolio investments using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. The fair values of portfolio investments are determined with reference to their quoted closing market price at the measurement date. Changes in the fair value are recognized in the interim consolidated statement of (loss) income and comprehensive (loss) income in the period incurred. For unquoted private investments, the Partnership establishes fair value using an appropriate valuation technique. Valuation techniques may include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same and discounted cash flow analyses.

Transaction costs directly attributable to the acquisition of these instruments are recognized in the interim consolidated statement of (loss) income and comprehensive (loss) income in the period incurred.

(iv) Mortgage and loan investments

The mortgage and loan investments are classified as investments measured at amortized cost. Such investments are recognized initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition, the investment loans are measured at amortized cost using the effective interest method, less any allowance for expected credit losses. The mortgage and loan investments are assessed at each reporting date to determine whether there is objective evidence of impairment. In determining expected credit losses, the Partnership will consider loss events including, but not limited to: (i) payment default by a borrower which is not cured during a reasonable period; (ii) whether security of the mortgage is significantly negatively impacted by some events; and (iii) financial difficulty experienced by a borrower. The estimation of future cash flows includes assumptions about local real estate market conditions, market interest rates, availability and terms of financing, underlying value of the security and various other factors. These assumptions are limited by the availability of reliable comparable market data, economic uncertainty and the uncertainty of future events. Accordingly, by their nature, estimates of expected credit losses are subjective and may not necessarily be comparable to the actual outcome. Should the underlying assumptions change, the estimated future cash flows could vary. Refer to note 3(f) for impairment of financial assets.

(v) Property, plant and equipment ("PP&E")

(a) Recognition and measurement

Items of property, plant and equipment are measured at cost, which includes capitalized acquisition cost, less accumulated depreciation and any accumulated impairment losses. If significant parts of an item of PP&E have different useful lives, then they are accounted for as separate items of PP&E.

(b) Subsequent expenditure

Subsequent expenditure is capitalized only if it is probable that the future economic benefits associated with the expenditure exists.

(c) Depreciation

Depreciation is calculated to write off the cost of items of PP&E less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognized in profit or loss. Land is not depreciated.

The estimated useful lives of PP&E for current and comparative periods are as follows:

Asset	Basis	Rate
Buildings	Straight-line	40 years
Leaseholds	Straight-line	Lesser of lease term and 40 years
Building finishes	Straight-line	10-15 years
Electrical and mechanical	Straight-line	30 years
Furniture, fixtures and equipment	Straight-line	7 years

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

(d) Revaluation

The Partnership uses the revaluation method of accounting for certain classes of PP&E as well as certain assets which are under development for future use as PP&E measured using the revaluation method is initially measured at cost and subsequently carried at its revalued amount, being the fair value at the date of the revaluation less any subsequent accumulated depreciation and any accumulated impairment losses. Revaluations are performed at each reporting date, unless there is an indication that assets are impaired. Where the carrying amount of an asset increases as a result of a revaluation, the increase is recognized in other comprehensive income (loss) and accumulated in equity in revaluation surplus, unless the increase reverses a previously recognized impairment recorded through net income, in which case that portion of the increase is recognized in net income.

Where the carrying amount of an asset decreases, the decrease is recognized in other comprehensive income (loss) to the extent of any balance existing in revaluation surplus in respect of the asset, with the remainder of the decrease recognized in net income.

(vi) Investment income

Interest income

Interest income and lender fees received from borrowers are recognized in the interim consolidated statements of (loss) income and comprehensive (loss) income using the effective interest method. Forfeited lender fees are recognized at the time a borrower has not fulfilled the terms and conditions of a lending commitment and payment has been received.

Dividend income

Dividend income is recognized in the interim consolidated statements of (loss) income and comprehensive (loss) income on the date that the right to receive payment is established.

Net gain on financial instruments at fair value through profit and loss ("FVTPL")

Net gain on financial instruments at FVTPL includes all realized and unrealized fair value changes and foreign exchange differences but excludes interest and dividend income.

Net realized gain from financial instruments at FVTPL is calculated using the average cost method.

(b) Partnership units

The Partnership is authorized to issue multiple classes of redeemable limited partner units, which are redeemable at the holder's option and are subject to different fee structures. The Partnership classifies financial instruments issued as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instruments. The redeemable units are classified as financial liabilities given the ability of unitholders to put back the units to the Partnership on a quarterly basis for cash equal to the proportionate share of the Partnership's net redemption value attributable to the unit class, subject to certain restrictions.

For financial statement reporting purposes, the Partnership's obligation for net assets attributable to unitholders is presented at the residual interest in the Partnership. This amount differs from the net asset value used for unitholder reporting and pricing purposes, which are calculated in accordance with the amended and restated limited partnership agreement dated May 15, 2020 ("LPA").

(c) Cash and cash equivalents

The Partnership considers highly liquid investments with an original maturity of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

(d) Distributions to unitholders

Distributions payable to unitholders are recognized in the interim consolidated statements of changes in net assets when they are authorized and no longer at the discretion of the Partnership.

(e) Income taxes

The Partnership currently incurs withholding taxes imposed by certain countries on investment income and capital gains. Such income or gains are recorded gross of withholding taxes in the interim consolidated statements of (loss) income and comprehensive (loss) income.

The Partnership is organized as a partnership for Canadian tax purposes, and therefore, the taxable income for Canadian tax purposes is subject to tax by the unitholder. The Partnership has subsidiaries that are subject to U.S. corporate income taxes. Taxes paid by these subsidiaries are allocated to the unitholders and may be available as a credit against the Canadian taxes otherwise payable. Accordingly, the Partnership provides for current and deferred income tax with respect to its taxable subsidiaries.

Income taxes expense is comprised of current and deferred taxes. Current tax and deferred tax are recognized in profit or loss, except to the extent that it relates to a business combination or items recognized directly in equity or in other comprehensive income (loss).

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates and laws enacted or substantively enacted at the reporting date and any adjustment to tax payable with respect to previous years.

Deferred tax is recognized with respect to temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognized for:

(i) temporary differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future;

(ii) temporary differences in the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits; and

(iii) taxable temporary differences arising from the initial recognition of goodwill.

Deferred tax is measured at tax rates that are expected to be applied to temporary differences when they reverse, based on laws that have been enacted or substantively enacted by the reporting date. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously. In determining the amount of current and deferred tax, the Partnership takes into account the impact of uncertain tax provisions and whether additional taxes and interest may be due.

The Partnership believes that its accruals for tax liabilities are adequate for all open tax years based on its assessment of many factors, including interpretations of tax laws and prior experience. This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Partnership to change its judgment regarding the adequacy of existing tax liabilities; such changes to tax liabilities will impact tax expense in the year that such a determination is made.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable (which the Partnership has defined as more likely than not) that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

(f) Financial assets and financial liabilities

(i) Classification

Financial assets are classified as measured at one of the following: (i) FVTPL; (ii) fair value through other comprehensive income (FVOCI) or; (iii) amortized cost. The classification of financial instruments is outlined in note 19. The Partnership has no financial assets measured at FVOCI.

All financial assets and financial liabilities are measured at fair value on initial recognition plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

Financial instruments measured at fair value through profit or loss

Financial assets and financial liabilities at FVTPL are financial instruments that are managed, and their performance is evaluated on a fair value basis in accordance with the Partnership's documented investment strategy. Financial instruments at FVTPL are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets. The Partnership is primarily focused on fair value information and uses that information to assess the assets' performance and to make decisions. Financial assets and liabilities at FVTPL are measured at fair value with net gains and losses, including any interest or dividend income, recognized in profit or loss. These include the portfolio investments and derivative financial assets and liabilities held by the Partnership, as presented in the interim consolidated statements of net assets.

Measured at amortized cost

Financial assets classified as measured at amortized cost are non-derivative financial assets with fixed or determinable payments. Financial assets are measured at amortized costs using the effective interest method. The amortized cost is reduced by expected credit losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. This category includes cash and cash equivalents, dividends and interest receivable, receivable for investments sold, other assets and receivables, current tax receivable and margin deposits in swaps and forward contracts with exception of the participating debt, which is classified at fair value through profit or loss.

Other financial liabilities

Financial liabilities not classified as measured at FVTPL are classified as measured at amortized cost. Financial liabilities are measured at amortized cost using effective interest method with interest expense and foreign exchange gains and losses are recognize din profit or loss. Any gain or loss on derecognition is also recognized in profit or loss. These include the credit facility, accounts payable and accrued liabilities, due to Manager, distributions payable, redemptions payable, mortgage payable and payable for investments purchased.

(ii) Allowance for expected credit loss ("ACL")

The Partnership recognizes ACL on financial assets measured at amortized cost, unfunded loan commitments and financial guarantee contracts (note 9).

Impairment of financial assets

The Partnership recognizes loss allowances for expected credit loss ("ECL") on financial assets measured at amortized cost, unfunded loan commitments and financial guarantee contracts. The ECL model requires the recognition of credit losses based on 12 months of expected losses for performing loans (Stage 1) and the recognition of lifetime expected losses on performing loans that have experienced a significant increase in credit risk since origination (Stage 2). The allowance for assets in Stage 2 will be higher than for those in Stage 1 as a result of the longer time horizon associated with this stage. Stage 3 requires lifetime losses for all credit impaired assets.

The determination of a significant increase in credit risk takes into account different factors and will vary by nature of investment. The Partnership assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due interest payment or maturity date, and borrower specific criteria determined by the Manager. As is typical in shorter duration, structured financing, the Manager does not solely believe there has been a significant deterioration in credit risk as it is not uncommon for mortgages and other investments to go into overhold position for a period greater than 30 days. The Manager actively monitors these mortgages and other investments and applies judgement in determining whether there has been significant increase in credit risk. The Partnership considers a financial asset to be in default when the borrower is more than 90 days past due and when there is objective evidence that there has been a deterioration of credit quality to the extent the Partnership no longer has reasonable assurance as to the timely collection of the full amount of principal and interest or/and when the Partnership has commenced enforcement remedies available to it under its contractual agreements.

In cases where a borrower experiences financial difficulty, the Partnership may grant certain concessionary modifications to the terms and conditions of a loan. Modifications may include payment deferrals, extension of amortization periods, debt consolidation, forbearance and other modifications intended to minimize the economic loss and to avoid foreclosure or repossession of collateral. The Partnership determines the appropriate remediation strategy based on the individual borrower. If the Partnership determines that a modification results in expiry of cash flows, the original asset is derecognized while a new asset is recognized based on the new contractual terms.

Significant increase in credit risk is assessed relative to the risk of default on the date of modification. If the Partnership determines that a modification does not result in derecognition, significant increase in credit risk is assessed based on the risk of default at initial recognition of the original asset. Expected cash flows arising from the modified contractual terms are considered when calculating the ECL for the modified asset. For loans that were modified while having a lifetime ECL, the loans can revert to having 12-month ECL after a period of performance and improvement in the borrower's financial condition. Loss allowances for financial assets measured at amortized cost are deducted from gross carrying amount of the asset.

(g) Impairment of non-financial assets

The carrying amounts of PP&E are assessed at each reporting date to determine if any events have occurred that would indicate the PP&E may be impaired. If any such indication exists, then the asset's recoverable amount is estimated and an impairment loss is recognized immediately in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount of an asset or cash generating unit ("CGU") is the higher of (a) fair value less costs to sell, and (b) value in use. The determination of recoverable amounts can be significantly impacted by estimates related to current market valuations, current and future economic conditions in the geographical markets of each CGU, and management's strategic plans within each of its markets. Estimates and assumptions used in the determination of the recoverable amounts were based upon information that was known at the time, along with the future outlook.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

(h) Significant judgments and estimates

In the preparation of these interim consolidated financial statements, the Manager has made judgments, estimates and assumptions that affect the application of the Partnership’s accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

In making estimates and judgements, the Manager relies on external information and observable conditions where possible, supplemented by internal analysis as required. There are no known trends, commitments, events or uncertainties, other than the potential effects of the COVID-19 pandemic, which the Manager believes will materially affect the methodology or assumptions utilized in making those estimates and judgements in these interim consolidated financial statements.

Beginning March 2020, the outbreak of “COVID-19”, has resulted in governments worldwide enacting emergency measures to contain the spread of the virus. The COVID-19 outbreak has had a notable impact on general economic conditions, including but not limited to the temporary closures of many businesses; "stay at home" and other governmental regulations; which has resulted in an uncertain and challenging economic environment and volatile public markets.

The near-term impacts of COVID-19 on the real estate market are in regional malls, hotels and high-rise downtown office properties, in which the Partnership has limited exposure. The Partnership predominantly invests in “retail essential services” such as groceries, pharmacies and pet stores which have seen resilient spending levels. The Partnership's investments in office properties are predominantly focused on non-downtown assets with a heavy focus on technology and life science tenants. The Partnership's investments in multi-residential properties have high and stable rent collection which continues to trend upward since the start of COVID-19. While economic conditions including job growth and public markets continue to improve from the trough levels of March, the Manager continues to monitor the potential impact of COVID-19 on real estate markets generally, and particularly in connection with the Partnership's operations.

The allowance for credit losses and carrying value for the Partnership's investments measured at FVTPL reflect its best estimate. Actual results may differ from the Partnership's current estimates as the scope of COVID-19 evolves or the duration of the business disruptions is longer than initially anticipated.

The significant estimates and judgements used in determining the recorded amount for assets and liabilities in the interim consolidated financial statements include the following:

(i) Measurement of fair values

The Partnership measures financial instruments (such as derivatives and portfolio investments) and non-financial instruments (such as investment properties) at fair value on each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Partnership.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interests. A fair value measurement of a non-financial asset takes into account a market participant’s ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Partnership uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the interim consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; or
- Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the interim consolidated financial statements on a recurring basis, the Partnership determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Partnership has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy

as explained above. The information about the assumptions made in measuring fair value is included in the following notes:

Note 5 – Investment Properties; and

Note 19 – Fair Value Measurement

(ii) Accounting for subsidiaries

Significant judgment is required in assessing whether the Partnership should consolidate underlying structured entities in accordance with IFRS 10*, Consolidated Financial Statements.*

(i) Translation of foreign currencies

Transactions in foreign currencies are translated into Canadian dollars at the exchange rate on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into Canadian dollars at the exchange rate on that date. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated into Canadian dollars at the exchange rate on the date that the fair value is determined. Foreign currency differences arising on retranslation are recognized in the interim consolidated statements of (loss) income and comprehensive (loss) income as a component, except for those arising on financial instruments at FVTPL, which are recognized as a component of gain (loss) on financial instruments at FVTPL.

(j) Foreign operations

The assets and liabilities of foreign operations are translated into Canadian dollars at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Canadian dollars at the exchange rates at the dates of the transactions. Foreign currency differences are recognized in other comprehensive (loss) income and accumulated in the translation reserve.

When a foreign operation is disposed of in its entirety or partially such that control, significant influence or joint control is lost, the cumulative amount in the foreign operations - foreign currency translation differences related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal.

(k) Derivatives

The Partnership may use derivatives, such as written options, forward contracts, swaps or customized derivatives, to hedge against losses caused by changes in securities prices, interest rates or exchange rates. The Partnership may also use derivatives for non-hedging purposes in order to invest indirectly in securities or financial markets, to gain exposure to other currencies, to seek to generate additional income, and/or for any other purpose considered appropriate by the Manager. Fair value of derivatives contracts is included in the interim consolidated statements of net assets as derivative assets or derivative liabilities and the change in fair value is included in net gain on financial instruments at FVTPL in the interim consolidated statements of (loss) income and comprehensive (loss) income.

(l) Margin deposited on equity swaps and forward contracts

These amounts relate to cash collateral held by the counterparties on the foreign exchange forward contracts and equity swap contracts.

(m) Changes in accounting policies

Amendments to References to the Conceptual Framework in IFRS Standards

On March 29, 2018 the IASB issued a revised version of its Conceptual Framework for Financial Reporting (the Framework), that underpins IFRS Standards. The IASB also issued Amendments to References to the Conceptual Framework in IFRS Standards to update references in IFRS Standards to previous versions of the Conceptual Framework.

The Partnership has adopted the amendments in its unaudited interim consolidated financial statements for the period beginning on January 1, 2020. The amendments did not have a material impact on these unaudited interim consolidated financial statements.

Definition of Material (Amendments to IAS 1*, Presentation of Financial Statements* and IAS 8*, Accounting Policies, Changes in Accounting Estimates and Errors*)

On October 31, 2018, the IASB refined its definition of material and removed the definition of material omissions or misstatements from IAS 8.

The definition of material has been aligned across IFRS Standards and the Framework. The amendments provide a definition and explanatory paragraphs in one place.

Pursuant to the amendments, information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

The Partnership has adopted the amendments to IAS 1 and IAS 8 in these unaudited interim consolidated financial statements for the period beginning on January 1, 2020. The amendments did not have a material impact on these unaudited interim consolidated financial statements.

4. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

INVESTMENT IN ASSOCIATES

	June 30, 2020	December 31, 2019
492 Eglinton Avenue East LP	$ 3,465	$ 3,465
Bloor Dufferin Development LP	3,856	3,630
Goldstream Holdings LP	11,225	10,649
HH (MB) LP	800	800
Kaslo Plaza LP	34,038	33,350
North Timber Kendall LP	7,114	6,474
North Timber Sheridan LP	5,057	4,884
Yale & John LP	28,718	21,148
Total	$ 94,273	$ 84,400

	492 Eglington Avenue East LP	Bloor Dufferin Develop-ment LP	Eagle Crescent Developments LP	Goldstream Holdings LP	HH (MB) LP
Balance, January 1, 2019	$ 3,465	$ 3,239	$ 6,300	$ 4,550	$ 800
Contributions	-	391	-	-	-
Share of net income and fair value gain	-	-	-	6,099	-
Net foreign exchange gain (loss)	-	-	-	-	-
Dispositions	-	-	(6,300)	-	-
Balance, December 31, 2019	3,465	3,630	-	10,649	800
Contributions	-	226	-	-	-
Share of net income and fair value gain	-	-	-	576	-
Net foreign exchange gain	-	-	-	-	-
Balance, June 30, 2020	$ 3,465	$ 3,856	$ -	$ 11,225	$ 800

	Kaslo Plaza LP	North Timber Kendall LP	North Timber Sheridan LP	Yale & John LP	Total
Balance, January 1, 2019	$ -	$ 6,087	$ 5,543	$ 13,686	$ 43,670
Contributions	33,350	-	-	4,782	38,523
Share of net income and fair value gain (loss)	-	705	(396)	3,489	9,897
Net foreign exchange gain (loss)	-	(318)	(263)	(809)	(1,390)
Dispositions	-	-	-	-	(6,300)
Balance, December 31, 2019	33,350	6,474	4,884	21,148	84,400
Contributions	-	298	-	6,571	7,095
Share of net income and fair value gain (loss)	688	66	(48)	45	1,327
Net foreign exchange gain	-	276	221	954	1,451
Balance, June 30, 2020	$ 34,038	$ 7,114	$ 5,057	$ 28,718	$ 94,273

JOINT VENTURES

	June 30, 2020	December 31, 2019
37 Bethridge LP	$ 19,824	$ -
CD Yorkville 1 LP	2,225	2,225
Chapel Street LP	32,867	35,188
HTC Sterling Road Holdings LP	7,436	10,717
Rockport (MPE) LP	2,600	2,234
Timber Soma MC Holdings LP	61,777	-
Timbertrin (Dundas/Bloor) LP	13,618	14,727
Timbertrin (Guildwood) LP	3,593	-
Timbertrin (Queen/Bathurst) LP	4,647	4,639
Total	$ 148,587	$ 69,730

	37 Bethridge LP	CD Yorkville 1 LP	Chapel Street LP	HTC Sterling Road Holdings LP	Rockport (MPE) LP
Balance, January 1, 2019	$ -	$ 2,225	$ -	$ -	$ 1,443
Contributions	-	-	35,188	10,717	791
(loss) and fair value gain (loss)	-	-	-	-	-
Balance, December 31, 2019	-	2,225	35,188	10,717	2,234
Contributions	20,580	-	2,993	3,428	366
Return of capital	-	-	(4,845)	(6,709)	-
(loss) and fair value gain (loss)	(756)	-	(469)	-	-
Net foreign exchange gain (loss)	-	-	-	-	-
Distributions	-	-	-	-	-
Balance, June 30, 2020	$ 19,824	$ 2,225	$ 32,867	$ 7,436	$ 2,600

	Timber Soma MC Holdings LP	Timbertrin (Dundas/ Bloor) LP	Timbertrin (Guildwood) LP	Timbertrin (Queen/ Bathurst) LP	Total
Balance, January 1, 2019	$ -	$ -	$ -	$ -	$ 3,668
Contributions	-	14,786	-	4,581	66,063
Share of net income (loss) and fair value gain (loss)	-	(59)	-	58	(1)
Balance, December 31, 2019	-	14,727	-	4,639	69,730
Contributions	62,663	297	4,946	266	95,539
Return of capital	(1,487)	(45)	-	(15)	(13,101)
Share of net income (loss) and fair value gain (loss)	2,551	(1,361)	(1,353)	(243)	(1,631)
Net foreign exchange gain (loss)	1,495	-	-	-	1,495
Distributions	(3,445)	-	-	-	(3,445)
Balance, June 30, 2020	$ 61,777	$ 13,618	$ 3,593	$ 4,647	$ 148,587

5. INVESTMENT PROPERTIES

		June 30, 2020		December 31, 2019
Balance, beginning of the period/year	$	82,060	$	25,058
Acquisition		16,233		57,543
Additions - capital expenditures		645		683
Fair value adjustment		(2,626)		-
Adjustment for foreign currency translation *		1,146		(1,224)
Balance, end of the period/year	$	97,458	$	82,060

* Foreign currency translation on USD-denominated investment properties

The following table shows the valuation technique used in measuring fair value of the investment properties.

Valuation technique	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Direct Capitalization Method. The valuation method is based on stabilized net operating income ('NOI') divided by an overall capitalization rate.	Stabilized NOI is based on the location, type and quality of the property and supported current market rents for similar properties, adjusted for estimated vacancy rates (post capital expenditure, if any) and expected operating costs. Capitalization rate is based on location, size and quality of the property and taking into account market data at the valuation date.	The estimated fair value would increase (decrease) if overall capitalization rates were lower (higher)

The key valuation assumptions are set out in the following table:

	June 30, 2020	December 31, 2019
Capitalization rates:		
Range	3.0% to 9.5%	3.5% to 9.1%
Weighted average	4.7%	5.3%

The fair value of the Partnership's investment properties is sensitive to changes in the key valuation assumptions. The estimated fair value would increase by $10,151 if overall capitalization rates were lower by 0.50% and decrease by $8,204 if the overall capitalization rates were higher by 0.50%, with all other variables being held constant. In practice, actual results may differ from the sensitivity analysis and the differences could be material.

(a) Acquisitions

The acquisitions of the investment properties have been accounted for as an asset purchase and recognized initially at purchase price plus transaction costs, with results of operations included in these interim consolidated financial statements from the date of acquisition.

i) On May 15, 2019, the Partnership and a third-party co-investor completed an acquisition of a multi-residential investment property located in Montreal, Quebec for a total consideration of $84,254. The Partnership holds 25% of the ownership interest and its portion of consideration was $21,063. The co-ownership financed the acquisition through securing a new mortgage of $49,478 and remaining was funded in cash. The Partnership's ownership of the mortgage is 30% of the total balance, which is $14,843 ($14,492, net of capitalized financing costs). The Partnership subsequently received the second advance on the mortgage $233 ($226, net of capitalized financing costs). The aggregate fair value of the investment properties is pledged as security for the mortgage payable (note 11). The co-ownership is subject to joint control based on the Partnership's decision making authority with regards to the operating, financing and investing activities of the investment property. This co-ownership has been classified as a joint operation and, accordingly, the Partnership recognizes its share of the assets, liabilities, revenue and expenses generated from the assets in proportion to its rights.

ii) On August 29, 2019, the Partnership completed an acquisition of a multi-residential investment property located in Toronto, Ontario for a total consideration of $36,498. The Partnership financed the acquisition through a credit facility of $22,750 ($22,612, net of capitalized financing costs), and the remaining was funded in cash. The aggregate fair value of the investment property is pledged as security for the credit facility (note 12).

iii) On May 20, 2020, the Partnership and related party co-investors completed an acquisition of a multi-residential investment property located in Halifax, Nova Scotia, for a purchase price of $12,720. The Partnership holds 10% of the ownership interest and its portion of the purchase price was $1,272. The co-ownership financed the acquisition through securing a new non revolving credit facility of $7,500 and remaining was funded in cash. The Partnership's ownership of the non-revolving credit facility is 10% of the total balance, which is $750 ($741 net of capitalized financing costs). The aggregate fair value of the investment properties is pledged as security for the credit facility (note 12). The co-ownership is subject to joint control based on the Partnership's decision making authority with regards to the operating, financing and investing activities of the investment property. This co-ownership has been classified as a joint operation and, accordingly, the Partnership recognizes its share of the assets, liabilities, revenue and expenses generated from the assets in proportion to its rights.

iv) On June 29, 2020, the Partnership and related party co-investors completed an acquisition of a nine-asset multi-residential investment property portfolio located in Toronto, Ontario, for a purchase price of $149,610. The Partnership holds 10% of the ownership interest and its portion of the purchase price was $14,961. The co-ownership financed the acquisition through securing a new non revolving credit facility of $41,869 and assuming mortgages payable of $44,153, with the remaining portion funded in cash. The Partnership's ownership of the "non revolving" credit facility and mortgage is 10% of the total balance of $86,022, which is $8,602 ($8,561 net of capitalized financing costs). The aggregate fair value of the investment properties is pledged as security for the credit facility (note 12) and mortgage payable (note 11). The co-ownership is subject to joint control based on the Partnership's decision making authority with regards to the operating, financing and investing activities of the investment property. This co-ownership has been classified as a joint operation and, accordingly, the Partnership recognizes its share of the assets, liabilities, revenue and expenses generated from the assets in proportion to its rights.

6. Property, plant and equipment

		June 30, 2020		December 31, 2019
Balance, beginning of the period	$	75,520	$	-
Acquisitions		-		75,739
Additions - capital expenditures		1		
Depreciation		(1,308)		(219)
Balance, end of the period	$	74,213	$	75,520

7. RENTAL REVENUE

The Partnership leases residential and commercial properties under operating leases generally with a term of not more than one year, and in many cases, tenants lease rental space on a month-to-month basis. The majority operating leases mature in 2020 and 2021, and aggregate minimum lease payments in the remainder of 2020 is expected to be $2,622. Rental revenue from operating leases was $3,616 during the period ended June 30, 2020 (June 30, 2019 - $1,254).

8. PORTFOLIO INVESTMENTS

	Number of shares/units		Fair value	
Common equities	**June 30, 2020**	**December 31, 2019**	**June 30, 2020**	**December 31, 2019**
Alexandria Real Estate Equities Inc.	34,500	-	$ 7,600	$ -
Alstria Office REIT-AG	-	426,100	-	10,395
Americold Realty Trust	119,500	-	5,889	-
Apple Hospitality REIT Inc.	97,500	-	1,279	-
Arima Real Estate SOCIMI SA	440,702	354,692	5,916	5,837
Cellnex Telecom SAU	117,687	-	9,738	-
Centuria Industrial REIT	3,796,989	2,515,403	11,278	7,654
Chartwell Retirement Residences	-	559,297	-	7,774
CHC Student Housing Corp.	-	38,562	-	1
China Tower Corp Ltd.	13,183,000	33,255,000	3,164	9,531
Crown Castle International Corp.	26,444	34,617	6,008	6,389
CubeSmart	-	132,380	-	5,411
Daiwa Securities Living Investments Corp.	10,814	-	13,652	-
Dexus Property Group	872,472	-	7,521	-
Dream Industrial Real Estate Investment Trust	833,054	-	8,897	-
Equinix Inc.	6,300	4,900	6,007	3,714
Essex Property Trust Inc.	26,131	14,750	8,130	5,762
European Residential Real Estate Investment Trust	2,024,995	1,308,000	8,343	6,082
Extra Space Storage Inc.	52,293	-	6,558	-
Federal Realty Investment Trust	40,800	34,700	4,720	5,800
Granite Point Mortgage Trust Inc.	2,268,761	878,713	22,116	20,972
Healthcare Trust of America Inc.	182,963	149,898	6,588	5,894
Healthpeak Properties Inc.	-	137,086	-	6,136
Hudson Pacific Properties Inc.	200,448	149,300	6,847	7,299
Invesco Office J-Reit Inc.	96,342	46,034	16,911	12,366
Invitation Homes Inc.	219,874	118,817	8,218	4,624
Irish Residential Properties REIT Plc	6,236,173	4,178,435	13,451	9,676
iShares US Real Estate ETF	-	3,500	-	423
Japan Hotel REIT Investment Corp.	-	5,690	-	5,521
Keppel DC REIT	1,930,597	4,787,447	4,778	9,613
Kimco Realty Corp.	449,147	-	7,830	-
Klepierre	288,241	208,800	7,798	10,294
Link REIT	845,300	-	9,380	-
Marriott International	23,300	-	2,712	-
MFA Financial Inc.	-	1,591,629	-	15,810
MGM Growth Properties	164,941	-	6,093	-
Mirvac Group	-	2,539,728	-	7,358
National Storage REIT	7,731,985	-	13,367	-
Nippon Prologis REIT Inc.	-	1,734	-	5,727
			$ 240,789	$ 196,063

	Number of shares/units		Fair value	
Common equities	**June 30, 2020**	**December 31, 2019**	**June 30, 2020**	**December 31, 2019**
NSI	280,474	-	$ 14,739	$ -
Pioneer Property Group ASA	292,714	292,714	4,130	4,373
QTS Realty Trust Inc.	-	52,944	-	3,731
Rexford Industrial Realty Inc.	180,409	91,898	10,148	5,450
Shurgard Self Storage Europe Sarl	295,734	239,943	15,090	11,882
Slate Office REIT	3,097,192	-	11,336	-
Starwood Property Trust Inc.	1,471,394	772,044	29,884	24,921
Sun Communities Inc.	36,551	24,200	6,733	4,717
SUNeVision Holdings Ltd.	9,009,000	-	9,579	-
Swire Properties Ltd.	-	2,176,880	-	9,377
TPG RE Finance Trust Inc.	1,244,690	839,034	14,532	22,083
VEREIT Inc.	801,106	489,791	6,993	5,876
VICI Properties Inc.	-	212,900	-	7,063
Welltower Inc.	84,600	-	5,944	-
Total common equities			$ 369,897	$ 295,534

	Number of shares/units		Fair value	
Preferred shares	**June 30, 2020**	**December 31, 2019**	**June 30, 2020**	**December 31, 2019**
American Homes 4 Rent Series H	20,999	137,371	$ 727	$ 4,748
Colony Capital Inc. Series E	-	110,819	-	3,640
Colony Capital Inc. Series H	-	47,025	-	1,461
Digital Realty Trust Inc. Series J	54,882	96,180	1,887	3,218
Monmouth Real Estate Investment Series C	232,501	153,559	7,719	4,969
Pebblebrook Hotel Trust Series F	186,283	106,586	4,686	3,557
PS Business Parks Inc. Series X	-	155,726	-	5,277
Public Storage. Series E	-	104,539	-	3,459
QTS Realty Trust Inc. Series A	206,693	126,449	7,554	4,466
SITE Centers Corp Series A	122,107	-	3,705	-
Spirit Realty Capital Inc. Series A	88,765	67,264	2,932	2,275
Sunstone Hotel Investors Inc. Series E	-	-	-	-
VEREIT Series F	185,098	-	6,287	-
Total preferred shares			$ 35,497	$ 37,070

	Number of shares/units		Fair Value	
Fixed income	**June 30, 2020**	**December 31, 2019**	**June 30, 2020**	**December 31, 2019**
ERWE Immobilien AG 7.50% 10DEC23	5,000,000	5,000,000	$ 7,502	$ 7,391
Obotritia 7.5% Coupon Perpetual	5,000,000	-	7,642	-
Total Fixed income			$ 15,144	$ 7,391

	Fair Value	
Private investments	**June 30, 2020**	**December 31, 2019**
Boston Office - Center Plaza	$ 10,287	$ 7,983
Chicago Office - Adventus	7,896	7,501
Chicago Office Convertible Debt - Adventus	6,285	6,011
Edmonton Industrial	2,543	2,510
GreenOak - Asia II	482	556
GreenOak - Asia III	2,195	-
GreenOak - Europe II	1,462	2,499
GreenOak - Europe III	1,088	663
GreenOak - US II	859	982
GreenOak - US III	1,064	714
GTA Mixed Use - Wynn	30,537	32,271
Irish Debt Junior Debentures	8,550	7,737
New York City Apartment - Rivertower	4,401	4,152
Oak Brook Office - York	1,952	1,707
Sacramento Office - L Street	17,048	15,403
Sacramento Shopping Center - Blue Oaks	7,785	7,254
Saskatchewan Apartment - New Summit	1,263	1,244
Toronto Mixed Use - Urban Redevelopment	14,604	14,604
Total private investments	$ 120,301	$ 113,791
Total portfolio investments	**$ 540,839**	**$ 453,786**

9. MORTGAGE AND LOAN INVESTMENTS

	June 30, 2020	December 31, 2019
Canada		
Barrie Apartment Loan - Johnson	$ -	$ 4,183
Burnaby Multifamily Loan - SFU	1,668	-
Calgary Apartment Loan - Sunridge	2,000	2,000
Calgary Multifamily Loan - Windsor	3,772	5,017
Cambridge Apartment Loan - Lena Court	2,277	2,277
Canada Apartment Credit Facility - DDAP	-	3,617
Edmonton Apartment Mortgage - McKernan	278	-
Edmonton Residential Loan - Belgravia	511	1,583
Kitchener Apartment Loan - Elm Ridge	2,280	2,280
Kitchener Multifamily Loan - 86 Cedar	-	1,855
Mississauga Industrial Mortgage - Royal Windsor	2,250	2,250
Montreal Apartment Loan - Le 7 Sens	1,195	-
Montreal Healthcare Loan - Rosemont	21,893	22,300
Ontario Residential Portfolio Loan - TDG	2,500	2,500
Oshawa Apartment Mortgage - Bond	-	3,000
Quebec City Apartment Mortgage - Rue Claire-Bonenfant	3,287	2,220
Quebec City Apartment Loan - Les Facades II	5,755	5,755
Quebec City Multifamily Mortgage - 7 Elements	6,548	-
Quebec City Retail Mortgage - Charlevoix	5,850	5,975
Saskatoon Multifamily Mortgage - The Meadows	523	-
Saskatoon Residential Mortgage - The Meadows	7,250	6,500
Toronto Office Apartment Mortgage - Davies	2,063	-
Toronto Danforth Residential Mortgage - Car Wash	3,000	-
Saskatoon Retail Mortgage - The Meadows	-	19,807
Toronto Industrial Mortgage - Bramsteele	1,222	1,153
Toronto Retail Mortgage - Yonge	3,675	3,675
Toronto Office Mortgage - Junction	29,720	-
Toronto Mixed Use Mortgage - MM	-	965
Toronto Residential Loan - Roehampton	1,328	1,218
Toronto Residential Mortgage - Gerrard	2,000	2,000
US Apartment Loan - Sunbelt Portfolio	10,918	10,918
Vancouver Apartment - Renfrew	6,385	6,168
Vancouver Apartment Loan - Lonsdale	-	3,312
Vancouver Mixed Use Portfolio - BP	9,500	9,300
Vancouver Multifamily Loan - WB Davie	4,500	-
Vancouver Office Loan - HS	15,000	15,000
Vancouver Retail Loan - Kensington	1,325	1,325
Victoria Mixed Use Loan - Blanshard	2,516	2,159
Victoria Mixed Use Mortgage - Times	2,464	2,464
Waterloo Apartment Loan - Goldbeck	963	2,870
Western Canada Retail Portfolio Loan - AP	2,500	2,500
Winnipeg Apartment Mortgage - Normand	765	557
Total Canada	$ 169,681	$ 158,702

	June 30, 2020	December 31, 2019
United States of America		
Atlanta Multifamily Mortgage AV	-	$ 47,348
Eatontown Retail Loan - MM	2,036	1,948
Las Vegas Shopping Centre Mortgage - Warm Springs	16,037	15,338
Los Angeles Loan - Vica	18,476	15,596
Nashville Apartment Loan - Grand Oak	-	4,139
Phoenix Apartment Loan - Spectra	-	6,492
Phoenix Industrial Mortgage - Driver	2,877	2,919
Seattle Apartment Loan - Stewart	929	-
Total United States of America	40,355	93,780

	June 30, 2020	December 31, 2019
Europe		
Dublin Residential Mortgage - Rivermeade	1,281	$ 1,223
Ireland Diversified Mortgage - MR	5,530	2,003
Total Europe	$ 6,811	$ 3,226
Allowance for mortgage and loan investments	(490)	(410)
Total mortgage and loan investments	**216,357**	**255,298**

The mortgage and loan investments are secured predominantly by real estate and bear interest at a weighted average rate of 8.3% (December 31, 2019 – 8.4%). The mortgage and loan investments mature between 2020 and 2029 (December 31, 2019 - 2020 and 2023). All mortgage and loan investments are conventional uninsured mortgages and contain a prepayment option, whereby the borrower may repay the principal at any time.

Allowance for credit loss

The ACL recorded, if any, in the interim consolidated statements of (loss) income and comprehensive (loss) income is maintained at a level that the Manager considers adequate to absorb credit-related losses on our mortgage and other investments.

As at June 30, 2020, $216,049, $3,820 and nil of aggregate principal and interest receivable of mortgage and loan investments and ACL of $455, $35 and nil were in Stage 1, 2 and 3, respectively (December 31, 2019 - $257,616, nil and nil of aggregate principal and interest receivable of mortgage and loan investments and ACL of $410, nil and nil were in Stage 1, 2 and 3, respectively). During the period ended June 30, 2020, a loan with $3,820 of aggregate principal and interest receivable of mortgage and loan investments transferred from Stage 1 to Stage 2 with ACL of $35 (December 31, 2019, there was a loan with $2,102 of aggregate principal and interest receivable transferred ,from Stage 1 to Stage 3 with ACL of $3). As at June 30, 2020, unfunded commitments (note 20 (b)) and financial guarantee contracts were all in Stage 1 with minimal ACL (December 31, 2019 - Stage 1 with minimal ACL).

The following table presents the aggregate principal and interest receivable of mortgage and other loan investments as at June 30, 2020, subject to IFRS 9, *Financial Instrument* impairment requirements by internal risk ratings used by the Partnership for credit risk management purposes.

In assessing credit risk, the Partnership utilizes a risk rating framework that considers the following factors: collateral type, property rank that is applicable to the Partnership's security and/or priority positions, loan-to-value and population of location of the collateral. During 2020, the Partnership has enhanced this process to include an assessment of possible loan deterioration factors. These factors include consideration of the sponsorship's ability to make interest payments, the condition of the asset and cash flows, economic and market factors as well as any changes to business strategy that could affect the execution risk of the loan.

Low risk: Mortgage and loan investments that is below the credit risk profile standard of the Partnership with a below average probability of default. Yields on these investments are expected to trend lower than the Partnership's average portfolio.

Medium risk: Mortgage and loan investments within the Partnership's risk appetite and credit standards with an average probability of default. These investments typically carry attractive risk-return yield premiums and would represent a significant percentage of the overall portfolio.

High risk: Mortgage and loan investments within the Partnership's risk appetite and credit standards that have an additional element of credit risk that could result in an above average probability of default. These mortgage and loan investments carry a yield premium in return for their incremental credit risk. These mortgage and loan investments are expected to represent a small percentage of the overall portfolio.

Default: Mortgage and loan investments that are 90 days past due and when there is objective evidence that there has been a deterioration of credit quality to the extent the Partnership no longer has reasonable assurance as to the timely collection of the full amount of principal and interest or/and when the Partnership has commenced enforcement remedies available to it under its contractual agreements.

Canada

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ 3,026	$ -	$ -	$ 3,026
Medium risk	137,258	3,820	-	141,078
High risk	28,075	-	-	28,075
Default	-	-	-	-
Net	168,359	3,820	-	172,179
ACL	420	35	-	455
Mortgage and loan investments, net of ACL	$ 167,939	$ 3,785	$ -	$ 171,724

United States of America

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ 2,907	$ -	$ -	$ 2,907
Medium risk	35,675	-	-	35,675
High risk	2,050	-	-	2,050
Default	-	-	-	-
Net	40,632	-	-	40,632
ACL	25	-	-	25
Mortgage and loan investments, net of ACL	$ 40,607	$ -	$ -	$ 40,607

Europe

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ -	$ -	$ -	$ -
Medium risk	7,058	-	-	7,058
High risk	-	-	-	-
Default	-	-	-	-
Net	7,058	-	-	7,058
ACL	10	-	-	10
Mortgage and loan investments, net of ACL	$ 7,048	$ -	$ -	$ 7,048

The following table presented the gross carrying amounts of mortgage and other loan investments as at December 31, 2019.

Canada

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ 15,506	$ -	$ -	$ 15,506
Medium risk	140,093	-	-	140,093
High risk	4,519	-	-	4,519
Net	160,118	-	-	160,118
ACL	365	-	-	365
Mortgage and loan investments, net of ACL	$ 159,753	$ -	$ -	$ 159,753

United States of America

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ 18,638	$ -	$ -	$ 18,638
Medium risk	73,613	-	-	73,613
High risk	1,970	-	-	1,970
Net	94,221	-	-	94,221
ACL	35	-	-	35
Mortgage and loan investments, net of ACL	$ 94,186	$ -	$ -	$ 94,186

Europe

	Stage 1	Stage 2	Stage 3	Total
Low risk	$ -	$ -	$ -	$ -
Medium risk	3,277	-	-	3,277
High risk	-	-	-	-
Net	3,277	-	-	3,277
ACL	10	-	-	10
Mortgage and loan investments, net of ACL	$ 3,267	$ -	$ -	$ 3,267

10. DERIVATIVES

Foreign exchange forward contracts

Settlement date	Currency	Cross currency	Counterparty	Forward rates	Contract price	Fair value	Unrealized gain
September 16, 2020	EUR	CAD	Schedule A Canadian Bank	1.5278	$ (5,500)	$ (5,468)	$ 32
September 16, 2020	EUR	CAD	Schedule A Canadian Bank	1.5278	(1,274)	(1,266)	8
September 16, 2020	EUR	CAD	Schedule A Canadian Bank	1.5278	(8,221)	(8,173)	48
September 16, 2020	JPY	CAD	Schedule A Canadian Bank	0.0126	(2,183)	(2,163)	20
September 16, 2020	JPY	CAD	Schedule A Canadian Bank	0.0126	(556)	(551)	5
July 21, 2020	NOK	CAD	Schedule A Canadian Bank	0.1411	(4,000)	(3,978)	22
July 15, 2020	EUR	CAD	Schedule A Canadian Bank	1.5258	(7,661)	(7,629)	32
July 08, 2020	USD	CAD	Schedule A Canadian Bank	0.7366	(643)	(641)	2
Total unrealized gain on foreign exchange forward contracts							$ 169

Foreign exchange forward contracts

Settlement date	Currency	Cross currency	Counterparty	Forward rates	Contract price	Fair value	Unrealized loss
September 16, 2020	USD	CAD	Schedule A Canadian Bank	1.3574	$ (337,843)	$ (338,003)	$ (160)
July 15, 2020	EUR	CAD	Schedule A Canadian Bank	1.5258	(7,585)	(7,629)	(44)
Total unrealized loss on foreign exchange forward contracts							$ (204)

Options[1]

Settlement date	Currency	Strike price	Shares	Notional amount	Fair value
September 18, 2020	USD	$ 720	(6,300)	$ (267)	$ (295)
September 18, 2020	USD	145	(34,200)	(203)	(255)
October 16, 2020	USD	170	(3,500)	(201)	(355)
October 16, 2020	USD	270	(21,400)	(150)	(128)
November 20, 2020	USD	80	(40,800)	(280)	(701)
Total options					$ (1,734)

[1]The Partnership holds underlying investments associated with these option, therefore the Partnership's exposure is limited

Interest rate swap

Settlement date	Currency	Counterparty	Terms	Notional amount	Unrealized loss
August 30, 2024	CAD	Schedule A Canadian Bank	Receive floating at 1-month BA; pay fixed rate of 1.598%	$ 22,750	$ (849)
Total unrealized loss on interest rate swap					$ (849)

The Partnership can extend these contracts beyond maturity, thereby maintaining the underlying economic exposure of the position.

11. MORTGAGES PAYABLE

As at June 30, 2020, the Partnership had mortgages payable of $88,071 (December 31, 2019 - $83,270), net of financing costs. All mortgages are secured by the investment properties and PP&E. Mortgages payable are recorded at amortized cost. Mortgage balances on each investment property and PP&E and terms as of June 30, 2020 and December 31, 2019 are as follows:

Period ended June 30, 2020	Alabama[1]	Montreal Apartment - Sommet	Calgary Hotel East Village	Timbercreek 4Q MR V LP	Total
Contractual mortgage payable	$ 15,884	$ 14,777	$ 54,000	$ 4,415	$ 89,076
Mortgage payable balance, net of capitalized financing costs	$ 15,851	$ 14,459	$ 53,358	$ 4,403	$ 88,071
Mortgage interest	$ 359	$ 202	$ 942	$ -	$ 1,503
Amortization of capitalized financing costs	$ 55	$ 31	$ 85	$ 1	$ 172
Interest rate	LIBOR plus a margin of 2.25%	Canada Mortgage Bond Yield plus applicable margin, as determined by the lender at the time of borrowing, which is then current rate that the lender would otherwise charge to other similar borrowers.	The greater of the 5 period Canada Bond Rate plus a margin of 2.25% or 3.50%.	Fixed rates ranging from 2.00% to 3.43%	
Maturity date	October 1, 2020	September 1, 2029	November 7, 2024	Ranging from June 1, 2021 to December 2023	
Effective interest rate	4.51%	2.68%	3.50%	Fixed rates ranging from 2.00% to 3.43%	

Year ended December 31, 2019	Alabama[1]	Montreal Apartment - Sommet	Calgary Hotel East Village	Total
Contractual mortgage payable	$ 15,193 (11,700 USD)	$ 14,942	$ 54,000	$ 84,135
Mortgage payable balance, net of capitalized financing costs	$ 15,109	$ 14,607	$ 53,554	$ 83,270
Mortgage interest	$ 729	$ 221	$ 187	$ 1,137
Amortization of capitalized financing costs	$ 112	$ 24	$ -	$ 136
Interest rate	LIBOR plus a margin of 2.25%	Canada Mortgage Bond Yield plus applicable margin, as determined by the lender at the time of borrowing, which is then current rate that the lender would otherwise charge to other similar borrowers.	The greater of the 5 period Canada Bond Rate plus a margin of 2.25% or 3.50%	
Maturity date	October 1, 2020	September 1, 2029	November 7, 2024	
Effective interest rate	4.69%	2.75%	3.50%	

[1]Includes foreign currency translation on USD-denominated mortgage.

The mortgages principal repayments for the next five years are as follows:

	Regular principal repayments*	Balance due on maturity	Total
Remainder of 2020	$ 259	$ 15,884	$ 16,143
2021	561	1,383	1,944
2022	1,755	1,473	3,228
2023	1,763	1,299	3,062
2024	1,686	49,864	51,550
Thereafter	1,914	11,235	13,149
	$ 7,938	$ 81,138	$ 89,076

*There is no regular principal repayment on Alabama mortgage.

12. CREDIT FACILITIES

(a) In 2017, the Partnership originally entered into a credit facility agreement (the "Credit Agreement A") with a credit limit of $20,000, which was increased to $50,000 in 2018 and further amended to $100,000 in 2020 with a maturity date of December 31, 2020. The Credit Agreement A is secured by a general security agreement over the Partnership's assets and its subsidiaries.

The rates of interest and fees are either the prime rate of interest per annum or US base rate loan at greater of: 1) rate of interest announced by the lender 2) federal rate published by Federal Reserve Bank of New York and 3) LIBOR plus 1.00% per annum, and LIBOR loans at LIBOR plus 0.65%, depending on loan types.

As at June 30, 2020 the Partnership had $44,533 balances outstanding of the credit facility (December 31, 2019 - nil). Interest on the credit facility is recorded in financing cost – credit facility using the effective interest rate method. For the period ended June 30, 2020, the Partnership incurred interest on the credit facility of $185 and financing costs of $153 (June 30, 2019 - $77 and nil, respectively).

(b) On August 29, 2019, Timbercreek 4Q Multi-residential Limited Partnership, one of the Partnership's wholly owned subsidiaries ("T4Q MR LP") entered into a non-revolving credit facility agreement (the "Credit Agreement B") with a credit limit of the lesser of i) $100,000 and ii) the borrowing base subject to certain provision under the Credit Agreement B. The Credit Agreement B is secured by a first charge in respect to the properties pledged. Advances are made by way of prime rate loan or banker's acceptance, where rates of interest are determined at the time of borrowing, depending on loan types. During the year of 2019, $22,750 was maximum available and full amount was advanced under prime rate loan with spread of 0.70%. Subsequently, T4Q MR LP entered into an interest rate swap contract where T4Q MR LP is required to pay fixed rate of 1.60% and receive floating rates based on 1-month banker's acceptance. Net realized and unrealized gain or loss from the interest rate swap is recorded in financing cost. As at June 30, 2020, the Partnership had $22,630 balance outstanding in credit facility payable, net of financing costs (December 31, 2019 - $22,621)

Interest on the credit facility is recorded in financing cost – credit facility using the effective interest rate method. For the period ended June 30, 2020, the Partnership incurred interest on the credit facility of $374 and amortized financing costs of $14 (June 30, 2019 – nil and nil, respectively).

(c) On May 20, 2020, Timbercreek 4Q MR V LP, one of the Partnership's wholly owned subsidiaries ("T4Q MR V LP") entered into a non-revolving credit facility agreement with the co-owners (the "Credit Agreement C") with a credit limit of the lesser of i) $100,000 and ii) the borrowing base, subject to certain provision under the Credit Agreement C. The Credit Agreement C is secured by a first or second charge in respect to the properties pledged. Advances are made by way of prime rate loan or banker's acceptance, where rates of interest are determined at the time of borrowing, depending on the loan types. As at June 30, 2020, gross advance under banker's acceptances with weighted average stamping fee of 1.98% was $49,369. The Partnership's share of the advance was $4,937 and $37 of unamortized financing costs. As at June 30, 2020, the Partnership had $4,900 balance outstanding in credit facility payable, net of financing costs (December 31, 2019 - nil). For the period ended June 30, 2020, the Partnership incurred interest on the credit facility of $2 and amortized financing costs of $1 (June 30, 2019 - nil and nil, respectively).

13. CASH FLOWS ARISING FROM FINANCING ACTIVITIES

Period ended June 30, 2020	Credit facility	Mortgage - investment properties	Mortgage - PP&E
Balance, beginning of period	$ 22,621	$ 29,716	$ 53,554
Advances	49,470	4,415	-
Repayments	-	(166)	-
Capitalized financing cost[1]	(38)	(12)	-
Total financing cash flow activities	49,432	4,237	-
Amortization of financing costs	16	86	85
Non-cash reclass of capitalized financing cost	(6)	(13)	(281)
Adjustment for foreign currency translation[2]	-	687	-
Balance, end of period	$ 72,063	$ 34,713	$ 53,358

Period ended June 30, 2019	Loan advance	Credit facility	Mortgage - investment properties
Balance, beginning of period	$ 6,300	$ 29,000	$ 15,760
Advances	-	81,000	14,492
Repayments	(6,300)	(110,000)	-
Total financing cash flow activities	(6,300)	(29,000)	14,492
Amortization of financing costs	-	-	68
Adjustment for foreign currency translation[2]	-	-	(642)
Balance, end of period	$ -	$ -	$ 29,678

[1] Capitalized financing cost is included in interest paid section in the interim consolidated statements of cash flows

[2] Foreign currency translation on USD-denominated mortgage

14. SOFT DOLLARS

Commissions are costs incurred to acquire, issue or dispose of financial assets or liabilities. They include fees and commissions paid to agents, advisers, brokers and dealers. Commissions may be paid to brokerage firms which provide (or pay for) certain services, other than order execution, which may include investment research, analysis and reports, and databases or software in support of these services. These services form an integral part of the investment decision making process. The ascertainable soft dollar value of services received under the soft dollar arrangement entered into by the Manager for the six months period ended June 30, 2020 was $473 (June 30, 2019 - $155).

15. REDEEMABLE UNITS

The Partnership is authorized to issue 2,600,000 Founder Class units, 737,100 Class B units, 1,383,933 Class M units and an unlimited number of Class A, Class AVN, Class C, Class D, Class F, Class FNV, Class UF, Class UFNV, Class I, Class INV, Class J, Class JNV, Class UJ, and Class UJNV units at the net asset value per unit of the applicable class (collectively the "units"), (as defined in the LPA) or such amount as the General Partner may determine from time to time. These units carry equal voting rights, that entitle the unitholder to participate pro-rata in distributions and the Partnership's class net assets attributable to unitholders, except for Class ANV, Class FNV, Class INV, Class JNV, Class UFNV and Class UJNV. The various classes of units are subject to different management fees and performance fees. The units are redeemable at the option of the unitholders, subject to certain restrictions as defined below. Effective May 27, 2019, the Partnership amended and restated the LPA to create new units denominated in U.S. dollars, Class UF, Class UJ, Class UFNV and Class UJNV.

During the six months ended June 30, 2020, the Partnership issued units for consideration of $301,131 including switch-ins and switch-outs (June 30, 2019 - $299,572) from the issuance of Class A units, Class ANV units, Class B units, Class F units, Class FNV units, Class UF units, Class UFNV units, Class J units, Class JNV units, Class UJ units and Class UJNV units.

The change in the number of units for the six months ended June 30, 2020 is as follows:

	Redeemable units, beginning of period	Redeemable units issued	Redemption of redeemable units	Reinvestment of units	Redeemable units, end of period
June 30, 2020					
Class A	1,326,536	126,690	(152,218)	21,656	1,322,664
Class ANV	2,519,812	885,711	(168,322)	61,013	3,298,214
Class B	312,900	–	(10,000)	–	302,900
Class D	158,887	–	(5,677)	1,130	154,340
Class F	10,660,019	2,494,867	(1,748,033)	178,814	11,585,667
Class FND	2,159,871	–	(461,520)	–	1,698,351
Class FNV	17,737,744	6,118,437	(5,087,353)	318,469	19,087,297
Class I	263,415	–	–	7,313	270,728
Class J	20,765,419	5,546,027	(898,813)	466,230	25,878,863
Class JNV	30,770,799	10,774,863	(4,302,445)	556,033	37,799,250
Class UF	56,282	283,145	(62,403)	2,931	279,955
Class UFNV	91,446	63,965	(5,991)	3,258	152,678
Class UJ	616,074	124,273	–	18,165	758,512
Class UJNV	33,347	49,570	(3,554)	582	79,945

The change in the number of units for the six months ended June 30, 2019 is as follows:

	Redeemable units, beginning of period	Redeemable units issued	Redemption of redeemable units	Reinvestment of units	Redeemable units, end of period
June 30, 2019					
Class A	663,175	168,541	(3,516)	6,740	834,940
Class ANV	890,777	354,579	(24,308)	20,651	1,241,699
Class B	319,800	41,000	(47,900)	–	312,900
Class D	161,096	–	(2,594)	1,011	159,513
Class F	5,275,741	2,383,935	(695,138)	70,303	7,034,841
Class FND	2,382,850	–	–	–	2,382,850
Class FNV	7,415,326	8,503,114	(3,795,129)	160,494	12,283,805
Class I	250,195	–	–	6,601	256,796
Class J	9,194,515	6,381,863	(199,203)	216,902	15,594,077
Class JNV	10,646,965	9,027,995	(2,377,599)	180,709	17,478,070

As at June 30, 2020, the General Partner holds 802 (December 31, 2019 – 802) units in the Partnership.

(a) Redemptions

The limited partners have the right to redeem units on the last business day in March, June, September and December of each year at a redemption price per unit equal to the class net asset value per unit. The units must be surrendered for the quarterly redemption together with a redemption notice submitted by the limited partner to the General Partner at least 30 days prior to the applicable quarterly redemption date. Payment of redemption proceeds will be made within 60 days following the quarterly redemption date. The Partnership shall not accept redemptions on any quarterly redemption date, representing more than 5% of the average number of units of each class outstanding for the 90-day period immediately preceding that applicable quarterly redemption date. In the event that the number of units of each class tendered for redemption in respect to a quarterly redemption date exceeds the limits set forth above, the Partnership shall redeem such units tendered for redemption on a pro-rata basis. The General Partner may, in its sole discretion, waive the above limitations in respect of all units tendered for redemption in respect of any one or more quarterly redemption dates.

As at June 30, 2020, redemptions payable was $59,529 (December 31, 2019 - $12,204). As at December 31, 2019, Timbercreek Asset Management Inc. (“TAMI”), fully redeemed from Class FND units.

(b) Distributions

For the six months ended June 30, 2020 and 2019, the Partnership declared distributions as follows:

		Period ended June 30, 2020		Period ended June 30, 2019
Class A	$	507	$	241
Class ANV		953		278
Class B		98		93
Class D		46		44
Class F		3,503		1,700
Class FND		787		901
Class FNV		5,762		2,834
Class I		79		72
Class J		7,480		3,483
Class JNV		11,176		3,724
Class UF		92		-
Class UFNV		52		-
Class UJ		244		-
Class UJNV		23		-
Total	$	30,802	$	13,370

16. RELATED PARTY TRANSACTIONS AND BALANCES

Except as disclosed elsewhere in these interim consolidated financial statements, related party transactions and transactions with the Manger include the following transactions and balances.

(a) As per the amended and restated fund management and investment advisory agreement with the Manager, the Partnership shall pay the following fees:

(i) Management fee

The Partnership pays a monthly management fee equal to 1/12 of the annual management fee percentage applicable to each class of units as defined below, plus applicable taxes, paid monthly in arrears based on the Net Asset Value ("Class NAV") of such units at the last valuation date in each month.

The management fee payable is 1.00% of Class NAV per annum for the Founder Class, Class B and Class M units; 1.25% of Class NAV per annum for Class I, Class INV, Class J , Class UJ, Class UJNV and Class JNV units; and 1.50% of Class NAV per annum for Class A, Class ANV, Class C, Class D, Class F, Class UF, Class UFNV and Class FNV units. For the six months ended June 30, 2020, the Partnership incurred management fees of $8,477 (June 30, 2019 – $4,092). As at June 30, 2020, $1,482 (December 31, 2019 – $1,313) was payable to the Manager.

(ii) Performance fee

The Manager is entitled to a performance fee in respect of a unit if the total return of that class of units on a per unit basis for the 12 months ended on the performance valuation date of that year exceeds the amount resulting from multiplying the hurdle rate (the "Hurdle Rate") applicable to the class, as specified below, to the high water mark (the "High Water Mark") of that unit. If the unit has not been issued for a full year at the time of calculation, such calculation shall be pro-rated proportional to the number of days for which that unit has been outstanding.

The amount of performance fees payable on a unit for a determination year, if the test mentioned above is satisfied, is equal to 20% of the amount by which:

(1) the total return of the class of units to which that unit belongs, determined on a per-unit basis, during the year on the performance valuation date exceeds; and

(2) the amount that results from multiplying the Hurdle Rate of the class of units to which that unit belongs by the High Water Mark of that unit.

The High Water Mark for a unit is the higher of the following:

(1) the initial issue price of that unit;

(2) the Class NAV per unit (after deducting the performance fee payable by that class of units for the year prior to the determination year and any current or deferred tax liabilities) on the performance valuation date of the year before the determination year; and

(3) the Class NAV per unit on the performance valuation date of the last annual period in respect of which a performance fee was paid in respect of such unit.

The Hurdle Rate is 10% for Founder Class units and 8% for all other classes of units.

The performance fee is payable to the Manager within 30 days of December 31 of each calendar year. As at June 30, 2020, $345 (December 31, 2019 – $5,354) in performance fee was payable relating to the Manager, including applicable taxes. For the period ended June 30, 2020, performance fee expense to the Partnership was $340 (June 30, 2019 - $4,108) and is different from the performance fee payable amount due to applicable input tax credit.

(iii) Trailer fees

The Partnership will pay each registered dealer of the Class A units and Class D units, a trailer fee equal to 0.50% and 1.00%, respectively, of the Class NAV per unit per annum, calculated and paid at the end of each calendar quarter.

During the period ended June 30, 2020, the Partnership incurred trailer fees of $56 (June 30, 2019 – $34). As at June 30, 2020, $28 of trailer fees (December 31, 2019 – $26) is included in accounts payable and other liabilities.

(b) As at June 30, 2020, the Partnership, Timbercreek Financial Corp. (“TF”), Timbercreek Ireland Private Debt Designated Activity Company (“DAC”) and Timbercreek Real Estate Finance U.S. Holding LP, managed by the Manager or its related parties, have co-invested in 35 (December 31, 2019 – 35) mortgage and loan investments. The Partnership’s share in these mortgage investments and loans is $157,425 (December 31, 2019 – $178,092).

As at June 30, 2020, TF has provided mortgage financing of $18,633 (December 31, 2019 – $18,402) to HH (MB) LP, an entity in which the Partnership acquired a 50% ownership interest concurrently with the mortgage financing. The General Partner of HH (MB) LP is an unrelated party and is responsible for managing the project.

As at June 30, 2020, the Partnership invested in junior unsecured debentures of DAC totaling $8,550 (December 31, 2019 – $7,737). DAC is managed by Timbercreek Capital Inc., a wholly owned subsidiary of TAMI and a successor interest to TAMI.

As at June 30, 2020, the Partnership invested in Toronto Mixed Use - Urban Redevelopment and GTA Mixed Use - Wynn totaling $14,604 and $30,537, respectively (December 31, 2019 – $14,604 and $32,271, respectively). Toronto Mixed Use - Urban Redevelopment and GTA Mixed Use - Wynn are managed by Timbercreek Equities Corp. ("TEC"), as successor in interest to TAMI, and the Manager, respectively.

As at June 30, 2020, the Partnership and TF invested in one indirect real estate developments: CD Yorkville 1 LP (December 31, 2019 – one). The Partnership’s share of ownership, as at June 30, 2020 was $2,225 (December 31, 2019 – $2,225). During fiscal 2019, the previous co-owned indirect real estate investment was restructured into a loan.

As at June 30, 2020 the Partnership and TC Core LP (“TCCLP”), a limited partnership, the general partner of which is owned by TEC, co-invested in Edmonton Industrial, Rockport (MPE) LP and Bloor Dufferin Development LP. The Partnership’s share of ownership, as at June 30, 2020 was $2,543, $2,600 and $3,856, respectively (December 31, 2019 – $2,510, $2,234 and $3,630 respectively).

(c) Saskatchewan Apartment – New Summit acquisition, is co-owned by the Partnership, TF and a third party. The Partnership’s share of the ownership, as at June 30, 2020 was $1,263 (December 31, 2019 - $1,244).

(d) As part of a Montreal Apartment – Sommet co-ownership, the Partnership and a third-party co-owner entered into a management agreement with TAMI, as assigned to TEC. TEC provides property management, leasing and development services to the property and is entitled to receive property management and redevelopment fees (the “Property Management Fees”) at the disclosed rate in the agreement. During the period ended June 30, 2020, a total of $29 Property Management fees were charged by TEC, and prior to March 9, 2020, by TAMI to the Partnership (June 30, 2019 – nil). As at June 30, 2020, there was $6 Property Management Fees payable to TEC (December 31, 2019 – $5).

(e) Upon acquisition of Toronto apartment – Dundonald, Timbercreek 4Q Multi-residential Limited Partnership entered into a property management agreement with Timbercreek Property Services Inc.(“TPSI”), a subsidiary of TEC. TPSI provides property management, advisory and administrative services to the property (“Dundonald Property Management Fee”) and is entitled to receive Dundonald Property Management Fees at the disclosed rate in the agreement. During the period ended June 30, 2020, $53 in Dundonald Property Management Fees were charged

by TPSI to the Partnership (June 30, 2019 – nil). As at June 30, 2020, there was $7 in Dundonald Property Management Fees payable to TPSI (December 31, 2019 – $7).

(f) Upon acquisition of Ottawa apartment - Rideau, Chapel Street Limited Partnership (“CSLP”) entered into a development and construction management agreement (“DMA”) with TAMI, as assigned to TEC and a third-party manager. Under the terms of DMA, TEC earns a development fee (the “Development Fees”) at the disclosed rate in the DMA. During the period ended June 30, 2020, a total of $216 Development Fees were charged by TEC, and prior to March 9, 2020, by TAMI (June 30, 2019 – nil) to the CSLP, where the Partnership’s ownership in CSLP is 95% as at June 30, 2020 (December 31, 2019 – 95%). As at June 30, 2020, there was no outstanding payable to TEC (December 31, 2019 – nil).

(g) Timbercreek Canadian Multi-Residential V LP, Timbercreek Canadian Multi-Residential V (Europe) LP and the T4Q MR V LP (collectively, "MRV Co-Owners") are related parties by virtue of a common management. The Manager, in its capacity as asset manager to the MRV Co-Owners, entered into a property management agreement with TPSI, where TPSI is entitled to receive property management, capital management and leasing fees ("MRV Property Management Fees"). During the period ended June 30, 2020, the T4Q MRV LP's proportionate share of MRV Property Management Fee was $1. This amount was outstanding at June 30, 2020.

17. CAPITAL RISK MANAGEMENT

The Manager manages the capital of the Partnership, which consists of the net assets of the Partnership, in accordance with the investment objectives set out in the LPA. The Partnership is not subject to externally imposed capital requirements.

18. RISK MANAGEMENT

In the normal course of business, the Partnership is exposed to a variety of financial risks, including credit risk, liquidity risk and market risk (including interest rate risk, market price risk and currency risk). The value of investments within the Partnership’s portfolio can fluctuate as a result of changes in general economic conditions and company news related to specific securities within the Partnership. The level of risk depends on the Partnership’s investment objectives and the nature of its investments. The Manager seeks to minimize the potential adverse effects of risk on the Partnership’s performance by retaining professional, experienced portfolio advisors and analysts who monitor the Partnership’s positions and market events as well as diversifying investments within the parameters of the investment objectives. To assist in managing risk, the Manager uses internal guidelines that identify the target exposures for each type of investment asset class while adhering to the investment restrictions of the Partnership.

(a) Credit risk

Credit risk is the risk that the counterparty to a financial instrument will fail to discharge an obligation or commitment to the Partnership. The maximum exposure to credit risk is represented by total assets of the Partnership.

For publicly-traded securities, the Partnership minimizes concentration risk by trading with a large number of credit-worthy brokers and counterparties recognized on the various stock exchanges. The risk of default is considered minimal as all transactions are settled and paid for upon delivery using approved brokers.

Credit risk may arise on private direct mortgage and loan investments, including interest receivable of $3,022 (December 31, 2019 – $2,090), where the borrower may be unable to honour its loan commitments that could result in a loss to the Partnership. The Partnership mitigates this risk by: (i) adhering to the investment restrictions and investment objectives of the Partnership; (ii) ensuring a comprehensive due diligence process is conducted on each loan prior to funding, which generally includes, but is not limited to, engaging professional independent consultants, lawyers and appraisers, and performing credit checks on prospective borrowers; and (iii) actively monitoring the investment and initiating recovery procedures where required.

Exposure to credit risk relating to forward contracts and equity swaps is concentrated to two counterparties, both of which have a S&P Global credit rating of 'A' or higher. The Partnership also provides collateral to these counterparties. The notional and fair value of the forward contracts and equity swaps are disclosed in note 10. Exposure to credit risk relating to the cash balance is concentrated to two custodian banks, both of which have a S&P Global credit rating of 'A' or higher.

The Partnership is exposed to credit risk on total preferred share securities of $35,497 (December 31, 2019 – $37,070) which is disclosed in note 8. The preferred share securities held by the Partnership are unrated. Given the nature of the real estate industry, many issuers traditionally obtain debt financing through mortgages secured by real property and, in certain circumstances, will issue publicly-listed debentures. Issuers which do not have public debt securities are typically not rated by the rating agencies. As such, to minimize the risk associated with a fixed return, preferred share investment, the Manager conducts a thorough analysis of the issuer to determine their creditworthiness. Specifically, the Manager will conduct an analysis of each issuer analyzing the loan-to-value ratios, debt service coverage ratio and the quality of the issuer's real estate holdings.

(b) Liquidity risk

Liquidity risk is defined as the risk that the Partnership may not be able to settle or meet its obligations associated with its financial liabilities. The Partnership's exposure to liquidity risk is concentrated in the periodic cash redemptions of units. The Partnership has illiquid private investments, including direct real estate investments and debt investments, and it is possible that it may not be able to sell such positions without facing adverse pricing. To minimize this risk, the Manager has a targeted allocation of 20% to 50% of the Partnership's total assets in private direct real estate and/or illiquid assets. Further, the Partnership has access to $55,467 (December 31, 2019 - $50,000) credit facility to enhance liquidity. In addition, the Partnership's portfolio investments include listed securities which are considered to be readily realizable as they are actively traded on major stock exchanges, should short-term liquidity be required.

The following are the contractual maturities of financial liabilities as at June 30, 2020 and December 31, 2019 including expected interest payments but excluding commitments where applicable:

June 30, 2020	Carrying value	Contractual cash flows	Within a year	2-5 years	Greater than 5 years
Accounts payable and other liabilities	$ 3,176	$ 3,176	$ 3,176	$ –	$ –
Due to Manager	1,827	1,827	1,827	–	–
Distributions payable	5,370	5,370	5,370	–	–
Redemptions payable	59,529	59,529	59,529	–	–
Derivative liabilities	2,787	2,787	2,787	–	–
Credit facility	72,063	74,490	45,565	28,925	–
Mortgages payable - investment properties	34,713	39,236	17,190	5,383	16,663
Mortgage payable - PP&E	53,358	62,908	1,023	61,885	–
	$ 232,823	$ 249,323	$ 136,467	$ 96,193	$ 16,663

December 31, 2019	Carrying value	Contractual cash flows	Within a year	2-5 years	Greater than 5 years
Accounts payable and other liabilities	$ 3,547	$ 3,547	$ 3,547	$ –	$ –
Due to Manager	6,667	6,667	6,667	–	–
Distributions payable	4,092	4,092	4,092	–	–
Redemptions payable	12,204	12,204	12,204	–	–
Derivative liabilities	122	122	122	–	–
Credit facility	22,621	24,447	364	24,083	–
Mortgages payable - investment properties	29,716	34,636	16,138	1,641	16,857
Mortgage payable - PP&E	53,554	63,327	1,922	61,405	–
	$ 132,523	$ 149,042	$ 45,056	$ 87,129	$ 16,857

Units are redeemable on demand at the holder's option, but holders of these instruments typically retain them for the medium to long term. During the period ended June 30, 2020, unitholders redeemed a total proceeds of $80,846 (June 30, 2019 – $24,607). The actual units redeemed from each Class are included in note 15. Further, for quarterly redemptions, the Partnership has the ability to not accept redemption of more than 5% of the average number of units of each class outstanding for the 90-day period immediately preceding the applicable quarterly redemption date.

(c) Currency risk

Currency risk is the risk that the value of financial instruments will fluctuate due to changes in foreign exchange rates. Currency risk arises from financial instruments (including cash and cash equivalents) that are denominated in a currency other than the Canadian dollar, which represents the functional currency of the Partnership. At the reporting date, the carrying value of the Partnership's net assets held in individual foreign currencies expressed in Canadian dollars as a percentage of its net assets were as follows:

June 30, 2020	Net assets	Notional forward contracts	Net foreign currency exposure	% of Net foreign currency exposure
U.S. Dollar	$ 449,422	$ (338,003)	$ 111,419	10.2 %
Japanese Yen	33,321	(2,714)	30,607	2.8
Hong Kong Dollar	22,593	-	22,593	2.1
Australian Dollar	34,147	-	34,147	3.1
Euro	103,868	(30,166)	73,702	6.7
Singapore Dollar	4,779	-	4,779	0.4
Norwegian Krone	4,130	(3,979)	151	0.0

December 31, 2019	Net assets	Notional forward contracts	Net foreign currency exposure	% of Net foreign currency exposure
U.S. Dollar	$ 403,368	$ (231,834)	$ 171,534	16.8 %
Japanese Yen	24,278	(529)	23,750	2.3
Hong Kong Dollar	18,908	-	18,908	1.9
Australian Dollar	15,011	-	15,011	1.5
Euro	69,639	(18,229)	51,410	5.0
Singapore Dollar	9,614	-	9,614	0.9
Norwegian Krone	4,373	(4,434)	(61)	(0.0)

The table below sets out the increase (or decrease) of the Partnership's net assets attributable to unitholders of a reasonably possible weakening of the Canadian dollar against each currency by 5% at end of the period. The analysis assumes that all other variables, in particular interest rates, remain constant.

	June 30, 2020	% of net assets	December 31, 2019	% of net assets
U.S. Dollar	$ 5,571	0.5 %	$ 8,577	0.8 %
Australian Dollar	1,707	0.2	751	0.1
Euro	3,685	0.3	2,571	0.3
Hong Kong Dollar	1,130	0.1	945	0.1
Singapore Dollar	239	0.0	481	0.0
Japanese Yen	1,530	0.1	1,187	0.1
Norwegian Krone	8	0.0	(3)	0.0

A strengthening of the Canadian dollar against the above currencies would have resulted in an equal but opposite effect to the amounts shown above.

(d) Price risk

The Partnership is exposed to equity price risk for its investments in public securities. This arises from investments held by the Partnership for which prices in the future are uncertain. The Partnership's policy is to manage price risk through diversification and the selection of securities within specified limits as set by our investment objectives. The Partnership intends to make investments in public securities, which include public equities and public debts, in the range of 20% to 60% (range of 10% to 30% for each public equities and public debts) of total net assets attributable to unitholders. The Partnership's policy requires that the overall market position is monitored on a daily basis by the Manager. The Partnership had no concentration in individual public securities positions exceeding 5% of the net assets attributable to unitholders. Based on the Partnership's investments in public securities as at June 30, 2020, if the prices of public securities had been 5% higher or lower, with all other variables held constant, the net assets attributable to unitholders would have been increased or decreased by $20,270 (December 31, 2019 – $16,630).

(e) Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or fair values of financial instruments.

Interest rate risk arises when the Partnership invests in interest-bearing financial instruments. The Partnership is exposed to the risk that the value of such financial instruments will fluctuate due to changes in the prevailing levels of market interest rates. The Partnership's private debt investments held through the Partnership bear interest at fixed rates, excluding 33 mortgage investments amounting to $145,015 (December 31, 2019 - 30 mortgages, $152,232) that bears interest at a variable rate, with certain mortgages having a "floor rate". If there was a decrease or increase of 0.50% in interest rates, with all other variable constant, the impact from variable rate debt investment would be a decrease or increase in net income of $45 or $363, respectively (June 30, 2019 - decrease or increase of $95 or $249). The Partnership also held mortgages and credit facilities with variable rate through its investments, amounting to $129,194 (December 31, 2019 - $84,135), excluding the capitalized financing costs. If there was a decrease or increase of 0.50% in interest rates, with all other variable constant, the impact from variable rate mortgages would be a decrease or increase in net income of $188 or $323, respectively (June 30, 2019 – decrease or increase of $48 or $48). There is minimal sensitivity to interest rate fluctuations on any cash and cash equivalents invested at short-term market interest rates.

19. FAIR VALUE MEASUREMENT

The following table shows the carrying amounts and fair values of assets and liabilities.

June 30, 2020	Measured at amortized cost	FVTPL	FVTOCI	Fair Value
Assets not measured at fair value				
Cash and cash equivalents	$ 133,538	$ -	$ -	$ 133,538
Dividends and interest receivable	7,652	-	-	7,652
Receivable for investments sold	9,895	-	-	9,895
Other assets and receivables	8,923	-	-	8,923
Margin deposited on swaps and forward contracts	3,500	-	-	3,500
Mortgage and loan investments	216,357	-	-	216,357
Assets measured at fair value				
Derivative assets	-	169	-	169
Investment properties	-	97,458	-	97,458
Property, plant and equipment	-	-	74,213	74,213
Portfolio investments	-	540,839	-	540,839
Liabilities not measured at fair value				
Accounts payable and other liabilities	3,176	-	-	3,176
Due to the Manager	1,827	-	-	1,827
Distributions payable	5,370	-	-	5,370
Redemptions payable	59,529	-	-	59,529
Loan advance and credit facilities	72,063	-	-	72,063
Mortgage payable - investment properties	34,713	-	-	34,713
Mortgage payable - property, plant and equipment	53,358	-	-	53,358
Liabilities measured at fair value				
Derivative liabilities	-	2,787	-	2,787

December 31, 2019	Measured at amortized cost	FVTPL	FVTOCI	Fair Value
Assets not measured at fair value				
Cash and cash equivalents	$ 115,325	$ -	$ -	$ 115,325
Dividends and interest receivable	5,046	-	-	5,046
Other assets and receivables	10,098	-	-	10,098
Margin deposited on swaps and forward contracts	2,900	-	-	2,900
Mortgage and loan investments	255,298	-	-	255,298
Assets measured at fair value				
Derivative assets	-	2,423	-	2,423
Investment properties	-	82,060	-	82,060
Property, plant and equipment	-	-	75,520	75,520
Portfolio investments	-	453,786	-	453,786
Liabilities not measured at fair value				
Accounts payable and other liabilities	3,547	-	-	3,547
Due to the Manager	6,667	-	-	6,667
Distributions payable	4,092	-	-	4,092
Redemptions payable	12,204	-	-	12,204
Loan advance and credit facilities	22,621	-	-	22,621
Mortgage payable - investment properties	29,716	-	-	29,716
Mortgage payable - property, plant and equipment	53,554	-	-	53,554
Liabilities measured at fair value				
Derivative liabilities	-	122	-	122

There were no transfers between Level 1, Level 2 and Level 3 during the period ended June 30, 2020 and during the year ended December 31, 2019.

The following table shows a reconciliation of the fair value of assets and liabilities recorded in Level 3 for the period ended June 30, 2020 and for the year ended December 31, 2019:

	Private portfolio investments	Investment Properties	Total
Beginning balance, January 1, 2020	$ 113,791	$ 82,060	$ 195,851
Realized gains included in net income	30	-	30
Change in unrealized depreciation included in net income*	6,574	(1,480)	5,094
Net purchases/(dispositions)	(94)	16,878	16,784
Ending balance, June 30, 2020	$ 120,301	$ 97,458	$ 217,759

* Includes foreign currency translation on USD-denominated investment properties

	Private portfolio investments	Investment Properties	Total
Beginning balance, January 1, 2019	$ 130,303	$ 25,058	$ 155,361
Realized gains included in net income	6,755	-	6,755
Change in unrealized depreciation included in net income*	(5,914)	(1,224)	(7,138)
Net purchases/(dispositions)	(17,353)	58,226	40,873
Ending balance, December 31, 2019	$ 113,791	$ 82,060	$ 195,851

* Includes foreign currency translation on USD-denominated investment properties

Investments classified within Level 3 are valued at each reporting date by the Manager's valuation committee supplemented with independent appraisals where available. The Manager considers the appropriateness of the valuation model inputs, as well as the valuation results using various valuation methods and techniques generally recognized as standard within the industry.

The valuation techniques and the inputs used for the Partnership's financial instruments are as follows:

(a) Mortgage and loan investments

There is no quoted price in an active market for the mortgage and loan investments. The Manager makes its determination of fair value based on its assessment of the current lending market for mortgage and loan investments of the same or similar terms. Typically, the fair value of these mortgage and loan investments approximate their carrying values, given the amounts consist of short-term loans that are repayable at the option of the borrower without yield maintenance or penalties. As a result, the fair value of mortgage and loan investments is based on level 3 inputs.

(b) Other financial assets and liabilities

The fair values of cash and cash equivalents, dividends and interest receivable, other assets and receivables, margin deposited on swaps and forward contracts, accounts payable and other liabilities, due to the Manager, payable for investments purchased and credit facility, distributions payable and redemptions payable approximate their carrying amounts due to their short-term maturities.

(c) Derivatives

Derivatives contracts are measured at fair value using a market comparison technique, present value of the estimated future cash flows or market quotes. Valuations of derivative instruments use normal exchange reporting sources for exchange-traded derivatives, similar contracts traded in an active market and the quotes from actual transactions in similar instruments. The fair value of interest rate swap, which is non-exchange derivatives, are calculated using estimated future cash flows. Estimates of the future cash flows are the sum of contractually fixed future amounts and expected variable future amounts. As a result, the fair value of the derivative contracts is based on level 2 inputs.

(d) Portfolio investments

As at June 30, 2020, portfolio investments include common equity of publicly-traded companies of $369,897 (December 31, 2019 - $295,534) (level 1), preferred shares of publicly-traded companies of $35,497 (December 31, 2019 - $37,070) (level 1), fixed income securities of $15,144 (December 31, 2019 – $7,391) (level 2) and unquoted private investments of $120,301 (December 31, 2019 - $113,791) (level 3).

20. COMMITMENTS AND CONTIGENCIES

(a) Distributions

Under the terms of the LPA, cash surpluses are to be distributed to the partners as follows:

(i) First, the General Partner will be entitled to 0.01% of distributions; and

(ii) Second, the balance of the distribution will be allocated amongst the unitholders based upon their proportional ownership interest within each given class of units.

Losses are to be allocated to the limited partners in proportion to their ownership interests.

(b) Unfunded commitments

As at June 30, 2020, the Partnership has unadvanced commitments under the mortgage and loan investments amounting to $26,865 (December 31, 2019 – $18,048). As at June 30, 2020, the Partnership has unadvanced commitments under the private equity investments amounting to $192,062 (December 31, 2019 – $135,988).

(c) Guarantees

As at June 30, 2020, the Partnership provided $34,850 (December 31, 2019 - $73,028) in financial guarantees for certain investments in Associates and Joint Ventures. The guarantees are in relation to mortgages that the investing entities have obtained and are secured by underlying properties.

(d) Letters of credit

As at June 30, 2020, the Partnership provided $3,688 CAD and $1,100 USD (December 31, 2019 – $2,805 CAD and nil USD) in letters of credit for certain investments in Joint Ventures. The letters of credit issued are from Credit Agreement A.

21. OFFSETTING FINANCIAL INSTRUMENTS

The Partnership has not offset any financial assets and financial liabilities in the interim consolidated statements of net assets. The disclosures set out in the tables below include financial assets and financial liabilities that are subject to enforceable master netting arrangements in the form of ISDA agreements with the counterparties to its derivatives contracts. Under the terms of certain agreements, offsetting of derivatives contracts is permitted for same day settlements when contracts with the same counterparty mature simultaneously and in other cases only in the event of bankruptcy or default by either party to the agreement.

				Related amounts not offset in the consolidated statement of net assets		
Financial assets and liabilities	**Gross assets / liabilities**	**Gross assets / liabilities offset**	**Net amount presented**	**Financial instruments**	**Cash collateral pledged**	**Net amount**
June 30, 2020						
Derivative assets - forward contracts	$ 169	$ -	$ 169	$ (169)	$ -	$ -
Total	$ 169	$ -	$ 169	$ (169)	$ -	$ -
Derivative liabilities - forward contracts	$ 204	$ -	$ 204	$ (169)	$ -	$ 35
Derivative liabilities - interest rate swap	849	-	849	-	-	849
Total	$ 1,053	$ -	$ 1,053	$ (169)	$ -	$ 884
December 31, 2019						
Derivative assets - forward contracts	$ 2,423	$ -	$ 2,423	$ (85)	$ -	$ 2,338
Total	$ 2,423	$ -	$ 2,423	$ (85)	$ -	$ 2,338
Derivative liabilities - forward contracts	$ 85	$ -	$ 85	$ (85)	$ -	$ -
Total	$ 85	$ -	$ 85	$ (85)	$ -	$ -

Financial Statements of

Timbercreek Four Quadrant GP Inc.

For the six months ended June 30, 2020 and 2019
(Unaudited)

Timbercreek

INTERIM STATEMENTS OF FINANCIAL POSITION

As at June 30, 2020 with comparative figures for December 31, 2019

	June 30, 2020	December 31, 2019
ASSETS		
Portfolio investments (note 4)	$ 6,453	$ 6,434
Due from related party (note 5)	7,154	7,173
Total assets	$ 13 ,607	$ 13,607
LIABILITIES		
Current income taxes payable (note 3(e))	$ 3,606	$ 3,606
Deferred taxes liabilities (note 3 (e))	777	777
Total liabilities	$ 4,383	$ 4,383
SHAREHOLDER'S EQUITY		
Common shares	$ 100	$ 100
Retained earnings	9,124	9,124
Total shareholder's equity	9,224	9,224
Total liabilities and shareholder's equity	$ 13,607	$ 13,607

See accompanying notes to the interim financial statements

INTERIM STATEMENTS OF INCOME AND COMPREHENSIVE INCOME

For the six months ended June 30, 2020 with comparative figures for June 30, 2019

		2020		2019
Investment income				
Dividend income	$	-	$	1,337
Net change in fair value of investments (note 4)		-		2,280
Total investment income	$	-	$	3,617
Expense				
Current income taxes expense	$	-		-
Deferred taxes expense		-		-
Total income taxes expense		-		-
Total net income and comprehensive income	$	-	$	3,617

See accompanying notes to the interim financial statements

INTERIM STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY

For the six months ended June 30, 2020 with comparative figures for June 30, 2019

June 30, 2020	Common shares	Retained earnings	Total Shareholder's equity
Balance, December 31, 2019	$ 100	$ 9,124	$ 9,224
Net income and comprehensive income	-	-	-
Balance, June 30, 2020	$ 100	$ 9,124	$ 9,224

June 30, 2019	Common shares	Retained earnings	Total Shareholder's equity
Balance, December 31, 2018	$ 100	$ 5,432	$ 5,532
Net income and comprehensive income	-	3,617	3,617
Balance, June 30, 2019	$ 100	$ 9,049	$ 9,149

See accompanying notes to the interim financial statements

INTERIM STATEMENTS OF CASH FLOWS

For the six months ended June 30, 2020 with comparative figures for June 30, 2019

	2020	2019
Cash flows from operating activities		
Net (loss) income and comprehensive (loss) income	$ -	$ 3,617
Adjustments for:		
Net change in fair value of investments	-	(2,280)
Change in non-cash operating items:		
Increase in due from related party	19	(1,331)
	19	6
Cash flows from investing activities		
Purchase of investments	(19)	(6)
	(19)	(6)
Net change in cash	-	-
Cash at the beginning of the period	-	-
Cash at the end of the period	$ -	$ -

See accompanying notes to the interim financial statements

Notes to Financial Statements

For the six months ended June 30, 2020 with comparative figures for June 30, 2019

1. THE COMPANY

Timbercreek Four Quadrant GP Inc. (the "Company") was incorporated on September 21, 2011 under the laws of the Province of Ontario. The purpose of the Company is to act as a general partner for Timbercreek Four Quadrant Global Real Estate Partners, Timbercreek Four Quadrant US LP and Timbercreek Four Quadrant Holdings LP.

The address and principal place of business of the Company is 1133 Yonge Street, Toronto, Ontario, M4T 2Y7.

2. BASIS OF PRESENTATION

(a) Statement of compliance

These interim unaudited financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB"). The interim unaudited financial statements were approved by the Board of Directors of the Company on October 20, 2020.

(b) Basis of measurement

These interim unaudited financial statements have been prepared on a historical cost basis, except for financial assets and financial liabilities at fair value through profit or loss, which are presented at fair value.

(c) Functional and presentation currency

The Company's interim unaudited financial statements are presented in Canadian dollars, which is the functional currency of the Company.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

(a) Financial assets and financial liabilities

Financial assets are classified as measured at one of the following: (i) fair value through profit and loss ("FVTPL"), (ii) fair value through other comprehensive income ("FVOCI") or (iii) amortized cost. Financial liabilities are classified as measured at one of the following: (i) FVTPL or (ii) amortized cost.

The Company records its portfolio investment at FVTPL. The Company's investments are FVTPL at inception. The changes in the investment fair values and related transaction costs are recorded in the Company's Statement of Income and Comprehensive Income.

Financial assets and financial liabilities that are classified as measured at FVTPL are financial instruments that are managed, and their performance is evaluated on a fair value basis in accordance with the Company's documented investment strategy. Financial instruments at FVTPL are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets. The Company is primarily focused on fair value information and uses that information to assess the assets' performance and to make decisions.

All other financial assets and financial liabilities are initially measured at fair value plus transaction costs that are directly attributable to their acquisition or issuance.

Financial assets and liabilities classified as measured at amortized cost are subsequently measured at amortized cost using the effective interest method. This category includes due from (to) related party. Financial assets classified and subsequently measured at FVTPL includes investment in the Company.

Notes to Financial Statements

For the six months ended June 30, 2020 with comparative figures for June 30, 2019

(b) Fair value measurement

Financial instruments measured at fair value are classified into one of three fair value hierarchy levels, based on the lowest level input that is significant to the fair value measurement in its entirety. The inputs or methodologies used for valuing securities are not necessarily an indication of the risk associated with investing in those securities.

The three fair value hierarchy levels are as follows:

Level 1 – quoted prices (unadjusted) in active markets for identical assets or liabilities;

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and

Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The Company measures portfolio investments at fair value at each reporting date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Company has access to at that date.

When available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as "active" if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The fair value of financial assets and liabilities traded in active markets (such as publicly traded derivatives and securities) is based on quoted market prices at the close of trading on the reporting date. The Company uses the last traded market price for financial assets and financial liabilities where the last traded price falls within that day's bid-ask spread. In circumstances where the last traded price is not within the bid-ask spread, the Manager determines the point within the bid-ask spread that is most representative of fair value based on the specific facts and circumstances.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Investment fund units are valued at their respective net asset value on each valuation date as these values are the most readily and regularly available.

(c) Portfolio investments

The Company's portfolio investments include its investment in limited partnership units. The fair values of portfolio investments are determined with reference to their calculated values at the most readily available measurement date. Changes in the fair value are recognized in the statements of income and comprehensive income in the year incurred.

Transaction costs directly attributable to the acquisition of these instruments are recognized in the consolidated statements of income and comprehensive income in the year incurred.

Notes to Financial Statements

For the six months ended June 30, 2020 with comparative figures for June 30, 2019

(d) Investment transactions and income recognition

Investment transactions are accounted for on a trade-date basis; that is, on the day that a buy or sell order is executed.

Distributions from investment funds are recorded when declared.

Realized gains and losses from investment transactions are calculated as proceeds of disposition less their average cost. The cost of investments represents the amount paid for each security and is determined on an average-cost basis, excluding transaction costs.

(e) Income taxes

Income tax expense is comprised of current and deferred tax. Income tax expense is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or other comprehensive income.

Current tax is calculated based on the expected tax payable on taxable income for the year using enacted corporate income tax rates at the reporting date and includes any adjustment to tax payable in respect of previous years. Deferred tax is calculated based on the expected corporate income tax payable in future periods resulting from tax timing differences calculated using future substantively enacted corporate income tax rates applicable in the expected period of reversal.

(f) Critical accounting judgements and estimates

In the preparation of these interim financial statements, the management has made judgments, estimates and assumptions that affect the application of the Company's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

In making estimates and judgments, the Manager relies on external information and observable conditions where possible, supplemented by internal analysis as required. There are no known trends, commitments, events or uncertainties that the management believes will materially affect the methodology or assumptions utilized in making those estimates and judgments in these financial statements.

4. PORTFOLIO INVESTMENT

Summary of investment holdings for the six months ended June 30, 2020 and the year ended December 31, 2019:

Portfolio investments	June 30, 2020	December 31, 2019
Investment in Timbercreek Four Quadrant Global Real Estate Partners	$ 4,844	$ 4,844
Investment in Timbercreek Four Quadrant US LP	1,510	1,491
Investment in Timbercreek Four Quadrant Holdings LP	99	99
Total portfolio investments	**$ 6,453**	**$ 6,434**

Notes to Financial Statements

For the six months ended June 30, 2020 with comparative figures for June 30, 2019

Summary of Net change in fair value of investments for the six months ended June 30, 2020 and June 30, 2019:

Net change in fair value of investments	June 30, 2020	June 30, 2019
Investment in Timbercreek Four Quadrant Global Real Estate Partners	$ -	$ 2,334
Investment in Timbercreek Four Quadrant US LP	-	(67)
Investment in Timbercreek Four Quadrant Holdings LP	-	13
Total net change in fair value	**$ -**	**$ 2,280**

5. DUE FROM (TO) RELATED PARTY

Summary of due from (to) related party for the six months ended June 30, 2020 and the year ended December 31, 2019:

Net due from related party as at	June 30, 2020	December 31, 2019
Due from Timbercreek Four Quadrant Global Real Estate Partners	$ 7,154	$ 7,173
Net due from related party	**$ 7,154**	**$ 7,173**

6. COMMON SHARES

The Company is authorized to issue unlimited number of common shares. As at June 30, 2020, the Company had 100 common shares issued and outstanding (June 30, 2019 – 100).

7. CAPITAL AND FINANCIAL RISK MANAGEMENT

(a) Capital management

The Company's capital is comprised of share capital and retained earnings.

The Company does not have any externally imposed capital requirements.

(b) Financial risk management

The Company's activities expose it to a variety of financial risks that arise as a result of its operating and financing.

Credit risk

Credit risk is the risk that the counterparty to a financial instrument will fail to discharge an obligation or commitment to the Company. The maximum exposure to credit risk is represented by the total assets of the Company. The Company has minimal credit risk.

Liquidity risk

Liquidity risk is defined as the risk that the Company may not be able to settle or meet its obligation associated with financial liabilities. The Company has minimal liquidity risk.

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. Currency risk arises from financial instruments (including cash and cash equivalents) that are denominated in a currency other than Canadian dollars, which represents the functional currency of the Company.

The Company is exposed to currency risk through its investment in the foreign partnership. At June 30, 2020, the Company has $1,609 in portfolio investments denominated in foreign currency (December 31, 2019 - $1,590). As at June 30, 2020, if the Canadian dollar had strengthened or weakened by 5% in relation to all foreign currencies,

with all variables held constant, the net income of the Company would have decreased or increased, respectively, by $80 (December 31, 2019 - $80). In practice, actual results may differ from this sensitivity analysis and the difference could be material.

Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or fair values of financial instruments.

The Company does not have any interest-bearing financial instruments and the Company's due from related party has no exposure to interest rate risk due to their short-term nature.

Price risk

Market price risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk). All investments present a risk of capital loss. The Company is exposed to minimal market price risk through its investment in the portfolio investments.

8. FAIR VALUE

The Company's portfolio investment is classified as Level 2 since its fair value is determined by the underlying fair value of the units. Management has concluded that the most appropriate estimate of fair value of the units is their value, without adjustment, at the reporting date. During the six months ended June 30, 2020 and the year ended December 31, 2019, no financial instruments were transferred between any levels, and there were no Level 3 financial instruments.

The financial instruments not measured at FVTPL are short-term financial assets whose carrying amounts approximate fair value including due from (to) related party.

ITEM 13– DATE AND CERTIFICATE

Dated: November 6, 2020

This Confidential Offering Memorandum does not contain a misrepresentation.

FOUR QUADRANT GLOBAL REAL ESTATE PARTNERS

by its general partner
FOUR QUADRANT GP INC.

(Signed) "*Ugo Bizzarri*"	(Signed) "*Gigi Wong*"
Name: Ugo Bizzarri President	Name: Gigi Wong Treasurer

On behalf of the Board of Directors of

FOUR QUADRANT GP INC.
as General Partner

(Signed) "*Ugo Bizzarri*"	(Signed) "*Gigi Wong*"
Name: Ugo Bizzarri Director	Name: Gigi Wong Director

GLOSSARY OF TERMS

"**$**" means Canadian dollars and "**US$**" means U.S. dollars.

"**Administrator**" means SGGG Fund Services Inc., the administrator for the Partnership, which is responsible for providing administration services to the Partnership, including record keeping, register management, Unit transaction and similar services as may be provided to the Partnership by the administrator or by such other party as may be retained from time to time by the Partnership.

"**Advisor Group**" has the meaning ascribed to it under "Item 5.3 – Minimum Subscription Amount".

"**Business Day**" means any day except Saturday, Sunday, a statutory holiday in Toronto, Ontario or any other day on which the Toronto Stock Exchange is not open for trading.

"**CBCA**" means the *Canada Business Corporations Act*.

"**Change in Non Portfolio Assets**" for the Partnership on a Valuation Date means:

(i) the aggregate of all income accrued by the Partnership on that Valuation Date, including cash dividends and distributions, interest and compensation; plus or minus

(ii) any change in the value of any non-portfolio assets or liabilities stated in any foreign currency accrued on that Valuation Date, including, without limitation, cash, accrued dividends or interest and any receivable or payables; plus or minus

(iii) any gain or loss resulting from transfers of currencies accrued on that Valuation Date; plus or minus

(iv) any other item accrued on that Valuation Date determined by the General Partner to be relevant in determining a Change in Non Portfolio Assets.

"**Class**" means a class of Units of the Partnership.

"**Class A NV Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class A Non-Voting Units".

"**Class A Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class A Units".

"**Class B Units**" means the class of non- transferable, redeemable units of the Partnership designated as the "Class B Units".

"**Class C Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class C Units".

"**Class D Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class D Units".

"**Class Expenses**" means those expenses of the Partnership that are attributable to a particular Class of Units of the Partnership other than Common Expenses, as determined by the General Partner acting in good faith.

"**Class F NV Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class F Non-Voting Units".

"**Class F Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class F Units".

"**Class I NV Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class I Non-Voting Units".

"**Class I Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class I Units".

"**Class J NV Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class J Non-Voting Units".

"**Class J Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class J Units".

"**Class UF Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class UF Units".

"**Class UJ Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class UJ Units".

"**Class M Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class M Units".

"**Class NAV**" or "**Class Net Asset Value**" means in respect of any particular Class of Units of the Partnership on any particular Business Day, the portion of the Net Asset Value of the Partnership attributed to the Units of such Class.

"**Class NAV per Unit**" or "**Class Net Asset Value per Unit**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Calculation of Net Asset Value - Class Net Asset Value per Unit".

"**Class Net Asset Value per Trust Unit**" means in respect of the units of any particular class of Trust Units on any particular Business Day, the portion of the Trust NAV attributed to each of the units of such class of Trust Units;

"**Class UA NV Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Class UA Non-Voting Units".

"**Closing Date**" has the meaning ascribed to it under "Purchase of Securities – Units Offered and Subscription Price".

"**Commercial Trust**" means Four Quadrant Commercial Trust (formerly, Timbercreek Four Quadrant Commercial Trust).

"**Common Expenses**" means those expenses of the Partnership other than Class Expenses that are determined by the General Partner to be "Common Expenses".

"**Confidential Offering Memorandum**" means this final confidential offering memorandum dated November 6, 2020.

"**Consideration Units**" has the meaning attributed thereto under "Item 2.7.1 – Limited Partnership Agreement - Special Redemption Rights".

"**CRA**" has the meaning attributed thereto under "Item 6 - Certain Canadian Federal Income Tax Considerations".

"**Custodial Agreement**" means the custodial services agreement between the Manager and the Custodian dated as of May 14, 2015, as emended and/or restated from time to time.

"**Custodian**" means CIBC Mellon Trust Company, in its capacity as custodian under the Custodial Agreement.

"**Declaration of Trust**" means the amended and restated declaration of trust made as of November 6, 2020 pursuant to which the Trust was settled, as amended from time to time.

"**Determination Year**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement - Fees and Expenses - Performance Fee on the Units Offered".

"**Distribution Payment Date**" has the meaning ascribed thereto under "Item 2.7.1 - Limited Partnership Agreement - Distribution Policy".

"**Distribution Purchase Price**" has the meaning attributed thereto under "Item 6 - Certain Canadian Federal Income Tax Considerations - Distribution Reinvestment Plan".

"**Distribution Record Date**" has the meaning ascribed thereto under "Item 2.7.1 - Limited Partnership Agreement - Distribution Policy".

"**DRIP**" means the Distribution Reinvestment Plan adopted by the Partnership on March 23, 2016, as may be amended from time to time.

"**Eligible Holders**" has the meaning attributed thereto under "Item 6 - Certain Canadian Federal Income Tax Considerations - Distribution Reinvestment Plan".

"**Exchange Rate**" has the meaning ascribed to it under "Item 5.2 - Subscription Procedure".

"**Extraordinary Resolution**" means a resolution passed by 66 2/3% or more of the votes cast at a duly constituted meeting, or an adjournment thereof, of the Limited Partners holding Voting Units called for the purpose of considering such resolution, or, alternatively, a written resolution signed in one or more counterparts by Limited Partners holding 66 2/3% or more of the Voting Units outstanding entitled to vote on such resolution at a meeting.

"**Founders Class Units**" means the class of non-transferable, redeemable units of the Partnership designated as the "Founders Class Units".

"**Fundamental Matter Consent**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Consent on Fundamental Matters".

"**General Partner**" means Four Quadrant GP Inc. (formerly, Timbercreek Four Quadrant GP Inc.), or any other party that may become the general partner of the Partnership in place of, or in substitution for, Four Quadrant GP Inc., from time to time, in each case until such General Partner ceases to be the general partner of the Partnership under the terms of the Limited Partnership Agreement.

"**High-Quality Money Market Instruments**" mean high-quality money market instruments which are accorded the highest rating category by either of Standard & Poor's Ratings Services ("**A 1**") or DBRS Limited ("**R 1**").

"**High Water Mark**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Fees and Expenses - Performance Fee on Units Offered".

"**Hurdle Rate**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Fees and Expenses - Performance Fee on Units Offered".

"**IFRS**" means *International Financial Reporting Standards*, issued by the International Accounting Standards Committee, and as adopted by the Canadian Institute of Chartered Accountants, as amended from time to time.

"**Intermediary**" has the meaning attributed thereto in the Distribution Reinvestment Plan.

"**Investor**" means a person who subscribes for Class A Units, Class D Units, Class F Units, Class I Units, Class J Units, Class UF Units or Class UJ Units pursuant to the Offering.

"**Limited Partner**" means a limited partner of the Partnership.

"**Limited Partnership Agreement**" has the meaning attributed thereto under "Item 2.1.1 – The Partnership".

"**Manager**" means Hazelview Securities Inc. (formerly, Timbercreek Investment Management Inc.) or any successor thereto.

"**Management Agreement**" has the meaning attributed thereto under "Item 2.7.2 - The Management Agreement".

"**Management Fee**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Fees and Expenses - Management Fees on the Units Offered".

"**Mandatory Reclassification Notice**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Reclassification of Units".

"**Minister**" means the Minister of Finance (Canada).

"**Net Asset Value**" or "**NAV**" on a particular date will be equal to (i) the Total Assets of the Partnership, less (ii) the consolidated liabilities of the Partnership, as more fully described under "Item 2.7.1 - Limited Partnership Agreement – Calculation of Net Asset Value".

"**Net Income**" or "**Net Loss**" means, with respect to any fiscal period of the Partnership, the net income or net loss, as the case may be, of the Partnership, as determined by the General Partner in accordance with Canadian generally accepted accounting principles or IFRS (or any other applicable accounting principles as deemed appropriate by the General Partner and the auditor of the Partnership together), as applicable.

"**Net Portfolio Transactions**" for the Partnership on any Valuation Date means the impact of portfolio transactions and the adjustments to the assets as a result of a stock dividend, stock split or other corporate action recorded on that Valuation Date.

"**NI 45-106**" or "**National Instrument 45-106**" means National Instrument 45-106 – Prospectus Exemptions of the Canadian Securities Administrators (Regulation 45-106 respecting prospectus exemptions in Québec), as amended from time to time.

"**Non-Registered Unitholder**" has the meaning attributed thereto in the Distribution Reinvestment Plan.

"**Non-Residents**" means a partnership other than a "Canadian partnership" as defined in the Tax Act and a person who, for the purposes of the Tax Act, and at all relevant times, is not resident in Canada and is not deemed to be resident in Canada.

"**Non-Voting Units**" means the Class A NV Units, Class F NV Units, Class I NV Units, Class J NV Units, Class UA NV Units.

"**Offering**" means the offering of the Class A Units, Class D Units, Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units pursuant to this Confidential Offering Memorandum.

"**Ordinary Resolution**" means a resolution passed by more than 50% of the votes cast at a duly constituted meeting of Limited Partners holding Voting Units, or an adjournment thereof, or, alternatively, a written resolution signed in one or more counterparts by Limited Partners holding more than 50% of the Voting Units outstanding entitled to vote on such resolution at a meeting.

"**participation date**" has the meaning ascribed to it under "Item 5.3 – Minimum Subscription Amount".

"**Partners**" means, collectively, the General Partner and the Unitholders.

"**Partnership**" has the meaning attributed thereto under "Item 2.1.1 – The Partnership".

"**Performance Fee**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Fees and Expenses - Performance Fees on the Units Offered".

"**Performance Valuation Date**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Fees and Expenses - Performance Fees on the Units Offered".

"**Plan Participants**" has the meaning attributed thereto under "Item 5.1.2 - Distribution Reinvestment Plan".

"**Portfolio**" has the meaning attributed thereto under "Item 2.2.1 - Partnership Objectives".

"**Proportionate Share**" when used to describe a Unitholder's interest in any amount, means the portion of that amount obtained by multiplying that amount by a fraction, the numerator of which is the number of Units of a Class of Units of the Partnership registered in the name of that Unitholder and the denominator of which is the total number of Units of that Class of the Partnership then outstanding;

"**Quarterly Redemption Date**" has the meaning ascribed thereto under "Item 2.7.1 - Limited Partnership Agreement – Quarterly Redemptions".

"**Reclassification Request**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Reclassification of Units".

"**Reclassification Right**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Reclassification of Units".

"**REIT**" means a Real Estate Investment Trust.

"**Registered Plan**" has the meaning attributed thereto under "Item 6 - Certain Canadian Federal Income Tax Considerations – Deferred Plans".

"**Registered Unitholder**" has the meaning attributed thereto in the Distribution Reinvestment Plan.

"**Regulations**" means the regulations under the Tax Act.

"**Requested Class**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Reclassification of Units".

"**Resident**" means a person that is resident or deemed to be resident in Canada for purposes of the Tax Act.

"**SIFT Measures**" means provisions contained in the Tax Act relating to the taxation of publicly listed or traded trusts and partnerships, and their investors.

"**SIFT partnership**" has the meaning attributed thereto under "Item 6 - Certain Canadian Federal Income Tax Considerations".

"**SIFT trust**" means a specified investment flow-through trust for the purposes of the Tax Act.

"**Special Redemption**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Special Redemption Rights".

"**Special Redemption Request**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Special Redemption Rights".

"**Special Redemption Units**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Special Redemption Rights".

"**Subscription Agreement**" means the subscription agreement for a specified Class in the form prescribed by the Partnership from time to time and obtainable from the Manager.

"**Tax Act**" means the *Income Tax Act* (Canada), as now or hereafter amended, or successor statutes, and includes regulations promulgated thereunder.

"**Tax Treaties**" has the meaning ascribed thereto under "Item 8 - Risk Factors - Tax-Related Risks".

"**TD**" has the meaning ascribed thereto under "Item 2.2.7 – Leverage".

"**TD Credit Agreement**" has the meaning ascribed thereto under "Item 2.2.7 – Leverage".

"**TD Credit Facility**" has the meaning ascribed thereto under "Item 2.2.7 – Leverage".

"**Timbercreek**" means the group of companies using the Timbercreek corporate name and their affiliates.

"**Total Assets**" means the aggregate value of the assets of the Partnership.

"**Total Return**" means the return generated on a Class of Units, including, but not limited to, income from distributions declared and taxes (current and deferred) allocated to a Partner, as well as the appreciation or depreciation in the Class Net Asset Value per Unit, over the calendar period, calculated on December 31st of each year after any deduction of any management fee or trailer fee payable by the Partnership to the Manager pursuant to the Management Agreement. In calculating the Total Return in respect of a Unit, if that Unit has not been outstanding for a full year on the date of calculation, the amount of Total Return on that Unit shall be pro-rated proportional to the number of days for which that Unit has been outstanding.

"**Trailer Fee**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Fees and Expenses – Trailer Fee".

"**Trust**" means Four Quadrant Global Real Estate Trust (formerly, Timbercreek Four Quadrant Global Real Estate Trust).

"**Trust NAV**" on a particular date will be equal to (i) the aggregate value of the assets of the Trust determined in accordance with the valuation principles set out in the Declaration of Trust, less (ii) the consolidated liabilities of the Trust (excluding any liabilities already deducted in the determination of the aggregate value of the assets of the Trust).

"**Trust Subscription Agreement**" means the standing subscription agreement made among the Partnership, the Commercial Trust and the Trust, as may be amended from time to time by the General Partner, on behalf of the Partnership, and the other parties thereto, whereby whenever the Partnership receives a Special Redemption Request that is determined by the General Partner as eligible, the Trust will directly or indirectly subscribe for the number and corresponding Class of Non-Voting Units that is equal in number to the Special Redemption Units, and as consideration therefor will issue the appropriate number and class of Trust Units.

"**Trust Unit**" means a unit of a class of the Trust.

"**Unitholders**" means the holders of the Units.

"**Units**" means the Voting Units and the Non-Voting Units.

"**US Dollar Class Net Asset Value**" has the meaning attributed there to under "Item 5.2 – Subscription Procedure".

"**Valuation Agent**" means such person as may from time to time be appointed by the Manager to calculate the Class Net Asset Value per Unit and the Net Asset Value of the Partnership.

"**Valuation Date**" has the meaning attributed thereto under "Item 2.7.1 - Limited Partnership Agreement – Calculation of Net Asset Value".

"**Voting Units**" means, collectively, the Founders Class Units, Class A Units, Class B Units, Class C Units, Class D Units, Class F Units, Class I Units, Class J Units, Class UF Units and Class UJ Units of the Partnership.